

**SUPPLEMENT DATED SEPTEMBER 21, 2022
SUPPLEMENTING THE OFFICIAL STATEMENT DATED AUGUST 26, 2021
IN CONNECTION WITH THE ISSUANCE OF**



**\$35,595,000
CALIFORNIA PUBLIC FINANCE AUTHORITY
Insured Refunding Revenue Bonds
(O'Connor Woods)
Series 2022 (Forward Delivery)**

THIS SUPPLEMENT DATED SEPTEMBER 21, 2022 (THIS “SUPPLEMENT”) IS BEING PROVIDED TO UPDATE OR REPLACE CERTAIN INFORMATION CONTAINED IN THE OFFICIAL STATEMENT DATED AUGUST 26, 2021 (THE “OFFICIAL STATEMENT”) RELATING TO THE ABOVE REFERENCED BONDS (THE “BONDS”). IT IS EXPECTED THAT THE BONDS WILL BE AVAILABLE FOR DELIVERY THROUGH THE FACILITIES OF DTC, AGAINST PAYMENT THEREFOR, ON OR ABOUT OCTOBER 4, 2022.

The Official Statement relating to the above captioned bond transaction is hereby supplemented and revised to include the following information, which supplements and replaces certain information shown in the Official Statement as indicated below. All capitalized terms used but not defined herein shall have the meanings set forth in the Official Statement. The Official Statement is appended to this Supplement as Appendix II.

Notably, since the date of the Official Statement, the Corporation has released its Annual Report for the fiscal year ending December 31, 2021, and its Quarterly Report for the quarters ending March 31, 2022 and June 30, 2022. Such Annual Report and Quarterly Reports are incorporated herein by reference and are available through EMMA.

The paragraph on the front cover of the Official Statement describing the opinion of Bond Counsel is replaced in its entirety as follows:

*In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the California Public Finance Authority, based upon an analysis of existing laws, regulations, rulings, and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not a specific preference item for purposes of the federal individual alternative minimum tax. **Bond Counsel observes that, for tax years beginning after December 31, 2022, interest on the Bonds included in adjusted financial statement income of certain corporations is not excluded from the federal corporate alternative minimum tax.** Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. See “TAX MATTERS” herein. Delivery of the Bonds, and delivery of Bond Counsel’s opinion with respect to the Bonds, is subject to the satisfaction of certain terms and conditions provided in the Forward Delivery Purchase Contract as described under the heading “FORWARD DELIVERY OF THE BONDS” in the Official Statement.*

CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM

Description of the Insurance Policy

General. The Corporation has received a conditional commitment from the Department for insurance of the Corporation's payment of the principal and interest with respect to the Bonds. Insurance of the full amount of the principal and interest with respect to the Bonds (but not any premium) is evidenced by the Contract of Insurance and the Regulatory Agreement, both of which will be entered into by the Department, the Authority and the Corporation, concurrently with the execution and delivery of the Bonds. See APPENDIX D – "FORM OF CONTRACT OF INSURANCE" to the Official Statement for the form and terms of the insurance provided by the Department. The Regulatory Agreement sets out many of the financial covenants of the Corporation relating to, among other things, the maintenance of specified debt service coverage levels and the limitations on incurrence of additional indebtedness or disposition of assets by the Corporation. Prospective holders of the Bonds should note that the provisions of the Regulatory Agreement may be amended with the consent of the Department without the necessity of obtaining the consent of the holders of the Bonds or the holders of Parity Debt. See "Rights of the Department under the Regulatory Agreement" below and APPENDIX C – "SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT" to the Official Statement.

Insurance Law Section 129050, subsection (a) requires that a loan must be secured by a first mortgage, first deed of trust or first priority lien on an interest of the borrower in real property and any other security agreement as the Department may require. For this purpose, the Corporation will grant a security interest in all of the Gross Revenues and the Gross Revenue Fund and the proceeds thereof under the Loan Agreement and the Regulatory Agreement and the Corporation will enter into the Deed of Trust. Prospective holders of the Bonds should note that the provisions of the Deed of Trust may be amended, subordinated or terminated at any time with the consent of the Department without the necessity of obtaining the consent of the holders of the Bonds or the holders of Parity Debt.

Incontestability and Non-Cancellability. Under Insurance Law Section 129110, the Contract of Insurance is incontestable from the date of execution thereof, except in case of fraud or misrepresentation on the part of the lender. The Insurance Law and the Contract of Insurance impose certain continuing obligations on the Corporation as a condition of insuring the Bonds but specify that the remedies for breach of these obligations shall not include withdrawal or cancellation of the insurance. The insurance provided by the Contract of Insurance will terminate under certain circumstances, including payment in full by the Department of the insurance with respect to the Bonds or defeasance of the Bonds pursuant to the Indenture, as more fully described in APPENDIX D – "FORM OF CONTRACT OF INSURANCE" to the Official Statement. See also APPENDIX C – "SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT" to the Official Statement.

Procedures upon Default. If there is an event of default as specified under the Indenture (an "Event of Default"), the Trustee must notify the Department. The Trustee also must notify the Department if 30 days prior to an Interest Payment Date or Principal Payment Date there are not sufficient available moneys held by the Trustee in the Revenue Fund (other than in the Debt Service Reserve Account) to make the next payment of principal or interest with respect to the Bonds.

Pursuant to the Regulatory Agreement and the Indenture, if there is an Event of Default and the Trustee has notified the Department that available moneys in the Principal and Interest Accounts will be insufficient to pay in full the next succeeding payment of interest and/or principal on the Bonds when due, the Department shall cause a sufficient amount to be deposited in the Principal Account and/or Interest Account at least three Business Days prior to the date on which such payment is due. The money will come

from the Bond Reserve Account held under the Indenture or from the Health Facility Construction Loan Insurance Fund (the “*HFCLIF*”) that is established by the Insurance Law (Sections 129010, subsection (g), and 129200). The obligation of the Corporation to repay any money advanced from the HFCLIF is secured by the Deed of Trust.

Following an Event of Default, the Department may (i) continue to approve such transfers or make such payments described in the preceding paragraph as are necessary to provide for the timely payment of the principal of and interest on the Bonds when due, (ii) accept title to the Facilities from the Trustee upon foreclosure pursuant to the Deed of Trust or otherwise, (iii) accept an assignment of the security interest created under the Deed of Trust and of all claims under the Indenture, or (iv) instruct the Trustee to declare the principal of the Bonds then Outstanding and the interest with respect thereto to be immediately due and payable and make such payment from the HFCLIF. If funds in the HFCLIF are not sufficient to make the required payments described above, the Department shall notify the Treasurer who is required to issue debentures in place of such Bonds. See “The Department, the Insurance Program and the Insurance Fund—State Debentures” below.

Rights of the Department under the Regulatory Agreement. The Regulatory Agreement grants the Department extensive rights, including the right to attend and participate in all meetings of the Corporation Board of Directors. Additionally, the Regulatory Agreement prohibits the Corporation from taking certain actions without first obtaining the consent of the Department or meeting certain requirements in the Regulatory Agreement, including affiliating with, merging into, or consolidating with any entity; transferring cash or cash equivalents to any entity, including but not limited to a subsidiary or an affiliate of the Corporation; disposing of or acquiring property; and incurring indebtedness. Additionally, upon the occurrence of an event of default under the Regulatory Agreement, the Deed of Trust or the Indenture, the Department shall have the remedies provided in Insurance Law Section 129173. See APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT” to the Official Statement.

Rate Covenant and Other Financial Covenants. Under the Regulatory Agreement and the Loan Agreement, the Corporation is required to fix, charge and collect or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each fiscal year to produce a Debt Service Coverage Ratio equal to 1.25, beginning with the fiscal year ending December 31, 2022. The Regulatory Agreement also requires the Corporation to maintain, as of the end of each fiscal year, a Current Ratio of at least 1.50 to 1 for such fiscal year and at least thirty (30) Days Cash on Hand, each beginning with the fiscal year ending December 31, 2022. For more specific information relating to these covenants, see APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT” to the Official Statement.

Covenants contained in the Regulatory Agreement may be waived or amended by the Department without the necessity of obtaining the consent of the holders of the Bonds, the Authority or any other party. For a further description of the Debt Service Coverage Ratio covenant, the Current Ratio covenant and the Days Cash on Hand covenant, see APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand” to the Official Statement. The Bonds will continue to be insured by the Department in the manner described above even if an Event of Default were to occur under financial or other covenants made by the Corporation.

The Department, the Insurance Program and the Insurance Fund

General. The California Health Facility Construction Loan Insurance Program (the “*Insurance Program*”) is authorized by Article XVI, Section 4 of the California Constitution and is provided for in the

Insurance Law. The Insurance Program is operated by the Department, which has adopted regulations implementing the Insurance Program. Under the Insurance Law, the Department is currently authorized to insure health facility construction, improvement and expansion loans, as specified in the Insurance Law. Entities which may obtain insurance for their facilities include both public agencies and nonprofit corporations, and authorized health facilities include a wide range from acute care facilities to local clinics, dependency centers and community mental health centers. The Insurance Law authorizes the Insurance Program to insure not more than \$3,000,000,000 principal amount of loans at any time. As of June 30, 2022, the principal amount of loans insured under the Insurance Program was approximately \$1,548,180,135 comprised of 63 loans.

Finances of the Insurance Program; Financial Reports. The Insurance Program is financed by an application fee of 0.5% of the loan applied for, but not to exceed \$500 (Insurance Law section 129090), an inspection fee not in excess of 0.4% of the loan that is insured (Insurance Law section 129035), and an insurance premium due in full at closing not in excess of 3.0% of the total amount of principal and interest payable over the term of the loan (Insurance Law section 129040). The fees and premiums charged are deposited in the HFCLIF and are used to defray administrative expenses of the Insurance Program, to cure defaults on loans and to pay principal of and interest on insured bonds and certificates of participation prior to issuance of debentures by the Treasurer.

Under the Insurance Law, payments of principal and interest with respect to the Bonds or payments on the debentures would be made by the Department from the HFCLIF. As of June 30, 2022, the cash balance of the HFCLIF was approximately \$145,943,846. The moneys in the HFCLIF are continuously appropriated to pay obligations insured by the Department under the Insurance Law. Insurance Law section 129215 states: “The Health Facility Construction Loan Insurance Fund, established pursuant to Section 129200, shall be a trust fund and neither the fund nor the interest or other earnings generated by the fund shall be used for any purpose other than those purposes authorized by this chapter.” The moneys in the HFCLIF are invested in the State’s Pooled Money Investment Account.

The Department is required by law to submit certain reports to the Legislature, consisting of two Annual Reports, and a State Plan. The State Plan is prepared every two years, as of January 1 of each odd-numbered year. The 2017, 2019 and 2021 State Plans are being consolidated into one report that is expected to be released in calendar year 2022. The 2015 State Plan is available at the website of the Department at <https://hcai.ca.gov/construction-finance/construction-financing/>. The Consolidated Annual Reports to the Legislature, consisting of the Annual Reports to the Legislature for the fiscal years ended June 30, 2015 through June 30, 2020 (the “2015-2020 Annual Reports”) are available at the website of the Department. The Annual Reports to the Legislature for the fiscal year ended June 30, 2021 are available at the website of the Department. The Department also prepares monthly reports containing the insured loan balance, the HFCLIF balance, total debt service reserve of all loans, and anticipated recoveries. The most recent monthly report available from the Department is available at the website of the Department.

The following table provides certain statistics for the Insurance Program as of the end of the last five fiscal years ended June 30 for which reports are available from the Department:

	2017	2018	2019	2020	2021	2022
Number of Loans Insured	84	80	83	78	66	63
Principal Amount of Loans Insured	\$1,590,800,080	\$1,679,591,385	\$1,816,496,274	\$1,780,317,746	\$1,661,201,598	\$1,548,180,135
Cash Balance of HFCLIF	\$168,979,760	\$169,757,738	\$168,625,786	\$163,825,305	\$153,567,319	\$145,943,846

Insurance Program Loans; Status of Borrowers. The future financial status of the Insurance Program is directly affected by the financial performance of the borrowers in the Insurance Program and their current and projected ability to repay their loans. The Department has established a rating system to implement objective criteria and continues to monitor each borrower for compliance with loan covenants assigning a risk rating (A to F) to that borrower and all its loans.

The risk ratings have a corresponding relationship to the financial status of the borrower and risk to the HFCLIF:

A Rating – no material problems;

B Rating – minor problems such as one or more of the following: for more than one fiscal year, some of the borrower's covenant requirements have not been met; the borrower's financial trends indicate potential problems; the borrower is more than 6 months late in providing its financial and other reports as required by its Regulatory Agreement.

C Rating – serious problems, such as one or more of the following: the borrower's last insured loan payment was not paid within 30 days of the delinquency date defined in the borrower's Regulatory Agreement; the borrower's days cash on hand is low; the last calculation of the insured debt service coverage ratio was below 1.0 and the project does not have a substantial cash cushion either in days cash on hand or in relation to amount of insured debt; payables and receivables indicate inappropriate lag time; economic indicators locally, regionally or statewide are impacting the borrower; management turnover and/or board oversight is in question; the borrower has filed for bankruptcy protection but is making full payments on insured debt.

D Rating – very serious problems such as one or more of the following: the debt service reserve fund has been invaded and the borrower is not making substantial progress in fully replenishing its debt service reserve fund, pursuant to the loan documents; financial trends have been escalating downward with no action plan in place to correct the problem; the borrower's days cash on hand is exceedingly low, such that it does not appear that the borrower will be able to make its next payroll; payment(s) are not being made and HFCLIF may be used within the next 12 months.

E Rating – payments have been or are being made from the HFCLIF, but full recovery is expected. The Department has a work out plan with the borrower.

F Rating – payments have been or are being made from the HFCLIF and loss of some magnitude is expected.

As of June 30, 2022, there were no borrowers with loans in the portfolio with D or E Ratings and one borrower with an F Rating. The F rated borrower, California-Nevada Methodist Homes, filed a voluntary petition for Chapter 11 bankruptcy on March 16, 2021. Publicly available information about the bankruptcy can be found online at <https://cases.stretto.com/CNMH>. See California-Nevada Methodist Homes below for more information. Since the start of the Insurance Program in 1972, through June 30, 2022, 21 borrowers (with 30 loans) have defaulted with all required payments coming from the HFCLIF (without cost to the State General Fund).

The largest defaulted loan in the Insurance Program was a loan to Triad Healthcare Corporation in the original amount of \$182.3 million. The Triad loan was fully paid as of July 23, 2021 and there are no further obligations.

California-Nevada Methodist Homes (“CNMH”) discontinued making bond payments in April 2020 at the onset of the COVID-19 pandemic. On July 1, 2020, an amount of \$615,532.61 from the Debt Service Reserve Fund was drawn to supplement the principal and interest payment due on July 1, 2020. On March 16, 2021, CNMH filed a voluntary petition for Chapter 11 bankruptcy and at the time, the Department had insured a bond issue with a principal balance of \$30,225,000 and a bank line of credit with a principal balance of \$2,999,120 at the time of the bankruptcy. When CNMH entered bankruptcy, the bank declared the line of credit in default and the Department paid on its insurance on May 14, 2021. In 2021 and 2022, the Department made additional advances from the HFCLIF to cover the debt service on the insured bond issue. CNMH continued in possession of its property and operation of its businesses as debtor-in-possession. On February 8, 2022, the court approved the motion of sale of CNMH to Pacifica Companies LLC (“Pacifica”). On May 6, 2022, Pacifica submitted their request for approval to the Attorney General. Closing of the transaction is expected in the fourth quarter of 2022. As of July 1, 2022, the remaining insured bond principal balance was \$28,930,000, and total payments made from the HFCLIF was \$5,860,056.

State Debentures. In the event the obligations of the HFCLIF to pay on an issue of defaulted bonds or certificates of participation exceeds the available balances in the HFCLIF, and upon receipt by the Department of title to the subject facilities or assignment of the security interest in a deed of trust and upon surrender of the defaulted bonds or certificates of participation to the Department, the Department shall notify the Treasurer and request the Treasurer to issue debentures to the holders of the defaulted bonds or certificates of participation, as applicable, so surrendered. Pursuant to Insurance Law section 129160, subsection (a), (1) the debentures shall bear interest at a rate equal to the stated interest rate(s) on the insured loan or bonds, and shall be payable on a payment schedule identical to payments on the insured loan or bonds, (2) the debentures are fully and unconditionally guaranteed as to principal and interest by the State, and (3) the amounts to be paid on the debentures will be continuously appropriated from the general fund of the State Treasury. Insurance Law section 129160, subsection (b) provides, “Any debenture issued under this article shall be paid on par with general obligation bonds issued by the state.” See “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE” and “RATING,” both in the Official Statement.

While the Department has not requested the issuance of and the Treasurer has not issued any such debentures since the inception of the Insurance Program, the Department, the Treasurer and the State Department of Finance entered into a memorandum of understanding in December 2016 establishing procedures for the issuance of debentures (the “*Memorandum of Understanding*”). A copy of the Memorandum of Understanding is available upon request to: Department of Health Care Access and Information, Cal- Mortgage Loan Insurance Division, 2020 West El Camino Avenue, Suite 1231, Sacramento, CA 95833, Telephone: (916) 319-8800; e-mail: cminsure@hcai.ca.gov. It is expected that, to the same extent as interest on the Bonds is not includable in the gross income of the holders thereof for purposes of federal income taxation, interest on the debentures would not be includable in the gross income of the holders and that interest on debentures would be exempt under the law as in effect on the date hereof from State personal income taxes. Upon the occurrence of certain Events of Default under the Indenture, there is the possibility that the interest on the Bonds could become subject to federal income taxation. The Indenture provides that there shall be no acceleration of the principal of and interest on the Bonds upon the occurrence of an Event of Default under the Indenture without the consent of the Department. If the Bonds were declared taxable by the Internal Revenue Service (“IRS”) or another appropriate authority, thereby resulting in an Event of Default under the Indenture, and if the Department did not consent to an acceleration, the holders of the Bonds (and holders of any debentures exchanged for such Bonds) would continue to receive interest payments, but those interest payments would not be excludable from gross income for federal income tax purposes. See APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Events of Default under the Indenture and Remedies—Events of Default” and “—Acceleration of Maturities,” both in the Official Statement.

Actuarial Study. The Department obtains an independent actuarial review of the HFCLIF every two years. At the request of the Department, Oliver Wyman Actuarial Consulting, Inc. (“*Oliver Wyman*”) completed a study in March 2022 (the “*2020 Actuarial Study*”) to evaluate, among other matters, (1) the reserve sufficiency of the HFCLIF as of June 30, 2020; and (2) the risk to the State’s General Fund from the Insurance Program. Oliver Wyman compared the HFCLIF cash balance as of June 30, 2020 of \$163.83 million against the reserve and capital requirements standards set by the California Department of Insurance for private financial guaranty insurers; the 2020 Actuarial Study indicated that the Insurance Program’s assets were at least \$15.27 million below the level which would be required by the California Department of Insurance standards for private insurers (including reserves for projects which were anticipated to default in fiscal year 2020/21). As to the second subject, the 2020 Actuarial Study indicated that the HFCLIF as of June 30, 2020 under the “expected scenario” (which scenario assumed, among other things, a 6.30% default rate) would maintain a positive balance until at least the forecast period of 2049/50. Even under the “most pessimistic scenario” in which a 10% probability of catastrophic loss was used, the 2020 Actuarial Study indicated that there was a 70% likelihood that HFCLIF reserves as of June 30, 2020 would protect against any General Fund losses until at least 2031/32, and a 90% likelihood that HFCLIF reserves as of June 30, 2020 would protect against any General Fund losses until at least 2025/26.

The 2020 Actuarial Study is based on stated assumptions and estimates including, but not limited to, default rates, investment yields, termination rates, claim severities, catastrophic losses and payment patterns. Variation from such estimates or assumptions may cause actual results to vary from the analysis in the 2020 Actuarial Study and such variations could be material. A copy of the 2020 Actuarial Study is available on the Department’s website.

See “BONDHOLDERS’ RISKS—State Bond Insurance” in the Official Statement for a discussion of the risks related to the Insurance. See “RATING” in the Official Statement for a discussion of the rating the Bonds are expected to receive due to the insurance by the Department of the Bonds.

See “INTRODUCTORY STATEMENT—Contract of Insurance” and “FORWARD DELIVERY OF THE BONDS” in the Official Statement.

FOR A FURTHER DESCRIPTION OF THE REGULATORY AGREEMENT AND THE CONTRACT OF INSURANCE, SEE APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS” AND APPENDIX D – “FORM OF CONTRACT OF INSURANCE” IN THE OFFICIAL STATEMENT.

TAX MATTERS

The first paragraph of the “TAX MATTERS” section of the Official Statement is replaced in its entirety as follows:

In the opinion of Orrick, Herrington & Sutcliffe LLP, bond counsel to the Authority (“Bond Counsel”), based upon an analysis of existing laws, regulations, rulings, and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 (the “Code”) and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not a specific preference item for purposes of the federal individual alternative minimum tax. **Bond Counsel observes that, for tax years beginning after December 31, 2022, interest on the Bonds included in adjusted financial statement income of certain corporations is not excluded from the federal corporate alternative minimum tax.** Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. A complete copy of the proposed form of opinion of Bond Counsel is set forth in APPENDIX I to this Supplement and replaces APPENDIX F to the

Official Statement. Delivery of the Bonds, and delivery of Bond Counsel’s opinion with respect to the Bonds, is subject to the satisfaction of certain terms and conditions provided in the Forward Delivery Purchase Contract as described under the heading “FORWARD DELIVERY OF THE BONDS.” The delivery of such opinion is a condition to the issuance of the Bonds on the Final Settlement Date.

UPDATES TO APPENDIX A

Following are updates to certain of the information contained in Appendix A to the Official Statement.

Each of the following are updated pursuant to information contained in the Annual Report posted April 27, 2022, and available on EMMA: audited financial statements for the fiscal year ended December 31, 2021, an update of the information contained in Appendix A to the Official Statement relating to the Bonds under the captions “OCCUPANCY AND HISTORICAL UTILIZATION” (Tables 8, 10, 12, 14 and 17 of Appendix A), and “MANAGEMENT DISCUSSION AND ANALYSIS OF FINANCIAL PERFORMANCE – Summary of Financial Information,” and “ – Financial Ratios”, together with a statement of: (i) number of units/beds available by level of care and number of units/beds occupied by level of care; and (ii) number of persons on waiting list by level of care, both as of the close of the most recently completed fiscal year.

Governance

The members of the Board and their respective occupations and length of service are set forth in the following table. Table 1 in Appendix A is updated as follows:

**Table 1
Board of Trustees**

Trustee	Occupation	Time Served	Term Ends
Tom Bowe (Board Chair)	Architect	5 years	12/2022
Rudy Croce (Board Secretary)	CPA	3 years	11/2022
Greg Doe (Audit Chair)	Chief of Pharmacy for State of California	8 years	12/2023
Bob Fay (Finance Chair)	Retired Investment Banker	8 years	12/2023
Kristin Fletcher	Real Estate Agent	3 years	12/2022
Sr. Katherine Hamilton	Retired Dominican Sister	5 years	12/2023
Mark Ornelas	Attorney	6 years	12/2022
Jerilyn Ratto	RN owns Professional Health Consulting Services	5 years	12/2023
Gary Spaugh	Health Care Administration	9 years	12/2022
Margaret Stephens (Board Chair)	Fund Raising at Schools	4 years	12/2021
Anitra Williams	Director of Nursing St. Joseph’s Medical Center	2 year	12/2023

COVID – 19 Update

The section titled “RESPONSE TO COVID-19” in the Official Statement is updated to provide the following two paragraphs:

The Corporation continues to experience the direct and indirect impacts from the COVID-19 pandemic. The number of positive cases increase on campus as spikes occur outside the community in the general public. Since August 4, 2021 the Corporation has had a cumulative total of 143 residents and 130 employees test positive for COVID-19. The community is routinely screening visitors and staff for symptoms. When positive cases are identified trace testing is performed. All positive staff and residents are isolated based on the current CDC guidance. The Corporation has relied on overtime, and registry staffing to maintain the staffing levels necessary to meet the needs of residents. All staff are required to be fully vaccinated. Staff are trained and capable to care for COVID-19 positive residents. Nearly all pre-COVID-19 operations have returned to the community as the Corporation has developed procedures to safely operate with COVID-19.

Staffing Update

The Corporation has been impacted by workforce challenges. Increased wages, shift differentials, and shift bonus have been used to recruit and retain staff. Temporary staffing and overtime is utilized to fill vacant positions. Licenses nurses, direct care staff and food service workers are the most challenging to recruit. The Corporation has been forced to limit occupancy in the skilled nursing unit from time to time due to vacant licensed nursing positions. The Corporation has increased wages for key positions and recruitment is beginning to improve.

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Resident Agreement and Fees

Tables 4, 5, 6 and 7 in Appendix A are updated as follows:

Table 4
Residential Living
Unit Mix and Pricing

<u>Unit Type</u>	<u>Size</u>	<u>Number of Units</u>	<u>Monthly Service Fees</u>
Studio	465-475sf	4	\$2,791-\$2,884
One Bedroom	662-898sf	111	\$3,124-\$4,875
Two Bedroom	940-1,289sf	<u>130</u>	\$3,841-\$7,260
Total		<u>245</u>	
Weighted Average	852sf		
Second Person Fees	\$1,202		

Source: Management

Table 5
Assisted Living
Unit Mix and Pricing

<u>Unit Type</u>	<u>Size</u>	<u>Number of Units</u>	<u>Monthly Service Fees</u>
Studio	350-528sf	43	\$5,154-\$6,148
One Bedroom	546sf	33	\$6,762
Two Bedroom	680-728sf	<u>9</u>	\$7,340-\$7,479
Total		<u>85</u>	(plus Level of Care fees \$412-\$2,381)
Weighted Average	494sf		
Second Person Fee	\$1,750		

Source: Management

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Table 6
Memory Care
Unit Mix and Pricing

<u>Unit Type</u>	<u>Size</u>	<u>Number of Units</u>	<u>Monthly Service Fees</u>
Studio	96-276sf	25	\$8,605-\$9,991
Shared	157-205sf	<u>6</u>	\$6,244
Total		<u>31</u>	
Weighted Average	235sf		

Source: Management

Table 7
Skilled Nursing Care
Base Per Diem Rates

<u>Room Type</u>	<u>Size</u>	<u>Number of Beds</u>	<u>Per Diem Rate</u>
Private	226sf	14	\$458-\$483
Semi-private	362-411sf	86	\$375-\$400

Source: Management

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Occupancy and Historical Utilization

Tables 8, 10, 12, 14 and 17 are updated by reference to the corresponding information contained in the Annual Report posted April 27, 2022, and available on EMMA, which information is incorporated herein.

Tables 9, 11, 13, 15 and 16 in Appendix A are updated as follows:

Table 9
Historical Residential Living Turnover Activity

<u>Period Ended</u>	<u>Move-ins</u>	<u>Deaths</u>	<u>Withdrawals</u>	<u>Transfers within OCW</u>	<u>Net Activity</u>
Dec 31, 2018	+38	-5	-12	-19	+2
Dec 31, 2019	+38	-4	-20	-17	-3
Dec 31, 2020	+15	-9	-15	-17	-26
Dec 31, 2021	+32	-6	-9	-13	+4
June 30, 2022	+14	-3	-2	-12	-3

Source: Management

Table 11
Historical Assisted Living Turnover Activity

<u>Period Ended</u>	<u>Move-ins</u>	<u>Deaths</u>	<u>Withdrawals</u>	<u>Transfers within OCW</u>	<u>Net Activity</u>
Dec 31, 2018	+23	-25	-16	+14	-4
Dec 31, 2019	+26	-18	-14	+4	-2
Dec 31, 2020	+20	-18	-14	+6	-6
Dec 31, 2021	+15	-12	-13	+6	-4
June 30, 2022	+9	-8	0	+7	+8

Source: Management

Table 13
Historical Memory Care Turnover Activity

<u>Period Ended</u>	<u>Move-ins</u>	<u>Deaths</u>	<u>Withdrawals</u>	<u>Transfers within OCW</u>	<u>Net Activity</u>
Dec 31, 2018	+14	-14	-8	+5	-3
Dec 31, 2019	+10	-15	-8	+17	+4
Dec 31, 2020	+2	-15	-4	+14	-3
Dec 31, 2021	+7	-16	-6	+12	-3
June 30, 2022	+5	-6	-3	+6	+2

Source: Management

Table 15
Historical Skilled Nursing Admissions

<u>Period Ended</u>	<u>Number of Admissions</u>
Dec 31, 2018	468
Dec 31, 2019	532
Dec 31, 2020	358
Dec 31, 2021	330
June 30, 2022	152

Source: Management

Table 16
Historical Skilled Nursing Average Length of Stay

<u>Period Ended</u>	<u>Average Length of Stay (Days)</u>
Dec 31, 2018	143
Dec 31, 2019	142
Dec 31, 2020	183
Dec 31, 2021	130
June 30, 2022	138

Source: Management

Wait List

Table 18 in Appendix A is updated as follows:

Table 18
Resident Waitlist

<u>As of</u>	<u>Residential Living</u>	<u>Memory Care</u>	<u>Assisted Living</u>	<u>Skilled Nursing</u>
Dec 31, 2018	10	0	0	0
Dec 31, 2019	13	6	0	0
Dec 31, 2020	12	4	0	0
Dec 31, 2021	13	2	2	0
June 30, 2022	21	0	0	0

Source: Management

UPDATES TO APPENDIX B

The financial statements of the Corporation as of and for the years ended December 31, 2021 and available on EMMA, are incorporated by referenced herein and included as part of APPENDIX B. Such financial statements have been audited by Moss Adams LLP, independent auditors, as stated in its reports appearing on EMMA. The Corporation has not requested that Moss Adams LLP provide consent for inclusion of its audit reports in the Official Statement or this Supplement, and Moss Adams LLP has not been engaged to perform and has not performed, since the date of its reports included herein, any procedures on the financial statements addressed in those reports. Further, Moss Adams LLP has not participated in any way in the preparation or review of the Official Statement or this Supplement.

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APPENDIX I TO THE SUPPLEMENT
FORM OF OPINION OF BOND COUNSEL

The form of opinion of Bond Counsel attached as Appendix F to the Official Statement is replaced in its entirety as follows:

[Date of Delivery]

California Public Finance Authority
Hanford, California

\$35,595,000
California Public Finance Authority
Insured Refunding Revenue Bonds
(O'Connor Woods), Series 2022 (Forward Delivery)
(Final Opinion)

Ladies and Gentlemen:

We have acted as bond counsel to the California Public Finance Authority (the "Authority") in connection with the issuance of \$35,595,000 aggregate principal amount of California Public Finance Authority Insured Refunding Revenue Bonds (O'Connor Woods), Series 2022 (Forward Delivery) (the "Bonds"), issued pursuant to an Indenture, dated as of September 1, 2022 (the "Indenture"), between the Authority and The Bank of New York Mellon Trust Company, N.A. as trustee (the "Trustee"). The Indenture provides that the Bonds are issued for the stated purpose of making a loan of the proceeds thereof to O'Connor Woods Housing Corporation (the "Corporation") pursuant to a Loan Agreement, dated as of September 1, 2022 (the "Loan Agreement"), between the Authority and the Corporation. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Indenture.

In such connection, we have reviewed the Indenture, the Loan Agreement, the Tax Agreement, opinions of counsel to the Trustee and the Corporation, certificates of the Authority, the Trustee, the Corporation and others, and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

We have relied on the opinion of Hefner, Stark & Marois LLP, counsel to the Corporation, regarding, among other matters, the current qualification of each of the Corporation and Eskaton Properties, Incorporated (the "Manager") as an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986 (the "Code"). We note that the opinion is subject to a number of qualifications and limitations. We have also relied upon representations of the Corporation regarding the use of the facilities refinanced with the proceeds of the Bonds in activities that are not considered unrelated trade or business activities of the Corporation within the meaning of Section 513 of the Code. We note that the opinion of counsel to the Corporation does not address Section 513 of the Code. Failure of either the Corporation or the Manager to be organized and operated in accordance with the Internal Revenue Service's requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or use of the bond-refinanced facilities in activities that are considered unrelated trade or business activities of the

Corporation within the meaning of Section 513 of the Code, may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of issuance of the Bonds.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after original delivery of the Bonds on the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after original delivery of the Bonds on the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures provided to us and the due and legal execution and delivery thereof by, and validity against, any parties other than the Authority. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents, and of the legal conclusions contained in the opinions, referred to in the second and third paragraphs hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Indenture, the Loan Agreement and the Tax Agreement, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the Indenture, the Loan Agreement and the Tax Agreement and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against governmental entities such as the Authority in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute or to have the effect of a penalty), right of set-off, arbitration, judicial reference, choice of law, choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the foregoing documents, nor do we express any opinion with respect to the state or quality of title to or interest in any of the real or personal property described in or as subject to the lien of the Indenture or the Loan Agreement or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such property. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement, dated August 26, 2021 (as supplemented by the Supplement to the Official Statement, dated September 21, 2022) relating to the Bonds or other offering material relating to the Bonds and express no opinion or conclusion with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute the valid and binding limited obligations of the Authority.
2. The Indenture has been duly executed and delivered by, and constitutes the valid and binding obligation of, the Authority. The Indenture creates a valid pledge, to secure the payment of the principal of and interest on the Bonds, of the Revenues and the other assets pledged therefor under the Indenture, subject to the provisions of the Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Indenture.
3. The Loan Agreement has been duly executed and delivered by, and constitutes a valid and binding agreement of, the Authority.

4. Interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. Interest on the Bonds is not a specific preference item for purposes of the federal individual alternative minimum tax. We observe that, for tax years beginning after December 31, 2022, interest on the Bonds included in adjusted financial statement income of certain corporations is not excluded from the federal corporate alternative minimum tax. We express no opinion regarding other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

Faithfully yours,

ORRICK, HERRINGTON & SUTCLIFFE LLP

Per

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APPENDIX II TO THE SUPPLEMENT
OFFICIAL STATEMENT DATED AUGUST 26, 2021

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In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the California Public Finance Authority, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not a specific preference item for purposes of the federal alternative minimum tax. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of or the amount, accrual or receipt of interest on, the Bonds. See “TAX MATTERS” herein. Delivery of the Bonds, and delivery of Bond Counsel’s opinion with respect to the Bonds, is subject to the satisfaction of certain terms and conditions provided in the Forward Delivery Purchase Contract as described under the heading “FORWARD DELIVERY OF THE BONDS.”



\$35,595,000
CALIFORNIA PUBLIC FINANCE AUTHORITY
Insured Refunding Revenue Bonds
(O'Connor Woods)
Series 2022 (Forward Delivery)

Dated: Date of Delivery

Due: January 1, as shown on the inside cover

The California Public Finance Authority Insured Refunding Revenue Bonds (O'Connor Woods), Series 2022 (Forward Delivery) (the “Bonds”) will be issued as fully registered Bonds in the denomination of \$5,000 or any integral multiple thereof and, when delivered, will be registered in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York (“DTC”). Beneficial owners of Bonds will not receive physical certificates representing the Bonds purchased but will receive a credit balance on the books of the nominees of such purchasers. So long as Cede & Co. is the registered owner of the Bonds, principal (and Redemption Price) of and interest on the Bonds will be paid by The Bank of New York Mellon Trust Company, N.A., as trustee (the “Trustee”), to DTC, which, in turn, will remit such principal (and Redemption Price) and interest to its participants for subsequent disbursement to the beneficial owners of the Bonds, as described herein. See APPENDIX G – “BOOK-ENTRY SYSTEM” hereto. Interest on the Bonds is payable on January 1 and July 1 of each year, commencing January 1, 2023.

The Bonds are subject to optional, mandatory sinking account and special redemption prior to their respective maturities, as described herein.

The Bonds are limited obligations of the California Public Finance Authority (the “Authority”), secured under the provisions of the Indenture and the Loan Agreement (each as described herein), and will be payable from Loan Repayments (as defined herein) made by O'Connor Woods Housing Corporation, a California nonprofit public benefit corporation (the “Corporation”) under the Loan Agreement, and from certain funds held under the Indenture. Pursuant to the Regulatory Agreement (as defined herein), the Corporation may incur additional indebtedness secured on a parity basis with the Bonds, provided certain conditions are met. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Parity Debt; Other Indebtedness” herein.

Pursuant to the California Constitution Article XVI, Section 4, and California Health and Safety Code, Division 107, Part 6, Chapter 1, as amended, payment of the principal of and interest on the Bonds will be insured by the Department of Health Care Access and Information of the State of California (the “Department”) (formerly, and as it may be referred to from time to time, as the Office of Statewide Health Planning and Development (the “Office” or “OSHPD”)), and all debentures issued in payment of any claims under such insurance will be fully and unconditionally guaranteed by the State of California, all as more fully described herein. See “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” herein.

THE BONDS DO NOT CONSTITUTE A DEBT OR LIABILITY OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, OTHER THAN THE AUTHORITY, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS PROVIDED THEREFOR, EXCEPT TO THE EXTENT EXPRESSLY PROVIDED FOR PURSUANT TO THE CONTRACT OF INSURANCE. THE AUTHORITY SHALL NOT BE OBLIGATED TO PAY THE PRINCIPAL, OR REDEMPTION PRICE, OF THE BONDS, OR INTEREST THEREON, EXCEPT FROM THE FUNDS PROVIDED THEREFOR UNDER THE INDENTURE AND NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE AUTHORITY, IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL, OR REDEMPTION PRICE, OF, OR INTEREST ON THE BONDS, EXCEPT TO THE EXTENT EXPRESSLY PROVIDED FOR PURSUANT TO THE CONTRACT OF INSURANCE. THE ISSUANCE OF THE BONDS SHALL NOT DIRECTLY OR INDIRECTLY OR CONTINGENTLY OBLIGATE THE STATE OR ANY POLITICAL SUBDIVISION THEREOF TO LEVY OR TO PLEDGE ANY FORM OF TAXATION OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT, EXCEPT TO THE EXTENT EXPRESSLY PROVIDED FOR PURSUANT TO THE CONTRACT OF INSURANCE. THE AUTHORITY HAS NO TAXING POWER. MOREOVER, NONE OF THE AUTHORITY OR ANY OTHER MEMBER SHALL BE LIABLE FOR ANY OTHER COSTS, EXPENSES, LOSSES, DAMAGES, CLAIMS OR ACTIONS, IN CONNECTION WITH THE LOAN AGREEMENT, THE BONDS OR THE INDENTURE, EXCEPT ONLY TO THE EXTENT AMOUNTS ARE RECEIVED FOR THE PAYMENT THEREOF FROM THE CORPORATION UNDER THE LOAN AGREEMENT.

It is anticipated that the Bonds will be available for delivery to DTC on or about October 4, 2022. For a discussion of the delayed delivery of the Bonds, certain conditions to the obligation of the Underwriter to purchase the Bonds and certain risks to purchasers of the Bonds resulting from the delayed delivery of the Bonds, see “FORWARD DELIVERY OF THE BONDS” herein.

This coverage contains certain information for general reference only. It is not intended to be a summary of the security or terms of the Bonds. Investors should read the entire Official Statement, including the Appendices, to obtain information essential to the making of an informed investment decision.

SEE MATURITY SCHEDULE ON INSIDE FRONT COVER

The Bonds are offered when, as and if issued and received by the Underwriter, subject to prior sale, withdrawal or modification of the offer without notice and to approval of the legality of the Bonds and certain other legal matters by Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority. Certain legal matters will be passed upon for the Authority by its special counsel, Orrick, Herrington & Sutcliffe LLP; for the Corporation by its counsel, Hefner, Stark & Marois LLP, Sacramento, California; for the Department by its staff counsel; and for the Underwriter by its counsel, Foley & Lardner LLP, San Francisco, California.



Date: August 26, 2021

† For an explanation of the rating, see “RATING” herein.

†† A registered trademark of The American Bankers Association. CUSIP data is provided by CUSIP Global Services (“CGS”) managed on behalf of the American Bankers Association by S&P Capital IQ. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers are provided for convenience of reference and none of the Authority, the Corporation or the Underwriter take responsibility for the accuracy of such data.

\$35,595,000
CALIFORNIA PUBLIC FINANCE AUTHORITY
Insured Refunding Revenue Bonds
(O'Connor Woods)
Series 2022 (Forward Delivery)

MATURITY SCHEDULE

Maturity (January 1)	Principal Amount	Stated Interest Rate	Yield	CUSIP[†]
2023	\$ 450,000	4.000%	0.730%	13057EEM2
2024	1,310,000	4.000%	0.780%	13057EEN0
2025	1,320,000	4.000%	0.860%	13057EEP5
2026	1,320,000	4.000%	1.000%	13057EEQ3
2027	1,315,000	4.000%	1.100%	13057EER1
2028	1,370,000	4.000%	1.260%	13057EES9
2029	1,425,000	4.000%	1.350%	13057EET7
2030	1,480,000	4.000%	1.450%	13057EEU4
2031	1,540,000	4.000%	1.620%	13057EEV2

\$24,065,000 4.00% Term Bond due January 1, 2043 Yield 2.220% Price 116.223^C; CUSIP[†] 13057EEW0

[†] CUSIP is a registered trademark of the American Bankers Association (the "ABA"). CUSIP data are provided by CUSIP Global Services, which is managed on behalf of the ABA by S&P Global Market Intelligence, a division of S&P Global Inc. The CUSIP numbers listed above are being provided solely for the convenience of the holders of the Bonds only at the time of issuance of the Bonds, and none of the Authority, the Corporation and the Underwriter makes any representation with respect to such CUSIP numbers or undertakes any responsibility for their accuracy now or at any time in the future. The CUSIP numbers are subject to being changed after the issuance of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part of the Bonds or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that may be applicable to all or a portion of the Bonds.

^C Priced to call at par on optional redemption date of January 1, 2033.



Residential Living Apartments



Main Clubhouse Living Room



Dining Pavilion Patio



Newly Remodeled Dining Pavilion



Tribute Garden



Beautiful Grounds

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This Official Statement does not constitute an offer to sell the Bonds or the solicitation of an offer to buy the Bonds, nor shall there be any sale of the Bonds by any person in any state or other jurisdiction to any person to whom it is unlawful to make such offer, solicitation or sale in such state or jurisdiction. No dealer, salesperson or any other person has been authorized to give any information or to make any representation other than those contained herein in connection with the offering of the Bonds, and, if given or made, such information or representation must not be relied upon. The Underwriter has provided the following sentence for inclusion in this Official Statement. *The Underwriter has reviewed the information in this Official Statement in accordance with and as part of its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.*

The information relating to the Authority set forth herein under the captions “THE AUTHORITY” and “ABSENCE OF MATERIAL LITIGATION—The Authority” has been furnished by the Authority. The Authority does not warrant the accuracy of the statements contained herein relating to the Corporation nor does it directly or indirectly guarantee, endorse or warrant (1) the creditworthiness or credit standing of the Corporation, (2) the sufficiency of the security for the Bonds or (3) the value or investment quality of the Bonds. The Authority makes no representations or warranties whatsoever with respect to any information contained therein except for the information under the sections entitled “THE AUTHORITY” and “ABSENCE OF MATERIAL LITIGATION—The Authority.” The information set forth herein under the caption “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” has been furnished by the Department of Health Care Access and Information of the State of California (the “Department”) (formerly, and as it may be referred to from time to time, as the Office of Statewide Health Planning and Development (the “Office” or “OSHPD”), and the information relating to DTC and the book-entry system set forth herein under the caption “THE BONDS—Book-Entry System” and in APPENDIX G hereto has been furnished by DTC. Such information is believed to be reliable but is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Corporation. All other information set forth herein has been obtained from the Corporation and other sources (other than the Authority) that are believed to be reliable, but such information is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Authority or the Underwriter. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale of the Bonds made hereunder shall create under any circumstances any indication that there has been no change in the affairs of the Authority, the Corporation, the Department or DTC since the date hereof. The Underwriter has provided the following sentence for inclusion in this Official Statement. This Official Statement is being provided to prospective investors in connection with the issuance of securities referred to herein and may not be used, in whole or in part, for any other purpose.

IN CONNECTION WITH THE OFFERING OF THE BONDS, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT LEVELS ABOVE THAT WHICH OTHERWISE MIGHT PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

CAUTIONARY STATEMENTS REGARDING FORWARD-LOOKING STATEMENTS IN THIS OFFICIAL STATEMENT

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements generally are identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget” or other similar words. Such forward-looking statements include but are not limited to certain statements contained in the information under the captions “PLAN OF REFUNDING” and “BONDHOLDERS’ RISKS” in the forepart of this Official Statement and the statements contained in APPENDIX A – “INFORMATION CONCERNING THE CORPORATION” to this Official Statement.

The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The Corporation does not plan to issue any updates or revisions to those forward-looking statements if or when its expectations or events, conditions or circumstances on which such statements are based occur or do not occur.

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OFFICIAL STATEMENT

\$35,595,000

CALIFORNIA PUBLIC FINANCE AUTHORITY

Insured Refunding Revenue Bonds

(O'Connor Woods)

Series 2022 (Forward Delivery)

INTRODUCTORY STATEMENT

The following introductory statement is subject in all respects to the more complete information set forth in this Official Statement. The descriptions and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive and are qualified in their entirety by reference to each document. See APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS” for definitions of certain words and terms used herein. This Official Statement speaks only as of its date, and the information contained herein is subject to change.

Purpose of this Official Statement

This Official Statement, including the cover page, the inside cover pages and the appendices hereto, is provided to furnish information in connection with the sale and delivery of \$35,595,000 aggregate principal amount of California Public Finance Authority Insured Refunding Revenue Bonds (O'Connor Woods), Series 2022 (Forward Delivery) (the “*Bonds*”).

The Corporation

The Corporation is a California nonprofit public benefit corporation and is exempt from federal income taxation under Section 501(a) of the Internal Revenue Code of 1986, as amended (the “Code”), as an organization described in Section 501(c)(3) of the Code. The Corporation is licensed by the State of California Department of Social Services Continuing Care Contracts Branch as a Continuing Care Retirement Community (“CCRC”) and provides housing and other needs of the elderly in Stockton, California. It owns and contracts for the operation of a 250-unit residential retirement facility; a 37-unit assisted living facility (Garden Oaks); a 48-unit assisted living facility (Oak Creek); a 20-unit memory care facility (Laurel Pointe), an 11-unit memory care facility (Laurel Pointe East); and a 100-unit skilled nursing facility (Meadowood Care Center) (collectively referred as the “Facilities” herein), all of which are located on an approximately 34-acre campus. See APPENDIX A – “INFORMATION CONCERNING THE CORPORATION - MANAGEMENT” for a description of the relationship the Corporation has with Eskaton Properties, Incorporated.

For more information about the Community, operation, governance and financial condition of the Corporation, see APPENDIX A --“INFORMATION CONCERNING THE CORPORATION” and APPENDIX B – “AUDITED FINANCIAL STATEMENTS OF THE CORPORATION.”

The Bonds

The Bonds will be issued under the Act (as defined herein), and pursuant to and secured by an Indenture, dated as of September 1, 2022 (the “*Indenture*”), between the California Public Finance Authority (the “*Authority*”) and The Bank of New York Mellon Trust Company, N.A., as trustee (the “*Trustee*”). The Authority will loan the proceeds of the Bonds to the Corporation, which loan will be evidenced by a Loan Agreement, dated as of September 1, 2022 (the “*Loan Agreement*”), between the Authority and the Corporation. See “THE BONDS” herein.

Purpose of the Bonds

The Corporation will use the proceeds of the Bonds, together with other available funds, to (i) redeem all of the ABAG Finance Authority for Nonprofit Corporations Insured Revenue Bonds (O'Connor Woods), Series 2013 (the "*Prior Bonds*"), which financed and refinanced the acquisition, construction, furnishing, equipping and improvement of certain of the Facilities, (ii) fund a bond reserve account for the Bonds, (iii) pay an insurance premium and related fees to the Department of Health Care Access and Information of the State of California (the "*Department*") (formerly, and as it may be referred to from time to time as, the Office of Statewide Health Planning and Development (the "*Office*" or "*OSHPD*")); and (iv) pay or reimburse the Corporation for costs of issuance of the Bonds. See "ESTIMATED SOURCES AND USES OF FUNDS" herein.

Contract of Insurance

In accordance with the California Health Facility Construction Loan Insurance Law, Chapter 1 of Part 6 of Division 107 of the California Health and Safety Code, as amended (the "*Insurance Law*"), the Authority and the Department will enter into a Contract of Insurance, dated as of September 1, 2022 (the "*Contract of Insurance*") pursuant to which the Department will insure the payment of principal of and interest on the Bonds in the event that amounts received by the Trustee pursuant to the Indenture are not sufficient to pay in full, when due, principal of and interest on the Bonds. If monies are not available to pay principal of and interest on the Bonds when due, the Department will be obligated to continue to make payments on such Bonds or will instruct the Trustee to declare the principal of all such Bonds then outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest and, upon the occurrence of certain events, shall notify the Treasurer ("*Treasurer*") of the State of California (the "*State*") and the Treasurer will issue debentures to the holders of the Bonds, fully and unconditionally guaranteed by the State, in an amount equal to the principal of and the accrued interest on the Bonds. In connection with the Contract of Insurance, the Corporation will enter into a Regulatory Agreement, dated as of September 1, 2022 (the "*Regulatory Agreement*"), with the Authority and the Department.

For a more detailed description of the obligation of the Department to insure the payment of the principal of and interest on the Bonds when due, the procedures with respect to an insurance default, the obligations of the Corporation pursuant to the Regulatory Agreement and the financial condition of the California Health Facility Construction Loan Insurance Program (the "*Insurance Program*") and the State, see "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM," "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE," "BONDHOLDER'S RISKS—State Bond Insurance," "RATING," APPENDIX C – "SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT," and APPENDIX D – "FORM OF CONTRACT OF INSURANCE."

The Department has issued a conditional commitment to insure the Bonds in an amount not to exceed \$46,500,000 pursuant to a commitment letter dated August 2, 2021 (the "*Letter of Commitment*"). Because the Bonds are being delivered on a forward delivery basis, issuance of the Department's commitment is subject to cancellation in the event that there has been a change in law that revokes the authority of the Department to issue the loan insurance contemplated under the Department's Letter of Commitment. In the event that additional facts, or changes in the law, or changes in the structure of the transaction come to the attention of the Department, then the Department may require additional conditions.

The Department's commitment is issued in full consideration and knowledge of all parties to be preliminary in nature and shall not be final until there is full compliance with all applicable laws, including the provisions of Chapter 1, Part 6, Division 107 of the Health and Safety Code, cited in Section 129000 as

the “California Health Facility Construction Loan Insurance Law,” and the associated regulations and requirements, and all the conditions contained therein.

The Department’s commitment expires on October 31, 2022. The commitment is subject to the delivery of various documents on the Final Settlement Date (as defined herein). See “FORWARD DELIVERY OF THE BONDS” herein.

Security for the Bonds

The Bonds are limited obligations of the Authority, secured under the provisions of the Indenture and the Loan Agreement, and will be payable from payments made by the Corporation under the Loan Agreement (the “*Loan Repayments*,” and each a “*Loan Repayment*”) and from certain funds held under the Indenture. Pursuant to the Loan Agreement, the Corporation is required to make aggregate payments in an amount sufficient to enable the Authority to pay in full, when due, the principal (or Redemption Price) of and interest on the Bonds when due.

As security for the payment of the Bonds, the Authority will pledge and assign to the Trustee all right, title and interest of the Authority in the Loan Agreement (other than certain rights of the Authority that are unassigned as described in the Indenture), including the right to receive payments under the Loan Agreement, and will direct the Corporation to make said payments directly to the Trustee. Under the Indenture, all of the Revenues and any other amounts (including proceeds of the sale of the Bonds) held in any fund or account established pursuant to the Indenture (other than the Rebate Fund) are pledged to secure the full payment of the principal (or Redemption Price) of and interest on the Bonds in accordance with their terms and the provisions of the Indenture.

First Lien on Gross Revenues and Gross Revenue Fund. In addition to the insurance under the Contract of Insurance, the Corporation’s obligations under the Loan Agreement and the Regulatory Agreement are secured by the grant of a security interest (to the extent permitted by law) to the Department and the Trustee (as assignee of the Authority) in all of the Gross Revenues and the Gross Revenue Fund and the proceeds thereof (as such terms are defined in the Indenture) of the Corporation, as provided in the Loan Agreement.

Deed of Trust. By its execution and delivery of the Deed of Trust (described herein), the Corporation will grant for the benefit of the Department, and for the benefit of the Trustee (as Assignee of the Authority), as trustee for the holders of the Bonds and the holders of any Parity Debt (as such term is defined in the Indenture), a first lien on and security interest in the Facilities and on all facilities acquired by the Corporation after the issuance of the Bonds, in each case including all real property, all buildings and structures thereon and fixtures and improvements thereto and certain other tangible personal property, all as described in the Deed of Trust, subject to Permitted Encumbrances and subject to the right of the Corporation (with the prior consent of the Department) to remove property from the lien of the applicable Deed of Trust. **For as long as the Department is obligated under the Contract of Insurance, all rights and remedies under the Deed of Trust shall be exercised solely by the Department. With the consent of the Department and the Corporation, the Deed of Trust may be amended, subordinated or terminated at any time without the consent of the Trustee, the Authority, the holders of the Bonds or the holders of any other Parity Debt. See APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—THE DEED OF TRUST.”** A title insurance policy on the Facilities in an amount not less than the aggregate principal amount of the Bonds will be delivered at the time of issuance of the Bonds.

For further information concerning the security for the Bonds, see the information under the caption “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS” below.

THE BONDS DO NOT CONSTITUTE A DEBT OR LIABILITY OF THE STATE OR OF ANY POLITICAL SUBDIVISION THEREOF, OTHER THAN THE AUTHORITY, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS PROVIDED THEREFOR, EXCEPT TO THE EXTENT EXPRESSLY PROVIDED FOR PURSUANT TO THE CONTRACT OF INSURANCE. THE AUTHORITY SHALL NOT BE OBLIGATED TO PAY THE PRINCIPAL, OR REDEMPTION PRICE, OF THE BONDS, OR INTEREST THEREON, EXCEPT FROM THE FUNDS PROVIDED THEREFOR UNDER THE INDENTURE AND NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE AUTHORITY, IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL, OR REDEMPTION PRICE, OF, OR INTEREST ON THE BONDS, EXCEPT TO THE EXTENT EXPRESSLY PROVIDED FOR PURSUANT TO THE CONTRACT OF INSURANCE. THE ISSUANCE OF THE BONDS SHALL NOT DIRECTLY OR INDIRECTLY OR CONTINGENTLY OBLIGATE THE STATE OR ANY POLITICAL SUBDIVISION THEREOF TO LEVY OR TO PLEDGE ANY FORM OF TAXATION OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT, EXCEPT TO THE EXTENT EXPRESSLY PROVIDED FOR PURSUANT TO THE CONTRACT OF INSURANCE. THE AUTHORITY HAS NO TAXING POWER. MOREOVER, NONE OF THE AUTHORITY OR ANY OTHER MEMBER SHALL BE LIABLE FOR ANY OTHER COSTS, EXPENSES, LOSSES, DAMAGES, CLAIMS OR ACTIONS, IN CONNECTION WITH THE LOAN AGREEMENT, THE BONDS OR THE INDENTURE, EXCEPT ONLY TO THE EXTENT AMOUNTS ARE RECEIVED FOR THE PAYMENT THEREOF FROM THE CORPORATION UNDER THE LOAN AGREEMENT.

Financial Covenants

The Regulatory Agreement requires the Corporation to meet certain financial covenants, including a Debt Service Coverage Ratio Covenant, a Current Ratio Covenant, and a Days Cash on Hand Covenant, on an annual basis. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Rate Covenant, Current Ratio Covenant, and Days Cash on Hand Covenant” herein.

Additional Indebtedness; Parity Debt

Subject to the satisfaction of the terms and conditions of the Regulatory Agreement, the Corporation may incur additional indebtedness, including Parity Debt, which would be secured equally and ratably with the obligations of the Corporation under the Loan Agreement. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Parity Debt; Other Indebtedness” and APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Parity Debt.”

Continuing Disclosure

The Corporation will enter into an undertaking (the “*Continuing Disclosure Agreement*”) for the benefit of the Bondholders to provide certain information and to provide notice of certain events to the Municipal Securities Rulemaking Board (the “*MSRB*”) on its Electronic Municipal Market Access system (“*EMMA*”). For further information, see “CONTINUING DISCLOSURE” herein.

Forward Delivery of the Bonds

It is expected that the Bonds will be delivered, in book-entry form to DTC, on October 4, 2022 (the “*Final Settlement Date*”), or such other date as may be mutually agreed upon by the Authority, the Corporation and the Underwriter, subject to the terms and conditions of the Forward Delivery Bond Purchase Contract among the Authority, the Underwriter, and the Corporation (the “*Forward Delivery Purchase Contract*”). Upon the execution by the Underwriter of the Forward Delivery Purchase Contract,

in connection with the Underwriter's obligation to purchase the Bonds pursuant to the terms thereof, each purchaser of the Bonds will be required immediately to execute and deliver a Delayed Delivery Investor Agreement dated the date of the Forward Delivery Purchase Contract in substantially the form attached hereto as APPENDIX H. The forward delivery of the Bonds and certain conditions to the Underwriter's obligations to purchase the Bonds give rise to certain risks to investors. For a discussion of the delayed delivery of the Bonds, certain conditions to the obligation of the Underwriter to purchase the Bonds and certain risks to purchasers of the Bonds resulting from the delayed delivery of the Bonds, see "FORWARD DELIVERY OF THE BONDS" herein.

Bondholders' Risks

In addition to the risks associated with the forward delivery of the Bonds as described above, there are additional risks associated with the purchase of the Bonds, there are risks, including without limitation, those described under the heading "BONDHOLDERS' RISKS" herein. A prospective owner is advised to read this Official Statement for a discussion of certain Bondholders' Risks which should be considered in connection with an investment in the Bonds. Among other things, careful evaluation should be made of certain factors that may adversely affect the ability of the Corporation to generate sufficient revenues to pay expenses of operation, including the principal (or Redemption Price) of and interest on the Bonds. Careful consideration should be given to these risks and other risks described elsewhere in this Official Statement.

THE AUTHORITY

The Authority is a joint powers agency organized pursuant to a Joint Exercise of Powers Agreement among Kings County and the Housing Authority of Kings County and a number of California counties, cities and special districts entered into pursuant to the provisions relating to the joint exercise of powers contained in Chapter 5 of Division 7 of Title 1 (commencing with Section 6500) of the California Government Code. The Authority is authorized to participate in financings for the benefit of certain organizations described under Section 501(c)(3) of the Code.

The Authority has entered into, sold and delivered obligations, and will in the future enter into, sell and deliver obligations, other than the Bonds, which other obligations are and will be secured by instruments separate and apart from the Indenture and the Loan Agreement. The holders of such obligations of the Authority have no claim on the security for the Bonds and the holders of the Bonds will have no claim on the security of such other obligations issued by the Authority.

THE CORPORATION

The Corporation is a nonprofit public benefit corporation and is exempt from federal income taxation under Section 501(a) of the Code, as an organization described in Section 501(c)(3) of the Code. The Corporation owns and contracts for the operation of a 250-unit residential retirement facility; a 37-unit assisted living facility (Garden Oaks); a 48-unit assisted living facility (Oak Creek); a 20-unit memory care facility (Laurel Pointe), an 11-unit memory care facility (Laurel Pointe East); and a 100-unit skilled nursing facility (Meadowood Care Center).

Coronavirus Disease 2019 ("*COVID-19*") and the resulting pandemic have had a significant impact on the economy, housing and healthcare systems. The Corporation has faced, and may continue to encounter, occupancy, operational and other challenges as a result of COVID-19. See APPENDIX A – "INFORMATION CONCERNING THE CORPORATION" for additional information about the Corporation and the impact of COVID-19 on the Corporation.

THE BONDS

The following is a summary of certain provisions of the Bonds. Reference is made to the Bonds for the complete text thereof and to the Indenture for all of the provisions relating to the Bonds. The discussion herein is qualified by such reference. Certain capitalized terms used herein which are taken from the Indenture have the meanings set forth in APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS.”

General

The Bonds are being issued pursuant to the Indenture in the aggregate principal amount set forth on the cover of this Official Statement. The Bonds shall be issued as fully registered Bonds in the denomination of \$5,000 or any integral multiple thereof. The Bonds will bear interest (based on a 360-day year of twelve 30-day months) from their date of delivery at the respective rates per annum set forth on the inside cover page hereof. Interest will be payable semiannually on January 1 and July 1 in each year (each, an “*Interest Payment Date*”), commencing January 1, 2023, to the person whose name appears on the bond registration books of the Trustee as the registered owner thereof as of the close of business on the Record Date (which will be the fifteenth day of the calendar month preceding the relevant Interest Payment Date, whether or not such day is a business day) for each Interest Payment Date (except with respect to interest in default, for which a Special Record Date shall be established by the Trustee).

The Bonds will be transferable and exchangeable as set forth in the Indenture and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“*DTC*”). So long as Cede & Co. is the registered owner of the Bonds, the principal and Redemption Price of, and interest on the Bonds are payable by wire transfer by the Trustee to Cede & Co., as nominee for DTC, which, in turn, will remit such amounts to DTC Participants (as defined herein) for subsequent disbursement to the Beneficial Owners. See APPENDIX G – “BOOK-ENTRY SYSTEM.”

If the book-entry only system for the Bonds is discontinued, payment of interest on the Bonds will be made to the person whose name appears on the bond registration books of the Trustee as the registered owner thereof as of the close of business on the Record Date for each Interest Payment Date, such interest to be paid by check mailed by first class mail on each Interest Payment Date to the registered owner at such owner’s address as it appears on such registration books or at such address as such owner may have filed with the Trustee for that purpose prior to the Record Date; provided, however, that at the written request of any Holder of Bonds in the aggregate principal amount of \$1,000,000 or more received by the Trustee prior to the Record Date, interest shall be paid to such Holder by wire transfer to an account within the United States. If the book-entry only system for the Bonds is discontinued, payment of the principal or Redemption Price, of the Bonds will be payable by check upon surrender or presentation thereof at the Corporate Trust Office of the Trustee.

For a discussion of the delayed delivery of the Bonds, certain conditions to the obligation of the Underwriter to purchase the Bonds and certain risks to purchasers of the Bonds resulting from the delayed delivery of the Bonds, see “FORWARD DELIVERY OF THE BONDS” herein.

Redemption of the Bonds

Optional Redemption. The Bonds maturing on January 1, 2043, are subject to redemption prior to their stated maturity, at the option of the Authority (which option shall be exercised upon Request of the Corporation, which Request shall be delivered to the Trustee at least thirty (30) days prior to the date fixed for redemption or such shorter period of time as shall be agreed to by the Trustee in its sole discretion and shall describe any conditions to such optional redemption), in whole or in part (in such amounts and of such

maturities as are designated by the Corporation, or if the Corporation fails to so designate, in inverse order of maturity, and by lot within a maturity) on any date on or after January 1, 2033, from any available funds, at a Redemption Price equal to the principal amount of Bonds being redeemed, together with accrued interest thereon to the date fixed for redemption, without premium.

Mandatory Sinking Account Redemption.

The Term Bonds maturing on January 1, 2043, are subject to redemption prior to their stated maturity in part by lot from Mandatory Sinking Account Payments at the principal amount thereof and interest accrued thereon to the date fixed for redemption, without premium, as follows:

Mandatory Sinking Account Payment Dates (January)	Mandatory Sinking Account Payments
2032	\$1,600,000
2033	1,670,000
2034	1,730,000
2035	1,805,000
2036	1,870,000
2037	1,950,000
2038	2,025,000
2039	2,110,000
2040	2,190,000
2041	2,280,000
2042	2,370,000
2043 [†]	2,465,000

[†] Stated maturity.

Special Redemption. The Bonds are subject to special redemption prior to their respective stated maturities, at the option of the Authority (which option shall be exercised upon Request of the Corporation, which Request shall be delivered to the Trustee at least thirty (30) days prior to the date fixed for redemption or such shorter period of time as shall be agreed to by the Trustee in its sole discretion), in whole or in part (in such amounts and of such maturities as are designated by the Corporation, or if the Corporation fails to designate such maturities, in inverse order of maturity, and by lot within a maturity) on any date from certain insurance or condemnation proceeds received with respect to the Facilities, in each case under the circumstances prescribed and as provided in the Regulatory Agreement, at a Redemption Price equal to the principal amount thereof, together with interest accrued thereon to the date fixed for redemption, without premium.

Selection of Bonds for Redemption. If less than all of the outstanding Bonds or any given portion thereof are to be called for redemption, the Trustee will select the Bonds to be redeemed, from all Bonds subject to redemption or such given portion thereof not previously called for redemption, by lot, in any manner which the Trustee in its sole discretion will deem appropriate, but from the maturities selected by the Corporation in accordance with the terms of the Indenture (provided such selection by the Corporation will not apply to mandatory sinking account redemptions).

Notice of Redemption. Notice of redemption will be given, by first class mail, or if the Bonds are held by the Depository, then by Electronic Means, by the Trustee, not less than twenty (20) nor more than

sixty (60) days prior to the redemption date to the respective Holders of any Bonds designated for redemption at their addresses appearing on the bond registration books of the Trustee. Notice of redemption will also be given by Electronic Means to the Authority and the Information Services. Each notice of redemption will state the redemption date, the place or places of redemption, the maturities, the date of issue of the Bonds, the CUSIP number (if any) of the maturity or maturities and, in the case of Bonds to be redeemed in part only, the respective portions of the principal amount thereof to be redeemed. Neither the Authority nor the Trustee shall have any responsibility for any defect in the CUSIP number that appears on any Bond or in any redemption notice with respect thereto.

Failure of the Trustee to give notice to a Bondholder or any defect in such notice will not affect the sufficiency of the proceedings for the redemption with respect to the Bondholders to whom such notice was mailed. Failure of the Trustee to give notice pursuant to the Indenture to any one or more of the securities information services or securities depositories, if required, or the insufficiency of such notices, will not affect the sufficiency of the proceedings for redemption.

Conditional Notice of Redemption; Rescission of Notice of Redemption. With respect to any notice of optional redemption of Bonds, unless upon the giving of such notice such Bonds will be deemed to have been paid pursuant to the provisions of the Indenture, such notice will state that such redemption is conditioned upon the receipt by the Trustee on or prior to the date fixed for such redemption of amounts sufficient to pay the Redemption Price of the Bonds to be redeemed and that, if such amounts have not been so received, said notice shall be of no force and effect and the Authority shall not be required to redeem such Bonds. In the event that such notice of redemption contains such a condition and such amounts are not so received, the redemption will not be made and the Trustee will within a reasonable time thereafter give notice to the Persons and in the manner in which the notice of redemption was given that such amounts were not so received. Such failure to redeem Bonds will not constitute an Event of Default or a Loan Default Event. Such notice may also state other conditions to the optional redemption and if any other conditions are so stated, will state that if such conditions have not been satisfied on or prior to the date fixed for redemption, said notice will be of no force and effect and the Authority will not be required to redeem such Bonds and such failure to redeem such Bonds will not constitute an Event of Default or a Loan Event Default. In the event that such notice of optional redemption contains any such additional condition or conditions and such condition or conditions have not been satisfied on or prior to the date fixed for redemption, the redemption will not be made and the Trustee will within a reasonable time thereafter give notice to the Holders to the effect that such condition or conditions were not met and such redemption was not made, such notice to be given by the Trustee in the same manner and to the same parties, as notice of such redemption was given pursuant to the provisions of the Indenture.

Any notice of optional redemption given pursuant to the provisions of the Indenture, as described herein, may also be rescinded by written notice given to the Trustee by the Corporation no later than two (2) Business Days prior to the date specified for redemption. The Trustee will give notice of such rescission as soon thereafter as practicable in the same manner and to the same Persons as notice of such redemption was given pursuant to the provisions of the Indenture.

Partial Redemption of Bonds. Upon surrender of any Bond redeemed in part only, the Authority will execute and the Trustee will authenticate and make available for delivery to the registered owner thereof, at the expense of the Corporation, a new Bond or Bonds of authorized denominations, and of the same maturity, equal in aggregate principal amount to the unredeemed portion of the Bond surrendered.

Effect of Redemption. Notice of redemption having been given in accordance with the Indenture and moneys for payment of the Redemption Price of, together with interest accrued to the redemption date on, the Bonds (or portions thereof) so called for redemption being held by the Trustee, on the redemption date designated in such notice, the Bonds (or portions thereof) so called for redemption shall become due

and payable at the Redemption Price specified in such notice and interest accrued thereon to the redemption date, interest on the Bonds so called for redemption shall cease to accrue, said Bonds (or portions thereof) shall cease to be entitled to any benefit or security under the Indenture, and the Owners of said Bonds shall have no rights in respect thereof except to receive payment of said Redemption Price and accrued interest to the date fixed for redemption.

Mandatory Tender for Purchase In Lieu of Redemption. Each Holder or Beneficial Owner, by purchase and acceptance of any Bond, irrevocably grants to the Corporation the option to purchase such Bond, at any time such Bond is subject to optional redemption as provided in the Indenture and summarized above at a purchase price equal to 100% of the then applicable Redemption Price of such Bond. In order to exercise such option, the Corporation will secure the written consent of the Department and will deliver to the Trustee and the Authority such written consent of the Department and a Favorable Opinion of Bond Counsel to the effect that such purchase will not, in and of itself, cause interest on the Bonds to be included in gross income for purposes of federal income taxation, and the Corporation will direct the Trustee to provide notice of mandatory tender for purchase, such notice to be provided, as and to the extent applicable, in accordance with the provisions for redemption set forth in the Indenture and described herein. On the date fixed for mandatory purchase of any Bond in lieu of redemption pursuant to the provisions of the Indenture described herein, the Corporation will pay the purchase price of such Bond to the Trustee in immediately available funds and the Trustee will pay the same to the Holders of Bonds being purchased against delivery thereof. Following such purchase, the Trustee will register such Bonds in accordance with the written instructions of the Corporation. No purchase of any Bond pursuant to the provisions of the Indenture described in this paragraph will operate to extinguish the indebtedness evidenced by such Bond. No Holder or Beneficial Owner may elect to retain a Bond subject to mandatory tender for purchase pursuant to the provisions of the Indenture described in this paragraph. The Corporation may exercise its option to purchase the Bonds, in whole or in part, in accordance with the provisions of the Indenture, and may rescind any notice of mandatory tender for purchase by written notice given to the Trustee by the Corporation no later than two (2) Business days prior to the date specified for mandatory tender for purchase.

Defeasance. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), provided that, if such Bond is to be redeemed prior to maturity, notice of such redemption will have been given as provided above or provision satisfactory to the Trustee will have been made for the giving of such notice, then all liability of the Authority in respect of such Bond will cease, terminate and be completely discharged, except only that thereafter the Holder thereof will be entitled to payment of the principal of and interest on such Bond by the Authority and the Authority will remain liable for such payment, but only out of such money or securities deposited with the Trustee as aforesaid for their payment. The Authority may at any time surrender to the Trustee for cancellation by it any Bonds previously issued and delivered, which the Authority may have acquired in any manner whatsoever, and such Bonds, upon such surrender and cancellation, shall be deemed to be paid and retired.

Book-Entry System

The Bonds will be issued in book-entry form. DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee). One fully-registered Bond will be issued for each maturity in the total aggregate principal amount due on such maturity date and will be deposited with or held at the direction of DTC. See APPENDIX G – "BOOK-ENTRY SYSTEM."

The Authority, the Trustee and the Corporation cannot and do not give any assurances that DTC will distribute to DTC Participants or that DTC Participants or others will distribute to the Beneficial Owners payments of principal and Redemption Price, of and interest on the Bonds or any redemption or other notices or that they will do so on a timely basis or will serve and act in the manner described in this Official Statement. Neither the Authority, the Trustee nor the Corporation is responsible or liable for the failure of DTC or any DTC Participant or DTC Indirect Participant (as defined herein) to make any payments or give any notice to a Beneficial Owner with respect to the Bonds or any error or delay relating thereto.

PLAN OF REFUNDING

The proceeds of the Bonds will be used, together with other available funds, to (i) refund in full the Prior Bonds, (ii) fund a bond reserve account for the Bonds, (iii) pay the insurance premium and related fees to the Department, and (iv) pay or reimburse the Corporation for costs of issuance. It is expected that the Bonds will be available for delivery through the facilities of DTC in New York, New York, on the Final Settlement Date. For a discussion of the delayed delivery of the Bonds, certain conditions to the obligation of the Underwriter to purchase the Bonds and certain risks to purchasers of the Bonds resulting from the delayed delivery of the Bonds, see “FORWARD DELIVERY OF THE BONDS” herein.

The Corporation plans to use a portion of the proceeds of the Bonds, together with monies from the funds and accounts related to the Prior Bonds, including a debt service reserve account, to defease all of the Prior Bonds on the Final Settlement Date and redeem the Prior Bonds on or about January 1, 2023 (the “*Redemption Date*”), which is the earliest date the Prior Bonds are subject to optional redemption. Upon the closing of the Bonds on the Final Settlement Date, such proceeds and other funds are expected to be applied to the purchase of certain escrow securities which would be held by The Bank of New York Mellon Trust Company, N.A., as the trustee for the Prior Bonds, as escrow agent (the “Escrow Agent”), and would mature at such times and in such amounts so that sufficient moneys would be available to redeem the Prior Bonds on the Redemption Date, at the redemption price of the principal amount thereof plus a 1% premium, together with the interest accrued thereon to, but not including, the Redemption Date. None of the funds deposited with the Escrow Agent and neither the maturing principal of any escrow securities nor the interest income thereon will be available to pay debt service on the Bonds. See “ESTIMATED SOURCES AND USES” and “VERIFICATION” herein.

ESTIMATED SOURCES AND USES OF FUNDS

The following table sets forth the sources and uses of funds related to the Bonds. All amounts are shown rounded to the nearest whole dollar.

Estimated Sources of Funds

Principal amount	\$35,595,000
Original issue premium	5,290,260
Cash equity contribution	73,365
Trustee-held funds related to the Prior Bonds	4,811,438
Total	\$45,770,063

Estimated Uses of Funds

Refunding of Prior Bonds ⁽¹⁾	\$42,563,175
Deposit to Bond Reserve Account ⁽²⁾	1,357,900
Insurance Premium	969,298
Other Costs of Issuance ⁽³⁾	879,690
Total	\$45,770,063

⁽¹⁾ Includes estimated costs of redemption.

⁽²⁾ Equal to the Bond Reserve Account Requirement.

⁽³⁾ Includes legal, printing, rating agency and Authority fees and expenses, cost of title insurance required by the Department, Underwriter's discount and other miscellaneous issuance costs.

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ANNUAL DEBT SERVICE REQUIREMENTS

The following table sets forth, for each bond year ending January 1, the amounts required to be available for the payment of principal of (including required Mandatory Sinking Account payments) and interest on the Bonds and for the total debt service on the Bonds, assuming no prior optional redemption of the Bonds. All amounts are shown rounded to the nearest whole dollar.

Bond Year Ending January 1	Principal	Interest	Total Debt Service
2023	\$ 450,000	\$ 344,085	\$ 794,085
2024	1,310,000	1,405,800	2,715,800
2025	1,320,000	1,353,400	2,673,400
2026	1,320,000	1,300,600	2,620,600
2027	1,315,000	1,247,800	2,562,800
2028	1,370,000	1,195,200	2,565,200
2029	1,425,000	1,140,400	2,565,400
2030	1,480,000	1,083,400	2,563,400
2031	1,540,000	1,024,200	2,564,200
2032	1,600,000	962,600	2,562,600
2033	1,670,000	898,600	2,568,600
2034	1,730,000	831,800	2,561,800
2035	1,805,000	762,600	2,567,600
2036	1,870,000	690,400	2,560,400
2037	1,950,000	615,600	2,565,600
2038	2,025,000	537,600	2,562,600
2039	2,110,000	456,600	2,566,600
2040	2,190,000	372,200	2,562,200
2041	2,280,000	284,600	2,564,600
2042	2,370,000	193,400	2,563,400
2043	2,465,000	98,600	2,563,600
Total	\$35,595,000	\$16,799,485	\$52,394,485

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SECURITY AND SOURCE OF PAYMENT FOR THE BONDS

General

The Bonds will be secured by the pledge of the Gross Revenue Fund and all of the Gross Revenues of the Corporation and the lien of the Deed of Trust. The Corporation may incur additional indebtedness secured on a parity basis with the Bonds, provided certain conditions are met. Except to the extent payable from Bond proceeds, investment earnings or proceeds of insurance or condemnation awards, the principal (or Redemption Price) of and the interest on the Bonds are payable solely from Loan Repayments required to be paid by the Corporation to the Trustee under the Loan Agreement for deposit in the Revenue Fund, which in the aggregate are required to be in an amount sufficient for the payment in full of the Bonds, including interest and principal, less any amounts available for such payment as provided in the Indenture.

Insurance

The principal of and interest on the Bonds when due will be insured by the Department. If moneys are not available to pay the principal of or interest on the Bonds, the Department will be obligated to continue to make payments on the Bonds or will instruct the Trustee to declare the principal of all Bonds then Outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest. Upon the occurrence of certain events, the Department will notify the Treasurer and the Treasurer will issue debentures to the holders of the Bonds fully and unconditionally guaranteed by the State in an amount equal to the principal of and accrued interest on the Bonds. See “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” herein.

Department Deemed Holder of Bonds and Department’s Control of Remedies

For as long as the Contract of Insurance is in effect and the Department is not in default thereunder, the Department is deemed to be the holder of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default under the Indenture, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the holders of such Bonds (including consenting to amendments to the Indenture or the Loan Agreement that materially adversely affect the interest of the holders of the Bonds). Anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Department will be entitled to control and direct the enforcement of all rights and remedies granted to the holders or the Trustee for the benefit of the holders of the Bonds. See APPENDIX D – “SUMMARY OF PRINCIPAL DOCUMENTS – INDENTURE – Events of Default under the Indenture and Remedies.”

Pledge of Gross Revenues

Pursuant to the Loan Agreement, the Corporation agrees that, so long as any of the Loan Repayments or any Additional Payments remain unpaid, all Gross Revenues shall be deposited as soon as practicable upon receipt with a depository bank or banks (the “*Depository Bank(s)*”) in a deposit account or accounts designated as the “Gross Revenue Fund.” The Corporation pledges and assigns and grants a security interest (to the extent permitted by law) to the Trustee and to the Department in all its right, title and interest, whether owned at the time the Loan Agreement is executed or thereafter acquired, in and to the Gross Revenues, the Gross Revenue Fund and the proceeds thereof (collectively, the “*Collateral*”) of the Corporation to secure the payment of the Loan Repayments, Additional Payments (consisting generally of fees and charges of the Trustee, taxes, accountants’ fees and any fees and expenses of the Authority

associated with the Bonds) and the performance by the Corporation of the other obligations under the Loan Agreement, the Contract of Insurance and the Regulatory Agreement and with respect to any Parity Debt.

“Gross Revenues” is defined in the Regulatory Agreement as all revenues, income, receipts and money received in any period by the Corporation, including, but without limiting the generality of the foregoing, the following: (a) gross revenues derived from its operation and possession of and pertaining to its properties (including Entrance Fees), (b) proceeds with respect to, arising from, or relating to its properties and derived from (1) insurance (including business interruption insurance) or condemnation proceeds (except to the extent such proceeds are required by the terms of the Regulatory Agreement or other agreements with respect to the Indebtedness which the Corporation is permitted to incur pursuant to the terms of the Regulatory Agreement) to be used for purposes inconsistent with their use for the payment of Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (2) accounts, including but not limited to, accounts receivable, (3) securities and other investments, (4) inventory and intangible property, (5) payment/reimbursement programs and agreements, and (6) contract rights, accounts, instruments, claims for the payment of moneys and other rights and assets now or hereafter owned, held or possessed by or on behalf of the Corporation, and (c) rentals received from the lease of the Corporation’s properties or space in the Facilities; provided, however, that there shall be excluded from Gross Revenues (i) any amounts received by the Corporation as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations, contributions and tax revenues to the Corporation heretofore or hereafter made, and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for Loan Repayments, Additional Payments or similar payments with respect to any Parity Debt, (iii) any moneys received by the Corporation from prospective residents or commercial tenants in order to pay for customized improvements to those residential living units or other areas of the Corporation’s facilities to be occupied or leased to such residents or tenants, (iv) payments or deposits under a residency agreement that by its terms or applicable law are required to be held in escrow or trust for the benefit of a resident until the conditions for the release of such payment or deposit have been satisfied, and (v) all deposits and/or advance payments made in connection with any residency of the residential living units or other areas of the Corporation’s facilities to be occupied by residents or tenants and received prior to receipt of such certificate and licenses for occupancy of such units, provided, however, that such deposits and/or advance payments shall be included in Gross Revenues if and when occupancy occurs.

Gross Revenues and amounts in the Gross Revenue Fund may be used and withdrawn by the Corporation at any time and for any lawful purpose, except as provided in the Loan Agreement. If the Corporation is delinquent for more than one Business Day in the payment of any Loan Repayment, Additional Payment or any payment required with respect to any Parity Debt, the Authority or the Trustee shall notify the Corporation, the Department and the Depository Bank(s) of such delinquency in writing, and, unless such Loan Repayment, Additional Payment or any payment required with respect to any Parity Debt is paid within 10 days after receipt of such notice, exclusive control over the Gross Revenue Fund shall be exercised by the Department (provided the Contract of Insurance is in effect and the Department is not in default thereunder), for itself and as collateral agent for the Trustee, as provided in a deposit account control agreement to be entered into among the Depository Bank(s), the Corporation, the Department and the Trustee. All Gross Revenues of the Corporation shall continue to be deposited in the Gross Revenue Fund and the Department or the Trustee, as applicable, shall continue to exercise exclusive control over the Gross Revenue Fund until the amounts on deposit in said fund are sufficient to pay in full, or have been used to pay in full, all Loan Repayments, Additional Payments and payments with respect to any Parity Debt then in default and all other then-existing Loan Default Events and events of default with respect to any Parity Debt actually known to the Department or the Trustee, as applicable, shall have been made good or cured to the satisfaction of the Department or the Trustee, as applicable, or provision deemed by the Department or the Trustee, as applicable, to be adequate shall have been made therefor, pursuant to the terms of the Indenture and the Loan Agreement.

During any period that the Gross Revenue Fund is subject to the exclusive control of the Department or the Trustee, as applicable, the Trustee will use the withdrawn amounts in such fund from time to time to make Loan Repayments, Additional Payments, and other payments required of the Corporation by the Loan Agreement or with respect to any Parity Debt as such payments become due (whether by maturity, redemption, acceleration or otherwise), and, if such amounts shall not be sufficient to pay in full all such payments due on any date, then to the payment of Loan Repayments, Additional Payments and debt service on any Parity Debt ratably, without any discrimination or preference, and to such other payments in the order that the Department or the Trustee, as applicable, in its discretion, determines to be in the best interests of the holders of the Bonds and any Parity Debt, without discrimination or preference. During any period that the Gross Revenue Fund is subject to the exclusive control of the Department or the Trustee, as applicable, the Corporation shall not be entitled to use or withdraw any of the Gross Revenues unless and to the extent that the Department or the Trustee, as applicable, in its sole discretion so directs for the payment of current or past due operating expenses of the Corporation; provided, however, that the Corporation may submit requests to the Department or the Trustee, as applicable, as to which expenses to pay and in which order.

The foregoing pledge of the Collateral will be perfected to the extent that such security interests can be perfected by filing, notice or control under the Uniform Commercial Code of the State of California and may, in several instances, be subordinated to the interest and claims of others. Some examples of cases of subordination or prior claims are (i) statutory liens, (ii) rights arising in favor of the United States of America or any agency thereof, (iii) present or future prohibitions against assignment in any federal statutes or regulations, (iv) constructive trusts, equitable liens or other rights impressed or conferred by any state or federal court in the exercise of its equitable jurisdiction, (v) federal or State of California bankruptcy or insolvency laws that may affect the enforceability of the Loan Agreement or pledge of Gross Revenues and (vi) rights of third parties in Gross Revenues converted to cash and not in the possession of the Trustee or the Depository Bank(s). In addition, enforceable security interests in certain types of Gross Revenues (e.g., restricted donations, certain insurance proceeds, payments from Medicare, and other revenues derived from governmental programs) prior to actual receipt by the Corporation for deposit in the Gross Revenue Fund can be difficult to obtain.

Deed of Trust

Pursuant to the Deed of Trust, the Corporation has granted to the trustee thereunder, for the benefit of the Department and the Trustee (as assignee of the Authority), as trustee for the Holders of the Bonds, and any Parity Debt, a first lien on and security interest in the real property, rents and leases, personal property and fixtures relating to the Facilities (collectively, the “*Collateral Property*”), subject to Permitted Encumbrances, as security for the performance of the Corporation’s obligations under the Regulatory Agreement, the Loan Agreement and the Contract of Insurance. The total book value of the Collateral Property constituted approximately 100% of the book value of all property, plant and equipment of the Corporation as of December 31, 2020.

For as long as the Department is obligated under the Contract of Insurance, all rights and remedies under the Deed of Trust shall be exercised solely by the Department. With the consent of the Department and the Corporation, the Deed of Trust may be further amended, subordinated or terminated at any time without the consent of the Trustee, the holders of Bonds, holders of Parity Debt or the Authority. See APPENDIX D – “SUMMARY OF PRINCIPAL DOCUMENTS – DEED OF TRUST.”

For a further description of the provisions of the Loan Agreement, the Indenture and the Deed of Trust, see APPENDIX D – “SUMMARY OF PRINCIPAL DOCUMENTS” hereto.

Title Insurance

An ALTA title insurance policy on the real property subject to the Deed of Trust in an aggregate amount not less than the aggregate principal amount of the Bonds will be delivered at the time of the issuance of the Bonds.

Bond Reserve Account

A Bond Reserve Account for the Bonds (the “*Bond Reserve Account*”) will be established and funded under the terms of the Indenture. Amounts on deposit in the Bond Reserve Account shall be used and withdrawn by the Trustee solely for the purpose of making up a deficiency in the Interest Account or Principal Account (but, in each case, only with the consent of the Department, provided the Department is not in default of its obligations under the Contract of Insurance) or (together with any other moneys available therefor) for the payment or redemption of all Bonds then Outstanding. The Bond Reserve Account shall be valued semi-annually or more frequently if requested in writing by the Corporation, but not more frequently than quarterly) by the Trustee. In the event the balance in the Bond Reserve Account is less than the Bond Reserve Account Requirement, the Corporation shall replenish such account, within 30 days of receiving notice of such deficiency, with the amount necessary to increase the balance in the Bond Reserve Account to an amount at least equal to the Bond Reserve Account Requirement. See APPENDIX D – “SUMMARY OF PRINCIPAL DOCUMENTS – INDENTURE – Investment of Moneys in Funds and Accounts” and “– Allocation of Revenues.”

On the date of delivery of the Bonds, an amount equal to the Bond Reserve Account Requirement will be deposited in the Bond Reserve Account. The “*Bond Reserve Account Requirement*” is defined in the Indenture to be, as of any date of calculation, an amount equal to the lesser of (a) 50% of Maximum Annual Debt Service on all Bonds then Outstanding, (b) 125% of average annual debt service on the Bonds then Outstanding and (c) 10% of the outstanding principal amount of the Bonds. The Bond Reserve Account Requirement on the date of issuance of the Bonds will be \$1,357,900.

See APPENDIX D - “SUMMARY OF PRINCIPAL DOCUMENTS – INDENTURE – Allocation of Revenues” and “– Establishment of Funds and Accounts – Bond Reserve Account.”

No Financial Covenants in Loan Agreement

Due to the existence of the Contract of Insurance entered into by the Authority and the Department, the Loan Agreement does not contain financial or operational covenants relating to the operations of the Corporation, such as limitations on the ability of the Corporation to incur indebtedness, to dispose of property, or to create liens on property. Additionally, the Loan Agreement does not require the Corporation to maintain revenues at levels sufficient to provide coverage of debt service on the Bonds or any other indebtedness. The Regulatory Agreement contains such covenants, but such covenants may be waived or amended by the Department without the necessity of obtaining the consent of the Holders of the Bonds, the Authority or any other party. See APPENDIX D – “SUMMARY OF PRINCIPAL DOCUMENTS – LOAN AGREEMENT” and “– REGULATORY AGREEMENT.”

Rate Covenant, Current Ratio Covenant, and Days Cash On Hand Covenant

Under the Regulatory Agreement, the Corporation is required to fix, charge and collect, or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges that, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year to produce a Debt Service Coverage Ratio of at least 1.25 for such Fiscal Year, commencing with the Fiscal Year ending

December 31, 2022. For purposes of this requirement, “*Debt Service Coverage Ratio*” means, for any period of time, the ratio determined by dividing Net Income Available for Debt Service by Maximum Aggregate Annual Debt Service.

The Regulatory Agreement also requires the Corporation to maintain, as of the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2022, a Current Ratio of at least 1.50:1.0. For purposes of this requirement, “*Current Ratio*” means a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation’s audited financial statements for such Fiscal Year.

In addition, the Regulatory Agreement requires the Corporation to maintain, as of the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2022, not less than 30 Days Cash on Hand, as shown on the Corporation’s audited financial statements for such Fiscal Year. For purposes of this requirement, “*Days Cash on Hand*” means, for any Fiscal Year, the quotient obtained by dividing (1) the Corporation’s cash and cash equivalents, including board designated funds and funded depreciation, but excluding donor restricted funds and proceeds of short-term debt, as of the end of such Fiscal Year by (2) the quotient of dividing (a) the Corporation’s operating expenses including interest expense (excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (b) the number of days in such Fiscal Year.

The Corporation covenants and agrees under the Regulatory Agreement that within one hundred twenty (120) days after the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2022, the Corporation shall compute (i) the Debt Service Coverage Ratio, (ii) the Current Ratio, and (iii) the Days Cash on Hand for such Fiscal Year and promptly furnish to the Authority, the Trustee and the Department a Statement setting forth the results of such computation.

The Corporation further covenants and agrees under the Regulatory Agreement that if, at the end of such Fiscal Year commencing in the Fiscal Year ending December 31, 2022, it has failed to maintain (i) the Debt Service Coverage Ratio, (ii) the Current Ratio, or (iii) the Days Cash on Hand, in the amounts required by the Regulatory Agreement described above under this subheading, it will promptly employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Corporation or the methods of operation of the Corporation which will result in producing (x) a Debt Service Coverage Ratio, (y) a Current Ratio and (z) Days Cash on Hand, as required by the provisions of the Regulatory Agreement described above by the end of the current Fiscal Year; provided, however, the Corporation need not so employ a Management Consultant if the Department consents, in writing, to a waiver of said covenant to employ a Management Consultant. The Corporation shall, to the extent feasible, promptly upon its receipt of such recommendations, subject to applicable requirements or restrictions imposed by law, revise its rates, fees and charges or its methods of operation or collections and shall take such other action as shall be in conformity with such recommendations; provided, however, the Corporation need not make such revisions or take such actions in conformity with such recommendations if (1) the Board of Directors of the Corporation makes a good faith determination that such recommendations, in whole or in part, are not in the best interests of the Corporation, and (2) the Department gives its written consent to the effect that the Corporation need not comply, in whole or in part, with such recommendations. In the event that the Corporation fails to comply with the recommendations of the Management Consultant, the Department may replace existing management with new management, which shall be chosen unilaterally by the Department.

If the Corporation complies in all material respects with the reasonable recommendations of the Management Consultant in respect to said rates, fees, charges and methods of operation or collection, the Corporation will be deemed to have complied with the foregoing covenants for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio, the Current Ratio or the Days Cash on Hand shall

be less than the amount required by the provisions of the Regulatory Agreement described in the foregoing paragraphs; provided, that (1) this sentence shall not be construed as in any way excusing the Corporation from taking any action or performing any duty required under the Regulatory Agreement or be construed as constituting a waiver of any other event of default under the Regulatory Agreement and (2) the Debt Service Coverage Ratio shall be at least equal to 1.0 times for such Fiscal Year.

The above-described covenants contained in the Regulatory Agreement may be waived or amended by the Department without the necessity of obtaining the consent of the owners of the Bonds, the Authority or any other party. For a further description of the Debt Service Coverage Ratio covenant, the Current Ratio covenant, and the Days Cash on Hand covenant, see APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand.”

Parity Debt; Other Indebtedness

The Bonds will be secured by the lien of the Deed of Trust and the pledge of the Gross Revenue Fund and all of the Gross Revenues of the Corporation.

In addition to its obligations with respect to the Bonds, the Corporation may incur other indebtedness that may be secured by a security interest in Gross Revenues and the lien of the Deed of Trust on a parity with the Corporation’s obligation to make Loan Repayments under the Loan Agreement, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement (“*Parity Debt*”). Parity Debt may not be incurred unless it is insured by the Department or, if the Parity Debt can be issued as such without being insured under the Insurance Law, it is issued with the consent of the Department. See APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Parity Debt.”

Limited Liability of the Authority

THE BONDS DO NOT CONSTITUTE A DEBT OR LIABILITY OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, OTHER THAN THE AUTHORITY, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS PROVIDED THEREFOR, EXCEPT TO THE EXTENT EXPRESSLY PROVIDED FOR PURSUANT TO THE CONTRACT OF INSURANCE. THE AUTHORITY SHALL NOT BE OBLIGATED TO PAY THE PRINCIPAL, OR REDEMPTION PRICE, OF THE BONDS, OR INTEREST THEREON, EXCEPT FROM THE FUNDS PROVIDED THEREFOR UNDER THE INDENTURE AND NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE AUTHORITY, IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL, OR REDEMPTION PRICE, OF, OR INTEREST ON THE BONDS, EXCEPT TO THE EXTENT EXPRESSLY PROVIDED FOR PURSUANT TO THE CONTRACT OF INSURANCE. THE ISSUANCE OF THE BONDS SHALL NOT DIRECTLY OR INDIRECTLY OR CONTINGENTLY OBLIGATE THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF TO LEVY OR TO PLEDGE ANY FORM OF TAXATION OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT, EXCEPT TO THE EXTENT EXPRESSLY PROVIDED FOR PURSUANT TO THE CONTRACT OF INSURANCE. THE AUTHORITY HAS NO TAXING POWER. MOREOVER, NONE OF THE AUTHORITY OR ANY OTHER MEMBER SHALL BE LIABLE FOR ANY OTHER COSTS, EXPENSES, LOSSES, DAMAGES, CLAIMS OR ACTIONS, IN CONNECTION WITH THE LOAN AGREEMENT, THE BONDS OR THE INDENTURE, EXCEPT ONLY TO THE EXTENT AMOUNTS ARE RECEIVED FOR THE PAYMENT THEREOF FROM THE CORPORATION UNDER THE LOAN AGREEMENT.

CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM

Description of the Insurance Policy

General. The Corporation has received a conditional commitment from the Department for insurance of the Corporation's payment of the principal and interest with respect to the Bonds. Insurance of the full amount of the principal and interest with respect to the Bonds (but not any premium) is evidenced by the Contract of Insurance and the Regulatory Agreement, both of which will be entered into by the Department, the Authority and the Corporation, concurrently with the execution and delivery of the Bonds. See APPENDIX D – "FORM OF CONTRACT OF INSURANCE" for the form and terms of the insurance provided by the Department. The Regulatory Agreement sets out many of the financial covenants of the Corporation relating to, among other things, the maintenance of specified debt service coverage levels and the limitations on incurrence of additional indebtedness or disposition of assets by the Corporation. Prospective holders of the Bonds should note that the provisions of the Regulatory Agreement may be amended with the consent of the Department without the necessity of obtaining the consent of the holders of the Bonds or the holders of Parity Debt. See "Rights of the Department under the Regulatory Agreement" below and APPENDIX C – "SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT."

Insurance Law Section 129050, subsection (a) requires that a loan must be secured by a first mortgage, first deed of trust or first priority lien on an interest of the borrower in real property and any other security agreement as the Department may require. For this purpose, the Corporation will grant a security interest in all of the Gross Revenues and the Gross Revenue Fund and the proceeds thereof under the Loan Agreement and the Regulatory Agreement and the Corporation will enter into the Deed of Trust. Prospective holders of the Bonds should note that the provisions of the Deed of Trust may be amended, subordinated or terminated at any time with the consent of the Department without the necessity of obtaining the consent of the holders of the Bonds or the holders of Parity Debt.

Incontestability and Non-Cancellability. Under Insurance Law Section 129110, the Contract of Insurance is incontestable from the date of execution thereof, except in case of fraud or misrepresentation on the part of the lender. The Insurance Law and the Contract of Insurance impose certain continuing obligations on the Corporation as a condition of insuring the Bonds but specify that the remedies for breach of these obligations shall not include withdrawal or cancellation of the insurance. The insurance provided by the Contract of Insurance will terminate under certain circumstances, including payment in full by the Department of the insurance with respect to the Bonds or defeasance of the Bonds pursuant to the Indenture, as more fully described in APPENDIX D – "FORM OF CONTRACT OF INSURANCE." See also APPENDIX C – "SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT."

Procedures upon Default. If there is an event of default as specified under the Indenture (an "*Event of Default*"), the Trustee must notify the Department. The Trustee also must notify the Department if 30 days prior to an Interest Payment Date or Principal Payment Date there are not sufficient available moneys held by the Trustee in the Revenue Fund (other than in the Debt Service Reserve Account) to make the next payment of principal or interest with respect to the Bonds.

Pursuant to the Regulatory Agreement and the Indenture, if there is an Event of Default and the Trustee has notified the Department that available moneys in the Principal and Interest Accounts will be insufficient to pay in full the next succeeding payment of interest and/or principal on the Bonds when due, the Department shall cause a sufficient amount to be deposited in the Principal Account and/or Interest Account at least three Business Days prior to the date on which such payment is due. The money will come from the Bond Reserve Account held under the Indenture or from the Health Facility Construction Loan

Insurance Fund (the “*HFCLIF*”) that is established by the Insurance Law (Sections 129010, subsection (g), and 129200). The obligation of the Corporation to repay any money advanced from the HFCLIF is secured by the Deed of Trust.

Following an Event of Default, the Department may (i) continue to approve such transfers or make such payments described in the preceding paragraph as are necessary to provide for the timely payment of the principal of and interest on the Bonds when due, (ii) accept title to the Facilities from the Trustee upon foreclosure pursuant to the Deed of Trust or otherwise, (iii) accept an assignment of the security interest created under the Deed of Trust and of all claims under the Indenture, or (iv) instruct the Trustee to declare the principal of the Bonds then Outstanding and the interest with respect thereto to be immediately due and payable and make such payment from the HFCLIF. If funds in the HFCLIF are not sufficient to make the required payments described above, the Department shall notify the Treasurer who is required to issue debentures in place of such Bonds. See “The Department, the Insurance Program and the Insurance Fund—State Debentures” below.

Rights of the Department under the Regulatory Agreement. The Regulatory Agreement grants the Department extensive rights, including the right to attend and participate in all meetings of the Corporation Board of Directors. Additionally, the Regulatory Agreement prohibits the Corporation from taking certain actions without first obtaining the consent of the Department or meeting certain requirements in the Regulatory Agreement, including affiliating with, merging into, or consolidating with any entity; transferring cash or cash equivalents to any entity, including but not limited to a subsidiary or an affiliate of the Corporation; disposing of or acquiring property; and incurring indebtedness. Additionally, upon the occurrence of an event of default under the Regulatory Agreement, the Deed of Trust or the Indenture, the Department shall have the remedies provided in Insurance Law Section 129173. See APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT.”

Rate Covenant and Other Financial Covenants. Under the Regulatory Agreement and the Loan Agreement, the Corporation is required to fix, charge and collect or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each fiscal year to produce a Debt Service Coverage Ratio equal to 1.25, beginning with the fiscal year ending December 31, 2022. The Regulatory Agreement also requires the Corporation to maintain, as of the end of each fiscal year, a Current Ratio of at least 1.50 to 1 for such fiscal year and at least thirty (30) Days Cash on Hand, each beginning with the fiscal year ending December 31, 2022. For more specific information relating to these covenants, see APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT.”

Covenants contained in the Regulatory Agreement may be waived or amended by the Department without the necessity of obtaining the consent of the holders of the Bonds, the Authority or any other party. For a further description of the Debt Service Coverage Ratio covenant, the Current Ratio covenant and the Days Cash on Hand covenant, see APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand.” The Bonds will continue to be insured by the Department in the manner described above even if an Event of Default were to occur under financial or other covenants made by the Corporation.

The Department, the Insurance Program and the Insurance Fund

General. The California Health Facility Construction Loan Insurance Program (the “*Insurance Program*”) is authorized by Article XVI, Section 4 of the California Constitution and is provided for in the Insurance Law. The Insurance Program is operated by the Department, which has adopted regulations implementing the Insurance Program. Under the Insurance Law, the Department is currently authorized to

insure health facility construction, improvement and expansion loans, as specified in the Insurance Law. Entities which may obtain insurance for their facilities include both public agencies and nonprofit corporations, and authorized health facilities include a wide range from acute care facilities to local clinics, dependency centers and community mental health centers. The Insurance Law authorizes the Insurance Program to insure not more than \$3,000,000,000 principal amount of loans at any time. As of June 30, 2021, the principal amount of loans insured under the Insurance Program was approximately \$1,661,201,598 comprised of 66 loans.

Finances of the Insurance Program; Financial Reports. The Insurance Program is financed by an application fee of 0.5% of the loan applied for, but not to exceed \$500 (Insurance Law section 129090), an inspection fee not in excess of 0.4% of the loan that is insured (Insurance Law section 129035), and an insurance premium due in full at closing not in excess of 3.0% of the total amount of principal and interest payable over the term of the loan (Insurance Law section 129040). The fees and premiums charged are deposited in the HFCLIF and are used to defray administrative expenses of the Insurance Program, to cure defaults on loans and to pay principal of and interest on insured bonds and certificates of participation prior to issuance of debentures by the Treasurer.

Under the Insurance Law, payments of principal and interest with respect to the Bonds or payments on the debentures would be made by the Department from the HFCLIF. As of June 30, 2021, the cash balance of the HFCLIF was approximately \$153,567,319. The moneys in the HFCLIF are continuously appropriated to pay obligations insured by the Department under the Insurance Law. Insurance Law section 129215 states: “The Health Facility Construction Loan Insurance Fund, established pursuant to Section 129200, shall be a trust fund and neither the fund nor the interest or other earnings generated by the fund shall be used for any purpose other than those purposes authorized by this chapter.” The moneys in the HFCLIF are invested in the State’s Pooled Money Investment Account.

The Department is required by law to submit certain reports to the Legislature, consisting of two Annual Reports, and a State Plan. The State Plan is prepared every two years, as of January 1 of each odd-numbered year. The 2017, 2019 and 2021 State Plans are being consolidated into one report that is expected to be released in calendar year 2021. The 2015 State Plan is available at the website of the Department at <http://www.oshpd.ca.gov/CalMort>. The Annual Reports to the Legislature for the year ended June 30, 2014 (the “2014 Annual Reports”) are available at the website of the Department. The Annual Reports to the Legislature for the fiscal years ended June 30, 2015 through June 30, 2020 are expected to be released in a consolidated report in 2021. The Department also prepares monthly reports containing the insured loan balance, the HFCLIF balance, total debt service reserve of all loans, and anticipated recoveries. The most recent monthly report available from the Department is available at the website of the Department.

The following table provides certain statistics for the Insurance Program as of the end of the last five fiscal years ended June 30 for which reports are available from the Department:

	2017	2018	2019	2020	2021
Number of Loans Insured	84	80	83	78	66
Principal Amount of Loans Insured	\$1,590,800,080	\$1,679,591,385	\$1,816,496,274	\$1,780,317,746	\$1,661,201,598
Cash Balance of HFCLIF	\$168,979,760	\$169,757,738	\$168,625,786	\$163,825,305	\$153,567,319

Insurance Program Loans; Status of Borrowers. The future financial status of the Insurance Program is directly affected by the financial performance of the borrowers in the Insurance Program and their current and projected ability to repay their loans. The Department has established a rating system to implement objective criteria and continues to monitor each borrower for compliance with loan covenants assigning a risk rating (A to F) to that borrower and all its loans.

The risk ratings have a corresponding relationship to the financial status of the borrower and risk to the HFCLIF:

A Rating – no material problems;

B Rating – minor problems such as one or more of the following: for more than one fiscal year, some of the borrower’s covenant requirements have not been met; the borrower’s financial trends indicate potential problems; the borrower is more than 6 months late in providing its financial and other reports as required by its Regulatory Agreement.

C Rating – serious problems, such as one or more of the following: the borrower’s last insured loan payment was not paid within 30 days of the delinquency date defined in the borrower’s Regulatory Agreement; the borrower’s days cash on hand is low; the last calculation of the insured debt service coverage ratio was below 1.0 and the project does not have a substantial cash cushion either in days cash on hand or in relation to amount of insured debt; payables and receivables indicate inappropriate lag time; economic indicators locally, regionally or statewide are impacting the borrower; management turnover and/or board oversight is in question; the borrower has filed for bankruptcy protection but is making full payments on insured debt.

D Rating – very serious problems such as one or more of the following: the debt service reserve fund has been invaded and the borrower is not making substantial progress in fully replenishing its debt service reserve fund, pursuant to the loan documents; financial trends have been escalating downward with no action plan in place to correct the problem; the borrower’s days cash on hand is exceedingly low, such that it does not appear that the borrower will be able to make its next payroll; payment(s) are not being made and HFCLIF may be used within the next 12 months.

E Rating – payments have been or are being made from the HFCLIF, but full recovery is expected. The Department has a work out plan with the borrower.

F Rating – payments have been or are being made from the HFCLIF and loss of some magnitude is expected.

As of June 30, 2021, there were no borrowers with loans in the portfolio with D Ratings, one borrower with a total of two loans with E Ratings and no borrower with an F Rating. The E-rated borrower filed a voluntary petition for Chapter 11 bankruptcy on March 16, 2021. See California Nevada Methodist Homes below for more information. Since the start of the Insurance Program in 1972, through June 30, 2021, 21 borrowers (with 30 loans) have defaulted with all required payments coming from the HFCLIF (without cost to the State General Fund).

The largest defaulted loan in the Insurance Program was a loan to Triad Healthcare Corporation in the original amount of \$182.3 million. The Triad loan was carried as a long-term liability of the Insurance Program. The HFCLIF has made total payments of \$248,058,454 for the Triad loan and all obligations for the Triad loan have been fully paid as of July 23, 2021 and there are no further obligations.

California Nevada Methodist Homes (“CNMH”) discontinued making bond payments in April 2020 at the onset of the COVID-19 pandemic. On July 1, 2020, an amount of \$615,532.61 from the Debt Service Reserve Fund was drawn to supplement the principal and interest payment due on July 1, 2020. On March 16, 2021, CNMH filed a voluntary petition for Chapter 11 bankruptcy and at the time, the Department had insured a bond issue with a principal balance of \$30,225,000 and a bank line of credit with a principal balance of \$2,999,120 at the time of the bankruptcy. When CNMH entered bankruptcy, the bank declared the line of credit in default and the Department paid on its insurance on May 14, 2021. On June

23, 2021, the HFCLIF made a payment of \$700,451 along with an amount of \$687,174 drawn from the Debt Service Reserve Fund to make the principal and interest payment due on July 1, 2021. The remaining balance in the DSRF was \$100,054. As of July 15, 2021, the remaining insured bond principal balance was \$29,595,000, and total payments made from the HFCLIF was \$3,715,305.94. CNMH continued in possession of its property and operation of its businesses as debtor-in-possession. A Chief Restructuring Officer has been appointed to analyze and evaluate the business, prepare materials for distribution and presentation to a select group of qualified potential buyers, affiliates, or merger candidates, and assist the borrower in structuring and negotiating the potential sale of the business. Principal and interest payments will continue to be made from the HFCLIF. The Department assumes full recovery of all default expenditures from the HFCLIF.

State Debentures. In the event the obligations of the HFCLIF to pay on an issue of defaulted bonds or certificates of participation exceeds the available balances in the HFCLIF, and upon receipt by the Department of title to the subject facilities or assignment of the security interest in a deed of trust and upon surrender of the defaulted bonds or certificates of participation to the Department, the Department shall notify the Treasurer and request the Treasurer to issue debentures to the holders of the defaulted bonds or certificates of participation, as applicable, so surrendered. Pursuant to Insurance Law section 129160, subsection (a), (1) the debentures shall bear interest at a rate equal to the stated interest rate(s) on the insured loan or bonds, and shall be payable on a payment schedule identical to payments on the insured loan or bonds, (2) the debentures are fully and unconditionally guaranteed as to principal and interest by the State, and (3) the amounts to be paid on the debentures will be continuously appropriated from the general fund of the State Treasury. Insurance Law section 129160, subsection (b) provides, “Any debenture issued under this article shall be paid on par with general obligation bonds issued by the state.” See “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE” and “RATING” below.

While the Department has not requested the issuance of and the Treasurer has not issued any such debentures since the inception of the Insurance Program, the Department, the Treasurer and the State Department of Finance entered into a memorandum of understanding in December 2016 establishing procedures for the issuance of debentures (the “*Memorandum of Understanding*”). A copy of the Memorandum of Understanding is available upon request to: Department of Health Care Access and Information, Cal- Mortgage Loan Insurance Division, 2020 West El Camino Avenue, Suite 1231, Sacramento, CA 95833, Telephone: (916) 319-8800; e-mail: cminsire@oshpd.ca.gov. It is expected that, to the same extent as interest on the Bonds is not includable in the gross income of the holders thereof for purposes of federal income taxation, interest on the debentures would not be includable in the gross income of the holders and that interest on debentures would be exempt under the law as in effect on the date hereof from State personal income taxes. Upon the occurrence of certain Events of Default under the Indenture, there is the possibility that the interest on the Bonds could become subject to federal income taxation. The Indenture provides that there shall be no acceleration of the principal of and interest on the Bonds upon the occurrence of an Event of Default under the Indenture without the consent of the Department. If the Bonds were declared taxable by the Internal Revenue Service (“IRS”) or another appropriate authority, thereby resulting in an Event of Default under the Indenture, and if the Department did not consent to an acceleration, the holders of the Bonds (and holders of any debentures exchanged for such Bonds) would continue to receive interest payments, but those interest payments would not be excludable from gross income for federal income tax purposes. See APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Events of Default under the Indenture and Remedies—Events of Default” and “—Acceleration of Maturities.”

Actuarial Study. The Department obtains an independent actuarial review of the HFCLIF every two years. At the request of the Department, Oliver Wyman Actuarial Consulting, Inc. (“*Oliver Wyman*”) completed a study in January 2020 (the “*2018 Actuarial Study*”) to evaluate, among other matters, (1) the reserve sufficiency of the HFCLIF as of June 30, 2018; and (2) the risk to the State’s General Fund from

the Insurance Program. Oliver Wyman compared the HFCLIF cash balance as of June 30, 2018 of \$169.76 million against the reserve and capital requirements standards set by the California Department of Insurance for private financial guaranty insurers; the 2018 Actuarial Study indicated that the Insurance Program's assets were at least \$19.92 million below the level which would be required by the California Department of Insurance standards for private insurers (including reserves for projects which were anticipated to default in fiscal year 2018/19). As to the second subject, the 2018 Actuarial Study indicated that the HFCLIF as of June 30, 2018 under the "expected scenario" (which scenario assumed, among other things, a 6.40% default rate) would maintain a positive balance until at least the forecast period of 2047/48. Even under the "most pessimistic scenario" in which a 10% probability of catastrophic loss was used, the 2018 Actuarial Study indicated that there was a 70% likelihood that HFCLIF reserves as of June 30, 2018 would protect against any General Fund losses until at least 2028/29, and a 90% likelihood that HFCLIF reserves as of June 30, 2018 would protect against any General Fund losses until at least 2023/24.

The 2018 Actuarial Study is based on stated assumptions and estimates including, but not limited to, default rates, investment yields, termination rates, claim severities, catastrophic losses and payment patterns. Variation from such estimates or assumptions may cause actual results to vary from the analysis in the 2018 Actuarial Study and such variations could be material. A copy of the 2018 Actuarial Study is available on the Department's website.

See "BONDHOLDERS' RISKS—State Bond Insurance" for a discussion of the risks related to the Insurance. See "RATING" in this Official Statement for a discussion of the rating the Bonds are expected to receive due to the insurance by the Department of the Bonds.

Because the Bonds are being delivered on a forward delivery basis, issuance of the Department's commitment is subject to cancellation in the event that there has been a change in law that revokes the authority of the Department to issue the loan insurance contemplated under the Department's Letter of Commitment. In the event that additional facts, or changes in the law, or changes in the structure of the transaction come to the attention of the Department, then the Department may require additional conditions. It is further understood that the Department maintains the right to adjust the not-to-exceed amount of the Bonds to be insured specified in the Letter of Commitment commensurate with the cost information at the time of the final execution of documents.

See "INTRODUCTORY STATEMENT—Contract of Insurance" and "FORWARD DELIVERY OF THE BONDS" herein.

FOR A FURTHER DESCRIPTION OF THE REGULATORY AGREEMENT AND THE CONTRACT OF INSURANCE, SEE APPENDIX C – "SUMMARY OF PRINCIPAL DOCUMENTS" AND APPENDIX D – "FORM OF CONTRACT OF INSURANCE."

CERTAIN FINANCIAL INFORMATION REGARDING THE STATE

Information about the financial condition of the State, including the State budget and State spending, is available at various State-maintained websites. Information concerning the current fiscal year State budget may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading "California Budget." Analyses of the current year budget and future budget proposals are posted from time to time by the independent Office of the Legislative Analyst at www.lao.ca.gov. Reference is made to the most recent preliminary official statement or official statement issued by the State in connection with general obligation bonds or lease revenue obligations, which can be accessed from the State Treasurer's investor relations website at www.buycaliforniabonds.com (for preliminary official statements) or through the Electronic Municipal Market Access System, a facility of the Municipal Securities Rulemaking Board, at <http://emma.msrb.org> (for final official statements). All of such websites and other sources are provided

for general informational purposes only and the material on such sites and from such resources is in no way incorporated into this Official Statement. Readers are cautioned that such information is not necessarily fully current and that the reported financial condition of the State may have changed since the date such information was published or posted.

THE TRUSTEE

The Corporation has appointed The Bank of New York Mellon Trust Company, N.A., a national banking association organized under the laws of the United States, to serve as Trustee for the Bonds. The Trustee is to carry out those duties assignable to it under the Indenture. Except for the contents of this section, the Trustee has not reviewed or participated in the preparation of this Official Statement and does not assume any responsibility for the nature, completeness, contents or accuracy of the Official Statement.

Furthermore, the Trustee has no oversight responsibility, and is not accountable, for the use or application of the proceeds of such Bonds by the Corporation. The Trustee has not evaluated the risks, benefits, or propriety of any investment in the Bonds and makes no representation, and has reached no conclusions, regarding the value or condition of any assets pledged or assigned as security for the Bonds, or the investment quality of the Bonds, about all of which the Trustee expresses no opinion and expressly disclaims the expertise to evaluate.

BONDHOLDERS' RISKS

Set forth below are certain risk factors that should be considered before any investment in the Bonds is made. Certain risks are inherent in the successful operation of the Facilities. This section focuses primarily on the general risks associated with senior living facility operations, whereas APPENDIX A describes the Corporation specifically. This section also describes risks related to the State and the Insurance Program. **This section discusses some of these risks but is not intended to be, and should not be considered, a comprehensive listing of all risks associated with the operation of the Corporation's facilities or the payment of the Bonds.** These risks should be read together with the rest of the Official Statement.

All or any of the following risks could be exacerbated by the COVID-19 (defined below) pandemic. See APPENDIX A for a description of the Corporation's response to COVID-19 and how it continues to impact the Corporation and its operations.

General

As described herein under the caption, "INTRODUCTION," the Bonds are limited obligations of the Authority, and principal (and Redemption Price) of and interest on the Bonds, except to the extent that the Bonds will be payable, under certain circumstances, from proceeds of insurance, sale or condemnation awards or net amounts by recourse to the Deed of Trust, are payable solely from amounts payable by the Corporation under the Loan Agreement and from certain funds held under the Indenture.

No representation or assurance is given or can be made that revenues will be realized by the Corporation in amounts sufficient to pay debt service on the Bonds when due and other payments necessary to meet the obligations of the Corporation. The risk factors discussed below should be considered in evaluating the ability of the Corporation to make payments in amounts sufficient to provide for the payment of the principal of, the premium, if any, and interest on the Bonds.

The receipt of future revenues by the Corporation will be subject to, among other factors, federal and state policies affecting the senior care and housing and health care industries (including changes in

reimbursement rates and policies), increased competition from other senior housing and health care providers, the capability of the management of the Corporation, and future economic and other conditions that are impossible to predict. The extent of the ability of the Corporation to generate future revenues has a direct effect upon the payment of principal of, premium and purchase price, if any, and interest on the Bonds. Neither the Underwriter nor the Authority has made any independent investigation of, or the extent to which, any such factors may have an adverse effect on the revenues of the Corporation.

Payment of the principal of and interest on the Bonds will be insured by the Department. The Authority has no control, financial or otherwise, over the Department. If the Corporation defaults in making Loan Repayments and the Department defaults on its insurance obligations under the Contract of Insurance, there could be delay in, or insufficient funds available to make, payment to the Holders of the Bonds.

Limited Obligations

THE BONDS DO NOT CONSTITUTE A DEBT OR LIABILITY OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, OTHER THAN THE AUTHORITY, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS PROVIDED THEREFOR. THE AUTHORITY SHALL NOT BE OBLIGATED TO PAY THE PRINCIPAL OF THE BONDS, OR THE REDEMPTION PREMIUM OR INTEREST THEREON, EXCEPT FROM THE FUNDS PROVIDED THEREFOR UNDER THE INDENTURE AND NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE AUTHORITY, IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL OF OR THE REDEMPTION PREMIUM OR INTEREST ON THE BONDS (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE ISSUANCE OF THE BONDS SHALL NOT DIRECTLY OR INDIRECTLY OR CONTINGENTLY OBLIGATE THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF TO LEVY OR TO PLEDGE ANY FORM OF TAXATION OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE AUTHORITY HAS NO TAXING POWER. MOREOVER, NEITHER THE AUTHORITY NOR THE CITY OF LOS ANGELES SHALL BE LIABLE FOR ANY OTHER COSTS, EXPENSES, LOSSES, DAMAGES, CLAIMS OR ACTIONS, IN CONNECTION WITH THE LOAN AGREEMENT, THE BONDS OR THE INDENTURE, EXCEPT ONLY TO THE EXTENT AMOUNTS ARE RECEIVED FOR THE PAYMENT THEREOF FROM THE CORPORATION UNDER THE LOAN AGREEMENT.

COVID-19 Outbreak

COVID-19 Outbreak; Turmoil in U.S. Economy; Relief. The worldwide outbreak of the Coronavirus Disease 2019 (“*COVID-19*”) has been declared a pandemic by the World Health Organization and a public health emergency by the President of the United States and the Secretary of Health and Human Services. In February 2020, cases of COVID-19 were first detected in California, with continuously increasing community transmission of the disease to date. The Centers for Disease Control (“*CDC*”) has issued an *Interim Guidance for Healthcare Facilities: Preparing for Community Transmission of COVID-19 in the United States*; the California Department of Social Services (“*CDSS*”) has issued various Provider Information Notices to community care facilities, including residential care facilities for the elderly; and the California Department of Public Health (“*CDPH*”) has issued various All Facilities Letters to health care facilities, including skilled nursing facilities, providing additional guidance for preparing for COVID-19 and dealing with any affected staff and residents. The Corporation has taken steps to implement this federal and State guidance. On March 19, 2020, the Governor of California issued a statewide shelter-in-place order for all State residents. In addition, starting March 16, 2020, numerous California counties issued

strict “shelter-in-place” orders that include, among other things, safe “social distancing” guidelines. Violation of such orders can result in misdemeanor arrest.

The COVID-19 pandemic has had an adverse impact on global financial markets and economies. Access to credit and liquidity markets by borrowers in the health care, senior care, and other industries has been adversely affected and costs of borrowing and liquidity facilities have increased. It is expected that the impact of the COVID-19 pandemic on the U.S. economy will be broad based and materially adverse. In response to such expectations, President Donald J. Trump on March 13, 2020, declared a “national emergency” under both the Robert T. Stafford Disaster Relief and Emergency Assistance Act of 1988, which allows access to disaster relief funds to address the COVID-19 pandemic and related economic dislocation, and the National Emergencies Act, which allows the U.S. Department of Health and Human Services to waive certain guidelines related to federal health care programs, including Medicare and Medicaid to address the COVID-19 pandemic. The U.S. Congress has passed a series of federal stimulus packages to address the COVID-19 crisis, including the Coronavirus Aid, Relief, and Economic Security Act (“*CARES Act*”), as amended by the Paycheck Protection Program and Health Care Enhancement Act (“*Enhancement Act*”). The federal stimulus packages are designed to provide economic relief for individuals and various business, including hospitals and other health care providers. The CARES Act and Enhancement Act provisions that may alleviate some of the financial strain on hospitals and other health care providers include, among others: (1) a \$175 billion “Public Health and Social Services Emergency Fund” created to reimburse eligible health care providers for “health care related expenses or lost revenues that are attributable to coronavirus” (“*Provider Relief Fund*”) and (2) various Medicare and Medicaid policy changes that temporarily boost Medicare and Medicaid reimbursement or provide for additional flexibility in patient care during the COVID-19 emergency period. The timing, adequacy and other ultimate effects of any CARES Act, Enhancement Act, or other federal or state stimulus relief programs on the Corporation, or the economy generally, cannot be predicted at this time. The acceptance of funds from certain stimulus programs, including the Provider Relief Fund, is conditioned on eligibility and the acceptance of terms and conditions. Failure to comply with such requirements could result in recoupment or False Claims Act (discussed below) liability. See APPENDIX A hereto for a discussion of the potential impacts on the Corporation of the current COVID-19 pandemic.

On March 11, 2021, President Biden signed into law the American Rescue Plan Act of 2021 (“*ARPA*”). The ARPA included funding related to COVID-19 directed at detecting, diagnosing, tracing, and monitoring COVID-19 infections; establishing community vaccination centers and mobile vaccine units; promoting, distributing, and tracking COVID-19 vaccines; COVID-19 vaccine research, development, manufacturing, production, and purchase expenses; awards to community health centers; and reimbursing rural hospitals and facilities for healthcare-related expenses and lost revenues attributable to COVID-19. Additional funding was allocated to the DHHS Office of Inspector General (“*OIG*”) for oversight activities related to COVID-19 funding. The ARPA bolstered the ACA by increasing the eligibility for, and amount of, premium tax credits to purchase coverage through an exchange and by creating cost-sharing support for unemployed individuals that are enrolled in a qualified health plan. Medicaid and CHIP programs will be required to cover without cost sharing COVID-19 vaccines, testing and treatment for one year after the end of the public health emergency and extends the requirement to provide treatment and prevention to those individuals without cost sharing. The Federal Medical Assistance Percentage (“*FMAP*”) is set at 100% for amounts expended for COVID-19 vaccines and vaccine administration and permits states to extend coverage for women enrolled in Medicaid or CHIP for up to twelve months following the birth of a child. The ARPA also increases the FMAP by 5% for eight calendar quarters to incentivize states to expand their Medicaid program. Finally, the ARPA provides subsidies to cover 100% of health insurance premiums under the Consolidated Omnibus Budget Reconciliation Act through September 30, 2021.

On June 15, 2021, California fully reopened its economy ending capacity limits on businesses, physical distancing and certain mask requirements for individuals who are fully vaccinated in accordance with guidance from the CDC. Recently, Departments of Public Health for various counties and municipalities in the State of California have issued Orders requiring masks to be worn by all persons, regardless of vaccination status. With the increased spread of the Delta variant, national and international guidance related to masks and social distancing continues to be updated.

On August 5, 2021, the State of California issued the first order in the nation that requires COVID-19 vaccinations for health care workers, allowing only for religious or rare medical exemptions. Employees of hospitals, nursing homes, doctors' offices, clinics and other medical facilities have until September 30, 2021 to get at least one dose of the vaccination, under the new order issued by Dr. Tomás J. Aragón, California's public health officer. In the meantime, they must either be vaccinated or undergo mandatory weekly testing, under the state's previous order issued last week. California also ordered visitors to hospitals, skilled nursing homes and facilities for the developmentally disabled to be fully vaccinated or show a negative COVID-19 test within 72 hours. The order applies only to indoor visits and goes into effect on August 11, 2021. As noted herein, this order could have the effect of increasing the shortage of physician, nursing or other professional personnel at the skilled nursing facility of the Corporation.

The retention of funds from certain COVID-19 stimulus programs, including the Provider Relief Fund, is conditioned on eligibility and the acceptance of terms and conditions, and may be subject to other guidelines or requirements that may change from time to time. Additional guidance or clarifications concerning COVID-19 stimulus programs, including reporting, recordkeeping and repayment requirements, may be announced from time to time. Failure to comply with such guidelines or requirements could result in recoupment, False Claims Act liability, or other penalty.

If economic conditions further worsen as a result of COVID-19 and/or other causes, the Corporation may not be able to sustain future profitability, and its liquidity and ability to repay outstanding debt, including debt service on the Bonds, may be adversely affected. Broad economic factors—such as unemployment rates or instabilities in consumer demand and consumer spending—could affect the Corporation's volumes and its ability to collect outstanding receivables. Other economic conditions that from time to time may adversely affect the Corporation's revenues and expenses, and consequently, their ability to make payments on the Bonds, include but are not limited to: (1) an inability to access financial markets on acceptable terms at a desired time or increased borrowing costs, (2) significant investment portfolio losses, (3) increased business failures and consumer and business bankruptcies, (4) federal and state budget challenges resulting in reduced or delayed Medicare and Medicaid reimbursement, (5) a reduction in the demand for health care or senior care services, (6) an increase in lawsuits and increased malpractice and casualty insurance expenses, (7) reduced availability or affordability of insurance, (8) a shortage of physician, nursing, or other professional personnel, (9) a shortage of medical supplies and skilled nursing beds caused by the COVID-19 pandemic or other pathogen, (10) increased operating costs, (11) a reduction in the receipt of grants and charitable contributions, (12) unfavorable demographic developments in the Corporation's service areas, (13) increased competition from other senior care or health care institutions, and (14) difficulties in extending existing or obtaining new liquidity facilities or in remarketing revenue bonds subject to tender. All or any of the foregoing conditions could be exacerbated by the COVID-19 pandemic.

Some of the challenges caused by the disruptions in the credit markets and general economic conditions are further highlighted below. These and other risks may adversely affect the Corporation and jeopardize its ability to generate revenues, make payments under the Loan Agreement and, consequently, make payments on the Bonds. There can be no assurance that the financial condition of the Corporation and/or the utilization of its facilities will not be adversely affected by any of these circumstances.

The COVID-19 pandemic or another highly infectious disease outbreak in the Facilities or in the service areas of the Facilities, could materially adversely affect the Corporation's business or financial condition. The COVID-19 pandemic or such other highly infectious disease outbreak may affect the Corporation's operations and revenues in various ways, including but not limited to (1) reputational damage, (2) a quarantine or temporary shutdown, (3) skilled nursing bed, pharmaceutical or medical supply shortages, (4) professional or non-professional staff shortages or illness, and (5) failure to maintain occupancy or turnover due to potential residents choosing to defer or avoid senior care. Management cannot predict the impact on revenues or any costs associated with the COVID-19 pandemic or other highly infectious disease outbreak, but the impact of any costs or lost revenues could be material and adverse. Governmental and commercial entity responses to the COVID-19 pandemic and resulting economic conditions may also directly or indirectly affect the Corporation's operations and revenues. For example, domestic or foreign governmental responses or commercial business responses to the COVID-19 pandemic or another highly infectious disease outbreak, such as shelter-in-place orders, sick-leave mandates or remote work policies, could (1) disrupt the production or supply of pharmaceuticals and medical supplies or increase the costs of such products, (2) result in significantly delayed payments from third party payors which may substantially decrease the Corporation's liquidity, (3) increase employee sick-leave expenses or other employee costs, or (4) otherwise materially adversely impact the Corporation's business in ways that are difficult to predict at this time. The extent to which business interruption insurance would be available in connection with any events resulting from the COVID-19 pandemic is dependent upon the specific facts of the events, and there can be no assurance that adequate business interruption insurance would be available to cover such losses. Management cannot predict the likelihood or severity of any of the aforementioned events upon the Corporation's business or financial condition, though such effect could be material and adverse.

Management is monitoring developments with respect to the COVID-19 pandemic, including variants, and intends to follow any applicable requirements from the CDC, the Centers for Medicare and Medicaid Services ("CMS"), and other federal, state and local regulatory agencies. See APPENDIX A for additional information regarding the Corporation's response to COVID-19.

General Economic Conditions

The Corporation is economically influenced by the environment in which it operates. Economic downturns may increase the number of residents who are unable to pay for some or all of their resident fees and other expenses of care. These conditions may give rise to increased bad debt and charity care obligations of the Corporation. At the same time, non-operating revenue from investments may be reduced or eliminated.

Congress and state legislatures can be expected to continue to consider alternative payment methodologies for assisted living, and to address perceptions about the quality of care at retirement communities. Changes in the law, new interpretations of existing laws, and changes in payment methodology may have a dramatic effect on the definition of permissible or impermissible activities, the relative costs associated with doing business, and the amount of reimbursement paid by both government and other third-party payors. These changes may be applied retroactively. The ultimate timing or effect of legislative efforts cannot be predicted and may adversely affect the Corporation.

California State Budget

The State enacted a balanced fiscal year 2021-22 budget, which took effect on July 1, 2021. However, the COVID-19 pandemic may cause the State to experience a significant drop in economic activity, with corresponding negative effects on anticipated revenues for the upcoming 2021-22 fiscal year, and beyond. Additionally, the State may be required to use cash reserves and other funds to support vital

government programs and services that may become underfunded as a result of the economic turmoil caused by the outbreak. The impact of the COVID-19 pandemic on the State's future budgets, while currently uncertain, could be materially adverse.

In addition to the uncertain impact of the COVID-19 pandemic, it is impossible to predict what the State's budget will be in future years, and the impact of future financial challenges to the California economy, including threat of future recessions, changes in federal spending policy and other events that could result in budget deficits. It is also impossible to predict the actions of the Governor, the Legislature or voters – via ballot initiative – will take in the future. Management cannot predict what actions will be taken in the current and future years by the State Legislature and the Governor to keep the State's budget in balance. The State's actions will likely depend on national and State economic conditions and other factors that are uncertain at this time. In addition, no assurance can be provided that any financial challenges that the State may face in the future will not affect the State's ability to perform its obligations with respect to the Insurance Program. See "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE.

State Bond Insurance

Because the principal and interest payments on the Bonds when due will be insured by the Department, if the principal and interest payments on the Bonds are not made when due by the Corporation, such payments would be made by the Department from the HFCLIF. The last actuarial study of HFCLIF obtained by the Department was as of June 30, 2018, and indicated that the HFCLIF could be depleted prior to the final maturity date of the Bonds in the event a 10% probability of catastrophic loss was assumed. The 2018 Actuarial Study is available at the website of the Department. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Department, the Insurance Program and the Insurance Fund."

To the extent the HFCLIF reserves are depleted and subject to the requirements of the Insurance Law, the Department shall request the Treasurer to issue debentures which are fully and unconditionally guaranteed as to principal and interest by the State in an amount equal to the then outstanding principal amount of the Bonds. Accordingly, any decline in the State's fiscal condition could adversely affect the State's ability to make payment on debentures in the event of a claim on such insurance. See "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE."

In addition, over certain time periods, deterioration in the State's budget and cash situation may cause the nationally recognized rating services to reduce the State's credit ratings. S&P Global Ratings, the rating agency for the Bonds, has indicated that it rates the Department's insured bonds on par with the rating of the State's general obligation bonds and that any rating action affecting the State will directly affect the rating on the Insurance Program. Therefore, any decline in the State's fiscal condition could adversely affect the rating on the Bonds. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Department, the Insurance Program and the Insurance Fund." See also "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE" and "RATING."

Uncertainty of Revenues

Although the Corporation expects that revenues will be adequate to make all scheduled payments under the Loan Agreement (and corresponding payments on the Bonds), a number of factors could decrease revenues. Future economic and other conditions, including the duration and scope of the COVID-19 pandemic and governmental, business and public responses to such pandemic, demand for senior housing, the ability of the Corporation to provide the living environment demanded by residents and potential residents, competition, changes in prevailing rates, costs, demographic changes, legislation, governmental

regulations and litigation may adversely affect revenues and, consequently, the Corporation's ability to make payments under the Loan Agreement.

The principal and interest payments on the Bonds will be insured by the Department. The Authority has no control, financial or otherwise, over the Department. If the Corporation was to default in making Loan Repayments under the Loan Agreement and the Department was to default on its insurance obligations under the Contract of Insurance, there could be insufficient funds available to pay the Holders of the Bonds. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM," "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE" and "BONDHOLDERS' RISKS—State Bond Insurance."

No guarantee or assurance can be made that sufficient revenues will be available to pay the principal of, premium, if any, and interest on the Bonds when due. The receipt of future revenues by the Corporation will be dependent upon the capabilities of management of the Corporation and may be adversely affected by future economic conditions, technological or demographic changes affecting demand for continuing care retirement communities and health care services, future federal or state regulation or funding of health care services, competition from other senior living or health care providers and facilities in the service area of the Corporation's Facilities and other factors. Neither the Authority nor the Underwriter has made any independent investigation of the extent to which any such factors may have an adverse effect on the revenues of the Corporation.

For information concerning the Corporation, its operations and financial condition, *see* APPENDIX A – "INFORMATION CONCERNING THE CORPORATION."

Occupancy and Turnover in the Corporation's Facilities

The ability of the Corporation to generate sufficient revenues depends in large part on its ability to attract sufficient numbers of residents to its Facilities in order to maintain substantial occupancy and turnover of occupancy throughout the term of the Bonds. Because occupancy and turnover at the Corporation's Facilities depend upon factors outside the Corporation's control, such as residents' rights to terminate their contracts with the Corporation, the Corporation must rely on various assumptions about the Corporation's residents and the market for its services. Where such assumptions prove to be wrong, the Corporation's revenues will be affected. Revenues would also be impaired if the Corporation is unable to remarket units as they become available. If the Corporation's operations fail to maintain occupancy levels and resell independent living units and assisted living units as they become available, the Corporation may lack sufficient funds to pay debt service on the Bonds.

Sale of Personal Residences

Prospective residents of the Facilities may be required to sell their current homes to meet their financial obligations under their residency agreements. If prospective residents encounter difficulties in selling their current homes due to local or national economic conditions affecting the sale of residential real estate, such prospective residents may not have sufficient funds to meet their financial obligations under their residency agreements, thereby causing a delay in scheduled occupancy of the Facilities or the remarketing of vacated units, either of which would have an adverse impact on the revenues of the Corporation.

Nature of the Income of the Elderly

A large percentage of the monthly income of the residents of the Facilities will be fixed income derived from pensions and Social Security. In addition, some residents will be liquidating assets in order to

pay the monthly and other fees. If, due to inflation or otherwise, substantial increases in fees are required to cover increases in operating costs, wages, benefits and other expenses, many residents may have difficulty paying or may be unable to pay such increased fees. Similarly, residents may encounter similar difficulty if the yield on or value of their investments declines. The Corporation's inability to collect from residents the full amount of their payment obligations may jeopardize the ability of the Corporation to pay amounts due under the Loan Agreement.

Third Party Payments

Increases in the deductible, co-insurance and other amounts for which third party payment program beneficiaries are responsible could result in an increase in the proportion of health care costs being assumed by individual beneficiaries who are residents of the Facilities. Such increased costs could adversely affect the financial strength of such residents and possibly residents' ability to make monthly payments to the Corporation.

Further, the Corporation's ability to develop and expand services and, therefore, operating margins, may be dependent upon its ability to enter into contracts with commercial third-party payers, such as managed care organizations, at competitive rates. There can be no assurance that it will be able to attract third-party payers, and where it does, no assurance that it will be able to contract with such payers on advantageous terms. The inability of the Corporation to contract with a sufficient number of such payers on advantageous terms may have a material adverse impact on the financial condition or operations of the Corporation.

Reduced Demand

Several factors could, if present, affect demand for services of the Corporation, including: (i) efforts by insurers and governmental agencies to reduce utilization of skilled nursing and long-term care facilities by means such as preventative medicine and home health programs; (ii) increased consumer demand for services at home; (iii) advances in scientific and medical technology; (iv) a decline in the population or a change in the age composition of the population; (v) a decline in the economic conditions of the service area of the Corporation's Facilities; (vi) an increase in premiums or other disruption in the long-term care insurance market, causing fewer prospective residents to consider the Facilities as a retirement option; and (vii) general disruptions in the health care, long-term care or insurance markets resulting from health care reform efforts (including potential repeal and replacement of the Affordable Care Act discussed below under "Federal and State Regulations") or otherwise.

Competition

Increased competition from a wide variety of potential sources, including but not limited to other assisted living and retirement communities, sheltered care communities, residential supportive living communities, continuing care retirement communities, skilled nursing facilities, nursing homes, inpatient and outpatient health care facilities, independent living communities, home health services and others, any of which could receive financing from the Authority, could adversely affect the utilization and/or revenues of the Corporation. Existing and potential competitors may not be subject to various restrictions applicable to the Corporation, and competition may, in the future, arise from new sources not currently anticipated or prevalent. Such competition could inhibit the extent to which the Corporation will be able to raise charges and maintain or increase admissions. There can be no assurance that additional competing facilities will not be constructed in the future.

Uncertainty of Investment Income

The investment earnings of, and accumulations in, certain funds have been estimated and are based on assumed interest rates as indicated. While these assumptions are believed to be reasonable in view of the rates of return presently and previously available on such funds, there can be no assurance that similar interest rates will be available for such funds in the future, nor can there be any assurance that the estimated earnings will actually be realized.

General Risks of Senior Living Facilities

There are many diverse factors not within the Corporation's control that have a substantial bearing on the risks generally incident to the operation of the Facilities. These factors include generally imposed fiscal policies, adverse use of adjacent or neighboring real estate, the ability to maintain the Facilities, community acceptance of the Facilities, changes in demand for long-term care services, changes in the number of competing facilities, changes in the costs of operation of the Facilities, changes in the laws of the State affecting long term care programs, the limited income of the elderly, changes in the long term care and health care industries, difficulties in or restrictions on the Corporation's ability to raise rates charged, general economic conditions and the availability of working capital. In recent years, a significant number of long term care facilities throughout the United States have defaulted on various financing obligations or otherwise have failed to perform as originally expected. There can be no assurance the Facilities will not experience one or more of the adverse factors that caused other facilities to fail. Many other factors may adversely affect the operation of facilities like the Facilities and cannot be determined at this time.

Natural Disasters

The occurrence of natural disasters, including floods, earthquakes and winds, may damage part or all of the Facilities, interrupt utility service to part or all of the Facilities or otherwise impair the operation of part or all of the Facilities or the generation of revenues from part or all of the Facilities beyond existing insurance coverage. No assurance is given as to the continuation of such insurance coverage, which, among other things, may not be available at a reasonable cost in the future.

As with much of Southern California, the Facilities are situated in an active earthquake zone. A significant earthquake in the region could have a material adverse effect on the Corporation and could result in material damage and temporary or permanent cessation of operations at the Facilities. Under the Regulatory Agreement, the Corporation will agree to keep the Facilities and all of its operations adequately insured at all times including through earthquake insurance (unless waived by the Department). An earthquake insurance waiver request has been submitted by the Corporation and is currently being processed by the Department.

Possible Future Changes to Accounting Policies and Procedures

From time to time, accounting policies and procedures change as accounting principles that are generally accepted in the United States change. Such changes may cause a variation in the presentation of the financial information of the Corporation. There can be no assurance that any such changes would not have a material adverse impact on the Corporation's compliance with certain covenants contained in the Regulatory Agreement.

Philanthropy

The Corporation derives income from unrestricted gifts and donations but does not depend solely on such income to finance operations and capital needs. See APPENDIX B – "AUDITED FINANCIAL

STATEMENTS OF THE CORPORATION.” Although management of the Corporation expects gifts and donations to remain at least at current levels and to increase at a moderate rate, there can be no assurance that this revenue will not decrease.

Increases in Medical Costs

Because the Corporation is obligated to provide its continuing care contract residents with the right to move to a higher level of care on a space-available basis, a deviation from the anticipated mortality rate or medical care requirements of the resident population or substantial unanticipated increases in the cost of such care could have a negative impact on the operations of the Corporation’s facilities. The undertaking to provide such care is a contractual obligation of the Corporation, and no assurance can be given that the Corporation will have sufficient funds to meet its anticipated obligations. In addition, the cost of providing health care services may increase due to increases in salaries paid to nurses and other health care personnel and due to shortages in such personnel which may require use of registries or employment agencies. Increases in third party therapy services and other ancillary costs such as drugs and medical supplies may also increase costs.

Additional Capital Requirements

The Corporation’s operations are capital intensive. Economic conditions such as credit market dysfunction and increased regulation of the financial industry could make it more difficult for the Corporation to access the capital markets or to otherwise fund capital expenses through borrowings on favorable terms and conditions. Any such limitation could result in delayed or deferred capital expenditures that could be integral to the operations of the Corporation.

Labor Costs and Relations

The Corporation cannot control the prevailing or required minimum wage rates in its service area and any increase in such rates will directly affect the costs of its operations. Effective January 1, 2019, California’s minimum wage is \$12.00 per hour, among the highest in the country. Pursuant to state legislation passed in 2016, California’s minimum wage will incrementally increase to \$15 per hour by 2022 for employees with 26 or more employees. Management has examined the effect of California’s minimum wage law and does not presently anticipate that such minimum wage increases will have a material adverse effect on the financial condition of the Corporation.

The Corporation’s workforce includes professional, quasi-professional, technical, clerical, housekeeping, maintenance, dietary and other types of workers. As with all employers, the Corporation bears a wide variety of risks in connection with these employees. These risks include strikes (if the Corporation’s workforce is unionized in the future) and other related work actions, contract disputes, difficulties in recruitment, discrimination claims, personal tort actions, work-related injuries, exposure to hazardous materials, interpersonal torts, risks related to benefit plans, and other risks that may flow from the relationships between employer and employee or between residents and employees. Certain of these risks are not covered by insurance, and certain of them cannot be anticipated or prevented in advance. Such risks, alone or in combination, could have material adverse consequences to the financial condition or operations of the Corporation. Management is not aware of any current attempts by the Corporation’s employees to unionize.

Nursing or Other Staff Shortage

The health care industry occasionally experiences shortages of nursing and other technical staff. Currently, nursing shortages continue in certain geographic areas. Such shortages have periodically resulted

in increased costs and lost revenues due to the need to engage agency nursing personnel at higher rates or pay increased compensation to staff, and the inability to use otherwise available beds as a result of staffing shortages. Increased costs and lost revenues resulting from staff shortages could adversely affect the operations or financial condition of the Corporation.

Professional Liability Claims and Liability Insurance

In recent years, the number of professional and general liability suits and the dollar amounts of damage recoveries have increased nationwide in the health care industry, resulting in substantial increases in malpractice insurance premiums, higher deductibles and generally less coverage. Professional liability and other actions alleging wrongful conduct and seeking punitive damages are often filed against health care providers. Insurance does not provide coverage for judgments for punitive damages. Insurers are mandating lower amounts of coverage, requiring greater deductibles, and charging more in premiums. Policies issued may not be renewed or renewable. It is not possible at this time to determine either the extent to which malpractice coverage will continue to be available to the Corporation or the premiums at which such coverage can be obtained. Although the Corporation currently carry excess malpractice and general liability insurance which management of the Corporation considers adequate, the Corporation is unable to predict the availability, cost or adequacy of such insurance in the future.

Federal and State Regulations

General. Health care providers are subject to federal, state and local laws and regulations, and sanctions imposed under or changes to such laws or regulations could adversely affect the operations or financial results of the Corporation. Further reductions in federal and state funding of health care below levels authorized by present law can be expected. To the extent the Corporation accepts Medicare or Medicaid, reductions in federal or state funding for those health care programs could impact the financial condition of the Corporation.

Skilled nursing facilities, including those owned by the Corporation, are subject to numerous licensing, certification, accreditation, and other governmental requirements. These include, but are not limited to, requirements relating to state licensing agencies, private payors, and accreditation organizations. Continuing care retirement communities, residential care facilities and assisted living communities, including those owned by the Corporation, are also subject to licensing and other requirements. Renewal and continuance of certain of these licenses, certifications, approvals and accreditations are based upon inspections, surveys, audits, investigations or other review, some of which may require or include affirmative action or response by the Corporation. An adverse determination could result in a loss, fine or reduction in the Corporation's scope of licensure, certification or accreditation, could affect the ability to undertake certain expenditures or could reduce the payments received or require the repayment of the amounts previously remitted. See "State Licensure and Regulation of Senior Living Providers" below for more information.

Federal and State Healthcare Program Reimbursement Cuts. The federal and state governments have in the past, and may in the future, make changes to their respective budgets, which budget reductions may include reductions to the Medicare or Medicaid programs. The reduction of Medicare or Medicaid spending may have a material adverse effect upon facilities that accept Medicare and Medicaid payments. The Facilities currently bill Medicare or Medicaid for services and reductions in federal and state funding for those health care programs could impact the financial condition of the Corporation.

Dependence Upon Governmental Funding. The Corporation depends significantly on Medi-Cal and Medicare revenues. See APPENDIX A – "INFORMATION CONCERNING THE CORPORATION" and APPENDIX B – "AUDITED FINANCIAL STATEMENTS OF THE CORPORATION". For the

fiscal year ended December 31, 2020, approximately 27% of the Corporation's service revenues were derived from health programs that are funded through State and Federal resources. A significant portion of that percentage relates to the Corporation's skilled nursing program. As it relates to the Corporation's skilled nursing facility ("SNF") revenues, for the first six months of fiscal year 2021 (unaudited) State and Federal resources accounted for approximately 69.7% of such SNF revenues and for fiscal year ended December 31, 2020, State and Federal resources accounted for approximately 76.7% of such SNF revenues. See "APPENDIX A – INFORMATION CONCERNING THE CORPORATION – Management Discussion and Analysis of Financial Performance – Sources of Revenue". As a result, the success of the Corporation's operations is significantly dependent upon continued funding of these programs by the State and Federal governments.

Federal Health Care Reform and Deficit Reduction. In March 2010, "The Patient Protection and Affordable Care Act of 2010" and "The Health Care and Education Affordability Reconciliation Act of 2010" (together referred to herein as the "ACA") were enacted. This legislation addresses almost all aspects of health care and provider operations and health care delivery. It has changed and is changing how health care services are covered, delivered and reimbursed. These changes have resulted and will result in new payment models with the risk of lower reimbursement from Medicare, utilization changes, increased government enforcement and the necessity for health care providers to assess, and potentially alter, their business strategy and practices, among other consequences. While many providers may receive reduced payments for care, millions of previously uninsured Americans have obtained coverage. Federal deficit reduction efforts will likely curb federal Medicare spending further to the detriment of skilled nursing providers.

Several attempts to amend and repeal provisions of the ACA have been made since its passage. While past attempts to amend and repeal the ACA in full have not been successful, the future of the ACA is uncertain. President Donald Trump and certain Congressional leaders have included a repeal of all or a portion of the ACA in their respective legislative agendas. In 2017 and 2018, Congress introduced several bills to repeal and replace the ACA, but no full repeal bills have passed both the U.S. House of Representatives ("House") and U.S. Senate ("Senate"). However, the Tax Cuts and Jobs Act, discussed below, repealed the "individual mandate" provision of the ACA beginning in 2019. Additionally, on December 14, 2018, a Texas Federal District Court judge, in the case of *Texas v. Azar*, declared the ACA unconstitutional, reasoning that the Individual Mandate Tax Penalty was essential to and inseparable from the remainder of the ACA. The U.S. Justice Department changed its previous position when it said in a legal filing on March 25, 2019 that it agreed with the Texas district court's ruling that the ACA is unconstitutional. In December 2019, the U.S. Court of Appeals for the 5th Circuit affirmed the trial court's decision, and the Supreme Court granted review. The case, which has also been consolidated with certain other cases, is now generally known as "*California v. Texas*." In June 2021, the Supreme Court issued a ruling protecting the ACA on the ground that the plaintiffs challenging the ACA's individual mandate lacked standing. By basing its decision on standing, the Court did not decide whether the mandate or ACA is constitutional, and other challenges are pending.

It is not possible to predict whether the ACA will be further modified in any significant respect or wholly repealed. Any legislative action or judicial adjudication that (i) reduces federal healthcare program spending, (ii) increases the number of individuals without health insurance, (iii) reduces the number of people seeking healthcare, or (iv) otherwise significantly alters the healthcare delivery system or insurance markets could have a material adverse effect on the business, results of operations, cash flow, capital resources, and liquidity of the Corporation.

Tax Reform. On December 22, 2017, President Trump signed into law "H.R. 1 - An Act to provide for reconciliation pursuant to titles II and V of the concurrent resolution on the budget for fiscal year 2018," (the "*Tax Cuts and Jobs Act*"). The Tax Cuts and Jobs Act lowered corporate and individual tax rates and

eliminated certain tax preferences and other tax expenditures. The Tax Cuts and Jobs Act also repealed, effective 2019, a key provision of the ACA known as the “individual mandate”, which imposes a tax on individuals who do not obtain health insurance. Such repeal of the individual mandate may result in a higher rate of uninsured individuals, which may adversely affect the financial condition of the Corporation. The Tax Cuts and Jobs Act also eliminates the issuance of tax-exempt bonds to advance refund outstanding tax-exempt bonds. This could materially impact the market price or marketability of the Bonds (and any outstanding bonds issued by and on behalf of the Corporation) and/or availability of borrowed funds for the Corporation, particularly for capital expenditures, as well as the operations, financial position and cash flows of the Corporation.

Debt Limit Increase. Through legislation, the federal government has created a debt “ceiling” or limit on the amount of debt that may be issued by the United States Treasury. In the past several years, political disputes have arisen within the federal government in connection with discussions concerning the authorization for an increase in the federal debt ceiling. Any failure by Congress to increase the federal debt limit may impact the federal government’s ability to incur additional debt, pay its existing debt instruments and to satisfy its obligations relating to the Medicare and Medicaid programs.

Health Care Regulation. The health care industry in general is highly regulated by a number of governmental and private agencies, including those which administer the Medicare and Medicaid programs. The health care industry is also affected by federal, state and local policies developed to regulate the manner in which health care is provided, administered and paid for nationally and locally. As a result, the health care industry is subject to frequent and substantial legislative and regulatory changes.

Congress and the states have consistently attempted to curb the growth of federal spending on health care programs. In addition, Congress and other governmental agencies have focused on the provision of care to indigent and uninsured patients, public access to emergency services regardless of ability to pay, the unlawful payment of remuneration in exchange for referral of patients, the unauthorized use or disclosure of patients’ protected health information, billing for services not in accordance with governmental requirements, and other issues. Cost shifting to private sources of payment to offset declining federal and state reimbursement is not as prevalent as in the past because private insurance companies have adopted cost containment measures similar to those used by government agencies.

Despite these efforts, due to, among other things, the growing percentage of older persons in the population, improved technology and administrative costs in a highly regulated industry, health care expenditures as a percentage of the Gross National Product continue to rise. Consequently, it can be expected that aggressive cost containment measures and fraud and abuse investigation and enforcement could have a material adverse effect on the Corporation. Continued efforts in the form of statutory and regulatory activity to reduce the rate of increase in reimbursement for health care costs, particularly costs paid under the Medicare programs, can be expected. The Corporation is subject to governmental regulation under the federal Medicare program. Health care providers, including the Corporation, have been and will continue to be affected by changes that have occurred during the last several years in the administration of the Medicare program.

Federal Health Care Reform. The discussion herein describes risks associated with certain existing federal and state laws, regulations, rules, and governmental administrative policies and determinations to which the Corporation and the health care industry are subject. While these are regularly subject to change, many of the existing provisions were enacted by or promulgated pursuant to the ACA, to which opposition and other challenges are pending. It is not possible to predict with any certainty whether or when the ACA or any specific provision or implementing measure will be repealed, withdrawn or modified in any significant respect, and any such changes may affect the health care industry and individually or collectively

could have a material adverse effect on the operations, financial condition and financial performance of the Corporation.

The ACA repeal effort, to date, has focused on individual and employer mandates, exchanges, insurance industry regulations, Medicaid expansion, and the taxes to pay for these elements of the ACA. As discussed above, the Tax Cuts and Jobs Act repealed the individual mandate. The timing of any further repeal and whether it would be in whole or in part are unclear. It is also unclear when or if a replacement plan would be implemented. A repeal could result in additional pressure on Medicaid and Medicare funding and could have the effect of reducing the availability of health insurance to individuals who were previously insured, resulting in greater numbers of uninsured individuals, and could otherwise materially adversely affect the Corporation.

Additionally, the periodic issuance of final rules by the Departments of Labor, Treasury and Health and Human Services relating to health care and health insurance, as well as other Executive Branch policies, impacts enrollment in health insurance through exchanges created by the ACA. There can be no assurance that any existing health care laws and regulations will remain in their current form. Further, there can be no assurance that any potential changes to the laws and regulations governing health care would not have a material adverse financial or operational impact on the Corporation.

Therefore, the following discussion should be read with the understanding that significant changes could occur in 2021 and beyond in many of the statutory and regulatory matters discussed.

As discussed above, the future of the ACA is uncertain. Nevertheless, the ACA continues to impact the delivery of health care services, the financing of health care costs, reimbursement of health care providers, and the legal obligations of health insurers, providers, employers and consumers. Because of the complexity of the ACA generally, additional legislation is likely to be considered and enacted over time. The ACA has also required the promulgation of substantial regulations with significant effects on the health care industry and third-party payers. In response, third-party payers and suppliers and vendors of goods and services to health care providers are expected to impose new and additional contractual terms and conditions. Thus, the health care industry is subject to significant new statutory and regulatory requirements and contractual terms and conditions, and consequently to structural and operational changes and challenges for a substantial period of time.

A key goal of the ACA is expansion of the base of consumers for health care services through: (i) the creation of active markets (referred to as exchanges or marketplaces) in which individuals and small employers can purchase health care insurance for themselves and their families or their employees and dependents, (ii) the provision of subsidies for premium costs to individuals and families based upon their income relative to federal poverty levels, (iii) the mandate that individual consumers obtain, and certain employers provide, a minimum level of health care insurance, and penalizing or taxing of consumers and employers who do not comply with these mandates, (iv) the expansion of private commercial insurance coverage generally through such reforms as prohibitions on denials of coverage for pre-existing conditions and elimination of lifetime or annual cost caps, and (v) the expansion of existing public programs, including Medicaid, for individuals and families. The Tax Cuts and Jobs Act (discussed under the caption “Tax Reform” above) eliminated the individual mandate described in (iii) above. The effect of the repeal of the individual mandate cannot be predicted with certainty, but will likely result in fewer individuals carrying health insurance.

The changes in the health care industry brought about by the ACA may have both positive and negative effects, directly and indirectly, on the nation’s hospitals and other health care providers, including the Corporation. For example, the increase in the numbers of individuals with health care insurance occurring as a consequence of Medicaid expansion, creation of health insurance exchanges, subsidies for

insurance purchase and the penalty on certain individuals who do not purchase insurance, if imposed, could continue to result in lower levels of bad debt and increased utilization or profitable shifts in utilization patterns. However, the extent to which Medicaid expansion, which is now optional on a state-by-state basis, is either not pursued or results in a shifting of significant numbers of commercially-insured individuals to Medicaid, or health insurance options on exchanges are limited or unaffordable, as well as the cost containment measures and pilot programs that the ACA requires, may offset these benefits. A negative impact to the health care industry overall will likely continue from scheduled cumulative reductions in Medicare payments; such reductions are substantial. Industry experts also expect that government cost reduction actions may be followed by private insurers and payors. Additionally, the repeal of the ACA's individual mandate will likely result in fewer insured individuals, further offsetting the positive effects of the law.

The ACA authorized an Independent Payment Advisory Board (“IPAB”) to make recommendations for cost reductions in the event that the projected Medicare per capita growth rate exceeded a target growth rate in any year. However, no members of the IPAB were ever appointed and the IPAB was not operational. On February 9, 2018, Congress voted to repeal the IPAB as part of the Bipartisan Budget Act of 2018 and President Trump signed the budget bill into law, thereby repealing the IPAB before it ever took effect.

Beginning in 2014, the ACA created state “health insurance exchanges”, which enables certain groups and segments of the population to purchase health insurance, expanded the availability of subsidies and tax credits for premium payments by some consumers and employers, and required that certain terms and conditions be included by commercial insurers in contracts with providers. In addition, the ACA imposed many new obligations on states related to health insurance. It is unclear how the increased federal oversight of state health care may affect future state oversight. The health insurance exchanges may have positive impact by increasing the availability of health insurance to individuals who were previously uninsured. Conversely, employers or individuals may shift their purchase of health insurance to new plans offered through the exchanges, which may or may not reimburse providers at rates equivalent to rates the providers currently receive. The exchanges could alter the health insurance markets in ways that cannot be predicted, and exchanges might, directly or indirectly, take on a rate-setting function that could negatively impact providers. The effects of these changes upon the financial condition of any third-party payer that offers health insurance, rates paid by third-party payers to providers and, thus, the revenues of the Corporation, cannot be predicted. Legislative proposals to repeal or replace the ACA published to date have focused largely on reorganizing the health exchange system created under the ACA and reorganizing the individual, corporate and public funding obligations associated with health coverage enrollment.

High deductible insurance plans have become more common in recent years, and the ACA has encouraged the increase in high deductible insurance plans as the health care exchanges include a variety of plans, several of which offer lower monthly premiums in return for higher deductibles. High deductible plans may contribute to lower inpatient volumes as patients may forgo treatment or choose less expensive medical treatment to avoid having to pay the costs of the high deductibles. There is also a potential concern that some patients with high deductible plans will not be able to pay their medical bills, as they may not be able to cover their high deductibles. Employers have implemented a variety of strategies to offset high deductibles under these plans, including offering supplemental voluntary insurance products, such as per diem hospitalization, critical illness or cancer insurance policies, and/or enabling employees to contribute to health savings accounts.

The ACA creates a Center for Medicare and Medicaid Innovation to test innovative payment and service delivery models and to implement various demonstration programs and pilot projects to test, evaluate, encourage and expand new payment structures and methodologies to reduce health care expenditures while maintaining or improving quality of care. Demonstration efforts include bundled payments under Medicare and Medicaid, and comparative effectiveness research programs that compare

the clinical effectiveness of medical treatments and develop recommendations concerning practice guidelines and coverage determinations. Other provisions encourage the creation of new health care delivery models, such as accountable care organizations or combinations of provider organizations, which voluntarily meet quality thresholds to share in the cost savings they achieve for the Medicare program. The Center for Medicare and Medicaid Innovation has begun to test new payment and service delivery models by instituting mandatory pilot programs. For example, the Comprehensive Care for Joint Replacement (“CJR”) Model is currently in effect. Other proposed mandatory models include the Part B Drug model, extending the CJR Model to include hip fractures, and cardiac episode payment models for acute myocardial infarction hospitalization and coronary artery bypass graft surgery. The outcome of these projects and programs, including their effect on payments to providers and financial performance, cannot be predicted.

The ACA was designed to expand access to Medicaid and the scope of services covered thereunder. With respect to access, Medicaid was expected to cover all individuals with incomes of less than 133% of the federal poverty level and the ACA also allowed states to expand Medicaid eligibility to non-elderly, non-pregnant individuals who are not otherwise eligible for Medicare, if they have incomes of less than 133% of the Federal Poverty Level. To assist states with the cost of covering such newly eligible individuals, the federal government will pay 100% of the new cost for a limited number of years. Thereafter, the cost share is expected to decrease to 90%. However, the U.S. Supreme Court in *NFIB v. Sebelius* (2012) made the decision to expand Medicaid an option for each state. In the event a state chooses not to participate in the expanded Medicaid program, the net effect of the reforms in the ACA could be significantly reduced. Additionally, Medicaid reimbursement rates differ by state and the effect of expanded Medicaid enrollment must be determined on a state-by-state basis. This increased federal spending may be in jeopardy in light of efforts to modify, replace or repeal the ACA.

In addition, many states have enacted, or are considering enacting, measures that are designed to reduce their Medicaid expenditures and change private health care insurance. States have adopted, or are considering adopting, legislation designed to reduce coverage and program eligibility, enroll Medicaid recipients in managed care programs and/or impose additional taxes on skilled nursing facilities to help finance or expand states’ Medicaid systems.

The ACA also includes The Elder Justice Act, which provides funding for adult protective services aimed at elder abuse prevention and enhanced investigation of elder abuse and neglect. The Elder Justice Act requires long-term care facilities that receive at least \$10,000 per year in federal funds to promptly report to DHHS any reasonable suspicion of a crime, as defined by local law, occurring at the long-term care facility. This includes Medicare/Medicaid fraud and abuse. Reports are required to be made not later than two hours after forming the suspicion when serious physical injury occurs, and not later than 24 hours after forming suspicion where serious bodily injury was not involved. “Serious bodily injury” is not defined by The Elder Justice Act. Failure to report is subject to penalties of up to \$200,000 plus potential exclusion from federal programs. Stricter penalties apply if delay in reporting led to further injury.

The ACA also includes the Patient Safety and Abuse Prevention Act, which authorizes DHHS to create a national program to identify best practices for background checks on long-term care facility employees that have direct access to patients. The Patient Safety and Abuse Prevention Act creates grants for states who wish to participate in the creation of a nationwide program.

CMS continues to implement initiatives to further ACA goals that promote value over volume, and that impact skilled nursing facility reimbursement. On July 31, 2018, CMS released its final rule on fiscal year (FY) 2019 Medicare payments for skilled nursing facilities. The rule marks the transition from the Resource Utilization Groups, Version IV (RUG-IV) payment model, which based payments primarily on therapy minutes and nursing care, to the Patient Driven Payment Model, which is intended to better capture

differences in patient care and to further the shift in Medicare payments from volume to value. The Patient Driven Payment Model became effective for payments made under the SNF prospective payment system (“PPS”) on or after October 1, 2019. CMS continues to modify Medicare payment policies and rates for skilled nursing facilities under the SNF PPS in yearly rulemaking. There can be no assurance that payments made by CMS as a result of reimbursement reform measures will be sufficient to cover a facility’s costs.

CMS also implemented the quality reporting provision of the Improving Medicare Post-Acute Care Transformation Act of 2014 (“*IMPACT Act*”). Beginning in FY 2018, the *IMPACT Act* requires a two percent penalty for those skilled nursing facilities that fail to submit required quality data to CMS under the SNF Quality Reporting Program (“*QRP*”). CMS has adopted three measures that skilled nursing facilities are required to report for the FY 2018 QRP and subsequent years in three quality domains identified in the *IMPACT Act*: (1) skin integrity and changes in skin integrity; (2) incidence of major falls; and (3) functional status, cognitive function, and changes in function and cognitive function. CMS intends to propose additional quality measures in future rulemaking.

CMS is required by the Protecting Access to Medicare Act of 2014 (“*PAMA*”) to implement a value-based purchasing (“*VBP*”) program for skilled nursing facilities. CMS adopted a 30-day all-cause, all-condition hospital readmission quality measure as the sole measure that will be used in the skilled nursing VBP program. CMS notes that it plans to address in future rulemaking a separate *PAMA* requirement that the agency specify an all-condition, risk-adjusted potentially preventable hospital readmission rate. In addition, any future Congressional action related to VBP or adjustments to market basket updates could negatively affect the Corporation’s revenues.

Furthermore, CMS established new regulatory reporting requirements for skilled nursing facilities and nursing facilities to electronically submit staffing information based on payroll data and other auditable data related to agency and contract staff, as mandated by the ACA. As of July 1, 2016, both skilled nursing facilities and nursing facilities participating in the Medicaid program are required to electronically submit certain direct care staffing data.

In its most comprehensive revision to the conditions of participation since 1991, CMS issued a final rule on September 28, 2016, that revises the standards that long-term care facilities must meet to participate in Medicare or Medicaid. CMS states that the new rule is targeted at reducing unnecessary hospital readmissions and infections, improving the quality of care, and strengthening safety measures for residents.

The rule revises existing requirements and adds new obligations. In addition to implementing provisions of the ACA related to: (a) quality assurance and performance improvement, (b) compliance and ethics programs, (c) reporting of suspicion of a crime, and (d) training requirements related to dementia and elder abuse prevention, CMS’s new requirements relate to, among other things (i) strengthening the rights of long-term care facility residents, including prohibiting the use of pre-dispute binding arbitration agreements, (ii) ensuring that long-term care facilities take into consideration the health of residents when making decisions on the kinds and levels of staffing a facility needs to properly take care of its residents, (iii) ensuring that staff members have the right skill sets and competencies to provide person-centered care to residents, (iv) improving care planning, including discharge planning for all residents with involvement of the facility’s interdisciplinary team and consideration of the caregiver’s capacity, giving residents information they need for follow-up after discharge, and ensuring that instructions are transmitted to any receiving facilities or services, (v) allowing dietitians and therapy providers the authority to write orders in their areas of expertise when a physician delegates the responsibility and state licensing laws allow, and (vi) updating the long-term care facility’s infection prevention and control program, including requiring an infection prevention and control officer and an antibiotic stewardship program that includes antibiotic use protocols and a system to monitor antibiotic use. The full effects of the 2016 changes to the conditions of

participation, quality measures and implementation, including their effects on financial performance, cannot be predicted.

This focus on health care reform may increase the likelihood of significant changes affecting the health care industry. Possible future changes in the Medicare, Medicaid and other state programs may reduce reimbursements to the Corporation and may also increase operating expenses. Management of the Corporation continues to analyze the ACA in order to assess the effects of the legislation and/or regulations on current and projected operations, financial performance and financial condition. However, management cannot predict with any reasonable degree of certainty or reliability any interim or ultimate effects of the legislation or promulgated regulations.

The ACA contains amendments to existing criminal, civil and administrative anti-fraud statutes and increases in funding for enforcement and efforts to recoup prior federal health care payments to providers. Under the ACA, a broad range of providers, suppliers and physicians is required to adopt a compliance and ethics program. While the government has already increased its enforcement efforts, failure to implement certain core compliance program features provides new opportunities for regulatory and enforcement scrutiny, as well as potential liability if an organization fails to prevent or identify improper federal health care program claims and payments.

Medicare Program. The Medicare program, a federal insurance program under the Social Security Act primarily for individuals aged 65 and over, provides coverage for skilled nursing care (i) up to 100 days per benefit period, (ii) immediately following at least three days of hospitalization and (iii) for care related to the condition treated by the prior hospitalization. The Balanced Budget Act of 1997 implemented a Prospective Payment System (“PPS”) for all skilled nursing facilities, which pays an all-inclusive per diem rate for routine, ancillary and capital costs, and is adjusted geographically for wages and case mix index to reflect a patient’s resource requirements. Higher acuity patients receive more reimbursement under the payment formula. The per diem prospective payment amount covers all Medicare Part A skilled nursing services and any items in therapy services furnished during the patient’s Medicare covered stay (with a few minor exceptions). “Ancillary” services furnished to skilled nursing residents are also covered under Medicare Part B and may be reimbursed after Medicare Part A coverage is exhausted. The Balanced Budget Act of 1997 also provided for the implementation of consolidated billing for skilled nursing facilities, whereby skilled nursing facilities are required to bill the Medicare program for virtually all Medicare services and supplies provided to Medicare residents.

Medicare is administered by CMS, which delegates to the states the process for certifying health care organizations to which CMS will make payment. In order to achieve and maintain Medicare certification, skilled nursing facilities must meet CMS’s “Conditions of Participation” on an ongoing basis, as determined by the state. The requirements for Medicare certification are subject to change, and, therefore, it may be necessary for senior care and housing facilities to effect changes from time to time in their equipment, personnel, billing, policies and services.

As the U.S. population ages, more people will become eligible for the Medicare program. Current projections indicate that demographic changes and continuation of current cost trends will exert significant negative forces on the overall federal budget. The ACA institutes multiple mechanisms for reducing the costs of the Medicare program.

The Budget Control Act mandates significant reductions and spending caps on the federal budget for fiscal years 2012-2021. Provisions of the Budget Control Act, as postponed by the Taxpayer Relief Act, set in place a protocol for mandatory spending cuts known as “sequestration” that resulted in automatic federal spending cuts on March 1, 2013, because Congress and President Obama did not agree on a budget deficit reduction plan before such date. Sequestration resulted in an automatic 2% reduction in Medicare

program payments for all health care providers, which commenced April 1, 2013. In addition, the Bipartisan Budget Act of 2013 was signed into law in December 2013, and extended sequestration for Medicare and other programs through 2023. Reductions in Medicare funding could result in a decrease in net patient service revenue attributable to Medicare. Further, with no long-term resolution in place for federal deficit reduction, provider reimbursement is likely to continue to be a target for reductions with respect to any interim or long-term federal deficit reduction efforts. Because Congress may make changes to the budget in the future, it is impossible to predict the impact any spending cuts that are approved may have upon the Corporation. Similarly, it is impossible to predict whether any automatic reductions to Medicare may be triggered in lieu of other spending cuts that may be proposed by Congress. The reduction in Medicare spending, annual revisions in the Medicare reimbursement rates and the implementation or incorporation of new Medicare payment methodologies could potentially have a significant and adverse financial effect on the operators of skilled nursing facilities, including the Corporation.

CMS has implemented a Recovery Audit Contractor (“*RAC*”) program on a nationwide basis pursuant to which CMS contracts with private entities to conduct post-payment reviews to detect and correct improper payments in the fee-for-service Medicare program. RAC audits are conducted to assure that payments made to health care providers, including skilled nursing providers, are correct. Payments deemed incorrect are adjusted at the time of audit. These adjustments can be appealed following the guidelines of the Medicare program. The ACA expanded the RAC program’s scope to include managed Medicare plans. The Corporation is subject to RAC audits of Medicare payments and may experience disallowance and recoveries of Medicare reimbursement previously paid as a result of such audits. It is possible that such amounts in the future could have a material adverse impact on the Corporation.

The Health Insurance Portability and Accountability Act of 1996 established the Medicare Integrity Program (“*MIP*”). MIP was established to strengthen CMS’s ability to detect and deter potential fraud, waste, and abuse in the Medicare program. In 1999, as part of MIP, CMS created Program Safeguard Contractors (“*PSCs*”) to perform program integrity functions.

Beginning in 2009, program integrity activities were transitioned from PSCs to new entities called Zone Program Integrity Contractors (“*ZPICs*”). ZPICs perform program integrity functions in Medicare Parts A and B, Home Health and Hospice and Medicare-Medicaid data matching. ZPICs investigate instances of suspected fraud, waste, and abuse that are identified through data analysis, complaints and referrals. According to CMS, their primary goal is “to identify cases of suspected fraud, develop them thoroughly and in a timely manner, and take immediate action to ensure that the Medicare Trust Fund monies are not inappropriately paid out and that any mistaken payments are recouped.”

Unlike RACs, ZPICs do not conduct random audits, they have no specific look-back period, they can make unlimited document requests, and they can place a provider on an up to 100 percent prepayment review. ZPIC audits can result in suspension of payment, recoupment of alleged overpayments, referral to enforcement agencies, such as the Department of Justice and the OIG, and revocation of participation in Medicare. Because the Corporation is subject to ZPIC audits, it is possible that such audits in the future could have a material adverse impact on the Corporation.

For the Fiscal Year ended December 31, 2020 and December 31, 2019, Medicare reimbursements accounted for approximately 35.4% and 40.4%, respectively, of the net patient care revenues of the Corporation. See APPENDIX A – “INFORMATION CONCERNING THE CORPORATION.”

Medi-Cal Program. The Medi-Cal Program is the State of California’s Medicaid Program, funded jointly by the federal government and the State. Its purpose is to provide health care coverage for the State’s low-income population. Medi-Cal can be expected to be an important and likely larger source of revenue to health care providers, including the Corporation, as the ACA continues to be implemented and Medi-Cal

coverage is expanded to significant numbers of the uninsured. Medi-Cal generally provides a flat per patient payment for each day of skilled nursing service, regardless of cost or severity of illness. This per diem rate is subject to yearly adjustment. For each of the Fiscal Years ended December 31, 2020 and December 31, 2019, Medi-Cal reimbursements accounted for approximately 41.2% and 33.7%, respectively, of the net patient care revenues of the Corporation. See APPENDIX A – “INFORMATION CONCERNING THE CORPORATION.” As Medi-Cal is partially funded by the State, financial problems of the State may result in lower funding levels and/or payment delays. As Medi-Cal is also partially funded by the federal government, such funding is subject to budget reductions and other Congressional actions. Funding cuts at either the State or federal level could have a material adverse effect on the Corporation.

The State has enacted several laws intended to implement the ACA within the required federal timeframes.

Among the steps taken to date to implement or advance the ACA:

- The State of California established a state health insurance exchange within a year of passage of the ACA. The California Health Benefit Exchange operates under the name, “Covered California.”
- The State of California approved expansion of Medi-Cal coverage, effective January 1, 2014, to include adults with incomes up to 138% of the Federal Poverty Level who are under age 65, not pregnant and not otherwise currently eligible for Medi-Cal. In addition, legislation was enacted prohibiting insurers from denying health coverage based on preexisting conditions.
- The State of California also approved expansion of Medi-Cal coverage for any individual who is 19 years of age and younger, regardless of immigration status. Children receiving restricted scope Medi-Cal coverage (which does not include preventative health, mental health, substance abuse, etc.) prior to May 2016, were transitioned to full-scope Medi-Cal coverage.
- The State of California is also running a dual-eligibles pilot program with federal funding, called the “Cal MediConnect Program.”

The implementation of health care reform extended coverage under Medi-Cal to an additional 3.8 million Californians by the end of 2018 and added new services such as treatment for substance abuse and mental health. While the Corporation’s management cannot predict the effect of these changes to the Medicaid program on operations, results from operations or the financial condition of the Corporation, historically Medicaid has reimbursed at rates below the actual cost of care. Therefore, increases in the overall proportion of Medicaid patients poses a financial risk to the Corporation. The State expanded Medi-Cal under the ACA, and it is uncertain to what extent the adverse reimbursement effects of increased Medi-Cal volume may be mitigated by a reduction in the volume of services that otherwise would have been provided as uncompensated care. Furthermore, there can be no assurance that legislation will not be adopted that would materially alter federal financing to the states in support of the Medicaid program, and there can be no assurance that any such legislation will not materially adversely affect the Corporation. Furthermore, attempts to balance or reduce the federal budget, along with balanced-budget requirements in the State, will likely negatively impact Medicaid funding.

Exclusion from Medicare and Medicaid Participation. The government may exclude a senior care provider from Medicare/Medicaid program participation if it is convicted of a criminal offense relating to the delivery of any item or service reimbursed under Medicare or Medicaid, any criminal offense

pertaining to patient neglect or abuse in connection with the delivery of health care, including skilled nursing care, fraud against any federal, state or locally financed health care program, or an offense relating to illegal manufacture, distribution, prescription, or dispensing of a controlled substance. The government may also exclude individuals or entities under certain circumstances, such as an unrelated conviction of fraud, or other financial misconduct relating either to the delivery of health care in general or to participation in a federal, state or local government program. Exclusion from the Medicare and Medicaid programs means that a senior care provider would be decertified and no program payments could be made to it. Any senior care provider exclusion could be a material adverse event. In addition, exclusion of senior care organization employees under Medicare may be another source of potential liability for senior care organizations based on services provided by those excluded employees.

Federal and State Fraud and Abuse Laws. Certain federal laws, including the laws commonly known as the Anti-Kickback Statute, the Stark Law and the False Claims Act, seek to protect the federal health care programs from fraud and abuse (collectively, the “*Federal Healthcare Fraud Laws*”). The Federal Healthcare Fraud Laws are complex, heavily enforced and subject to frequent amendment. Violation of the Federal Healthcare Fraud Laws may result in significant financial penalties, fines, exclusion from the federal health care programs and/or criminal liability. Failure to comply with those laws could have a material adverse effect on the operations of Facilities.

A number of states, including California, have passed healthcare fraud and abuse laws similar in scope to, or more restrictive than, the Federal Healthcare Fraud Laws, and have expanded the prohibitions to all payors including private insurers. For example, the California Insurance Code provides that a person who submits a fraudulent claim to an insurance company (including private insurers) is subject to significant civil fines and penalties. Similar to the federal False Claims Act, actions under this California Insurance Code section may be initiated by private parties.

At the present time, management is not aware of any pending or threatened claims, investigations or enforcement actions regarding any applicable federal or state statutes which, if determined adversely to the Corporation would have a material adverse effect on the financial condition of the Corporation.

Federal and State Privacy Laws. Specific state and federal laws govern the use and disclosure of confidential patient health information, as well as patients’ rights to access and amend their own health information. The Administrative Simplification Requirements of the Health Insurance Portability and Accountability Act of 1996 (“*HIPAA*”) established national standards to facilitate the electronic exchange of Protected Health Information (“*PHI*”) and to maintain the privacy and security of the PHI. These standards have a major effect on health care providers which transmit PHI in electronic form in connection with HIPAA standard transactions (e.g., health care claims). In particular, HIPAA established standards governing: (1) electronic transactions and code sets; (2) privacy; (3) security; and (4) national identifiers. The Corporation has developed policies, procedures and practices that it believes comply with the HIPAA standards and requirements, but if it were determined that the Corporation was not in compliance there could be criminal and civil penalties imposed.

Title XIII of the American Recovery and Reinvestment Act of 2009, otherwise known as the Health Information Technology for Economic and Clinical Health Act (the “*HITECH Act*”), provides for an investment of almost \$20 billion in public monies for the development of a nationwide health information technology infrastructure (“*HITI*”). The HITI is intended to improve health care quality, reduce costs and facilitate access to certain information. The HITECH Act also expands the scope and application of the administrative simplification provisions of HIPAA, and its implementing regulation, (i) imposing a written notice obligation upon covered entities for security breaches involving “unsecured” protected health information, (ii) expanding the scope of a provider’s electronic health record disclosure tracking obligations, (iii) substantially limiting the ability of health care providers to sell protected health

information without patient authorization, (iv) increasing penalties for violations, and (v) providing for enforcement of violations by state attorneys general. While the effects of the HITECH Act cannot be predicted at this time, the obligations imposed thereunder could have a material adverse effect on the financial condition of the Corporation.

In California, two medical privacy laws that became effective January 1, 2009 expanded California's health care privacy standards and provided new oversight mechanisms and enforcement penalties. These state privacy laws, among other things, penalize unlawful access, use or disclosure of a patient's health care information. State consumer privacy laws may also provide the basis for legal action for privacy and security breaches and, unlike HIPAA, authorize a private right of action. The state privacy laws provide additional sources of potential legal liability for the Corporation and compliance with such laws may require the Corporation to incur additional costs.

In addition, the California Consumer Privacy Act ("CCPA") became effective January 1, 2021 and generally provides consumers with four basic rights relating to their personal information: (i) to receive details on what personal information is collected, how or where it is acquired (e.g., through website cookies), what the information might be used for, whether the information is being shared with third parties, and to whom it is shared, (ii) the ability to "opt out" of having personal information shared with third parties, (iii) the ability to request that personal information be deleted (subject to some limitations), and (iv) not to be subject to discrimination (e.g., denied service, provided different goods or services, or charged different prices) for "opting out" or otherwise exercising any rights under the CCPA. While the CCPA is generally believed not to be applicable to nonprofit organizations, it would apply if the nonprofit organization controls or is controlled by a for-profit entity subject to the CCPA, operates under a brand name it shares with a for-profit entity subject to the CCPA (e.g., a co-branded corporate foundation), enters a joint-venture with a for-profit entity subject to the CCPA, or contracts with an entity through an agreement that requires compliance with the CCPA. The Corporation believes that it has not undertaken any action that would cause it to currently be subject to the provisions of the CCPA.

State Licensure and Regulation of Senior Living Providers

The operations of the Corporation are subject to numerous licensing, certification, accreditation and other governmental requirements that are administered by a variety of federal and state governmental agencies as well as by self-regulatory associations and commercial medical insurance reimbursement programs. These include, but are not limited to, requirements relating to payment and requirements relating to state licensing agencies, private payors and accreditation organizations. Renewal and continuance of certain of these licenses, certifications, approvals and accreditations are based upon inspections, surveys, audits, investigations or other review, some of which may require or include affirmative action or response by the Corporation. An adverse determination could result in a loss, fine or reduction in the Corporation's scope of licensure, certification or accreditation, could affect the ability to undertake certain expenditures, or could reduce the payment received or require the repayment of the amounts previously remitted. The Corporation currently anticipates no difficulty in renewing or continuing currently-held licenses, certifications and accreditations. It is impossible, however, to predict the effect of future regulation on the operations or financial condition of the Corporation.

State Regulation of the Facilities. The Corporation operates each of the Facilities as a CCRC, consisting of a residential portion licensed as a Residential Care Facility for the Elderly ("RCFE") by the California Department of Social Services ("DSS") and a health facility portion licensed as a skilled nursing facility ("SNF") by CDPH. If the Corporation fails to meet any of the below described state statutory or regulatory requirements with respect to CCRCs, SNFs or RCFEs, it could become unable to operate as described herein and, consequently, be unable to meet debt service requirements on the Bonds.

Generally, an agreement to provide one or more elements of care to an elderly resident for the duration of his or her life or for a term in excess of one year in exchange for the transfer of consideration for the purpose of assuring care or related services is regarded as a “continuing care contract” subject to rules and regulations under the California Health and Safety Code (the “*Health and Safety Code*”). Any person or organization agreeing to provide such care must first obtain: (i) where there is a skilled nursing facility on the premises, a license to operate a skilled nursing facility from CDPH pursuant to Division 2, Chapter 2 of the Health and Safety Code; (ii) a license to operate a RCFE from the DSS pursuant to Division 2, Chapter 3.2 of the Health and Safety Code; and (iii) a certificate of authority (“*Certificate of Authority*”) from DSS pursuant to Chapter 10, Division 2 of the Health and Safety Code, to enter into continuing care contracts with residents. For information regarding the types of services offered by the Corporation at the Facilities, see APPENDIX A- “INFORMATION CONCERNING THE CORPORATION.”

RCFE and SNF Licensure Requirements. RCFE licenses renew annually upon payment of renewal fees; however, the license is subject to suspension or revocation on any ground specified in Health and Safety Code Section 1569.50 (violation by the licensee of the RCFE law; aiding, abetting, or permitting violation of the RCFE law; conduct inimical to the health, morals, welfare, or safety of either an individual in or receiving services from the facility or the people of the State of California; the conviction of a licensee, or other person for whom criminal record clearance is required, any time before or during licensure, of a crime as defined in the RCFE law; and engaging in acts of financial malfeasance concerning operation of a facility, including, but not limited to, improper use or embezzlement of client monies and property or fraudulent appropriation for personal gain of facility monies and property, or willful or negligent failure to provide services for the care of clients). CDPH inspects nursing facilities approximately once a year, and facilities failing to meet the state or federal standards are subject to fines or other enforcement actions. The Continuing Care Contracts Branch of DSS reviews each CCRC in the state at least once every three years to augment the branch’s assessment of the CCRC’s financial soundness. The branch considers the condition of the CCRC, whether the CCRC is operating in compliance with applicable state law, and whether the CCRC is performing the services specified in its continuing care contracts.

CDPH and DSS have the ability to deny licensing if either agency is not satisfied with the Corporation’s compliance with requirements to operate as a SNF or RCFE, respectively, in the state. In addition, CDPH and DSS both have broad remedial powers to intervene in the operation of a provider who fails to comply with applicable regulatory requirements once the provider is licensed and in operation. Failure to maintain any required financial reserves or to comply with regulatory requirements may result in civil penalties or the suspension or revocation of a CCRC’s Certificate of Authority (as discussed in more detail below). Upon certain failures to comply with regulatory requirements, including the CCRC becoming insolvent or unable to perform its contractual obligations, DSS is authorized to petition for the appointment of a court-appointed administrator to rehabilitate the CCRC. In this capacity, the administrator’s powers include taking possession of the CCRC’s assets and property, dealing with the property in the administrator’s name, depositing and investing any of the CCRC’s funds, and paying all expenses of the rehabilitation. In the event of a permanent relocation of residents from the Corporation’s facilities is required due to termination or forfeiture of the Corporation’s Certificate of Authority or licenses, certain procedures are required to be followed. These procedures include the establishment of a reserve, trust fund or performance bond in an amount sufficient to cover the cost and ensure the fulfillment the Corporation’s statutory obligations, which include the cost of moving residents to other communities and may include additional monetary compensation to the affected residents in certain circumstances.

Certificate of Authority Requirement. In addition to the licenses described above, continuing care providers are required to obtain a Certificate of Authority prior to entering into continuing care contracts with residents. A Certificate of Authority may be suspended, conditioned or revoked by DSS if it finds that the continuing care provider has done any of the following: (i) violated the statutes, or the rules and regulations of the Health and Safety Code governing continuing care contracts (the “Continuing Care

Law”); (ii) aided, abetted, or permitted the violation of the Continuing Care Law; (iii) had a license suspended or revoked; (iv) made a material misstatement or misrepresentation or engaged in fraud in obtaining its licenses, permits or Certificate of Authority; (v) demonstrated a lack of fitness or trustworthiness; (vi) engaged in any fraudulent or dishonest practices or management in the conduct of business; (vii) misappropriated, converted, or withheld moneys; (viii) after request by DSS for an examination, impeded access to records or information, refused to be examined or otherwise failed to cooperate; (ix) manifested an unsound financial condition; (x) used methods and practices in the conduct of business so as to render further transactions by the provider hazardous or injurious to the public; (xi) failed to maintain at least the minimum statutory reserves required by the Continuing Care Law; (xii) failed to comply with the requirements of the Continuing Care Law for maintaining escrow accounts for funds; (xiii) failed to file its annual report; (xiv) violated a condition of its permit to accept deposits or its Certificate of Authority; (xv) failed to comply with its approved financial and marketing plan or to secure approval of a modified plan; (xvi) materially changed or deviated from an approved plan of operation without the prior consent of DSS; (xvii) failed to fulfill its obligations under continuing care contracts; (xviii) made material misrepresentations to depositors, prospective residents or residents of a continuing care retirement community; (xix) failed to submit proposed changes to continuing care contracts prior to use, or is using a continuing care contract that has not been previously approved by DSS; or (xx) failed to diligently submit materials requested by DSS or required by the Continuing Care Law. The suspension or revocation of a Certificate of Authority by DSS, or the voluntary return of such a Certificate by a continuing care provider, does not release such provider from the obligations assumed at the time continuing care contracts were executed.

As a provider offering continuing care contracts, the Corporation is required by the Continuing Care Law to maintain at all times qualifying assets (“*Qualifying Assets*”) as a liquid reserve in an amount at least equal to the sum of (a) the amount the provider is required to hold as a debt service reserve under Section 1792.3 of the Health and Safety Code - described below (the “*Debt Service Reserve Amount*”) and (b) the amount the continuing care provider is required to hold as an operating expense reserve under Section 1792.4 of the Health and Safety Code - described below (the “*Operating Expense Reserve Amount*”). The Debt Service Reserve Amount is the amount equal to the sum of (i) all regular principal and interest payments, and credit enhancement premiums, paid by the Corporation during the immediately preceding fiscal year on account of any fully amortizing long-term debt owed by the Corporation; (ii) facility rental or leasehold payments, and any related payments, paid by the Corporation during the immediately preceding fiscal year; and (iii) all payments paid by the Corporation during the immediately preceding fiscal year on account of any debt that provides for a balloon payment. The Operating Expense Reserve Amount is an amount that equals or exceeds 75 days’ net operating expenses, which includes all expenses of the Corporation except (w) interest and credit enhancement expenses factored into the Debt Service Reserve Amount described above, (x) depreciation or amortization expenses, (y) an amount equal to the reimbursement paid to the Corporation during the past 12 months for services to residents other than residents holding continuing care contracts, and (z) extraordinary expenses that DSS determines may be excluded by the Corporation. Qualifying Assets are: (1) cash; (2) certificates of deposit and United States Treasury securities with a maturity of five years or less; (3) certain investment securities (as defined in Section 1771(i)(2) of the Health and Safety Code); (4) certain equity securities, including mutual funds (as defined in Section 1771(e)(7) of the Health and Safety Code); and (5) certain lines of credit and letters of credit meeting the requirements of Section 1792.2(a)(5.) of the Health and Safety Code. The Corporation is not required to set aside, deposit into escrow, or otherwise restrict the assets it holds as its liquid reserve, unless DSS expressly requires it to do so because DSS has reason to believe the Corporation is insolvent, in imminent danger of becoming insolvent, in a financially unsound or unsafe condition, or in a condition such that it may otherwise be unable fully to perform its obligations pursuant to continuing care contracts. As of July 31, 2021, the Corporation were in compliance with the liquidity reserve obligations described above.

In addition to suspending, limiting or revoking a Certificate of Authority, if a continuing care provider fails to establish or depletes the reserves or escrow account required under the Continuing Care Law, is insolvent or in imminent danger of becoming insolvent, is in a financially unsound or unsafe condition, fails to submit a plan or to obtain DSS' approval of a plan submitted, is unable fully to perform its obligations under continuing care contracts or residents are otherwise placed in serious jeopardy, DSS may petition the superior court in the county in which such community is located for an order appointing a qualified administrator to operate the community and its assets.

The Monning Bill, amending the Continuing Care Law, aimed to protect CCRC residents and their estates against significant delays in the repayment of residents' entrance fees when contracts condition the repayment on the resale of CCRC units (*"Repayable Contracts"*). The Monning Bill requires unpaid entrance fee repayments outstanding: (i) 180 days after termination of the Repayable Contract to accrue simple interest at a rate of 4%, (ii) 240 days after termination of the Repayable Contract to accrue simple interest at a rate of 6% and (iii) one-year after the 240-day period to accrue interest at a rate of 6%, compounded annually. It also requires CCRCs to disclose the average and longest length of time for entrance fee repayment. The requirements of the Monning Bill amendments are effective for repayable contracts entered into on or after January 1, 2017. Management does not anticipate that such requirements will have a material adverse effect on the financial condition of the Corporation. See "APPENDIX A – INFORMATION CONCERNING THE CORPORATION – Management Discussion and Analysis of Financial Performance – Sources of Revenue".

In the case of any violation or threatened violation of the Continuing Care Law, DSS may institute a proceeding or may request the Attorney General of the State to institute a proceeding to obtain injunctive or other equitable relief in the superior court in and for the county in which the violation has occurred or will occur, or in which the principal place of business of the continuing care provider is located. If at any time DSS determines that further efforts to rehabilitate the continuing care provider would not be in the best interest of the CCRC residents or prospective residents, or would not be economically feasible, DSS may apply to the court for an order of liquidation and dissolution or may apply for other appropriate relief for dissolving the property and bringing to conclusion its business affairs. Upon issuance of an order directing the liquidation or dissolution of the provider, DSS shall revoke the continuing care provider's Certificate of Authority.

The Corporation has obtained the necessary licenses and Certificate of Authority from DSS and CDPH in order to operate its Facilities and in the opinion of management, operates its Facilities in a manner consistent with the Health and Safety Code. To date the Corporation's existing skilled nursing facility license, RCFE license and Certificate of Authority have never been suspended, conditioned or revoked. There is no guarantee that the Corporation's Certificates of Authority and licenses to operate the Facilities will not be suspended, conditioned or revoked in the future. Further, there is no assurance that future legislation in California will not have an adverse impact on the ability of the Corporation to operate the Facilities as now operated.

Pursuant to Sections 1773 and 1789.4 of the Health and Safety Code, a provider may not sell or transfer ownership of a CCRC without the approval of DSS, including the granting of any interest in the community, such as a mortgage or deed of trust. Pursuant to Health and Safety Code Section 1779.4, as a condition to the receipt of a Certificate of Authority to operate as a CCRC, a provider must also record a "Notice of Statutory Limitation of Transfer" with respect to the real property on which the community is located, indicating that use and transfer of the property is subject to the conditions and limitations imposed by the Health and Safety Code, which Notice is required to be recorded prior to encumbering the CCRC property with a proposed encumbrance securing financing. The limitations on transfer imposed by the Health and Safety Code Section 1789.4 include approval by DSS following review of an application that identifies the purchaser, the terms of the sale, a plan for ensuring performance of the existing continuing

care contract obligations and notice to and acknowledgment by the residents. Further, unless a new provider assumes all of the continuing care obligations of the selling provider at the close of the sale or transfer, the selling provider must set up a trust fund or secure a performance bond to ensure the fulfillment of all of its continuing care contract obligations. The purchaser must also make application for and obtain the appropriate licenses and certificate of authority before executing any continuing care contracts or assuming the selling provider's continuing care contracts. The Corporation's Facilities are subject to the foregoing statutory limitations on transfer.

State Penalties for Significant Patient Care Events. In California, CDPH is authorized to issue citations to and impose administrative remedies on SNFs that experience certain significant patient care events that violate State or federal law. In accordance with Sections 1424 and 1424.5 of the Health and Safety Code, a violation is assigned one of several citation classes based on the scope and impact of the incident on patient health and safety. Depending on the citation class, the administrative penalty for such incidents ranges from \$100 to \$100,000.

SNF Quality Assurance Fees. Certain SNFs in California are subject to "quality assurance fees" on skilled nursing services. State law, however, includes a waiver which exempts certain types of SNFs, such as SNFs that are components of CCRCs and SNFs operated by the state or another public entity, from the obligation to pay such quality assurance fees. There can be no assurance that such exemption (which, as presently in effect exempts the Corporation) will continue in whole or in part, and legislative proposals that contemplate modifying or terminating the scope of the quality assurance fee exemption have been discussed from time to time.

State Fraud and Abuse Laws. As discussed above, states including California have anti-kickback, fee-splitting, physician self-referral and false claims prohibitions similar to or broader in scope than the Federal Healthcare Fraud Laws. Violation of these state laws may result in criminal and civil penalties. See "Federal and State Fraud and Abuse Laws" above for more information.

Nonprofit Senior Care Environment

As a nonprofit tax-exempt organization, the Corporation is subject to federal, state and local laws, regulations, rulings and court decisions relating to its organization and operation, including its operation for charitable purposes.

Senior care facilities have been the subject of adverse attention from governmental regulatory agencies, consumer attorneys, and the press for alleged substandard care resulting in injuries to residents. In certain circumstances, consumer attorneys will use the laws designed to prevent elder abuse as a means of obtaining large settlements or judgments from facilities whose residents and patients have suffered injury. This has led to periodic discussions at both the federal and state levels regarding possible reform legislation.

The operations and practices of nonprofit, tax-exempt health care or senior care organizations are routinely challenged or criticized for inconsistency or inadequate compliance with the regulatory requirements for, and societal expectations of, nonprofit tax-exempt organizations. These challenges, in some cases, are broader than concerns about compliance with federal and state statutes and regulations, such as Medicare and Medicaid compliance, and instead in many cases are examinations of core business practices of the health care or senior care organizations. A common theme of these challenges is whether nonprofit organizations fail to confer community benefits that justify the benefit received from tax-exempt status. Areas that have come under examination have included pricing practices, billing and collection practices, charitable care, methods of providing and reporting community benefit, executive compensation, exemption of property from real property taxation, private use of facilities financed with tax-exempt bonds

and others. These challenges and questions have come from a variety of sources, including state attorneys general, the IRS, labor unions, Congress, state legislatures and patients, and in a variety of forums, including hearings, audits and litigation. The challenges and examinations, and any resulting legislation, regulations, judgments or penalties, could have a material adverse effect on the Corporation. These challenges or examinations include the following, among others:

Congressional Hearings. Senate and House Committees have conducted several nationwide investigations of hospital billing and collection practices and Congress has imposed new “community benefit” standards on tax-exempt hospitals. See “IRS Examination of Compensation Practices and Community Benefit” below. Senior care and housing experts speculate that senior care and housing organizations may be vulnerable to similar changes.

It is uncertain whether any of these committees will pursue investigations of or Congress will adopt legislative changes negatively impacting tax-exempt senior care and housing organizations. An overarching concern is whether certain tax-exempt organizations provide charity care or community benefit at levels that justify the benefits of the tax-exemption.

Nonprofit Legislation. Legislative proposals that could have an adverse effect on the Corporation include: (i) any changes in the taxation of nonprofit corporations or in the scope of their exemption from income or property taxes; (ii) limitations on the amount or availability of tax-exempt financing for corporations recognized as tax-exempt under Section 501(c)(3) of the Code; (iii) regulatory limitations affecting the Corporation’s ability to undertake capital projects or develop new services; (iv) a requirement that nonprofit health care institutions pay real property tax and sales tax on the same basis as for-profit entities; (v) mandates to provide certain levels of free or substantially reduced care that must be provided to low income uninsured and underinsured populations; and (vi) placing ceilings on executive compensation.

IRS Bond Examinations. IRS officials have indicated that resources will be invested in audits of tax-exempt bonds in the charitable organization sector with specific review of private use. Schedule K of Form 990 requires tax-exempt organizations to report on the investment and use of tax-exempt bond proceeds to address IRS concerns regarding compliance with arbitrage rebate requirements and the private use of bond-financed facilities.

IRS Examination of Compensation Practices and Community Benefit. The IRS has historically scrutinized executive compensation arrangements, practices and procedures of tax-exempt hospitals and other tax-exempt organizations; and has, in certain circumstances, conducted further investigations or imposed fines on such tax-exempt organizations. Senior care and housing experts believe that similar scrutiny will be applied to the senior care sector.

California Attorney General. California nonprofit public benefit corporations, including the Corporation, are subject to oversight and examination by the California Attorney General to ensure their charitable purposes are being carried out, that their fundraising and investment activities comply with State law and that the terms of charitable gifts are followed.

Challenges to Real Property Tax Exemptions. The real property tax exemptions afforded to certain nonprofit health care providers by state and local taxing authorities have been challenged on the grounds that the health care providers were not engaged in sufficient charitable activities. These challenges have been based on a variety of grounds, including allegations of aggressive billing and collection practices, excessive financial margins and operations that closely resemble for-profit businesses. The majority of the real property of the Corporation is expected to be exempt from real property taxation. Although the real property tax exemption of the Corporation is not, to

the knowledge of management of the Corporation, under challenge by such authorities, an investigation or audit could lead to a challenge that could ultimately affect the real property tax exemption of the Corporation. See “Tax-Exempt Status and Other Tax Matters—State and Local Tax Exemption” herein.

Class Actions. Senior care providers have long been subject to a wide variety of litigation risks, including liability for care outcomes, employer liability, and property and premises liability, among others. In recent years, consumer class action litigation has emerged as a potentially significant source of litigation liability for senior care providers. These class action suits may have material adverse consequences on senior care providers in the future.

The foregoing are some examples of the challenges and examinations facing nonprofit senior care organizations. They are indicative of a greater scrutiny of the practices of these organizations and may indicate an increasingly difficult operating environment for senior care organizations. The challenges and examinations, and any resulting legislation, regulations, judgments, or penalties, could have a material adverse effect on senior care providers, including the Corporation, and, in turn, the ability of the Corporation to make payments under the Loan Agreement.

Tax-Exempt Status and Other Tax Matters

Maintenance of the Tax-Exempt Status of the Corporation. The tax-exempt status of the Bonds presently depends upon maintenance by the Corporation of its status as an organization described in section 501(c)(3) of the Code. The maintenance of this status depends on compliance with general rules regarding the organization and operation of tax-exempt entities, including their operation for charitable and educational purposes and their avoidance of transactions that may cause its earnings or assets to inure to the benefit of private individuals, such as the private benefit and inurement rules. The possible modification or repeal of certain existing federal income or state tax laws or other loss by the Corporation of the present advantages of certain provisions of the federal income or state tax laws could materially and adversely affect the status of the Corporation and thereby the revenues of the Corporation. The Corporation has obtained a determination letter from the Internal Revenue Service to the effect that it is exempt from federal income taxation under Section 501(a) of the Code by virtue of being an organization described in Section 501(c)(3) of the Code. As such, the Corporation is subject to a number of requirements affecting its operation.

Tax-exempt organizations are subject to scrutiny from and face the potential for sanctions and monetary penalties imposed by the IRS. One primary penalty available to the IRS under the Code with respect to a tax-exempt entity engaged in inurement or impermissible private benefit is the revocation of tax-exempt status. Loss of tax-exempt status by the Corporation could result in loss of tax exemption of the Bonds, and defaults in covenants regarding the Bonds and other obligations of the Corporation. Loss of tax-exempt status also could result in substantial tax liabilities on the income of the Corporation. For these reasons, loss of tax-exempt status could have material adverse consequences on the financial condition of the Corporation.

With increasing frequency, the IRS has imposed substantial monetary penalties and public benefit obligations on tax-exempt organizations in lieu of revoking tax-exempt status, as well as requiring that certain transactions be altered, terminated or avoided in the future. These penalties and obligations typically are imposed on the tax-exempt organization pursuant to a “closing agreement,” a contractual agreement pursuant to which a taxpayer and the IRS agree to settle a disputed matter. The Corporation may be at risk for incurring monetary and other liabilities imposed by the IRS. These liabilities could be materially adverse to the financial condition of the Corporation.

Less onerous sanctions, referred to generally as “intermediate sanctions,” have been enacted, which sanctions focus enforcement on private persons who transact business with a tax-exempt organization rather than the tax-exempt organization itself, but these sanctions do not replace the other remedies available to the IRS described above.

The Corporation may be audited by the IRS. Because of the complexity of the tax laws and the presence of issues about which reasonable persons can differ, an IRS audit could result in additional taxes, interest and penalties. An IRS audit could ultimately affect the tax-exempt status of the Corporation, as well as the exclusion from gross income for federal income tax purposes of the interest on the Bonds.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of charitable organizations. There can be, however, no assurance that future changes in the laws and regulations of the federal, state or local governments will not materially and adversely affect the operations and revenues of the Corporation by requiring it to pay income taxes.

The IRS Form 990 is used by most 501(c)(3) not-for-profit organizations exempt from federal income taxation to submit information required by the federal government. The IRS Form 990 requires detailed public disclosure of compensation practices, corporate government, loans to executive management and others, joint ventures and other types of transactions, political campaign activities, and other areas the IRS deems to be compliance risk areas. The form also requires reporting of information relating to tax-exempt bonds, including compliance with the arbitrage rules and rules limiting private use of bond-financed facilities, including compliance with the safe harbor guidance in connection with management contracts. This detailed information, available to the IRS as well as states’ attorneys general, unions, plaintiff class action lawyers and public interest groups, could result in increased enforcement actions, the effect of which cannot be determined at this time.

It is expected that Bond Counsel will render an opinion with respect to the tax-exempt status of the Bonds, as described under the caption “TAX MATTERS.” See “FORWARD DELIVERY OF THE BONDS” herein. No ruling with respect to the Bonds has been or will be sought from the IRS, however, and opinions of counsel are not binding on the IRS or the courts. There can be no assurance that an examination of the Bonds will not adversely affect the Bonds or the market value of the Bonds, nor that future legislative action might not limit or remove the tax-exempt status of interest on the Bonds. See “TAX MATTERS” herein.

State and Local Tax Exemption. It is possible that legislation may be proposed to strengthen the role of the California Franchise Tax Board and the Attorney General of the State in supervising nonprofit senior care organizations. It is likely that the loss by the Corporation of federal tax exemption would also trigger a challenge to its state tax-exemption. Depending on the circumstances, such event could be material and adverse.

State, county and local taxing authorities undertake audits and reviews of the operations of tax-exempt senior care providers with respect to their real property tax exemptions. In some cases, particularly where authorities are dissatisfied with the affordability of the community, the real property tax-exempt status of the senior care providers has been questioned. The majority of the real property of the Corporation is expected to be exempt from real property taxation. Although the real property tax exemption of the Corporation is not, to the knowledge of management of the Corporation, under challenge by such authorities, an investigation or audit could lead to a challenge that could ultimately affect the real property tax exemption of the Corporation.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of nonprofit corporations. There can be no assurance that future changes in the laws and

regulations of state or local governments will not materially adversely affect the financial condition of the Corporation, by requiring payment of income, local property or other taxes.

Unrelated Business Income. The IRS and State, county and local taxing authorities may undertake audits and reviews of the operations of tax-exempt corporations with respect to the generation of unrelated business taxable income (“*UBTI*”). The Corporation may participate in activities that may generate UBTI. Management believes it has properly accounted for and reported UBTI generally; nevertheless, an investigation or audit could lead to a challenge that could result in taxes, interest and penalties with respect to UBTI and, in some cases, ultimately could affect the tax-exempt status of the Corporation.

Maintenance of Tax-Exempt Status of Interest on the Bonds. The Code imposes a number of requirements that must be satisfied for interest on state and local obligations, such as the Bonds, to be excludable from gross income for federal income tax purposes. These requirements include limitations on the use of bond proceeds and bond-financed property, limitations on the investment earnings of bond proceeds prior to expenditure, a requirement that certain investment earnings on bond proceeds be paid periodically to the United States Treasury, and a requirement that issuers file an information report with the IRS. The Corporation has covenanted in the Loan Agreement that it will comply with such requirements. Future failure by the Corporation to comply with the requirements stated in the Code and related regulations, rulings and policies may result in the treatment of interest on the Bonds as taxable, retroactively to the date of issuance. The Authority has covenanted in the Indenture that it will not take any action or refrain from taking any action that would cause interest on the Bonds to be included in gross income for federal income tax purposes.

IRS officials have indicated that resources will be invested in audits of tax-exempt bonds, including the use of bond proceeds, in the charitable organization sector, with specific reviews of private use. In addition, under its compliance check program initiated in 2007, the IRS has from time to time sent post-issuance compliance questionnaires to several hundred nonprofit corporations that have borrowed on a tax-exempt basis regarding their post-issuance compliance with various requirements for maintaining the federal tax exemption of interest on their bonds. The questionnaire includes questions relating to the borrower’s (i) record retention, which the IRS has particularly emphasized, (ii) qualified use of bond-financed property, (iii) compliance with arbitrage yield restriction and rebate requirements, (iv) debt management policies, and (v) voluntary compliance and education. After analyzing responses, IRS representatives indicated that it had commenced a number of examinations of hospital tax-exempt bond issues with wide-ranging areas of inquiry. In the final report summarizing findings and conclusions of the questionnaire responses, issued July 1, 2011, the IRS stressed the importance of formal post-issuance compliance and record-keeping procedures. IRS representatives indicate that more questionnaires may be sent to additional nonprofit organizations.

Effective with the 2008 tax year, tax-exempt organizations must also complete Schedules H, K and J to Form 990, which create additional reporting responsibilities. On Schedule H, hospitals and health systems must report how they provide community benefit and specify certain billing and collection practices. Schedule K requires detailed information related to certain outstanding bond issues of tax-exempt borrowers, including information regarding operating, management and research contracts as well as private use compliance. Tax-exempt organizations must also complete Schedule J, which requires reporting of compensation information for the organizations’ officers, directors, trustees, key employees, and other highly compensated employees.

There can be no assurance that responses by the Corporation to a questionnaire or Form 990 will not lead to an IRS review that could adversely affect the market value of the Bonds or of other outstanding tax-exempt indebtedness of the Corporation. Additionally, the Bonds or other tax-exempt obligations

issued for the benefit of the Corporation may be, from time to time, subject to examinations or audits by the IRS.

In addition, current and future legislative proposals, if enacted into law, could cause interest on the Bonds to be subject to federal income taxation or state income taxation. See “TAX MATTERS” herein.

It is expected that Bond Counsel will render an opinion with respect to the tax-exempt status of the Bonds, as described under the caption “TAX MATTERS.” See “FORWARD DELIVERY OF THE BONDS” herein. No ruling with respect to the Bonds has been or will be sought from the IRS, however, and opinions of counsel are not binding on the IRS or the courts. There can be no assurance that an examination of the Bonds will not adversely affect the Bonds or the market value of the Bonds, nor that future legislative action might not limit or remove the tax-exempt status of interest on the Bonds. See “TAX MATTERS” herein.

Other Tax Status Issues. The IRS has also issued Revenue Rulings dealing specifically with the manner in which a facility providing residential services to the elderly must operate in order to maintain its exemption under Section 501(c)(3). Revenue Ruling 72-124 states that, an organization, otherwise qualified for charitable status under Section 501(c)(3) of the Code, which devotes its resources to the operation of a home for the aged will qualify for charitable status for purposes of federal tax law if it operates in a manner designed to satisfy the three primary needs of aged persons: the needs for housing, health care, and financial security. Revenue Ruling 79-18 states that a nonprofit organization that provides specially designed housing to elderly persons at the lowest feasible cost and maintains in residence those tenants who subsequently become unable to pay monthly fees is an organization operated exclusively for charitable purposes within the meaning of Section 501(c)(3) of the Code.

Parity Debt

In addition to its obligations with respect to the Bonds, the Corporation may incur other indebtedness that may be secured by a security interest in Gross Revenues and the lien of the Deed of Trust on a parity with the Corporation’s obligation to make Loan Repayments under the Loan Agreement, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement. Parity Debt may not be incurred unless it is insured by the Department or, if the Parity Debt can be issued as such without being insured under the Insurance Law, it is issued with the consent of the Department. See APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Parity Debt.”

Bankruptcy

In the event of bankruptcy of the Corporation, the rights and remedies of the holders of the Bonds are subject to various provisions of the federal Bankruptcy Code. If the Corporation were to file a petition in bankruptcy, payments made by the Corporation during the 90-day (or perhaps one-year) period immediately preceding the filing of such petition may be voidable as preferential transfers to the extent such payments allow the recipients thereof to receive more than they would have received in the event of the Corporation’s liquidation. Security interests and other liens granted to the Trustee and perfected during such preference period also may be voided as preferential transfers to the extent such security interest or other lien secures obligations that arose prior to the date of such perfection. Such a bankruptcy filing would operate as an automatic stay of the commencement or continuation of any judicial or other proceeding against the Corporation and its property and as an automatic stay of any act or proceeding to enforce a lien upon or to otherwise exercise control over its property as well as various other actions to enforce, maintain or enhance the rights of the Trustee. If the bankruptcy court so ordered, the property of the Corporation, including accounts receivable and proceeds thereof, could be used for the financial rehabilitation of the

Corporation despite any security interest of the Trustee therein. The rights of the Trustee to enforce its security interests and other liens it may have could be delayed during the pendency of the rehabilitation proceeding.

The Corporation could file a plan for the adjustment of its debts in any such proceeding, which plan could include provisions modifying or altering the rights of creditors generally or any class of creditors, secured or unsecured. The plan, when confirmed by a court, binds all creditors who had notice or knowledge of the plan and, with certain exceptions, discharges all claims against the debtor to the extent provided for in the plan. No plan may be confirmed unless certain conditions are met, among which conditions are that the plan be feasible and that it shall have been accepted by each class of claims impaired thereunder. Each class of claims has accepted the plan if at least two thirds in dollar amount and more than one-half in number of the class cast votes in its favor. Even if the plan is not so accepted, it may be confirmed if the court finds that the plan is fair and equitable with respect to each class of non-accepting creditors impaired thereunder and does not discriminate unfairly.

Pursuant to the Indenture, the Department will have the right to vote in the place and stead of all owners of Bonds with respect to any plan of reorganization on any agreement for composition of creditors and on any assignment for the benefit of creditors.

Certain Matters Relating to Enforceability

The effectiveness of the security interests in the Corporation's Gross Revenues and the Gross Revenue Fund and the proceeds thereof granted in the Loan Agreement and the Regulatory Agreement may be limited by a number of factors, including: (i) the absence of an express provision permitting assignment of receivables owed to the Corporation under its contracts, and present or future prohibitions against assignment contained in any applicable statutes or regulations; (ii) commingling of the proceeds of Gross Revenues with other moneys not subject to the security interest in the Gross Revenues; (iii) statutory liens; (iv) rights arising in favor of the United States of America or any agency thereof; (v) constructive trusts, equitable or other rights impressed or conferred by a federal or state court in the exercise of its equitable jurisdiction; (vi) federal bankruptcy laws or state insolvency laws which may affect the enforceability of the Deed of Trust or the security interest in the Gross Revenues of the Corporation which are earned by the Corporation within 90 days preceding or, in certain circumstances with respect to related corporations, within one year preceding and after any effectual institution of bankruptcy proceedings by or against the Corporation; (vii) rights of third parties in Gross Revenues converted to cash and not in the possession of the Trustee; and (viii) claims that might arise if appropriate control agreements are not entered into or financing or continuation statements are not filed or other documents are not executed in accordance with the California Uniform Commercial Code as from time to time in effect. The security interests described above have been perfected, to the extent such interests can be perfected by the delivery by the Corporation of depositary account control agreements governing bank depository accounts of the Corporation and the filing of financing statements. Under the Uniform Commercial Code, such security interest ceases to attach to proceeds of Gross Revenues, e.g., collections of accounts receivable which cannot be traced to a specific account of the Corporation other than the Gross Revenue Fund created under the Loan Agreement and the Regulatory Agreement or otherwise have ceased to be "identifiable cash proceeds."

There exists, in addition to the foregoing, common law authority and authority under California statutes pursuant to which the California courts may terminate the existence of a nonprofit corporation or undertake supervision of its affairs on various grounds, including a finding that the Corporation has insufficient assets to carry out its stated charitable purposes or has taken some action which renders it unable to carry out such purposes. Such court action may arise on the court's own motion pursuant to a petition of the California Attorney General or such other persons who have interests different from those of the general

public, pursuant to the common law and statutory power to enforce charitable trusts and to see to the application of their funds to their intended charitable uses.

Limitations Relating to Remedies Under the Deed of Trust

Valuation. The Facilities are located in a region that has experienced real property market volatility throughout the past few years. There can be no assurance that, if the Corporation were to default in making the payments under the Loan Agreement, (i) any part or all of the Facilities could be foreclosed upon and sold for an amount sufficient to fully pay the outstanding principal of and interest on the Bonds or (ii) any bid would be received for the Facilities and, if received, that such bid would be sufficient to fully pay the outstanding principal of and interest on the Bonds.

Priority of the Liens. The liens created under the Deed of Trust delivered by the Corporation constitute a first lien on and security interest in all of the Corporation's Facilities (collectively, the "Collateral Property"). In addition, the liens are subordinate to and independent of liens for general property taxes, special taxes and assessments. Additional special taxes or assessments may be imposed on the Collateral Property by other public agencies that have jurisdiction over the Collateral Property. Such future special taxes or assessments would have priority over the liens created under the Deed of Trust. Additionally, the Corporation may create Permitted Encumbrances which have priority over the liens created under the Deed of Trust.

Hazardous Substances. While governmental taxes, assessments and charges are common claims against the value of property, other less common claims may be relevant. One of the most serious in terms of the potential reduction in the value that may be realized is a claim with regard to hazardous substances. In general, the Corporation may be required by law to remedy conditions of the Facilities relating to release of hazardous substances. The federal Comprehensive Environmental Response, Compensation and Liability Act of 1980, sometimes referred to as "CERCLA" or the "Superfund Act," is the most well-known and widely applicable of these laws. California laws with regard to hazardous substances are stringent and similar to the federal acts. Under many of these laws, the owner (or operator) is obligated to remedy a hazardous substance condition on property, whether or not the owner (or operator) had or has anything to do with the creation or handling of the hazardous substance. Consequently, if any part of the Facilities is affected by a hazardous substance, the marketability and value of the parcel may be reduced by the cost of remedying the condition. Further, such liabilities may arise not simply from the existence of a hazardous substance but from the method of handling the hazardous substance. Any of these circumstances could significantly affect the value of the Collateral Property that would be realized upon a delinquency and foreclosure.

Seismic Risk. Much of California is seismically active and contains numerous faults that could be earthquake sources. The Corporation currently does not carry earthquake insurance, but earthquake insurance periodically may be required by the Department. If seismic activity caused significant damage to the Facilities, the value of the Facilities could be adversely affected and the security for the Bonds could be impaired. In addition, seismic activity in the general vicinity of the Facilities could adversely affect real estate prices generally and/or the rate at which real estate sales occur, thus adversely impacting the security for the Bonds by generally reducing real estate values. Management of the Corporation is not able to predict whether or to what extent these results might occur.

Foreclosure. There are two methods of foreclosing on a deed of trust under California law: by nonjudicial sale and by judicial sale. Foreclosure under a deed of trust may be accomplished by a nonjudicial trustee's sale under the power of sale provision in the deed of trust. Prior to such sale, the trustee must record a notice of default and election to sell and must send a copy to the trustor, any person who has recorded a request for a copy of the notice of default and notice of sale, any successor in interest of the

trustor and the beneficiary of any junior deed of trust. Following the lapse of three months after recording the notice of default and election to sell, the trustee may give notice of sale. The notice of sale must be posted in a public place and published once each week throughout a 20-day period prior to the trustee's sale. Such notice of sale must be posted on the property and must be sent to the trustor, to each person who has requested a copy, to any successor in interest of the trustor and to the beneficiary of any junior deed of trust at least 20 days prior to the sale. The trustor, any successor in interest of the trustor, or any person having a junior lien or encumbrance of record may cure the default during the statutory reinstatement period by paying the entire amount of the debt then due under the terms of the deed of trust and the obligations secured thereby (exclusive of principal due by virtue of acceleration upon default) plus costs and expenses actually incurred in enforcing the obligation and certain statutorily limited attorneys' and trustee's fees. In addition, the notice of sale must be recorded with the county recorder at least 14 days prior to the date of sale. Following the sale, neither the trustor nor any junior lien holder has any right of redemption, and the beneficiary may not ordinarily obtain a deficiency judgment against the trustor.

If foreclosure under a deed of trust is sought in the form of a judicial foreclosure, it generally is subject to most of the delays and expenses that occur with other lawsuits. Judicial foreclosure sometimes requires up to several years to complete. The primary advantage of a judicial foreclosure is that the beneficiary is entitled, subject to other limitations, to obtain a deficiency judgment against the trustor to the extent that the amount of the debt is in excess of the fair market value of the property. Following a judicial foreclosure sale, the trustor or its successors in interest may redeem the property for a period of one year (or a period of three months if the entire amount of the debt is bid at the foreclosure sale).

Notwithstanding the above, as long as the Contract of Insurance is in effect, all rights and remedies under the Deed of Trust shall be exercised solely by the Department. See "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Deed of Trust" herein.

Antideficiency Legislation and Other Limitations on Lenders. The State of California has four principal statutory prohibitions limiting the remedies of a beneficiary under a deed of trust. Two of these prohibitions limit the beneficiary's right to obtain a deficiency judgment, one being based on the method of foreclosure and the other on the type of debt secured. Under the former, a deficiency judgment ordinarily is barred when the foreclosure is accomplished by means of a nonjudicial trustee's sale, except where the deed of trust is given to secure the payment of bonds authorized or permitted to be issued by the California Commissioner of Corporations. Under the latter (not intended to be applicable in this situation), a deficiency judgment is barred where a foreclosed deed of trust secures certain purchase money obligations.

Another California statute, commonly known as the "one form of action" rule, requires the beneficiary to exhaust the security under a deed of trust by foreclosure before bringing a personal action against the trustor on the indebtedness. If a court were to hold that this rule were applicable to the Deed of Trust and the Authority or the Trustee were to file suit to collect the debt under the Loan Agreement without seeking first to enforce their remedies under the Deed of Trust, they might be precluded from thereafter proceeding under the Deed of Trust to foreclose on the Collateral Property.

Another statutory provision limits any deficiency judgment obtained by a beneficiary following a judicial sale to the excess of the outstanding debt above the fair market value of the property at the time of sale. This prevents a beneficiary from obtaining a large deficiency judgment against the debtor as the result of low bids at a judicial sale.

Other statutory provisions (such as the federal bankruptcy laws) may have the effect of delaying enforcement of the lien of the Deed of Trust in the event of a default by the Corporation.

Notwithstanding the above, as long as the Contract of Insurance is in effect, all rights and remedies under the Deed of Trust shall be exercised solely by the Department. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Deed of Trust” herein.

Energy Costs

Deregulation of the electrical and natural gas industry in the State, together with changes in the supply and sale patterns of electricity and natural gas, has resulted in increased costs of energy to businesses located in the State and has previously resulted in disruption in supply. Significant increases in the cost of energy could materially adversely affect the financial condition of the Corporation.

Environmental Matters

Retirement communities such as the Facilities are subject to a wide variety of federal, state and local environmental and occupational health and safety laws and regulations that address, among other things, operations of facilities and properties owned or operated by such facilities. Among the types of regulatory requirements faced by such facilities are: air and water quality control requirements; waste management requirements; specific regulatory requirements applicable to asbestos; polychlorinated biphenyls, requirements for providing notice to employees and members of the public about hazardous materials handled by or located at the such facility; requirements for training employees in the proper handling and management of hazardous materials and wastes; and other requirements. In their role as owners and operators of properties or facilities, such facilities may be subject to liability for investigating and remedying any hazardous substances that have come to be located on the property, including any such substances that may have migrated off of the property. Typical operations of such facilities, include to some extent in various combinations, the handling, use, storage, transportation, disposal and discharge of hazardous, infectious, toxic, flammable and other hazardous materials, wastes, pollutants or contaminants. For this reason, operations of such facilities are susceptible to the practical, financial and legal risks associated with compliance with such laws and regulations. Such risks may result in damage to individuals, property or the environment; may interrupt operations or increase their cost or both; may result in legal liability, damages, injunctions or fines, or may trigger investigations, administrative proceedings, penalties or other government agency actions. There can be no assurance that the Corporation will not encounter such risks in the future, and such risks may result in material adverse consequences to the operations or financial condition of the Corporation.

Under the federal Comprehensive Environmental Response, Compensation and Liability Act, a secured party which takes a deed in lieu of foreclosure, purchases a mortgaged property at a foreclosure sale or operates a mortgaged property may become liable in certain circumstances for the cost of remedial action if hazardous waste or hazardous substances have been released or disposed of on the property. Such remedial action costs could subject the Collateral Property to a lien and reduce or eliminate the amounts otherwise available to pay the owners of the Bonds if such remedial action costs were incurred.

Rights of Residents

The Corporation enters into residency agreements with its residents. Although these agreements give to each resident a contractual right to use space and do not grant any ownership rights in the Corporation’s Facilities, in the event that either the Trustee or the holders of the Bonds seek to enforce any of the remedies provided by the Indenture upon the occurrence of a default, management is unable to predict the resolution that a court might make of competing claims between the Trustee, the Authority or the holders of the Bonds and the residents of the Corporation’s Facilities who have fully complied with all the terms and conditions of their residency agreements.

The Corporation may, from time to time, be subject to pressure from organized groups of residents seeking, among other things, to raise the level of services or to maintain the level of facility service fees or other charges without increase. Moreover, the Corporation may be subject to conflicting pressures from different groups of residents, some of whom may seek an increase in the level of services while others wish to hold down monthly service fees and other charges. No assurance can be given that the Corporation will be able to satisfy such resident groups.

Lack of Marketability for the Bonds

Although the Underwriter intends, but is not obligated, to make a market for the Bonds, there can be no assurance that there will be a secondary market for the Bonds, and the absence of such a market for the Bonds could result in investors not being able to resell the Bonds should they need to or wish to do so.

Other Possible Bondholders' Risks

The occurrence of any of the following events, or other unanticipated events, could adversely affect the operations of the Corporation:

- (1) Inability to control increases in operating costs, including salaries, wages and fringe benefits, supplies and other expenses, given an inability to obtain corresponding increases in revenues from residents whose incomes will largely be fixed;
- (2) Unionization, employee strikes and other adverse labor actions which could result in a substantial increase in expenditures without a corresponding increase in revenues;
- (3) Adoption of other federal, state or local legislation or regulations having an adverse effect on the future operating or financial performance of the Corporation;
- (4) A decline in the population, a change in the age composition of the population or a decline in the economic conditions of the market areas of the Corporation;
- (5) The cost and availability of energy which could, among other things, affect the cost of utilities of the Facilities;
- (6) Increased unemployment or other adverse economic conditions in the service areas of the Corporation's facilities which would increase the proportion of residents who are unable to pay fully for the cost of their care;
- (7) Any increase in the quantity of indigent care provided which is mandated by law or required due to increased needs of the community in order to maintain the charitable status of the Corporation;
- (8) Inflation or other adverse economic conditions;
- (9) Reinstatement or establishment of mandatory governmental wage, rent or price controls;
- (10) Changes in tax, pension, social security or other laws and regulations affecting the provisions of health care, retirement benefits and other services to the elderly;

(11) Inability to control the diminution of residents' assets or insurance coverage with the result that the residents' charges are reimbursed from government reimbursement programs rather than private payments;

(12) The occurrence of natural disasters, including floods and earthquakes, which may damage the Facilities of the Corporation, interrupt utility service to the Facilities, or otherwise impair the operation and generation of revenues from the Facilities;

(13) Scientific and technological advances that could reduce demand for services offered by the Corporation;

(14) Shortage of personnel rendering services at multi-level retirement facilities;

(15) Cost and availability of any insurance, such as malpractice, fire, automobile and general comprehensive liability, that organizations such as the Corporation generally carry;

(16) The occurrence of pandemics, epidemics, and other health emergencies that impair the operations of, and the generation of revenues from, the Facilities;

(17) The occurrence of breaches, hacker attacks (including ransomware), computer viruses, physical or electronic break-ins and other similar events or issues; or

(18) Unfavorable trends in the national, state or local economy or political climate which in turn may adversely affect the operations of RCFEs; unfavorable changes in state legislation which currently regulates the retirement industry; increased governmental regulations which could adversely affect the Corporation's ability to deliver services to clients; governmental changes or reductions in rates and other methods of reimbursement of the Corporation for health care services delivered; loss of confidence in the Corporation's ability to deliver quality services by state or county officials, health care professionals and the public which would adversely affect the level of revenue forecasted; increasing malpractice and other claims; competition by other for-profit or nonprofit entities; and unforeseen major repairs of the Corporation's properties or increases in insurance or other operating costs without the Corporation being able to obtain corresponding increases in revenues.

FORWARD DELIVERY OF THE BONDS

The Corporation expects that the Bonds will be issued and delivered on the Final Settlement Date. There are numerous conditions which must be satisfied prior to issuance and delivery of the Bonds and the following is not meant to be an exhaustive list of such conditions. There can be no assurance that all of the conditions to the issuance and delivery of the Bonds will be satisfied nor that the Bonds will be issued.

Settlement

It is expected that on the Final Settlement Date, or such other date as may be mutually agreed upon by the Authority, the Corporation and the Underwriter, the Authority will, subject to the terms and conditions of the Forward Delivery Purchase Contract, deliver the Bonds to the Underwriter and deliver or cause to be delivered to the Underwriter the other documents, opinions, certificates and instruments required by the Forward Delivery Purchase Contract to be delivered as part of the settlement as more fully discussed below (the "*Settlement Documents*"). Upon satisfaction of the terms and conditions of the Forward Delivery Purchase Contract, the Underwriter will accept such delivery and pay the purchase price

for the Bonds. All of the foregoing described transactions are referred to herein as the “Settlement,” and the date upon which such transactions are consummated is referred to herein as the “Final Settlement Date.”

Upon the execution by the Underwriter of the Forward Delivery Purchase Contract, in connection with the Underwriter’s obligation to purchase the Bonds pursuant to the terms thereof, each purchaser of the Bonds will be required immediately to execute and deliver a Delayed Delivery Investor Agreement dated the date of the Forward Delivery Purchase Contract (the “*Investor Agreement*”) in substantially the form attached hereto as APPENDIX H.

Conditions to Settlement

General. The Settlement and the issuance of the Bonds will not require further action by the Authority or the Corporation other than the satisfaction of the specific conditions of the Forward Delivery Purchase Contract, including delivery of the Settlement Documents. The Settlement Documents include, among other items, the opinion of Bond Counsel with respect to the Bonds in substantially the form set forth as APPENDIX F hereto and certain other opinions of Bond Counsel, the Authority’s counsel, counsel to the Corporation and counsel to the Underwriter, as well as certificates of the Authority and the Corporation as to the completeness and accuracy of the Official Statement as it may have been supplemented and amended to the Final Settlement Date.

THE FORWARD DELIVERY PURCHASE CONTRACT DOES NOT PERMIT THE UNDERWRITER TO REFUSE TO ACCEPT DELIVERY OF AND PAY FOR THE BONDS BECAUSE OF ANY ADVERSE CHANGE IN THE BUSINESS OR AFFAIRS OF THE CORPORATION, THE DEPARTMENT OR THE AUTHORITY, BUT ONLY PERMITS SUCH REFUSAL IF ANY SUCH CHANGE HAS NOT BEEN ACCURATELY AND COMPLETELY DESCRIBED IN THE OFFICIAL STATEMENT OR IN A SUPPLEMENT OR AMENDMENT TO THE OFFICIAL STATEMENT OR IF SUCH CHANGE WOULD CAUSE THE AUTHORITY OR ANOTHER PARTY TO BE UNABLE TO DELIVER ANY OF THE SETTLEMENT DOCUMENTS IN THE FORM AND SUBSTANCE PROVIDED FOR IN THE FORWARD DELIVERY PURCHASE CONTRACT.

FAILURE TO COMPLETE THE REQUIREMENTS OF THE SETTLEMENT, INCLUDING FAILURE OF THE AUTHORITY, THE DEPARTMENT OR THE CORPORATION TO DELIVER ANY OF THE SETTLEMENT DOCUMENTS IN THE FORM AND SUBSTANCE PROVIDED FOR IN THE FORWARD DELIVERY PURCHASE CONTRACT (UNLESS SUCH FAILURE IS WAIVED BY THE UNDERWRITER), WILL MEAN THAT THE BONDS WILL NOT BE ISSUED AND DELIVERED. THE UNDERWRITER HAS THE RIGHT, BUT IS UNDER NO OBLIGATION, TO WAIVE ANY SUCH FAILURE.

Issuance of Legal Opinion. It is a condition to the issuance of the Bonds on the Final Settlement Date that Bond Counsel deliver its approving opinion with respect to the Bonds in substantially the form attached hereto as APPENDIX F. The ability of Bond Counsel to deliver such an opinion on the Final Settlement Date is subject to its review and analysis at that time of certain matters, including, among others, the application of the proceeds of the Bonds and pertinent provisions of statutes, regulations, rulings and court decisions, including, but not necessarily limited to, State law and federal income tax and security laws then in effect or proposed to be in effect. Bond Counsel has advised the Authority and the Underwriter that, assuming satisfaction by the Authority, the Corporation and the Underwriter of their respective obligations to be satisfied in the Forward Delivery Purchase Contract, and the issuance of the Bonds in accordance with the Indenture, and no change in any applicable law, regulations or rulings, or in interpretations thereof, or in any other facts or circumstances (tax or otherwise), and no facts or circumstances of which Bond Counsel is not aware of as of the date of the Forward Delivery Purchase Contract come to Bond Counsel’s attention, which, in Bond Counsel’s view, affect or are material to its

opinion (including, without limitation, the existence of any litigation), Bond Counsel expects to be able to issue on the Final Settlement Date an opinion with respect to the Bonds in substantially the form attached hereto as APPENDIX F. In addition, in order to deliver such an opinion, appropriate certifications and representations will be required to establish the reasonable expectations of the Authority and the Corporation. No assurances can be made that there will be no change in any applicable law, regulations or rulings, or in the interpretations thereof, prior to the Final Settlement Date; the facts and circumstances that are material to such opinion will not differ, as of the Final Settlement Date, from those that are currently expected; or such certifications and representations will be delivered and made in connection with the issuance of the Bonds. As a consequence of any of the foregoing, Bond Counsel may be unable to render such opinion.

Ratings. As described above, the Forward Delivery Purchase Contract does not permit the Underwriter to refuse to accept delivery of and pay for the Bonds because of any adverse change in the business or affairs of the Authority, the Department or the Corporation (other than the suspension or withdrawal of the S&P rating). Accordingly, it is not a condition to the Settlement that any ratings on the Bonds be confirmed.

Termination of Forward Delivery Purchase Contract

The Underwriter may terminate the Forward Delivery Purchase Contract, without liability, if the Authority and the Corporation fail to satisfy the conditions to the Underwriter's purchase of the Bonds under the Forward Delivery Purchase Contract, or if there shall occur any of the following:

(i) legislation is enacted, or a decision by a court of the United States is rendered, or any action is taken by or on behalf of the Securities and Exchange Commission, which has the effect of requiring the Bonds to be registered under, or the sale thereof to be in violation of, the Securities Act of 1933, as amended, or has the effect of requiring the Indenture to be qualified under the Trust Indenture Act of 1939, as amended, or, in each case, any law analogous thereto relating to governmental bodies or an event shall occur which would cause the sale of the Bonds to be in violation of any provision of federal or State securities laws;

(ii) as a result of any legislation, regulation, ruling, order, release, court decision or judgment or action by the U.S. Department of Treasury, the Internal Revenue Service, or any agency of the State, or for any other reason Bond Counsel cannot issue an opinion to the effect that (i) the interest of the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code, (ii) the interest on the Bonds is not a specific preference item for purposes of the federal alternative minimum tax, and (iii) the interest on the Bonds is exempt from State personal income taxes, in each case as set forth in the opinion of Bond Counsel attached as APPENDIX F hereto;

(iii) the declaration of a general banking moratorium by federal or State authorities, or the general suspension of trading on any national securities exchange;

(iv) any event comprising a "Change in Law" as defined below;

(v) this Official Statement, as amended or supplemented, as of the respective date thereof or as of the Final Settlement Date, contained or contains any untrue statement of a material fact or omitted or omits to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they were made, not misleading;

(vi) there shall have occurred or any notice shall have been given of a suspension or withdrawal by S&P Global Ratings of its rating on the Bonds; or

(vii) any fact, condition or circumstance exists that, but for the passage of time or giving notice or both, would constitute an event of default under the Indenture, Loan Agreement, Regulatory Agreement or Contract of Insurance upon the execution and effectiveness thereof.

A “*Change in Law*” means (i) any change in or addition to applicable federal or State law, whether statutory or as interpreted by the courts or by federal or State agencies, including any changes in or new rules, regulations or other pronouncements or interpretations by federal or State agencies; (ii) any legislation enacted by the Congress of the United States (if such enacted legislation has an effective date which is on or before the Final Settlement Date); (iii) any law, rule or regulation enacted by any governmental body, department or agency (if such enacted law, rule or regulation has an effective date which is on or before the Final Settlement Date); or (iv) any judgment, ruling or order issued by any court or administrative body, which in any such case (A) as to the Underwriter, would prohibit the Underwriter from completing the underwriting of the Bonds or selling the Bonds or beneficial ownership interests therein to the public, or (B) as to the Authority, would make the completion of the issuance, sale or delivery of the Bonds illegal.

Occurrence of Material Events or Conditions

During the period prior to the Final Settlement Date, material events or conditions could occur which are not described in this Official Statement and information contained in this Official Statement could change in a material respect. In such event, pursuant to the Forward Delivery Purchase Contract, the Corporation has agreed to supplement this Official Statement. The Corporation will also cause to be prepared either an updated Official Statement or a supplement to this Official Statement, as elected by the Corporation, dated a date not more than twenty-five (25) days nor less than ten (10) days prior to the Final Settlement Date relating to the Bonds which updated Official Statement, as of such date, will be correct and complete and will not contain any untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they were made, not misleading.

Other Investment Considerations

Events occurring prior to the Final Settlement Date may have significant consequences to persons who have agreed to purchase the Bonds on the Final Settlement Date. The values of the Bonds of each maturity on the Final Settlement Date are unlikely to be the same as, and in all likelihood will be greater or less than, the purchase price therefor, and such differences may be substantial. Several factors may adversely affect such values including, but not limited to, a general increase in interest rates for all obligations and other indebtedness, any threatened or adopted change in the federal income tax laws affecting the relative benefits of owning tax-exempt securities versus other types of investments, such as fully taxable obligations, or any adverse development with respect to the Corporation’s results of operations, financial condition or prospects or with respect to the ratings of the Bonds. In addition, although the delivery of the opinion of Bond Counsel in substantially the form attached hereto as APPENDIX D, which is a condition to the issuance and delivery of the Bonds, is subject to any number of conditions to be fulfilled at the time of such delivery as described above, changes or proposed changes in federal income tax laws or regulations or interpretations thereof could affect the market value of tax-exempt securities generally, including, without limitation, the Bonds, without preventing the delivery of the Bonds at the Settlement.

Secondary Market

The Underwriter is not obligated to establish a secondary market in the Bonds and no assurances can be given that a secondary market will exist for the Bonds during the period prior to the Final Settlement

Date. Prospective purchasers of the Bonds should assume that the Bonds will not be a liquid investment throughout the period prior to the Final Settlement Date.

Delayed Delivery Investor Agreement

Each person placing an order for the Bonds which is accepted by the Underwriter will be required to execute the Delayed Delivery Investor Agreement in substantially the form set forth in APPENDIX H hereto, in which such person acknowledges and agrees that he or she has reviewed this Official Statement in its entirety and has placed such an order with full knowledge and understanding of the delayed delivery closing conditions and risks and is obligated to purchase the Bonds which are the subject of such order, so long as the conditions of the Forward Delivery Purchase Contract for the delayed delivery closing of the Bonds are satisfied and the Underwriter has not elected to terminate the Forward Delivery Purchase Contract as permitted therein.

ABSENCE OF MATERIAL LITIGATION

The Authority

To the knowledge of the Authority, there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court, governmental agency, public board or body, pending against the Authority seeking to restrain or enjoin the sale or issuance of the Bonds, or in any way contesting or affecting any proceedings of the Authority taken concerning the sale thereof, the pledge or application of any moneys or security provided for the payment of the Bonds, the validity or enforceability of the documents executed by the Authority in connection with the Bonds, the completeness or accuracy of the Official Statement or the existence or powers of the Authority relating to the sale of the Bonds.

The Corporation

There is no controversy or litigation of any nature now pending against the Corporation or, to the knowledge of its officers, threatened, restraining or enjoining the issuance of the Bonds or in any way contesting or affecting (i) the validity of the Bonds, or (ii) any proceedings of the Corporation taken concerning the issuance or sale thereof or the collection of Revenues pledged under the Indenture.

As with most senior care providers, the Corporation is subject to certain legal actions that, in whole or in part, are not or may not be covered by insurance because of the type of action or amount or types of damages requested (e.g., punitive damages), because of a reservation of rights by an insurance carrier, or because the action has not proceeded to a stage that permits full evaluation. In addition to the matters described above, there are certain legal actions currently pending against the Corporation known to management of the Corporation and for which insurance coverage is uncertain for the above reasons. Management of the Corporation does not anticipate that any such suits will ultimately result in punitive damage awards or judgments in excess of applicable insurance limits, or if such awards or judgments were to be entered, that they would have a material adverse impact on the financial condition of the Corporation.

There is no litigation of any nature now pending against the Corporation or, to the knowledge of the Corporation's officers, threatened, which, if successful, would materially adversely affect the operations or financial condition of the Corporation.

APPROVAL OF LEGALITY

The validity of the Bonds and certain other legal matters are subject to the approving opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, substantially in the form set forth as

APPENDIX F. Certain legal matters will be passed upon for the Corporation by its counsel, Hefner, Stark & Marois LLP, and for the Authority by its counsel, Orrick, Herrington & Sutcliffe LLP. Certain legal matters will be passed upon for the Underwriter by Foley & Lardner LLP. None of the counsel mentioned above undertakes any responsibility for the accuracy, completeness or fairness of this Official Statement.

TAX MATTERS

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority (“Bond Counsel”), based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. Bond Counsel is of the further opinion that interest on the Bonds is not a specific preference item for purposes of the federal alternative minimum tax. A complete copy of the proposed form of opinion of Bond Counsel is set forth in APPENDIX F hereto. Delivery of the Bonds, and delivery of Bond Counsel’s opinion with respect to the Bonds, is subject to the satisfaction of certain terms and conditions provided in the Forward Delivery Purchase Contract as described under the heading “FORWARD DELIVERY OF THE BONDS.” The delivery of such opinion is a condition to the issuance of the Bonds on the Final Settlement Date.

To the extent the issue price of any maturity of the Bonds is less than the amount to be paid at maturity of such Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Bonds), the difference constitutes “original issue discount,” the accrual of which, to the extent properly allocable to each Beneficial Owner thereof, is treated as interest on the Bonds which is excluded from gross income for federal income tax purposes and State of California personal income taxes. For this purpose, the issue price of a particular maturity of the Bonds is the first price at which a substantial amount of such maturity of the Bonds is sold to the public (excluding bond houses, brokers, or similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers). The original issue discount with respect to any maturity of the Bonds accrues daily over the term to maturity of such Bonds on the basis of a constant interest rate compounded semiannually (with straight-line interpolations between compounding dates). The accruing original issue discount is added to the adjusted basis of such Bonds to determine taxable gain or loss upon disposition (including sale, redemption, or payment on maturity) of such Bonds. Beneficial Owners of the Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Bonds with original issue discount, including the treatment of Beneficial Owners who do not purchase such Bonds in the original offering to the public at the first price at which a substantial amount of such Bonds is sold to the public.

Bonds purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date) (“*Premium Bonds*”) will be treated as having amortizable bond premium. No deduction is allowable for the amortizable bond premium in the case of bonds, like the Premium Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax-exempt interest received, and a Beneficial Owner’s basis in a Premium Bond, will be reduced by the amount of amortizable bond premium properly allocable to such Beneficial Owner. Beneficial Owners of Premium Bonds should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Bonds. The Authority and the Corporation have made certain representations and have covenanted to comply with certain restrictions, conditions and requirements designed to ensure that interest on the Bonds will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly

from the date of original issuance of the Bonds. The opinion of Bond Counsel assumes the accuracy of these representations and compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken) or events occurring (or not occurring), or any other matters coming to Bond Counsel's attention after the date of issuance of the Bonds may adversely affect the value of, or the tax status of interest on, the Bonds. Accordingly, the opinion of Bond Counsel is not intended to, and may not, be relied upon in connection with any such actions, events or matters.

In addition, Bond Counsel has relied, among other things, on the opinion of Hefner, Stark & Marois LLP, counsel to the Corporation, regarding the current qualification of each of the Corporation and Eskaton Properties, Incorporated (the "Manager") as an organization described in Section 501(c)(3) of the Code. Such opinion is subject to a number of qualifications and limitations. Bond Counsel has also relied upon representations of the Corporation concerning the Corporation's "unrelated trade or business" activities as defined in Section 513(a) of the Code. Neither Bond Counsel nor counsel to the Corporation has given any opinion or assurance concerning Section 513(a) of the Code and neither Bond Counsel nor counsel to the Corporation can give or has given any opinion or assurance about the future activities of the Corporation, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the resulting changes in enforcement thereof by the IRS. Failure of either the Corporation or the Manager to be organized and operated in accordance with the IRS's requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or to operate the facilities refinanced by the Bonds in a manner that is substantially related to the Corporation's charitable purpose under Section 513(a) of the Code, may result in interest payable with respect to the Bonds being included in federal gross income, possibly from the date of the original issuance of the Bonds.

Although Bond Counsel is of the opinion that interest on the Bonds is excluded from gross income for federal income tax purposes and is exempt from State of California personal income taxes, the ownership or disposition of, or the accrual or receipt of amounts treated as interest on, the Bonds may otherwise affect a Beneficial Owner's federal, state or local tax liability. The nature and extent of these other tax consequences depends upon the particular tax status of the Beneficial Owner or the Beneficial Owner's other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Bonds to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent Beneficial Owners from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such legislative proposals or clarification of the Code or court decisions may also affect, perhaps significantly, the market price for, or marketability of, the Bonds. Prospective purchasers of the Bonds should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel is expected to express no opinion.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel's judgment as to the proper treatment of the Bonds for federal income tax purposes. It is not binding on the IRS or the courts. Furthermore, Bond Counsel cannot give and has not given any opinion or assurance about the future activities of the Authority or the Corporation, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the enforcement thereof by the IRS. The Authority and the Corporation have covenanted, however, to comply with the requirements of the Code.

Bond Counsel's engagement with respect to the Bonds ends with the issuance of the Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the Authority, the Corporation or the Beneficial Owners regarding the tax-exempt status of the Bonds in the event of an audit examination by the IRS. Under current procedures, parties other than the Authority, the Corporation and their appointed counsel, including the Beneficial Owners, would have little, if any, right to participate in, the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the Authority or the Corporation legitimately disagree, may not be practicable. Any action of the IRS, including but not limited to selection of the Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues may affect the market price for, or the marketability of, the Bonds, and may cause the Authority, the Corporation or the Beneficial Owners to incur significant expense.

VERIFICATION

Upon the issuance of the Bonds, the arithmetical accuracy of certain computations included in the schedules provided by the Underwriter on behalf of the Corporation relating to computation of forecasted receipts of principal and interest on the escrow securities for the Prior Bonds, and the forecasted payments of principal and interest to redeem the Prior Bonds, will be verified by Samuel Klein and Company, Certified Public Accountants. Such computations were based solely upon assumptions and information supplied by the Underwriter on behalf of the Corporation. Samuel Klein and Company, Certified Public Accountants has restricted its procedures to examining the arithmetical accuracy of certain computations and has not made any study or evaluation of the assumptions and information upon which the computations are based and, accordingly, has not expressed an opinion on the data used, the reasonableness of the assumptions, or the achievability of the forecasted outcome.

UNDERWRITING

The Bonds are being purchased by Cain Brothers, a division of KeyBanc Capital Markets Inc. (the "*Underwriter*") pursuant to a Purchase Contract among the Underwriter, the Authority and the Corporation (the "*Forward Delivery Purchase Contract*"). The Underwriter has agreed to purchase the Bonds at a purchase price of \$40,471,032.08, representing the aggregate principal amount thereof, plus original issue premium of \$5,290,260.30, less an Underwriter's discount of \$414,228.22. The Forward Delivery Purchase Contract provides that the Underwriter will purchase all of the Bonds, if any are purchased, and requires the Corporation to indemnify the Underwriter and the Authority against certain liabilities. The Forward Delivery Purchase Contract provides that the fees of counsel to the Underwriter shall be paid by the Corporation. The Underwriter reserves the right to join with dealers and other underwriters in offering the Bonds to the public. The obligation of the Underwriter to accept delivery of the Bonds is subject to the various conditions of the Forward Delivery Purchase Contract.

The Underwriter may offer and sell the Bonds to certain dealers (including dealer banks and dealers depositing Bonds into investment trusts) and others at prices lower than the public offering prices shown on the inside cover of this Official Statement. Such initial public offering prices may be changed from time to time by the Underwriter.

The Forward Delivery Bond Purchase Contract sets forth the rights and obligations of the Underwriter with respect to the purchase of the Bonds. The Underwriter's obligation to purchase all of the Bonds on the Final Settlement Date is predicated on the satisfaction of certain conditions set forth in the Forward Delivery Purchase Contract, as described under "FORWARD DELIVERY OF BONDS." If, on the Final Settlement Date, the conditions to the Underwriter's obligations are not met, the Underwriter shall not be obligated to purchase the Bonds.

FINANCIAL STATEMENTS

The financial statements of the Corporation as of and for the years ended December 31, 2018, 2019, and 2020, included herein as APPENDIX B, have been audited by Moss Adams LLP, independent auditors, as stated in its reports appearing in APPENDIX B. The Corporation has not requested that Moss Adams LLP provide consent for inclusion of its audit reports in this Official Statement, and Moss Adams LLP has not been engaged to perform, and has not performed, since the date of its reports included herein, any procedures on the financial statements addressed in those reports. Further, Moss Adams LLP has not participated in any way in the preparation or review of this Official Statement.

RATING

S&P Global Ratings, a Standard & Poor's Financial Services LLC business ("S&P"), has assigned its municipal bond rating of "AA-" to the Bonds with the understanding that, upon delivery of the Bonds, payment of the principal of and interest on the Bonds will be insured by the Department. The rating reflects S&P's current assessments of the creditworthiness of the State, the Department and the ability of the Department to pay claims under the Insurance Program. Any explanation of the significance of such rating may only be obtained from such rating agency.

Generally, rating agencies base their ratings on such information and materials and on investigations, studies and assumptions made by the rating agencies themselves. There is no assurance that the rating mentioned above will remain in effect for any given period of time or that it might not be lowered or withdrawn entirely by the rating agency, if, in its judgment, circumstances so warrant. The Underwriter has undertaken no responsibility either to bring to the attention of the Holders of the Bonds any proposed change in or withdrawal of such rating or to oppose any such proposed revision or withdrawal. Any such downward change in or withdrawal of such rating might have an adverse effect on the market price or marketability of the Bonds.

CONTINUING DISCLOSURE

The Corporation has covenanted for the benefit of holders of the Bonds: (i) to provide certain financial information and operating data relating to the Corporation on an annual basis (an "*Annual Report*") within four months of the end of each fiscal year, commencing with the fiscal year ending December 31, 2022; (ii) to provide certain financial and operating data relating to the Corporation on a quarterly basis (a "*Quarterly Report*") within two months of the end of each quarter of each fiscal year commencing with the close of the fiscal quarter ending September 30, 2022; and (iii) to file notices of the occurrence of certain enumerated events, if material, within 10 business days of the occurrence of any such event. Any notices of material events will be filed with the Municipal Securities Rulemaking Board and with the appropriate State information depository, if any.

The Corporation entered into continuing disclosure undertakings in connection with the issuance of the Prior Bonds (the "*Prior Undertaking*"). In the previous five years, the Corporation reports that it has complied in all material respects with the Corporation's Prior Undertaking, except as discussed herein.

The Corporation reports that it failed to comply with certain of the Corporation's Prior Undertaking by not filing in a timely manner certain of the reports required by the Corporation's Prior Undertaking as set forth in the table below (which information is provided irrespective of materiality), as well as by not filing certain failure to file notices as required by the Corporation's Prior Undertaking as the same were due. The Corporation believes that it has complied with its previous undertaking under the Rule during the last five years, with the exception that:

- (i) The audited financial statements for fiscal year ending 2020 was filed late.
- (ii) With the exception of the 2020 annual report and the 2017 annual report, the content of the annual reports has not complied with all requirements of the Prior Undertaking.
- (iii) Each of the Quarterly Reports for the third quarter of 2016, the fourth quarter of 2018 and the fourth quarter of 2019 was filed late.

The Corporation has engaged the services of Digital Assurance Certification to serve as its dissemination agent. The Corporation reported these discrepancies, and provided otherwise missing information from its quarterly and annual reports, in a comprehensive filing made on July 27, 2021, with EMMA.

The Continuing Disclosure Agreement with respect to the Bonds, the form of which is set forth at APPENDIX E hereto, requires the Corporation to file quarterly and annual reports and the Corporation fully intend to comply with this requirement.

MISCELLANEOUS

The foregoing and subsequent summaries or descriptions of provisions of the Bonds, the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust and all references to other materials not purporting to be quoted in full are only brief outlines of some of the provisions thereof and do not purport to summarize or describe all of the provisions thereof. Reference is made to said documents for full and complete statements of the provisions of such documents. The appendices attached hereto are a part of this Official Statement. Copies, in reasonable quantity, of the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust may be obtained during the offering period upon request to the Underwriter and thereafter upon request to the principal corporate trust office of the Trustee.

So far as any statements made in this Official Statement involve matters of opinion or estimates, whether or not expressly stated, they are set forth as such and not as representations of fact, and no representation is made that any of such statements will be realized. Neither this Official Statement nor any statement which may have been made orally or in writing is to be construed as a contract with the owners of the Bonds.

It is anticipated that CUSIP identification numbers will be printed on the Bonds, but neither the failure to print such numbers nor any error in the printing of such numbers shall constitute grounds for a failure or refusal by any purchaser thereof to accept delivery of and payment for any Bonds.

The attached Appendices are integral parts of this Official Statement and must be read together with all of the foregoing statements.

The Corporation has reviewed the information contained herein which relates to it and its property and operations, and has approved all such information for use within this Official Statement.

The Authority furnished only the information in this Official Statement contained under the captions “THE AUTHORITY” and “ABSENCE OF MATERIAL LITIGATION – The Authority” and, except for such information, makes no representation or warranty as to the adequacy, completeness or accuracy of this Official Statement.

This Official Statement has been delivered by the Authority and approved by the Corporation. This Official Statement is not to be construed as a contract or agreement among any of the Authority, the Corporation or the purchasers or holders of any of the Bonds.

Approved by:

O'CONNOR WOODS HOUSING CORPORATION

By: /s/ Mark Jenkins

Its: Authorized Representative

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APPENDIX A
INFORMATION CONCERNING O'CONNOR WOODS

The information contained in APPENDIX A has been obtained from the Borrower. Neither the Authority nor the Underwriter guarantees the accuracy or completeness of this information.

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BACKGROUND

O'Connor Woods Housing Corporation (the "Corporation") is a California nonprofit public benefit corporation and is exempt from income taxation as an organization described in Section 501(c)(3) of the Internal Revenue Code and corresponding provisions of California law. In June 2014, two O'Connor Woods affiliates merged and became "O'Connor Woods Housing Corporation." As noted herein and under "FACILITIES AND SERVICES," many of the Corporation's facilities were established prior to 2014.

The Corporation was originally sponsored by the Sisters of the Third Order of Saint Dominic Congregation of the Most Holy Name ("Sisters"), a Roman Catholic women's religious institute located in San Rafael, California. While the Corporation's bylaws provide that the Corporation will continue to be guided by the heritage of the Sisters, the Sisters no longer have any direct control over the business and affairs of the Corporation. *Neither the Sisters nor any affiliate of the Sisters have any obligation to make payments with respect to the Bonds.*

The Corporation provides housing and health care to, and otherwise serves the needs of, seniors in Stockton, California. On one 34-acre campus, the Corporation owns and operates: 250 residential units for independent living (of which five units are currently not in residential use, as explained below); a 37-unit assisted living building known as "Garden Oaks"; a 48-unit assisted living facility known as "Oak Creek"; a 20-unit memory care facility known as "Laurel Pointe"; an 11-unit memory care facility known as "Laurel Pointe East"; and a 100-unit skilled nursing facility known as "Meadowood Health and Rehabilitation Center". The residential units for independent living, Garden Oaks, Oak Creek, Laurel Pointe, Laurel Pointe East and Meadowood Health and Rehabilitation Center are collectively referred to herein as the "Facilities." See "FACILITIES AND SERVICES" for more details concerning the Corporation's campus and facilities.

GOVERNANCE

The Corporation is governed by a Board of Directors, which is responsible for general oversight of the management of the Corporation, setting organization policy, and exercising general fiscal oversight. Pursuant to the Corporation's Bylaws, the Board of Directors shall have 7 to 11 members, with the exact number of Directors within that range established from time to time by resolution of the Board. The Board is "self-perpetuating," meaning that the Board elects its own members, including a "Resident Director," who must be a resident of the Corporation's senior housing facilities and who is nominated for membership on the Board by the residents, and elected by the Board. Directors serve for three-year terms and can serve for a maximum of three consecutive terms. Persons who have served three consecutive terms are again eligible to serve after a one-year break.

The members of the Board and their respective occupations and length of service are set forth in the following table:

Table 1
Board of Directors

<u>Trustee</u>	<u>Occupation</u>	<u>Time Served</u>	<u>Term Ends</u>
Tom Bowe (Board Chair)	Architect	5 years	12/2022
Rudy Croce	CPA	2 years	11/2022
Greg Doe (Audit Chair)	Chief of Pharmacy for State of California	7 years	12/2023
Bob Fay (Finance Chair)	Retired Investment Banker	7 years	12/2023
Kristin Fletcher	Real Estate Agent	2 years	12/2022

Sr. Katherine Hamilton	Retired Dominican Sister	4 years	12/2023
Mark Ornellas	Attorney	5 years	12/2022
Jerilyn Ratto	RN owns Professional Health Consulting Services	4 years	12/2023
Gary Spaugh	Health Care Administration	8 years	12/2022
Margaret Stephens (Board Secretary)	Fund Raising at Schools	3 years	12/2021
Anitra Williams	Director of Nursing St. Joseph's Medical Center	1 year	12/2023

MANAGEMENT

Since 2017, the Corporation has obtained management and various other support services, including finance, accounting, human resources, payroll, fund development and information technology services, pursuant to a Management Agreement with Eskaton Properties, Incorporated (“EPI”), a California nonprofit public benefit corporation organized in 1983. EPI is exempt from income taxation as an organization described in Section 501(c)(3) of the Internal Revenue Code and corresponding provisions of California law.

EPI’s primary mission is to enhance the quality of life of seniors through innovative health, housing and social services. EPI is a wholly-owned subsidiary of Eskaton (“Eskaton”), a California nonprofit public benefit corporation organized in 1967. Eskaton is exempt from income taxation as an organization described in Section 501(c)(3) of the Internal Revenue Code and corresponding provisions of California law. Eskaton owns and operates (either through Eskaton or EPI) nine residential living communities (including two CCRCs), three skilled nursing facilities, and a home healthcare company. Eskaton also manages and operates three residential living communities (including the Corporation, which is a CCRC) and 13 senior affordable housing communities.

The Management Agreement with EPI (referred to herein as the “Agreement”) is effective until October 1, 2022. The Agreement shall be automatically extended for succeeding annual periods, commencing October 1, 2022, unless the Corporation or EPI gives the other written notice of termination at least 180 days period to the end of the then-existing term. **The Agreement is terminable without cause, at any time, by the Corporation upon 180 days prior written notice. Accordingly, no assurances can be provided that the Corporation’s relationship with EPI will continue for any defined period of time.** However, the Corporation is obligated to pay certain termination payments to EPI in the event the Corporation exercises its termination rights. Under the Agreement, the Corporation is obligated to pay a base management fee of 5% of “net operating revenues,” as defined in the Agreement, to EPI as well as an incentive payment of up to 40% of the amount by which EBITDA in any year exceeds a target number established by the Corporation. Except for the Agreement, the Corporation is not affiliated with EPI. **EPI bears no obligation to make payments with respect to the Bonds.** See Note 10 to the audited financial statements in **APPENDIX B** for a description of the Corporation’s Agreement with EPI.

Information regarding the Corporation’s key management personnel is set forth below:

Penny Mallette – Executive Director – Ms. Mallette, age 54, joined the Corporation in 1997, after having managed the Assisted Living and Residential Services for Masonic Homes for nine years. She has served as the Executive Director since April 2019. Ms. Mallette is employed by EPI. Ms. Mallette is recognized for instilling a sense of compassion, mentorship, and caring in her staff, all while being a strong advocate for residents and their families. In particular, Ms. Mallette was instrumental in developing the care model utilized in the Corporation’s memory care community, Laurel Pointe. She is a licensed nurse and a certified Director of Social Services.

Dawn Shimel – Director of Assisted Living – Ms. Shimel, age 49, joined the Corporation in 2000, and has served the senior living industry for 22 years, beginning her career in the business office of a nonprofit day program. She was initially hired as the assisted living activity director. She was soon promoted to a management position where she was responsible for training and building the Corporation’s well regarded life enrichment program. She has also been instrumental in the development of other programs and services, including Service Plus, ILE and Laurel Pointe Memory Care. She is dedicated to finding solutions, always placing the well-being of the resident foremost.

Shelly Troop – Director of Resident Services, Independent Living - Shelly Troop, MSW, age 58, joined the Corporation in February 2020. She began her career as a medical social worker at San Joaquin General Hospital in San Joaquin County. She then transitioned to a position as a social worker with Child Protective Services for 6 years before working as a Family Court mediator for the San Joaquin County Superior Court for over two decades. After retiring from the court system, she came to O’Connor Woods as the resident services director.

Michelle Smith – Administrator for Skilled Nursing – Ms. Smith, age 61, joined the Corporation in 2018, and has over 30 years’ experience in post-acute care and over 25 years’ experience as a licensed Nursing Home Administrator. She most recently had oversight for The Capital Transitional Care Center located in Sacramento. Before that she held the position of Executive Director for Windsor Elmhaven Care Center located in Stockton, as well as having experience running Nursing and Rehabilitation facilities for the Beverly Corporation, for Arbor Rehabilitation in Lodi, and for Crestwood Hospitals in Stockton.

Information regarding EPI personnel providing key management services to the Corporation is set forth below:

Mark Jenkins – Chief Financial Officer – Mr. Jenkins, age 39, joined EPI in 2018 and has served as the Chief Financial Officer since February 2019. Mr. Jenkins has extensive experience in accounting, auditing and managing a growing portfolio of services within nonprofit organizations. He began his career as a Senior Associate with Pricewaterhouse Coopers, followed by eight years at VSP Vision Care in Sacramento. He is a licensed CPA (inactive), and brings a diverse set of skills to EPI in its strategic growth throughout Northern California. He is a graduate of California State University Sacramento.

Carey Howell – Director of Budget and Financial Analysis – Mr. Howell, age 55, joined EPI in 2008 and has served as the Director of Budget and Financial Analysis since October 2018. Mr. Howell has over 25 years of accounting, auditing, and management experience in the Sacramento area. He began with seven years as an auditor and audit manager of governmental and nonprofit entities at a regional accounting firm, followed by five years as controller for the nonprofit California State Employees Association. He transitioned to EPI in 2008, where he progressed to his current position. He is a licensed CPA (inactive), and holds a degree from the University of California, Davis, as well as an MS in Accountancy from California State University Sacramento.

EMPLOYEES AND BENEFITS

As of June 30, 2021, the Corporation employed approximately 299 full time equivalents (“FTEs”). Management believes its compensation and fringe benefits are competitive with, and in many cases superior to, those offered by similar facilities in the service area. The Corporation sponsors a 403(b) Retirement Plan (the “Plan”) that covers substantially all employees. Employees are immediately eligible to participate in the Plan upon hire. Participating employees are able to defer compensation through contributions to the Plan, subject to legal limits. The Plan provides for a 33.3% employer matching contribution on employee deferrals of up to 6% of compensation. Employer matching contributions vest 100% after three years of service. Employer matching contributions were \$86,000 and \$85,000 for the years ended December 31, 2020 and 2019, respectively. See Note 11 to the audited financial statements in **APPENDIX B** for a description of the Corporation’s employee benefit plan.

Management believes that its relations with its employees are good. None of the Corporation’s employees are currently represented by a union, although a portion of the Corporation’s labor force elected in 2008 to be represented by the Service Employees International Union – United Healthcare Workers (“SEIU”). That election was subsequently certified by the National Labor Relations Board and the Corporation entered into a collective bargaining agreement with SEIU in 2010, which contract expired in March 2012. In February 2012, employees in the bargaining unit voted to de-certify SEIU as their collective bargaining agent, which election was certified by the National Labor Relations Board in June, 2012. Since that date, none of the Corporation’s employees have been represented by a union.

LICENSES AND MEMBERSHIPS

The Corporation’s independent and assisted living units are licensed as a Residential Care Facility for the Elderly (“RCFE”) by the California Department of Social Services (“DSS”). The Corporation’s skilled nursing facility (“SNF”) is licensed as such by the California Department of Public Health. These licenses are renewed on an annual basis. The SNF is certified to participate in the Medicare and Medi-Cal programs, and has a number of contracts in place with HMO plans. In addition, the Corporation has a Certificate of Authority (“COA”) to enter into continuing care contracts with residents.

The RCFE license gives management the flexibility to tailor services to a variety of resident populations. The basis for this licensure is DSS’s determination that the residential, assisted living, and memory care areas and programs comply with specific requirements of California law related to RCFEs.

The Continuing Care Contracts Branch of DSS issued a COA to the Corporation to enter into continuing care contracts with residents of O’Connor Woods and, in 2014, the Corporation commenced entering into continuing care contracts with residents. A continuing care contract is defined by the State of California as an express or implied agreement between a person 60 years of age or older and a certified provider where, in exchange for payment of an entrance fee and/or periodic charges, a promise is made to provide one or more elements of care at a facility for the duration of the resident’s life or a period longer than one year. The Corporation offers two types of continuing care contracts to its residents – one in which 90% of the resident’s entrance fee payment is refundable upon termination of the resident’s occupancy and the other in which 1/36th of the resident’s entrance fee payment becomes non-refundable for each month in which the resident resides at the facility. See “RESIDENT AGREEMENTS AND FEES,” below. The Corporation’s refundable entrance fee deposits were \$9,742,000 and \$9,145,000 at December 31, 2020 and 2019, respectively. The Corporation is required to submit annual audited financial statements, reserve reports, and key indicator reports to DSS to maintain its COA.

The Corporation is a member of Leading Age (the national organization) and Leading Age-California, the California affiliate.

FACILITIES AND SERVICES

The Corporation provides housing and health care to, and otherwise serves the needs of, seniors in Stockton, California. On one 34-acre campus, the Corporation owns and operates (via the Management Agreement): 250 residential units for independent living (of which five units are currently not in residential use, as explained below); a 37-unit assisted living building known as “Garden Oaks”; a 48-unit assisted living facility known as “Oak Creek”; a 20-unit memory care facility known as “Laurel Pointe”; an 11-unit memory care facility known as “Laurel Pointe East”; and a 100-unit skilled nursing facility known as “Meadowood Health and Rehabilitation Center”. The residential units for independent living, Garden Oaks, Oak Creek, Laurel Pointe, Laurel Pointe East and Meadowood Health and Rehabilitation Center are collectively referred to herein as the “Facilities”.

The Corporation is in the process of improving the Facilities as part of a multi-year plan to modernize its existing buildings and renovate current units. The Corporation is approximately halfway through its master plan, having recently completed a \$2.8 million remodel of its main dining room and kitchen, and having completed the renovation of approximately one-third of its independent living units. See “MANAGEMENT DISCUSSION AND ANALYSIS OF FINANCIAL PERFORMANCE,” for a discussion of annual capital improvement spending in each of Fiscal Years 2019, 2020 and 2021.

The Corporation operates the Facilities on a nondiscriminatory basis and affords equal treatment and access to services to all persons regardless of race, color, religion, sexual orientation, national origin or ancestry. The Corporation accepts applications from persons 62 years and older who meet the minimum admission requirements. An applicant’s eligibility is based upon social compatibility, health status, and financial status. Applicants are required to provide health records and have a medical examination by a physician prior to admission.

The square footage areas and dates of construction for each building included in the Facilities are summarized as follows:

Table 2
Unit Mix, Square Footage by Building and History

Building	Size (Est. Sq. Ft.)	Stories	Units/ Beds	Year Built	Year Renovated
<u>Independent Living</u>					
Holly Oak	86,098	3	74	1990	N/A
Silver Oak	86,098	3	74	1990	N/A
Valley Oak	86,098	3	74	1990	N/A
Cottages (East)	17,430	1	14	1990	N/A
Cottages (West)	<u>18,060</u>	1	<u>14</u>	2001	N/A
<i>Total</i>	<u>293,784</u>		<u>250</u>		
<u>Assisted Living</u>					
Garden Oaks	24,000	1	37	1991	N/A
Oak Creek	<u>45,575</u>	2	<u>48</u>	2001/2014	N/A
<i>Total</i>	<u>69,575</u>		<u>85</u>		
<u>Memory Care</u>					
Laurel Pointe	13,763	2	20	2014	N/A
Laurel Pointe East	<u>3,344</u>	1	<u>11</u>	2001	2016
<i>Total</i>	<u>17,107</u>		<u>31</u>		

<u>Skilled Nursing Facility</u>					
Meadowood	<u>46,000</u>	1	<u>100</u>	1997	N/A
<i>Total</i>	<u>46,000</u>		<u>100</u>		
<u>Other</u>					
Main Clubhouse	10,212	1	N/A	1940's	1990
North Clubhouse	5,735	1	N/A	1940's	1990
Fitness Center	4,380	1	N/A	1940's	2012
Greenhouse	692	1	N/A	1940's	1990
Dining Pavilion	12,334	1	N/A	1990	2021
Chapel	2,157	1	N/A	1991	N/A
Maintenance Bldg.	<u>2,400</u>	1	N/A	2001	N/A
<i>Total</i>	<u>37,910</u>				
Total	464,376		466		

Source: Management

The unit mix for independent living and assisted living units is summarized as follows:

Table 3
Unit Mix and Square Footage by Unit Type

Unit Type and Care	# of Units	Unit Size in Sq. Ft.		
		Low	High	Average
<u>Independent Living</u>				
Studio	4	465	475	470
One Bedroom	111	662	898	666
Two Bedroom	102	940	1,030	957
Cottages/Two Bedroom	<u>28</u>	<u>1,222</u>	<u>1,289</u>	<u>1,255</u>
<i>Total/Average</i>	<i>245</i>	<i>799</i>	<i>1,093</i>	<i>852</i>
<u>Assisted Living</u>				
Studio	43	350	528	415
One Bedroom	33	546	546	546
Two Bedroom	<u>9</u>	<u>680</u>	<u>728</u>	<u>685</u>
<i>Total/Average</i>	<i>85</i>	<i>488</i>	<i>546</i>	<i>494</i>
<u>Memory Care</u>				
Studio	25	96	276	246
Shared	<u>6</u>	<u>157</u>	<u>205</u>	<u>189</u>
<i>Total/Average</i>	<i>31</i>	<i>133</i>	<i>264</i>	<i>235</i>
Total/Average	361			715

Source: Management

Types of Services. The Corporation offers the following services at the Facilities:

Residential/Independent Living Services. Not included in the above unit count are three units currently being used as guest apartments, one being used for outpatient rehab and one being used as a model apartment. All units have full kitchens, a washer and dryer, outdoor patios or balconies, and access to additional storage. Most residents have access to covered parking in either carports or garages. All

residents are provided with one meal a day: a choice of lunch or dinner. Residents also receive bi-weekly housekeeping, scheduled transportation, all utilities, and a full range of recreational and health and wellness services for their monthly fee. Amenities include a chapel, a Koi pond with a waterfall, indoor swimming pool, spa, fitness center, greenhouse, nine hole putting green, recently renovated dining room and cafe, multi-purpose room, woodworking shop, art studio and additional meeting/game rooms.

Assisted Living Services. Garden Oaks offers 25 private units, 11 deluxe private units (which also can be converted to semi-private space), and 1 two-bedroom unit that is designed for shared accommodations. Oak Creek offers 33 one-bedroom units, 7 studio alcove units, and 8 two-bedroom units that are designed for shared accommodations. Three meals a day are provided to residents in the assisted living dining rooms. Residents receive 24-hour assistance with non-medical needs such as bathing, dressing, medication supervision, and housekeeping and personal laundry, as needed.

Memory Care Services. Laurel Pointe is the main memory care building. Laurel Pointe East was converted from a previous independent living duplex cottage in 2016. Laurel Pointe offers 20 all-inclusive memory care units and Laurel Pointe East offers 11 memory care units. Residents live in a unique neighborhood setting that provides individualized care and supervision. Resident care team members are specially trained as universal workers to seamlessly meet the needs of every resident – whether it is assisting with a meal or providing support for daily needs. Specially designed programs help stimulate memory and encourage social interaction and creative pursuits based on interests and abilities.

Skilled Nursing Facility Services. The Meadowood Health and Rehabilitation Center is a 100-bed skilled nursing facility (“SNF”). Residents in the SNF require 24-hour nursing care by licensed nurses and certified nursing assistants. Services include nursing care, dietary care, housekeeping, and laundry services. In addition, many residents require rehabilitation services, including physical, occupational, and speech therapies. The SNF is licensed by the State of California Department of Public Health.

Ancillary or Special Services. Additional services available to residents, for which additional charges are imposed, include guest meals, carports, barber and beauty shops, manicurist, the services of visiting physicians and Service Plus, the Corporation’s home service agency.

RESPONSE TO COVID-19

In December 2019, a novel strain of coronavirus (which leads to the disease known as “COVID-19”), was discovered. Since that date, the virus has spread throughout the world and has been characterized by the World Health Organization as a pandemic. The impact of the COVID-19 pandemic on the U.S. economy has been broad based, and it has negatively impacted national, state and local economies. In response, the President of the United States on March 13, 2020, declared a “national emergency,” which, among other effects, allowed the executive branch to disburse disaster relief funds to address the COVID-19 pandemic and related economic dislocation.

On March 19, 2020, the Governor of the State of California issued a statewide shelter in place order to limit the spread of the virus. Other orders and recommendations affecting the requirements of various laws were also enacted. Regulations have continued to change throughout the pandemic, and all statewide orders were lifted when California reopened on June 15, 2021. Despite the expiration of statewide orders, cities and counties have the ability, and continue, to impose local public health orders restricting economic activities within California. Presently, to achieve universal masking in indoor public settings, San Joaquin County is recommending that fully vaccinated people also mask in indoor public settings. While many businesses have resumed normal capacities and operating hours and gatherings, the Corporation has taken a more incremental and conservative approach to reopening the campus. As a licensed facility, the Corporation continues to adhere to all applicable regulations and protocols.

COVID-19 has created disruption for the Corporation as it has done in so many other senior living communities. The responses of management have varied throughout the past year as the pandemic evolved, resources became more available and the science and thinking of public officials related to effective COVID-19 responses evolved. The virus has impacted occupancy at the Corporation as individuals considering long-term decisions delayed finalizing commitments or moves to facilities such as the Corporation.

The Corporation has worked proactively to protect its residents and staff. Early in the pandemic the Corporation voluntarily halted new admissions to ensure the safety of existing residents. This pause in admissions was quickly restarted once management felt that new admissions could be done safely. The Corporation has created an enhanced sales and marketing campaign to increase occupancy throughout the community.

From the beginning of the pandemic, the Corporation worked aggressively to maintain strict protocols and procedures around infection control (and continues to do so), in accordance with state and local regulations that continue to evolve. The Corporation has benefited from the layout of its facility, the immense outdoor living spaces, and expansive grounds. Management has been adaptive, balancing the ever-changing regulations while trying to limit the impact on the daily life of its residents. Socially distanced congregate dining is occurring at the corporation when allowed by local authorities.

The Corporation has experienced a moderate number of positive cases among its residents, with the majority of positive cases coming from assisted living and memory care residents. The majority of the positive cases came in November and December, 2020, due to the holidays and social events happening outside the Corporation. The number of positive cases decreased inversely to the availability of the COVID-19 vaccine. The Corporation held its first vaccine clinic January 9, 2021. Currently, 85% of staff and 91% of residents are fully vaccinated.

As noted in “BONDHOLDERS’ RISKS,” on August 5, 2021, the State of California issued the first order in the nation that requires COVID-19 vaccinations for health care workers, allowing only for religious or rare medical exemptions. Employees of hospitals, nursing homes, doctors’ offices, clinics and other medical facilities have until September 30, 2021 to be fully vaccinated under the new order issued by Dr. Tomás J. Aragón, California’s public health officer. In the meantime, they must either be vaccinated or undergo mandatory weekly testing, under the state’s previous order issued the week of July 26, 2021. Of the staff that remain unvaccinated, approximately 19% are subject to the new order.

The Corporation routinely tests its non-vaccinated staff, and performs additional testing for staff and residents when there is a positive case. The Corporation continues to administer infection control protocols, which include employee and visitor screening, face covering requirements, and thorough contact tracing. The administration of a COVID-19 test is required of every individual suspected to have been exposed to the virus. Both the vaccine and COVID-19 tests are widely available to the staff and residents of the Corporation’s facilities. Throughout the pandemic, the Corporation has been able to procure personal protective equipment and supplies necessary to accommodate staff and resident needs. The Corporation maintains a substantial inventory of personal protective equipment and other pandemic-related supplies.

To date, the Corporation has had a cumulative total of 28 residents and 67 employees test positive for COVID-19. This number includes those who tested positive through August 3, 2021. From the beginning of the pandemic to August 3, 2021, one resident has passed away after contracting COVID-19. Variants of the COVID-19 virus are increasing the number of positive cases throughout California.

A variety of federal, state and local government efforts have been initiated in response to the COVID-19 outbreak. On March 13, 2020, the Families First Coronavirus Response Act (the “FFCRA”) was enacted to provide additional support for the domestic COVID-19 response. The FFCRA included provisions for establishing a federal emergency paid leave program for individuals impacted by COVID-

19, expanding unemployment benefits, requiring employers to provide paid sick leave, providing diagnostic testing for COVID-19 free of charge to consumers and providing liability protection for protective equipment used as part of the COVID-19 response. On March 27, 2020, the approximately \$2 trillion Coronavirus Aid, Relief and Economic Security Act (the “CARES Act”) was enacted into law to provide stimulus funds to individuals and businesses impacted by the COVID-19 outbreak. The CARES Act includes a number of provisions important to health care providers, including provisions for emergency funds, making \$100 billion available under the Public Health and Social Services Emergency Fund (the “Provider Relief Fund”) to reimburse eligible health care providers for health care-related expenses or lost revenues not otherwise reimbursed that are directly attributable to COVID-19. Eligible providers include Medicare or Medicaid enrolled suppliers and providers, and for-profit and nonprofit entities in the United States that provide diagnoses, testing or care for individuals with possible or actual cases of COVID-19.

The Corporation received approximately \$1.3 million from the various government COVID-19 provider relief and stimulus programs. The Corporation also applied for and received an approximately \$3.4 million loan under the Paycheck Protection Program (“PPP”) created under the CARES Act. These funds have helped to maintain staffing levels, as no layoffs or furloughs have occurred. The PPP loan was fully forgiven in June 2021, and was reflected in the Corporation’s audited financial statements for the fiscal year ended December 31, 2020.

The Corporation continues to experience direct and indirect challenges resulting from the COVID-19 pandemic, notably in addressing staffing challenges. The Corporation has relied on overtime and registry staffing to maintain the staffing levels required to meet the needs of residents. The Corporation has initiated recruitment campaigns with employee sign-on bonuses and enhanced employee referral bonuses. These programs have helped to increase staffing, but challenges with employee recruitment still exist.

The COVID-19 pandemic, including its variants, is ongoing and the Corporation cannot predict (i) the duration, extent or ultimate geographic spread of the pandemic or any other outbreak emergency; (ii) the actions that may be taken by governmental authorities to contain the outbreak or to treat its impacts, including additional restrictions on facilities such as those operated by the Corporation; or (iii) whether and to what extent the pandemic or other outbreak or emergency may disrupt the local or global economy, or whether any such disruption may adversely impact the Corporation or its operations. The continued outbreak of COVID-19, including the Delta variant, and measures taken to prevent or reduce it, could adversely impact local, state, national and global economic activities; and could adversely affect the financial performance of the Corporation. See “BONDHOLDERS’ RISKS—Covid-19 Outbreak.”

RESIDENT AGREEMENTS AND FEES

The Corporation offers the following types of resident agreements and fee schedules at the Facilities:

Residential/Independent Living Facilities. Every resident of the residential/independent living facilities has entered into a Residency Agreement with the Corporation. Each agreement is for a one-year period, and may be renewed annually thereafter on the anniversary of the resident’s move-in date. The Corporation is licensed as a Continuing Care Retirement Community (“CCRC”). The Corporation offers two types of entrance fee contracts, as well as a rental agreement. One type of entrance fee contract provides for a refund of 90% of the resident’s entrance fee (paid upon commencement of the contract) when the resident terminates occupancy; the other type of entrance fee contract provides that 1/36th of the resident’s entrance fee becomes non-refundable for each month of occupancy. Residents with entrance fee contracts receive a 25% discount off the regular monthly resident and service fees. The monthly independent living fee includes one meal per day, all utilities (except telephone), bi-weekly housekeeping, scheduled transportation, services of the health clinic, pastoral counseling and activities. The monthly independent living fee is due in advance on the first day of each month. The Corporation may charge interest on all

delinquent accounts at the maximum legal rate, until paid. See Note 1 to the audited financial statements in **APPENDIX B** for more information regarding the Corporation's entrance fee contracts.

Table 4
Residential Living
Unit Mix and Pricing

<u>Unit Type</u>	<u>Size</u>	<u>Number of Units</u>	<u>Monthly Service Fees</u>
Studio	465-475sf	4	\$2,658-\$2,747
One Bedroom	662-898sf	111	\$2,975-\$4,643
Two Bedroom	940-1,289sf	<u>130</u>	\$3,658-\$6,914
Total		<u>245</u>	
Weighted Average	852sf		
Second Person Fees	\$1,145		

Source: Management

Assisted Living Facilities. Every assisted living resident must enter into a Residence and Service Agreement with the Corporation (the "AL Residence Agreement"). The AL Residence Agreement continues in effect from month to month until terminated and provides for payment of a monthly fee. The monthly fee includes three meals per day, basic assistance in the activities of daily living, linen service, social and recreational activities, local transportation for shopping, medical and dental appointments, religious services, and personal laundry and housekeeping. Additional services, such as higher levels of assistance in the activities of daily living, are available on a monthly fee-for-service basis for those residents whose needs exceed the above. The Corporation may adjust the monthly fee, or the charges for additional services, upon sixty days written notice to a resident. The monthly fee is due in advance on the first day of each month. The Corporation may charge interest on all delinquent accounts at the maximum legal rate, until paid.

A resident may terminate the AL Residence Agreement, with or without cause, upon thirty-day prior written notice. The Corporation may terminate the AL Residence Agreement, with cause, upon thirty days written notice. The term "cause" includes failure to pay monthly fees, failure to comply with state or local law, failure to comply with the Corporation's policies, a change in the use of the assisted living facilities, or a determination made by the Assisted Living Administrator, in consultation with a resident, the resident's family and physician, that the level of care provided is not appropriate for the resident or the resident's condition. Upon receipt of the prior written approval of DSS, the Corporation may terminate the AL Residence Agreement upon three days written notice if a resident engages in behavior that is determined to be detrimental to the health, safety or peaceful lodging of the resident, any other resident or the staff in assisted living. Upon termination of the AL Residence Agreement, the Corporation refunds any unused portion of the prepaid monthly fee, less any unpaid fees and charges incurred by the Corporation.

Table 5
Assisted Living
Unit Mix and Pricing

<u>Unit Type</u>	<u>Size</u>	<u>Number of Units</u>	<u>Monthly Service Fees</u>
Studio	350-528sf	43	\$4,909-\$6,013
One Bedroom	546sf	33	\$6,440
Two Bedroom	680-728sf	<u>9</u>	\$6,990-\$7,123
Total		<u>85</u>	(plus Level of Care fees \$392-\$2,268)
Weighted Average	494sf		
Second Person Fee	\$1,750		

Source: Management

Memory Care Facilities. Every resident of the memory care facilities must also enter into a form of Residence and Service Agreement with the Corporation (the “Memory Care Residence Agreement”). A Memory Care Residence Agreement continues in effect from month to month until terminated and provides for payment of a monthly fee. The monthly fee includes three meals per day, basic assistance in the activities of daily living, linen service, social and recreational activities, local transportation for shopping, medical and dental appointments, religious services, and personal laundry and housekeeping. The Corporation may adjust the monthly fee upon sixty days written notice to a resident. The monthly fee is due in advance on the first day of each month. The Corporation may charge interest on all delinquent accounts at the maximum legal rate, until paid.

A resident may terminate the Memory Care Residence Agreement, with or without cause, upon thirty-day prior written notice. The Corporation may terminate a Memory Care Residence Agreement, with cause, upon thirty days written notice. The term “cause” includes failure to pay monthly fees, failure to comply with state or local law, failure to comply with the Corporation’s policies, a change in the use of the memory care facilities, or a determination made by the Memory Care Administrator, in consultation with a resident, the resident’s family and physician, that the level of care provided is not appropriate for the resident or the resident’s condition. Upon receipt of the prior written approval of DSS, the Corporation may terminate the Memory Care Residence Agreement upon three days written notice if a resident engages in behavior that is determined to be detrimental to the health, safety or peaceful lodging of the resident, any other resident or the staff in assisted living. Upon termination of the Memory Care Residence Agreement, the Corporation refunds any unused portion of the prepaid monthly fee, less any unpaid fees and charges incurred by the Corporation.

Table 6
Memory Care
Unit Mix and Pricing

<u>Unit Type</u>	<u>Size</u>	<u>Number of Units</u>	<u>Monthly Service Fees</u>
Studio	96-276sf	25	\$8,195-\$9,515
Shared	157-205sf	<u>6</u>	\$5,947
Total		<u>31</u>	
Weighted Average	235sf		

Source: Management

Skilled Nursing. The following table outlines per diem rates for skilled nursing beds, based upon an admissions agreement with the patient:

Table 7
Skilled Nursing Care
Base Per Diem Rates

<u>Room Type</u>	<u>Size</u>	<u>Number of Beds</u>	<u>Per Diem Rate</u>
Private	226sf	14	\$436-\$460
Semi-private	362-411sf	86	\$357-\$381

Source: Management

Resident Assistance Fund. The Corporation maintains a Resident Assistance Fund to provide financial assistance to residents who become unable to pay the established charges. It is the Corporation's philosophy that no one should need to move from an established residence at the Facilities due to financial inability. Individual grants are normally limited to 80% of a resident's demonstrated need, but no one individual can receive more than 33% of the available estimated annual grant funds.

OCCUPANCY AND HISTORICAL UTILIZATION

Residential Living Units

The following tables outline the historical utilization and turnover activity of the residential living units:

Table 8
Historical Residential Living Occupancy

<u>Period Ended</u>	<u>Average Units Available</u>	<u>Average Units Occupied</u>	<u>Average Percentage Occupancy</u>
Dec 31, 2018	245	215.1	87.8%
Dec 31, 2019	245	208.7	85.2%
Dec 31, 2020	245	197.5	80.6%
June 30, 2021	245	185.9	75.9%

Source: Management

Table 9
Historical Residential Living Turnover Activity

<u>Period Ended</u>	<u>Move-ins</u>	<u>Deaths</u>	<u>Withdrawals</u>	<u>Transfers within OCW</u>	<u>Net Activity</u>
Dec 31, 2018	+38	-5	-12	-19	+2
Dec 31, 2019	+38	-4	-20	-17	-3
Dec 31, 2020	+15	-9	-15	-17	-26
June 30, 2021	+14	-3	-5	-9	-3

Source: Management

Assisted Living Units

The following tables outline the historical utilization and turnover activity of the assisted living units:

Table 10
Historical Assisted Living Occupancy

<u>Period Ended</u>	<u>Units Available</u>	<u>Average Units Occupied</u>	<u>Average Percentage Occupancy</u>
Dec 31, 2018	85	79.3	93.3%
Dec 31, 2019	85	76.6	90.1%
Dec 31, 2020	85	76.5	90.0%
June 30, 2021	85	64.4	75.8%

Source: Management

Table 11
Historical Assisted Living Turnover Activity

<u>Period Ended</u>	<u>Move-ins</u>	<u>Deaths</u>	<u>Withdrawals</u>	<u>Transfers within OCW</u>	<u>Net Activity</u>
Dec 31, 2018	+23	-25	-16	+14	-4
Dec 31, 2019	+26	-18	-14	+4	-2
Dec 31, 2020	+20	-18	-14	+6	-6
June 30, 2021	+7	-6	-7	+3	-3

Source: Management

Memory Care Units

The following tables outline the historical utilization and turnover activity of the memory care units:

Table 12
Historical Memory Care Occupancy

<u>Period Ended</u>	<u>Units Available</u>	<u>Average Units Occupied</u>	<u>Average Percentage Occupancy</u>
Dec 31, 2018	31	28.0	90.3%
Dec 31, 2019	31	28.0	90.3%
Dec 31, 2020	31	29.6	95.5%
June 30, 2021	31	28.4	91.7%

Source: Management

Table 13
Historical Memory Care Turnover Activity

<u>Period Ended</u>	<u>Move-ins</u>	<u>Deaths</u>	<u>Withdrawals</u>	<u>Transfers within OCW</u>	<u>Net Activity</u>
Dec 31, 2018	+14	-14	-8	+5	-3
Dec 31, 2019	+10	-15	-8	+17	+4
Dec 31, 2020	+2	-15	-4	+14	-3
June 30, 2021	+5	-9	-4	+7	-1

Source: Management

Skilled Nursing Beds

The following tables outline the historical utilization, admission, average length of stay and skilled nursing payor mix of the skilled nursing beds:

Table 14
Historical Skilled Nursing Occupancy

<u>Period Ended</u>	<u>Beds Available</u>	<u>Average Beds Occupied</u>	<u>Average Percentage Occupancy</u>
Dec 31, 2018	100	90.1	90.1%
Dec 31, 2019	100	87.2	87.2%
Dec 31, 2020	100	74.4	74.4%
June 30, 2021	100	71.9	71.9%

Source: Management

Table 15
Historical Skilled Nursing Admissions

<u>Period Ended</u>	<u>Number of Admissions</u>
Dec 31, 2018	468
Dec 31, 2019	532
Dec 31, 2020	358
June 30, 2021	173

Source: Management

Table 16
Historical Skilled Nursing Average Length of Stay

<u>Period Ended</u>	<u>Average Length of Stay (Days)</u>
Dec 31, 2018	143
Dec 31, 2019	142
Dec 31, 2020	183
June 30, 2021	168

Source: Management

Table 17
Historical Skilled Nursing Payor Mix by Beds

<u>Period Ended</u>	<u>Private Pay</u>	<u>Managed Care</u>	<u>Medicare</u>	<u>Medi-Cal</u>
Dec 31, 2018	18.5%	4.8%	27.6%	49.1%
Dec 31, 2019	18.3%	9.2%	21.9%	50.6%
Dec 31, 2020	13.9%	8.8%	15.4%	61.9%
June 30, 2021	15.4%	13.2%	16.5%	54.9%

Source: Management

WAIT LIST

The Corporation maintains waiting lists for potential residents. To reserve a spot on the residential living wait list, potential residents must submit an application and pay a \$2,500 refundable application fee. Currently the list consists of approximately 12 individuals/couples. Assisted Living, Memory Care and Skilled Nursing Facility waiting lists are also maintained, but generally there is no more than one or two persons on these lists. No fee is required to be placed on these waiting lists. Admission staff periodically communicate with prospective residents to update their ongoing intentions relative to occupancy if and when facilities become available.

Once a unit or bed becomes available, the resident is required to submit a physician report and/or medical records along with other admission documents. Residents are admitted if these additional reports and documents meet the qualification requirements for the applicable facility.

Table 18
Resident Waitlist

<u>As of</u>	<u>Residential Living</u>	<u>Memory Care</u>	<u>Assisted Living</u>	<u>Skilled Nursing</u>
Dec 31, 2018	10	0	0	0
Dec 31, 2019	13	6	0	0
Dec 31, 2020	12	4	0	0
June 30, 2021	12	0	0	0

Source Management

MARKET DEMAND AND COMPETITION

Management views the Corporation's primary market as age 75+ households with an annual household income of \$50,000+. Management believes that the Corporation competes with the following facilities:

Independent Living: Management believes that the primary competitors for independent living are Revel Lodi, Paradise Valley Estates, and Covenant Living Village, all of which are located in the Corporation's service area and offer competitive rates. Management views the Corporation's primary market area for independent living as a set of ten ZIP codes within a ten-mile radius of the Facilities. These ten ZIP codes account for 55% of all independent living residents who currently are living at O'Connor Woods. This proportion is less than typical, compared to many communities that often attract a greater percentage of their residents from their primary market area.

- Revel Lodi is located in Lodi and has 142 independent living units.

- Paradise Valley Estates is located in Fairfield and has 321 independent living units.
- Covenant Living Village is located in Turlock and has 214 independent living units.

Assisted Living / Memory Care: Management believes that the primary competitors for assisted living and memory care are The Commons on Thornton and Oakmont of Brookside, both of which are located in the Corporation's service area and offer competitive rates.

- The Commons on Thornton is located in Stockton and has 100 assisted living and memory care units.
- Oakmont of Brookside is located in Stockton and has 75 assisted living and memory care units.

Skilled Nursing: The primary competitors for skilled nursing are Creekside Care Center, Lincoln Square Post-Acute Care, Riverwood Healthcare Center, Vienna Nursing and Rehabilitation Center, and Wagner Heights Nursing and Rehabilitation Center. Management believes that the primary competitors offer comparable quality to the Corporation at competitive rates.

- Creekside Care Center is located in Stockton and has a licensed capacity of 75 units.
- Lincoln Square Post-Acute Care is located in Stockton and has a licensed capacity of 64 units.
- Riverwood Healthcare Center is located in Stockton and has a licensed capacity of 99 units.
- Vienna Nursing and Rehabilitation Center is located in Lodi and has a licensed capacity of 150 units.
- Wagner Heights Nursing & Rehabilitation Center is located in Stockton and has a licensed capacity of 152 units.

MANAGEMENT DISCUSSION AND ANALYSIS OF FINANCIAL PERFORMANCE

Summary of Financial Information

The following financial information of the Corporation for each of the fiscal years ended December 31, 2018, 2019 and 2020, has been derived by management from the Corporation's audited financial statements. The following information summarizes, and should be read in conjunction with, the audited financial statements as of and for the fiscal years ended December 31, 2018, 2019 and 2020, and related notes, that are included in **APPENDIX B** to this Official Statement. These financial statements are the most recent audited financial statements of the Corporation.

The interim financial information for the six-month periods ended June 30, 2020 and 2021, is *unaudited*, and reflects all material adjustments necessary to summarize the results of such periods fairly on a basis consistent with the audited financial statements. The results of operations for the six-month period ended June 30, 2021 may not be indicative of the results for the entire year ending December 31, 2021.

Summary of Comparative Historical and Interim Balance Sheets (in thousands)

	Audited as of December 31,			Unaudited as of June 30,	
	2018	2019	2020	2020	2021
ASSETS					
Current Assets					
Cash and cash equivalents	\$3,842	\$6,072	\$6,223	\$8,821	\$3,897
Investments	16,318	19,301	23,779	20,462	25,768
Tenant and patient receivables, net	1,761	1,668	1,138	1,430	1,681
Other receivables	717	767	384	473	439
Prepaid expenses and deposits	690	625	763	543	638
Inventories	0	28	133	28	133
Assets limited as to use, required for current liabilities – debt service reserves	<u>2,129</u>	<u>2,116</u>	<u>2,129</u>	<u>1,640</u>	<u>1,811</u>
Total Current Assets	<u>25,457</u>	<u>30,577</u>	<u>34,549</u>	<u>33,397</u>	<u>34,367</u>
Assets limited as to use, net of current portion					
Debt service reserves, net of current portion	3,264	3,367	3,431	3,422	3,219
Donor-restricted cash and investments	<u>1,295</u>	<u>1,633</u>	<u>3,262</u>	<u>1,566</u>	<u>3,450</u>
Total Assets limited as to use, net of current portion	<u>4,559</u>	<u>5,000</u>	<u>6,693</u>	<u>4,988</u>	<u>6,669</u>
Property and Equipment, net	<u>51,330</u>	<u>49,712</u>	<u>49,155</u>	<u>48,071</u>	<u>48,762</u>
Total Assets	<u>\$81,346</u>	<u>\$85,289</u>	<u>\$90,397</u>	<u>\$86,456</u>	<u>\$89,798</u>

	Audited as of December 31,			Unaudited as of June 30,	
	2018	2019	2020	2020	2021
LIABILITIES AND NET ASSETS					
Current Liabilities					
Accounts payable and accrued expenses	\$1,518	\$1,604	\$1,195	\$860	\$1,025
Accrued payroll and related expenses	948	1,042	1,095	1,148	1,086
Accrued interest expense	1,126	1,107	1,082	1,082	1,056
Current portion of long-term debt	962	1,001	1,051	1,051	1,100
Current portion of deferred entrance fees	299	366	390	382	356
Refundable CCRC contracts payable	0	0	418	0	467
Prepaid rent and tenant deposits	<u>942</u>	<u>931</u>	<u>850</u>	<u>875</u>	<u>861</u>
Total Current Liabilities	<u>5,795</u>	<u>6,051</u>	<u>6,081</u>	<u>5,398</u>	<u>5,951</u>
Noncurrent Liabilities					
Deferred entrance fees, net of current portion	1,151	1,561	1,777	1,719	1,775
Refundable CCRC contracts	6,862	9,145	9,324	9,254	9,057
Other long-term liabilities	48	31	29	20	36
Long-term debt, net of current portion	<u>44,363</u>	<u>43,362</u>	<u>42,311</u>	<u>45,663</u>	<u>41,204</u>
Total Noncurrent Liabilities	<u>52,424</u>	<u>54,099</u>	<u>53,441</u>	<u>56,656</u>	<u>52,072</u>
Total Liabilities	<u>58,219</u>	<u>60,150</u>	<u>59,522</u>	<u>62,054</u>	<u>58,023</u>
Net Assets					
Without donor restrictions	21,934	23,595	27,684	22,857	28,370
With donor restrictions	<u>1,193</u>	<u>1,544</u>	<u>3,191</u>	<u>1,545</u>	<u>3,405</u>
Total Net Assets	<u>23,127</u>	<u>25,139</u>	<u>30,875</u>	<u>24,402</u>	<u>31,775</u>
Total Liabilities and Net Assets	<u>\$81,346</u>	<u>\$85,289</u>	<u>\$90,397</u>	<u>\$86,456</u>	<u>\$89,798</u>

Source: Management

Summary of Comparative Historical and Interim Statements of Operations & Changes in Net Assets (in thousands)

	Audited Fiscal Years Ended December 31,			Unaudited Six Months Ended June 30,	
	2018	2019	2020	2020	2021
REVENUE AND OTHER SUPPORT					
Rental revenue	\$18,805	\$18,995	\$19,491	\$9,921	\$9,470
Net patient service revenue	13,104	12,853	10,876	6,680	5,879
Government grant revenue	0	0	4,274	0	0
Other revenue	1,031	946	593	321	279
Contributions	14	3	1	0	0
Net assets released from restrictions for operations	<u>39</u>	<u>56</u>	<u>51</u>	<u>1</u>	<u>8</u>
Total Revenue	<u>32,993</u>	<u>32,853</u>	<u>35,286</u>	<u>16,923</u>	<u>15,636</u>
EXPENSES					
Salaries and wages	12,189	12,778	13,280	6,794	6,407
Employee benefits	3,361	3,579	3,361	1,769	1,787
Professional fees	1,671	1,887	1,473	865	606
Supplies	701	856	1,060	438	634
Purchased services	3,864	4,148	4,037	2,010	2,054
Ancillary costs	865	756	560	337	328
Utilities	1,644	1,704	1,829	840	850
Insurance and other	979	819	859	454	382
Management fees	1,322	1,645	1,763	846	782
Depreciation	3,879	3,947	3,872	1,936	1,996
Interest and amortization	2,253	2,220	2,172	1,084	1,058
Provision for uncollectible accounts	<u>0</u>	<u>0</u>	<u>0</u>	<u>45</u>	<u>38</u>
Total Expenses	<u>32,728</u>	<u>34,339</u>	<u>34,266</u>	<u>17,418</u>	<u>16,922</u>
OPERATING INCOME (LOSS)	265	(1,486)	1,020	(495)	(1,286)
NONOPERATING REVENUE (EXPENSES)					
Investment income (loss)	(993)	3,147	3,069	(243)	1,972
Gain on asset disposal	<u>4</u>	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>
Excess (deficiency) of revenue and other support over expenses	<u>(724)</u>	<u>1,661</u>	<u>4,089</u>	<u>(738)</u>	<u>686</u>
NET ASSETS WITHOUT DONOR RESTRICTIONS					
Excess (deficiency) of revenue and other support over expenses	<u>(724)</u>	<u>1,661</u>	<u>4,089</u>	<u>(738)</u>	<u>686</u>
Change in net assets without donor restrictions	<u>(724)</u>	<u>1,661</u>	<u>4,089</u>	<u>(738)</u>	<u>686</u>

	Audited Fiscal Years Ended December 31,			Unaudited Six Months Ended June 30,	
	2018	2019	2020	2020	2021
NET ASSETS WITH DONOR RESTRICTIONS					
Contributions	16	257	1,561	38	10
Investment income (loss)	(20)	129	148	(36)	212
Charitable annuity trust valuation adjustment	(31)	21	(11)	0	0
Net assets released from restrictions for operations	<u>(39)</u>	<u>(56)</u>	<u>(51)</u>	<u>(1)</u>	<u>(8)</u>
Change in net assets with donor restrictions	<u>(74)</u>	<u>351</u>	<u>1,647</u>	<u>1</u>	<u>214</u>
Change in Net Assets	(798)	2,012	5,736	(737)	900
Net Assets, beginning of year	<u>23,925</u>	<u>23,127</u>	<u>25,139</u>	<u>25,139</u>	<u>30,875</u>
Net Assets, end of year	<u>\$23,127</u>	<u>\$25,139</u>	<u>\$30,875</u>	<u>\$24,402</u>	<u>\$31,775</u>

Source: Management

Fiscal Year ended December 31, 2019 compared to Fiscal Year ended December 31, 2018

Balance Sheets

Total Assets increased by \$3,943,000, from \$81,346,000 in 2018 to \$85,289,000 in 2019. Significant differences included the following:

- *Cash and cash equivalents* increased by \$2,230,000 or 58%, from \$3,842,000 in 2018 to \$6,072,000 in 2019. Net cash income (after debt service) and receipts from new CCRC contract entrance fees were offset by capital project spending.
- *Assets limited as to use (current and noncurrent combined)* increased by \$428,000 or 6%, from \$6,688,000 in 2018 to \$7,116,000 in 2019. The majority of this increase (\$330,000) occurred in donor-restricted funds, which resulted from a 10% return on restricted investments in 2019 and a large donation that was received at the end of the year.
- *Investments* increased by \$2,983,000 or 18%, from \$16,318,000 in 2018 to \$19,301,000 in 2019. This increase resulted entirely from substantial investment gains in 2019.
- *Property, plant and equipment (net)* decreased by \$1,618,000 or 3%, from \$51,330,000 in 2018 to \$49,712,000 in 2019. Increases of \$2,330,000 resulted from capital project spending, offset by \$3,947,000 in depreciation. Capital project spending included \$1,391,000 for renovation and modernization of independent living apartments.

Total Liabilities increased by \$1,931,000, from \$58,219,000 in 2018 to \$60,150,000 in 2019. Significant differences included the following:

- *Long-term debt (current and noncurrent combined)* decreased by \$962,000 or 2%, from \$45,325,000 in 2018 to \$44,363,000 in 2019. A scheduled bond principal payment of \$955,000 was made in January 2019.
- *Deferred revenue from unamortized entrance fees (current and noncurrent combined)* increased by \$477,000 or 33%, from \$1,450,000 in 2018 to \$1,927,000 in 2019. O'Connor Woods sold a total of 16 new entrance fee contracts in 2019, resulting in this increase.
- *Refundable entrance fees* increased by \$2,283,000 or 33%, from \$6,862,000 in 2018 to \$9,145,000 in 2019. O'Connor Woods sold ten new refundable entrance fee contracts in 2019.

Total Net Assets increased by \$2,012,000, from \$23,127,000 in 2018 to \$25,139,000 in 2019. This increase was the result of net income without donor restrictions of \$1,661,000 and net income with donor restrictions of \$351,000.

Statements of Operations

Operating Revenues increased by \$140,000, from \$32,993,000 in 2018 to \$32,853,000 in 2019. Significant differences included the following:

- *Rental revenue* increased by \$190,000 or 1%, from \$18,805,000 in 2018 to \$18,995,000 in 2019. Decreases of 2.4% in independent living occupancy and 3.4% in assisted living were offset by annual rate increases of 3.75% and increased amortized entrance fee income from new contracts.
- *Net patient service* revenue decreased by \$251,000 or 2%, from \$13,104,000 in 2018 to \$12,853,000 in 2019. A 3.2% overall decrease in average daily census was partially offset by annual rate increases from governmental payers and market-based increases in private-pay rates.

Operating Expenses increased by \$1,611,000, from \$32,728,000 in 2018 to \$34,339,000 in 2019. Significant differences included the following:

- *Salaries and wages* and *Employee benefits* increased by a combined total of \$807,000 or 5%, from \$15,550,000 in 2018 to \$16,357,000 in 2019. Annual wage rate increases have averaged 4% over the past year, and several skilled nursing positions that were unstaffed in 2018 were fully staffed in 2019.
- *Purchased services* increased by \$284,000 or 7%, from \$3,864,000 in 2018 to \$4,148,000 in 2019. Contracted dining services increased by \$265,000 due to a change in contractors.
- *Management fees* increased by \$323,000 or 24%, from \$1,322,000 in 2018 to \$1,645,000 in 2019. The management fee rate increased from 4% of revenues in 2018 to 5% in 2019.

Fiscal Year ended December 31, 2020 compared to Fiscal Year ended December 31, 2019

Balance Sheets

Total Assets increased by \$5,108,000 from \$85,289,000 in 2019 to \$90,397,000 in 2020. Significant differences included the following:

- *Cash and cash equivalents* increased by \$151,000 or 2%, from \$6,072,000 in 2019 to \$6,223,000 in 2020. Net cash income (after debt service), proceeds from the Paycheck Protection Program, and receipts from new CCRC contract entrance fees and associated promissory notes, were offset by transfers to investment accounts and ongoing capital project spending.
- *Assets limited as to use (current and noncurrent combined)* increased by \$1,706,000 or 24%, from \$7,116,000 in 2019 to \$8,822,000 in 2020. This increase resulted mainly from restricted donations, which totaled \$1,550,000 in 2020.
- *Investments* increased by \$4,478,000 or 23%, from \$19,301,000 in 2019 to \$23,779,000 in 2020. A transfer of \$1,500,000 was made from cash accounts in February 2020, and net investment gains totaled \$2,989,000 over the past twelve months.
- *Accounts receivable (net)* decreased by \$530,000 or 32%, from \$1,668,000 in 2019 to \$1,138,000 in 2020. Most of this decrease was due to a 24% decrease in skilled nursing patient days in December 2020 as compared to December 2019, as well as a decrease in the average rate per day, both resulting from the effects of COVID-19. The decrease in patient days was less pronounced for Medi-Cal (Medicaid), which has a much lower rate per day than all other payer types. Medi-Cal days were only 8% lower in December 2020 than in December 2019.
- *Other receivables* decreased by \$383,000 or 50%, from \$767,000 in 2019 to \$384,000 in 2020. There was only one short-term note receivable for CCRC contract entrance fees in 2020, as there were very few new contracts in 2020. There were five short-term notes receivable in 2019.
- *Property, plant and equipment (net)* decreased by \$557,000 or 1%, from \$49,712,000 in 2019 to \$49,155,000 in 2020. An increase of \$3,315,000 from capital project spending was offset by \$3,872,000 in depreciation. Capital project spending included \$1,943,000 for renovation and modernization of independent living apartments and the campus dining room.

Total Liabilities decreased by \$628,000, from \$60,150,000 in 2019 to \$59,522,000 in 2020. Significant differences include the following:

- *Accounts payable and accrued expenses* decreased by \$409,000 or 25%, from \$1,604,000 in 2019 to \$1,195,000 in 2020. Approximately \$230,000 of this decrease was the result of a service dispute and payment delay with the dining services contractor whereby two months of services had been accrued in 2019. The remaining decrease is mainly due to differences in the timing of payments for a few large vendors.
- *Long-term debt (current and noncurrent combined)* decreased by \$1,001,000 or 2%, from \$44,363,000 in 2019 to \$43,362,000 in 2020. A scheduled bond principal payment of \$995,000 was made in January 2020.
- *Deferred revenue from unamortized entrance fees (current and noncurrent combined)* increased by \$240,000 or 12%, from \$1,927,000 in 2019 to \$2,167,000

in 2020. A total of four new entrance fee contracts have been sold over the past twelve months, resulting in this increase in deferred revenue.

- *Refundable entrance fees (current and noncurrent combined)* increased by \$597,000 or 7%, from \$9,145,000 in 2019 to \$9,742,000 in 2020. O'Connor Woods sold three new refundable entrance fee contracts in 2020.

Total Net Assets increased by \$5,736,000, from \$25,139,000 in 2019 to \$30,875,000 in 2020. This increase was the result of net income without donor restrictions of \$4,089,000 and net income with donor restrictions of \$1,647,000.

Statements of Operations

Operating Revenues increased by \$2,433,000, from \$32,853,000 in 2019 to \$35,286,000 in 2020. Significant differences included the following:

- *Rental revenue* increased by \$496,000 or 3%, from \$18,995,000 in 2019 to \$19,491,000 in 2020. An increase of 5.7% in memory care occupancy and annual rate increases of 4% were partially offset by decreases of 6.0% in independent living occupancy and 1.4% in assisted living.
- *Net patient service revenue* decreased by \$1,977,000 or 15%, from \$12,853,000 in 2019 to \$10,876,000 in 2020. There was a 14.6% overall decrease in average daily census from 2019 to 2020. The census decrease was 34.2% for private-pay, Medicare, and managed care payers, all of which result predominantly from elective medical procedures. These procedures were greatly curtailed by medical providers in 2020 due to COVID-19. Annual rate increases from governmental payers and market-based increases in private-pay rates mitigated the decrease to a degree.
- All other revenues increased by \$3,914,000, from \$1,005,000 in 2019 to \$4,919,000 in 2020. A decrease in revenue that resulted from the inability to offer many services because of COVID-19 (including food service, room rentals to prospective residents, and the fitness center) was offset by Paycheck Protection Program and CARES Act funding that was received in 2020. Proceeds from the Paycheck Protection Program were recognized as revenue, as full loan forgiveness was anticipated (and was received in June 2021). See Note 1 to the audited financial statements in **APPENDIX B** for a description of government grant revenue received by the Corporation.

Operating Expenses decreased by \$73,000, from \$34,339,000 in 2019 to \$34,266,000 in 2020. Significant differences included the following:

- *Salaries and wages* and *Employee benefits* increased by a combined total of \$286,000 or 2%, from \$16,357,000 in 2019 to \$16,641,000 in 2020. Annual wage rate increases averaged more than 3.5%, and additional attendance bonuses were implemented in 2020 due to COVID-19. These factors were offset to a degree by a \$229,000 reduction in workers' compensation insurance expense resulting from a change in carriers.
- *Contract labor* (a component of *Professional fees*) decreased by \$421,000 or 27%, from \$1,583,000 in 2019 to \$1,162,000 in 2020. Skilled nursing therapy labor decreased by 25% due to a significant reduction in therapy patients, which resulted from medical providers reducing or eliminating elective surgeries for a significant portion of 2020.

- *Supplies* increased by \$204,000 or 28%, from \$856,000 in 2019 to \$1,060,000 in 2020. Although expenses for many supplies decreased in 2020 as a result of reduced occupancy, this was offset by \$389,000 in additional COVID-related expenses.
- *Ancillary costs* decreased by \$196,000 or 26%, from \$756,000 in 2019 to \$560,000 in 2020. This category of expense results mostly from short-term skilled nursing visits following elective surgeries. As explained above, there was a significant decrease in these visits in 2020.

Six-month period ended June 30, 2021 compared to six-month period ended June 30, 2020

Balance Sheets

Total Assets increased by \$3,342,000, from \$86,456,000 in 2020 to \$89,798,000 in 2021. Significant differences included the following:

- *Cash and cash equivalents* decreased by \$4,924,000 or 56%, from \$8,821,000 in 2020 to \$3,897,000 in 2021. Net cash income for the past 12 months was \$2,887,000 before debt service, due to the negative effects of the COVID-19 pandemic on operations. Net cash receipts from CCRC contract entrance fees and associated promissory notes were \$409,000, much less than expected because of the inability or reluctance of new residents to move into the community due to the pandemic. These cash inflows were more than offset by debt service and ongoing capital project spending.
- *Assets limited as to use (current and noncurrent combined)* increased by \$1,852,000 or 28%, from \$6,628,000 in 2020 to \$8,480,000 in 2021. A \$1,510,000 donation restricted for resident assistance was received in October 2020, and restricted investment income totaled \$395,000 over the past 12 months due to substantial market gains.
- *Investments* increased by \$5,306,000 or 26%, from \$20,462,000 in 2020 to \$25,768,000 in 2021. Investment income totaled \$5,285,000 over the past 12 months due to substantial market gains.
- *Accounts receivable (net)* increased by \$251,000 or 18%, from \$1,430,000 in 2020 to \$1,681,000 in 2021. Although gross patient receivables were about 4% less in 2021, there was a much larger allowance for uncollectible accounts recorded in 2020. Due to the economic factors occurring in the first few months of the pandemic, the reserve allowance was very conservative in 2020.
- *Property, plant and equipment (net)* increased by \$691,000 or 1%, from \$48,071,000 in 2020 to \$48,762,000 in 2021. Increases of \$4,622,000 resulted from capital project spending, offset by \$3,931,000 in depreciation. Capital project spending included \$3,085,000 for renovation and modernization of independent living apartments and the campus dining room.

Total Liabilities decreased by \$4,031,000, from \$62,054,000 in 2020 to \$58,023,000 in 2021. Significant differences included the following:

- *Long-term debt (current and noncurrent combined)* decreased by \$4,409,000 or 9%, from \$46,714,000 in 2020 to \$42,305,000 in 2021. The 2020 balance included a loan of \$3,348,000 from the Paycheck Protection Program, which has been forgiven in full in 2021. In addition, a scheduled bond principal payment in the amount of \$1,045,000 was made in January 2021.

- *Refundable CCRC contracts payable* increased by \$467,000, from \$0 in 2020 to \$467,000 in 2021. Two refunds totaling \$467,000 were owed on terminated CCRC contracts in 2021. These refunds are not required to be paid until proceeds are received from the sale of similarly priced contracts.

Total Net Assets increased by \$7,373,000, from \$24,402,000 in 2020 to \$31,775,000 in 2021. This increase was the result of net income without donor restrictions of \$5,513,000 for the twelve months ended June 30, 2021 (including \$3,348,000 from forgiveness of the Paycheck Protection Program loan) and net income with donor restrictions of \$1,858,000.

Statements of Operations

Operating Revenues decreased by \$1,287,000, from \$16,923,000 in 2020 to \$15,636,000 in 2021. Significant differences included the following:

- *Rental revenue* decreased by \$451,000 or 5%, from \$9,921,000 in 2020 to \$9,470,000 in 2021. Decreases of 9.9% in independent living occupancy, 18.7% in assisted living, and 5.9% in memory care, were partially offset by annual rate increases averaging 5%. The occupancy decreases resulted from the effects of the COVID-19 pandemic. New resident move-ins were greatly reduced, due to California mandates for a period of time, then followed by hesitancy from prospective residents. There were 75 move-ins in 2018 and 74 in 2019, but only 37 in 2020 (a 50% reduction). The pace of move-ins recovered in the second quarter of 2021 to an annualized rate of 72, and occupancy has started to increase as a result.
- *Net patient service revenue* decreased by \$801,000 or 12%, from \$6,680,000 in 2020 to \$5,879,000 in 2021. There was a 12.8% overall decrease in average daily census from 2020 to 2021. The census decrease was only 1.7% for private-pay, Medicare, and managed care payers, all of which result predominantly from elective medical procedures. These procedures were greatly curtailed by medical providers in the second quarter of 2020 due to COVID-19, and this continued into early 2021. The situation greatly improved starting in the latter half of the first quarter of 2021, such that there was a 16.8% census increase for these payers for the month of June 2021 as compared to June 2020. Annual rate increases from governmental payers and market-based increases in private-pay rates partially offset the census decrease.

Operating Expenses decreased by \$496,000, from \$17,418,000 in 2020 to \$16,922,000 in 2021. Significant differences included the following:

- *Salaries and wages* and *Employee benefits* decreased by a combined total of \$369,000 or 4%, from \$8,563,000 in 2020 to \$8,194,000 in 2021. Most of this decrease (\$318,000) is attributable to skilled nursing, which has seen a 10.3% decline in salaries and wages due to the reduced overall census. Annual wage rate increases have averaged more than 4% over the past year, partially offsetting the staffing decrease.
- *Contract labor* (a component of *Professional fees*) decreased by \$215,000 or 31%, from \$704,000 in 2020 to \$489,000 in 2021. Skilled nursing therapy labor costs decreased by 14% due to a reduction in elective medical procedures, as described above. In addition, a number of vacant positions in 2020 led to the use of contract labor at that time.

- *Supplies* increased by \$196,000 or 45%, from \$438,000 in 2020 to \$634,000 in 2021. In 2021 there has been \$212,000 in additional COVID-related expenses (including testing).

Financial Ratios

The following table reflects historical debt service coverage and liquidity ratios. The table also shows unrestricted cash and investments and the number of days' cash available to cover cash operating expenses.

Historical Financial Ratios (dollars in thousands)

	Audited Fiscal Years Ended December 31,			Unaudited 12 Months ended June 30,	
	2018	2019	2020	2020	2021
Unrestricted Net Income (Loss)	\$(724)	\$1,661	\$4,089	\$(529)	\$5,515
Plus (Minus):					
Amortization of CCRC entrance fees	(210)	(378)	(466)	(395)	(589)
Depreciation and amortization	4,032	4,089	4,004	4,029	4,059
Interest expense	2,099	2,078	2,041	2,058	2,019
Unrealized loss (gain) on investments	1,994	(2,551)	(983)	(636)	(2,884)
(Gains) losses on disposal of assets	(4)	0	0	0	0
Net Income Available for Debt Service⁽¹⁾	\$7,188	\$4,899	\$8,685	\$4,528	\$8,120
Maximum Annual Debt Service	\$3,213	\$3,213	\$3,213	\$3,213	\$3,213
Debt Service Coverage Ratio	2.24x	1.52x	2.70x	1.41x	2.53x
Unrestricted Cash and Investments	\$20,160	\$25,373	\$30,002	\$29,283	\$29,665
Cash Operating Expenses	\$28,485	\$30,107	\$30,266	\$30,887	\$29,713
Number of Days	365	365	366	366	365
Daily Cash Operating Expenses	\$78	\$82	\$83	\$84	\$81
Days Cash on Hand	258	308	363	347	364

(1) Does not include net entrance fee receipts per the definition of debt service coverage ratio

Source: Management

OTHER FINANCIAL INFORMATION

Budgeting

The Corporation operates under a budget adopted each year by its Board of Directors. EPI, as the third-party management company, prepares the annual financial budget with input from the Executive Director and presents the final budget to the Board for approval.

The budgeting process begins each July with the establishment of a budget timetable and budget process. The budget is completed and presented to the Board for approval in November each year for implementation at the beginning of the next fiscal year.

Investment Policy

The Corporation's Board of Directors provides direction and monitoring of the investment portfolio, however, an investment manager engaged by the Corporation actively manages the investment portfolio and carries out the investment policy. The primary long-term objectives of the investment policy are to preserve the inflation-adjusted value of the investment funds, maximize total return on the portfolio within established risk tolerances, and maintain liquidity in line with the Corporation's capital requirements.

The investment portfolio consists of diversified assets including but not limited to: equity, fixed income, and alternative assets such as real estate and commodities. The investment portfolio is monitored in a regular and disciplined process by the investment manager. The Board, along with the investment manager, review the performance of the investment portfolio no less frequently than semi-annually. The Board has the ability to terminate any investment manager at any time if it determines that the manager is no longer appropriate for the Corporation's investment portfolio.

Line of Credit

The Corporation does not have any line of credit facility.

INSURANCE

The Corporation currently carries property, automobile, commercial general liability, excess liability, ERISA bond, fidelity bond, builders' risk, earthquake, workers' compensation, and directors' and officers' liability insurance in such amounts as are customarily carried by similar institutions in the State of California. The Corporation also carries professional liability insurance in the amount of \$1,000,000 per claim and \$3,000,000 annual aggregate with excess coverage limits of \$2,000,000. The Corporation's liability coverage is on a claims-made basis, under which claims are covered only if reported during the policy period. See Note 9 to the audited financial statements in **APPENDIX B** for a description of the Corporation's risk management programs.

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APPENDIX B

**AUDITED FINANCIAL STATEMENTS OF
THE CORPORATION**

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*Report of Independent Auditors and
Financial Statements*

O'Connor Woods Housing Corporation

December 31, 2018 and 2017



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Report of Independent Auditors

To the Board of Trustees
O'Connor Woods Housing Corporation

Report on the Financial Statements

We have audited the accompanying financial statements of O'Connor Woods Housing Corporation, which comprise the balance sheets as of December 31, 2018 and 2017, and the related statements of operations and changes in net assets, and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with auditing standards generally accepted in the United States of America. This includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of O'Connor Woods Housing Corporation as of December 31, 2018 and 2017, and the results of its operations and changes in net assets, and its cash flows for the years then ended, in conformity with accounting principles generally accepted in the United States of America.

Emphasis of a Matter

As discussed in Note 1 to the financial statements, as of December 31, 2018, the O'Connor Woods Housing Corporation adopted Financial Accounting Standards Board ("FASB") Accounting Standards Update ("ASU") 2016-14, *Not-for-Profit Entities (Topic 958): Presentation of Financial Statements of Not-for-Profit Entities*. The ASU has been applied retrospectively to all periods presented with the exception of the omission of certain information as permitted by the ASU. Our opinion is not modified with respect to this matter.

As discussed in Note 1 to the financial statements, as of and for the year ended December 31, 2018, the O'Connor Woods Housing Corporation adopted FASB ASU 2104-09, *Revenue from Contracts with Customers (Topic 606)*. The ASU has been applied using the modified retrospective transition approach in the year of adoption. Our opinion is not modified with respect to this matter.

A handwritten signature in blue ink that reads "Moss Adams LLP". The signature is written in a cursive, flowing style.

San Francisco, California
April 25, 2019

Financial Statements

O'Connor Woods Housing Corporation
Balance Sheets
December 31, 2018 and 2017
(in thousands)

	<u>2018</u>	<u>2017</u>
ASSETS		
CURRENT ASSETS		
Cash and cash equivalents	\$ 3,842	\$ 6,137
Investments	16,318	11,499
Tenant and patient receivables, net of allowance for doubtful accounts of \$0 in 2018 and \$230 in 2017	1,761	1,997
Other receivables	717	143
Prepaid expenses and deposits	690	424
Assets limited as to use, required for current liabilities - debt service reserves	<u>2,129</u>	<u>2,077</u>
Total current assets	25,457	22,277
ASSETS LIMITED AS TO USE , net of current portion		
Debt service reserves, net of current portion	3,264	3,232
Donor-restricted cash and investments	<u>1,295</u>	<u>1,379</u>
Total assets limited as to use, net of current portion	4,559	4,611
PROPERTY AND EQUIPMENT , net	51,330	52,861
OTHER ASSETS		
Investments - board-designated resident assistance fund	<u>-</u>	<u>1,444</u>
Total other assets	<u>-</u>	<u>1,444</u>
Total assets	<u><u>\$ 81,346</u></u>	<u><u>\$ 81,193</u></u>

O'Connor Woods Housing Corporation
Balance Sheets (Continued)
December 31, 2018 and 2017
(in thousands)

	<u>2018</u>	<u>2017</u>
LIABILITIES AND NET ASSETS		
CURRENT LIABILITIES		
Accounts payable and accrued expenses	\$ 1,518	\$ 759
Accrued payroll and payroll related expenses	948	1,416
Accrued interest expense	1,126	1,144
Current portion of long-term debt	962	932
Current portion of deferred entrance fees	299	247
Deferred rent and tenant deposits	942	908
	<u>5,795</u>	<u>5,406</u>
NONCURRENT LIABILITIES		
Deferred entrance fees, net of current portion	1,151	731
Refundable CCRC contracts	6,862	5,755
Other long-term liabilities	48	51
Long-term debt, net of current portion	44,363	45,325
	<u>52,424</u>	<u>51,862</u>
Total noncurrent liabilities	<u>52,424</u>	<u>51,862</u>
Total liabilities	<u>58,219</u>	<u>57,268</u>
NET ASSETS		
Without donor restrictions	21,934	22,658
With donor restrictions	1,193	1,267
	<u>23,127</u>	<u>23,925</u>
Total net assets	<u>23,127</u>	<u>23,925</u>
Total liabilities and net assets	<u>\$ 81,346</u>	<u>\$ 81,193</u>

O'Connor Woods Housing Corporation
Statements of Operations and Changes in Net Assets
Years Ended December 31, 2018 and 2017
(in thousands)

NET ASSETS WITHOUT DONOR RESTRICTIONS:	2018	2017
REVENUE AND OTHER SUPPORT		
Rental revenue, including amortization of CCRC entrance fees of \$210 in 2018 and \$272 in 2017	\$ 18,805	\$ 18,306
Net patient service revenue	13,104	12,871
Other revenue	1,031	1,067
Contributions	14	71
Net assets released from restrictions for operations	39	73
	<u>32,993</u>	<u>32,388</u>
Total revenue and other support		
EXPENSES		
Salaries and wages	12,189	12,650
Employee benefits	3,361	3,410
Professional fees	1,671	1,820
Supplies	701	1,258
Purchased services	3,864	2,956
Ancillary costs	865	905
Utilities	1,644	1,617
Insurance and other	979	799
Management and support services fees	1,322	745
Depreciation	3,879	3,863
Interest and amortization	2,253	2,284
Provision for uncollectible accounts	-	250
	<u>32,728</u>	<u>32,557</u>
Total expenses		
Operating income (loss)	265	(169)
NONOPERATING REVENUE (EXPENSES)		
Investment (loss) income	(993)	1,329
Gain on refinancing	-	65
Gain on asset disposal	4	-
	<u>4</u>	<u>-</u>
(Deficiency) excess of revenue and other support over expenses	\$ (724)	\$ 1,225

O'Connor Woods Housing Corporation
Statements of Operations and Changes in Net Assets (Continued)
Years Ended December 31, 2018 and 2017
(in thousands)

	<u>2018</u>	<u>2017</u>
NET ASSETS WITHOUT DONOR RESTRICTIONS		
(Deficiency) excess of revenue and other support over expenses	\$ (724)	\$ 1,225
Change in net assets without donor restrictions	<u>(724)</u>	<u>1,225</u>
NET ASSETS WITH DONOR RESTRICTIONS		
Contributions	16	61
Investment (loss) income	(20)	18
Charitable annuity trust valuation adjustment	(31)	-
Net assets released from restrictions for operations	<u>(39)</u>	<u>(73)</u>
Change in net assets with donor restrictions	<u>(74)</u>	<u>6</u>
CHANGE IN NET ASSETS	(798)	1,231
NET ASSETS , beginning of year	<u>23,925</u>	<u>22,694</u>
NET ASSETS , end of year	<u><u>\$ 23,127</u></u>	<u><u>\$ 23,925</u></u>

O'Connor Woods Housing Corporation
Statements of Cash Flows
Years Ended December 31, 2018 and 2017
(in thousands)

	2018	2017
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash receipts from rental revenue	\$ 18,681	\$ 18,007
Cash receipts from sales of CCRC contracts	1,539	2,318
Cash receipts from patients	13,288	12,642
Cash receipts from other revenue	1,476	1,589
Cash payments for salaries and benefits	(16,018)	(15,769)
Cash payments for other operating expenses	(10,884)	(10,158)
Cash payments for interest	(2,278)	(2,306)
Net cash provided by operating activities	<u>5,804</u>	<u>6,323</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of investments	(15,372)	(16,471)
Proceeds from sale of investments	10,516	16,552
Purchase of property and equipment	(2,009)	(2,263)
Net cash used in investing activities	<u>(6,865)</u>	<u>(2,182)</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Principal payments on long-term debt	(925)	(890)
Payment on bond rebate liability	-	(955)
Principal payments on capital lease	-	(21)
Refunded CCRC contracts	(331)	(560)
Donor-restricted contributions	16	61
Change in donor-restricted cash and investments	6	(9)
Net cash used in financing activities	<u>(1,234)</u>	<u>(2,374)</u>
NET CHANGE IN CASH AND CASH EQUIVALENTS	<u>(2,295)</u>	<u>1,767</u>
CASH AND CASH EQUIVALENTS, beginning of year	<u>6,137</u>	<u>4,370</u>
CASH AND CASH EQUIVALENTS, end of year	<u><u>\$ 3,842</u></u>	<u><u>\$ 6,137</u></u>
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION		
Noncash investing activity during the year for property and equipment acquired through accounts payable	<u><u>\$ 660</u></u>	<u><u>\$ 325</u></u>

O'Connor Woods Housing Corporation
Statements of Cash Flows (Continued)
Years Ended December 31, 2018 and 2017
(in thousands)

	<u>2018</u>	<u>2017</u>
RECONCILIATION OF CHANGE IN NET ASSETS TO NET CASH		
PROVIDED BY OPERATING ACTIVITIES:		
Change in net assets	\$ (798)	\$ 1,231
Adjustments to reconcile change in net assets to net cash provided by operating activities:		
Depreciation	3,879	3,863
Amortization of deferred financing costs	153	167
Amortization of bond premium	(160)	(175)
Amortization of CCRC entrance fees	(210)	(272)
Restricted contributions received	(16)	(61)
Net realized and unrealized losses (gains) on investments	1,441	(1,120)
Gain on refinancing	-	(65)
Gain on asset disposal	(4)	-
Charitable annuity trust valuation adjustment	34	-
Provision for uncollectible accounts	-	250
Changes in assets and liabilities:		
Tenant and patient receivables	236	(316)
Other receivables	(574)	497
Prepaid expenses and deposits	(266)	134
Donor receivables	-	7
Accounts payable and accrued expenses	424	(182)
Accrued payroll and payroll related expenses	(468)	291
Accrued interest expense	(18)	(14)
Deferred rent and tenant deposits	34	60
Other long-term liabilities	(3)	(3)
Deferred entrance fees	819	122
Refundable CCRC contracts	1,301	1,909
	<u>1,301</u>	<u>1,909</u>
Net cash provided by operating activities	<u>\$ 5,804</u>	<u>\$ 6,323</u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 1 – ORGANIZATION AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Organization – In June 2014, O'Connor Woods Housing Corporation and O'Connor Woods Holding Company merged and became O'Connor Woods Housing Corporation. O'Connor Woods Housing Corporation ("the Corporation") is a California not-for-profit corporation. The Corporation is licensed by the State of California Department of Social Services Continuing Care Contracts Branch as a Continuing Care Retirement Community, and provides housing and other needs of the elderly in Stockton, California. It owns and operates a 249-unit residential retirement facility; a 37-unit assisted living facility (Garden Oaks); a 48-unit assisted living facility (Oak Creek); a 20-unit memory care facility (Laurel Pointe); an 11-unit memory care facility (Laurel Pointe East); and, a 100-unit skilled nursing facility (Meadowood Care Center).

A summary of significant accounting policies follows:

Cash and cash equivalents – For purposes of reporting in the statements of cash flows, the Corporation includes all highly liquid debt instruments purchased with an original maturity of three months or less, including money market funds, as cash and cash equivalents. The Corporation periodically maintains cash deposits in excess of federally insured limits.

Assets limited as to use – Assets limited as to use include assets held by a trustee under a bond indenture agreement and assets restricted by donors. Assets limited as to use are reported at fair value. Amounts required to satisfy the obligations classified as current liabilities are reported as current assets in the accompanying balance sheets.

Accounts receivable – The Corporation provides services to residents including those that may lack adequate funds or may participate in programs that do not pay full charges. The Corporation receives payment for health services from residents, insurance companies, Medicare, HMOs, and other third-party payors. As a result, the Corporation is exposed to certain credit risks. The Corporation manages its risk by regularly reviewing its accounts and providing appropriate allowances for uncollectible accounts. Tenant and patient accounts receivable are stated at the amount management expects to collect. The Corporation provides for estimated losses on accounts receivable based on prior bad debt experience and generally does not charge interest on past due balances. Past due status is based on the date of services provided. Receivables are charged off when they are deemed uncollectible. Recoveries from previously charged-off accounts are recorded when received.

O'Connor Woods Housing Corporation

Notes to Financial Statements

Revenue recognition – The Corporation's patient service revenue is generated through the Meadowood Care Center skilled nursing facility. The Corporation generally does not require collateral or other security in extending credit to patients; however, the Corporation routinely obtains assignments of (or is otherwise entitled to receive) benefits receivable under health insurance programs, plans, or policies of patients, such as Medicare and commercial insurance. Patient service revenue is recognized at the time the service is provided. A portion of the Corporation's revenue is subject to discounts under contracts with third-party payors. The transaction price for these services is based on standard charges for goods and services provided, reduced by contractual adjustments provided to third parties. The Corporation determines its estimates for contractual adjustments based on contractual agreements and historical experience. Routine services are treated as a single performance obligation satisfied over time as services are rendered. As such, patient care represents a bundle of services that are not capable of being distinct. Additionally, there may be ancillary services which are not included in the daily rates for routine services. Ancillary services are treated as separate performance obligations satisfied at a point in time, if and when those services are rendered. Revenue is recognized in the month in which the performance obligations are satisfied. Performance obligations satisfied over time for net patient service revenue are recognized based on actual charges incurred. This method provides a faithful depiction of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation.

Rental revenue generated through the assisted living, memory care, and independent living facilities is recognized monthly in accordance with the provisions of Financial Accounting Standards Board ("FASB") Accounting Standards Codification 606, *Revenue from Contracts with Customers*. Security deposits and advanced rent are recognized as liabilities until returned to tenants or otherwise earned. The Corporation has determined that the senior living services included under a monthly fee have the same timing and pattern of transfer and are a series of distinct services that are considered one performance obligation which is satisfied over time. In conjunction with its resident services, the Corporation sells CCRC membership contracts. Revenue associated with these membership contracts is recognized over the estimated remaining life of the resident.

The following represents net patient service revenue (in thousands), disaggregated by payor source, and rental revenue (in thousands), disaggregated by level of care, for the year ended December 31, 2018, as this best depicts how the nature, amount, timing and uncertainty of revenue and cash flows are affected by economic factors:

	<u>Private Pay</u>	<u>Other Insurance</u>	<u>Medicare</u>	<u>Medi-Cal</u>	<u>Total</u>
Net Patient Service Revenue	<u>\$ 2,087</u>	<u>\$ 679</u>	<u>\$ 6,527</u>	<u>\$ 3,811</u>	<u>\$ 13,104</u>
	<u>Assisted Living</u>	<u>Memory Care</u>	<u>Independent Living</u>	<u>CCRC Entrance fees</u>	<u>Total</u>
Rental Revenue	<u>\$ 6,295</u>	<u>\$ 2,457</u>	<u>\$ 9,843</u>	<u>\$ 210</u>	<u>\$ 18,805</u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

The mix of receivables from patients and third-party payors is as follows:

	December 31,	
	2018	2017
Commercial and other	36%	38%
Medicare	32%	23%
Medi-Cal	10%	21%
Self pay	22%	18%
	<u>100%</u>	<u>100%</u>

Property and equipment – Property and equipment are stated at cost. Donated property is recorded at its estimated fair value at the date of receipt. The cost of property and equipment purchased in excess of \$2,000 is capitalized. Depreciation on the property and equipment is computed using the straight-line method over the following estimated useful lives:

	Years
Buildings and improvements	5 - 50
Land improvements	5 - 50
Furniture and equipment	3 - 20

Impairment of long-lived assets and long-lived assets to be disposed of – Long-lived assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets to be held and used is measured by a comparison of the carrying amount of an asset to future net cash flows expected to be generated by the asset. If such assets are considered to be impaired, the impairment to be recognized is measured as the amount by which the carrying amount of the assets exceeds the fair value of the assets. Assets to be disposed of are reported at the lower of the carrying amount or fair value less cost to sell.

Investments – Investments in equity securities with readily determinable fair values, and all investments in debt securities, are reported at fair value. Investment income or loss (including interest, dividends, and realized and unrealized gains and losses on investments) is included in the (deficiency) excess of revenue and other support over expenses, as investments are held as trading securities.

Debt issuance costs and bond premiums – Debt issuance costs are amortized over the term of the related long-term debt using the effective interest method. Amortization expense for the years ended December 31, 2018 and 2017, was \$153,000 and \$167,000, respectively. Accumulated amortization totaled \$1,105,000 and \$952,000 as of December 31, 2018 and 2017, respectively. Bond premiums are amortized over the life of the bonds using the effective interest method. The amortization of bond premium revenue was \$160,000 and \$175,000 for the years ended December 31, 2018 and 2017, respectively. Debt issuance costs and bond premiums are netted against the long-term debt balance. Amortization of debt issuance costs and bond premiums is included as a component of interest and amortization in the accompanying statements of operations and changes in net assets.

Income taxes – The Corporation is recognized as not-for-profit under Internal Revenue Code Section 501(c)(3) and under Section 23701(d) of the California Revenue and Taxation Code. Accordingly, the Corporation is exempt from federal and California income taxes. The Corporation files United States federal and California state tax returns.

Donor restrictions and receivables – Contributions received for designated purposes are deposited and maintained in restricted cash and investment accounts. Donor-restricted contributions are reported as increases in net assets with donor restrictions. When a restriction expires, net assets with donor restrictions are reclassified to net assets without donor restrictions and reported in the statements of operations and changes in net assets as net assets released from restrictions. Net assets with donor restrictions that are perpetual in nature and stipulate that resources be maintained in perpetuity represent donor restricted donations to the Corporation's resident assistance program. The Uniform Prudent Management of Institutional Funds Act requires preservation of the fair value of these restricted contributions as of the gift date, absent explicit donor stipulations to the contrary. The Corporation classifies as net assets with donor restrictions the original value of the donor restricted donations and accumulations to the restricted fund made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. The restrictions require the Corporation to maintain the donations in perpetuity, with investment income earned on the donations to be used to assist residents.

The Corporation reports gifts of property and equipment (or other long-lived assets) as support without donor restrictions unless explicit donor stipulations specify how the donated assets must be used.

Continuing Care Retirement Community (CCRC) contracts – The Corporation began accepting CCRC contracts in 2014. The entrance fees for CCRC contracts are paid by residents upon entering into a continuing care residence and services agreement, and are recorded as deferred entrance fees (for the nonrefundable portion) and refundable CCRC contracts (for the refundable portion). The Corporation's continuing care residence and services agreements are either (i) amortizing contracts that have the right to a refund of the entrance fee, less 1/36 for each month of residency up to 36 months, where the entire amount is amortized to revenue on a straight-line basis over the life expectancy of the resident; or (ii) 90% refundable contracts, where 90% of the entrance fee is refundable upon termination of the contract and the sale of a similar unit, and the remaining 10% is nonrefundable and is amortized to revenue on a straight-line basis over the resident's life expectancy. At December 31, 2018 and 2017, the balance of deferred entrance fees was \$1,450,000 and \$978,000, respectively, and the balance of refundable CCRC contracts was \$6,862,000 and \$5,755,000, respectively.

Obligation to provide future services – Management annually calculates the present value of the net cost (difference between cost to operate and maintenance fees charged) of future services and use of the CCRC to be provided to current residents and compares the amount with the balance of deferred entrance fees and refundable CCRC contracts, discounted at 3.0%. If the present value of the net cost of future services and use of the CCRC exceeds the deferred entrance fees and refundable CCRC contracts, a liability and a corresponding charge to income are recorded. No liability was recorded at December 31, 2018 and 2017.

Bond rebate liability – The bond rebate liability consists of an estimated transfer proceeds adjustment liability incurred in connection with the retirement of the Series 1999 Refunding Revenue Bonds. Per IRS Publication 4079 (*Tax Exempt Governmental Bonds*), an issuer must allocate proceeds to expenditures not later than 18 months after the later of the date each expenditure is paid or the date the project, if any, that is financed by the issue is placed in service. This allocation must be made in any event by the date 60 days after the fifth anniversary of the issue date or the date 60 days after the retirement of the issue, if earlier. The liability was paid in November 2017, resulting in the recognition of a gain on refinancing in the amount of \$65,000.

O'Connor Woods Housing Corporation

Notes to Financial Statements

Benevolence – The Corporation provides services to residents who meet certain criteria under its benevolence policy without charge or at amounts less than its established rates. Partial payments to which the Corporation is entitled from public assistance programs on behalf of residents that meet the Corporation's benevolence criteria are reported as revenue. Because the Corporation does not normally pursue collection of amounts determined to qualify as benevolence, they are not reported as revenue.

Estimates in the financial statements – In preparing financial statements in conformity with accounting principles generally accepted in the United States ("U.S. GAAP"), management makes estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements, as well as the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates. Accounting estimates include fair value measurements of investments, contractual and uncollectible accounts receivable, useful lives of fixed assets, deferred entrance fees, and future service benefit obligations.

(Deficiency) excess of revenue and other support over expenses – The statements of operations and changes in net assets include (deficiency) excess of revenue and other support over expenses. Changes in net assets without donor restrictions that are excluded from (deficiency) excess of revenue and other support over expenses include contributions of long-lived assets.

Recent accounting pronouncements – In May 2014, the FASB issued Accounting Standards Update ("ASU") No. 2014-09, *Revenue from Contracts with Customers (Topic 606)* ("ASU 2014-09"). As compared to existing guidance on revenue recognition, ASU 2014-09 will significantly enhance comparability of revenue recognition practices across entities, industries, jurisdictions, and capital markets. The largely principles-based guidance in ASU 2014-09 will provide a framework for addressing revenue recognition issues comprehensively for entities that apply U.S. GAAP in addition to those entities that apply International Financial Reporting Standards. The guidance in ASU 2014-09 also improves U.S. GAAP by reducing the number of requirements which an entity must consider in recognizing revenue, as well as requiring improved disclosures to help users of financial statements better understand the nature, amount, timing, and uncertainty of revenue that is recognized. The effective date of ASU 2014-09 was deferred by ASU No. 2015-14, *Deferral of the Effective Date*, to annual periods beginning after December 15, 2017. The adoption is effective for the Corporation for the fiscal year ended December 31, 2018. The Corporation adopted the new revenue standard as of January 1, 2018 and the adoption did not have a material impact on the financial statements.

In January 2016, the FASB issued ASU No. 2016-01, *Recognition and Measurement of Financial Assets and Financial Liabilities, Financial Instruments – Overall (Subtopic 825-10)* ("ASU 2016-01"), which enhances the reporting model for financial instruments to provide users of financial statements with more decision-useful information. The update addresses certain aspects of recognition, measurement, presentation, and disclosure of financial instruments, including requiring equity investments (other than those under the equity method) to be measured at each reporting at fair value through excess of revenues over expenses with an exception allowed for equity investments that do not have readily determinable fair value, thereby eliminating the other-than-trading equity security designation. ASU 2016-01 is effective for the Corporation for the fiscal year ending December 31, 2019. Management is currently evaluating the impact of the provisions of ASU 2016-01 on the financial statements.

O'Connor Woods Housing Corporation

Notes to Financial Statements

In February 2016, the FASB issued ASU No. 2016-02, *Leases (Topic 842)* ("ASU 2016-02"), which increases transparency and comparability among organizations by recognizing lease assets and lease liabilities on the balance sheet and disclosing key information about leasing arrangements in the financial statements of lessees. The amendments in this update are effective for fiscal years beginning after December 15, 2018, with early adoption permitted. ASU 2016-02 is effective for the Corporation for the fiscal year ending December 31, 2019. Management is currently evaluating the impact of the provisions of ASU 2016-02 on the financial statements.

In August 2016, the FASB issued ASU No. 2016-14, *Not-for-Profit Entities (Topic 958): Presentation of Financial Statements of Not-for-Profit Entities* ("ASU 2016-14"), which changes the current net asset classification requirements and the information presented in financial statements and notes about an entity's liquidity, financial performance, and cash flows. The update replaces the requirement to present three classes of net assets with two classes: net assets with donor restrictions, and net assets without donor restrictions. The update also removes the requirement to present or disclose the indirect method (reconciliation) if using the direct method for the statement of cash flows, and adds several additional enhanced disclosures to the notes. The amendments in this update are effective for fiscal years beginning after December 15, 2017, and interim periods beginning after December 15, 2018, with application to interim financial statements permitted but not required in the initial year of application. The Corporation adopted ASU 2016-14 for the fiscal year ended December 31, 2018 and has adjusted the presentation of these financial statements accordingly, including changes to the presentation of net asset classification, inclusion of information about liquidity and availability of resources, and inclusion of information provided about expenses.

In accordance with ASU 2016-14, net assets as of December 31, 2017 have been reclassified as follows:

	As Adjusted	
	Without Donor Restrictions	With Donor Restrictions
As previously reported:		
Unrestricted	\$ 21,214,000	\$ -
Unrestricted - board-designated resident assistance fund	1,444,000	-
Temporarily Restricted	-	297,000
Permanently Restricted	-	970,000
	<u>\$ 22,658,000</u>	<u>\$ 1,267,000</u>

In August 2016, the FASB issued ASU No. 2016-15, *Statement of Cash Flows (Topic 230): Classification of Certain Cash Receipts and Cash Payments* ("ASU 2016-15"), which provides guidance on eight specific cash flow issues, including: debt repayment or debt extinguishment costs, settlement of zero-coupon debt instruments or other debt instruments with coupon interest rates that are insignificant in relation to the effective interest rate of the borrowing, contingent consideration payments made after a business combination, proceeds from the settlement of insurance claims, proceeds from the settlement of corporate-owned life insurance policies, distributions received from equity method investees, beneficial interests in securitization transactions, and separately identifiable cash flows and application of the predominance principle. The amendments in this update are effective for fiscal years beginning after December 15, 2018, with early adoption permitted. The adoption is effective for the Corporation for the fiscal year ending December 31, 2019. Management is currently evaluating the impact of the provisions of ASU 2016-15 on the financial statements.

O'Connor Woods Housing Corporation

Notes to Financial Statements

In November 2016, the FASB issued ASU No. 2016-18, *Statement of Cash Flows (Topic 230): Restricted Cash* ("ASU 2016-18"), which requires the statement of cash flows to explain the change during the period in total cash, cash equivalents, and amounts generally described as restricted cash or restricted cash equivalents. The amendments in this update are effective for fiscal years beginning after December 15, 2018, with early adoption permitted. The adoption is effective for the Corporation for the fiscal year ending December 31, 2019. Management is currently evaluating the impact of the provisions of ASU 2016-18 on the financial statements.

In June 2018, the FASB issued ASU No. 2018-08, *Not-for-Profit Entities: Clarifying the Scope and the Accounting Guidance for Contributions Received and Contributions Made (Topic 958)* ("ASU 2018-08"), to clarify and improve the scope and the accounting guidance for contributions received and made. The amendments should assist entities in evaluating whether transactions should be accounted for as contributions (nonreciprocal transactions) within the scope of *Topic 958, Not-for-Profit Entities*, or as exchange (reciprocal) transactions subject to other guidance, and also in determining whether a contribution is conditional. The adoption is effective for the Corporation for the fiscal year ending December 31, 2019. Management is currently evaluating the impact of ASU 2018-08 on the financial statements.

In August 2018, the FASB issued ASU No. 2018-13, *Fair Value Measurement – Disclosure Framework – Changes to the Disclosure Requirements for Fair Value Measurement (Topic 820)* ("ASU 2018-13"), to improve the effectiveness of disclosures in the notes to financial statements by facilitating clear communication of the information required by generally accepted accounting principles that is most important to users of financial statements through the removal, modification, and addition of disclosure requirements. The adoption is effective for the Corporation for the fiscal year ending December 31, 2020. Management is currently evaluating the impact of ASU 2018-13 on the financial statements.

O'Connor Woods Housing Corporation
Notes to Financial Statements

NOTE 2 – ASSETS LIMITED AS TO USE

The composition of assets limited as to use, stated at fair value, is set forth below (in thousands):

	December 31,	
	2018	2017
Required under bond indenture for principal, interest, and reserves:		
Cash and cash equivalents	\$ 2,159	\$ 2,148
Debt securities	3,232	3,160
	<u>5,391</u>	<u>5,308</u>
Required under bond indenture for project expenditures:		
Cash and cash equivalents	<u>2</u>	<u>1</u>
Donor-restricted assets:		
Cash and cash equivalents	56	82
Certificates of deposit	375	475
Equity securities	25	-
Debt securities	101	103
Mutual funds	<u>738</u>	<u>719</u>
	<u>1,295</u>	<u>1,379</u>
	6,688	6,688
Less current portion	<u>(2,129)</u>	<u>(2,077)</u>
	<u><u>\$ 4,559</u></u>	<u><u>\$ 4,611</u></u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 3 – INVESTMENTS

Investments include general-use and board-designated investments, and consist of the following (in thousands):

	December 31,	
	2018	2017
Investments:		
Cash and cash equivalents	\$ 1,071	\$ 804
Certificates of deposit	249	-
Debt securities	2,953	3,253
Mutual funds	3,422	3,586
Equity securities	8,509	3,717
Publicly traded real estate	114	139
	<u>16,318</u>	<u>11,499</u>
Board-designated resident assistance fund:		
Cash and cash equivalents	-	60
Debt securities	-	236
Mutual funds	-	665
Equity securities	-	467
Publicly traded real estate	-	16
	<u>-</u>	<u>1,444</u>
	<u>\$ 16,318</u>	<u>\$ 12,943</u>

Investment income (loss), expenses, and realized and unrealized gains and losses for assets limited as to use, cash equivalents, and investments are comprised of the following (in thousands):

	Year Ended December 31, 2018		
	Assets limited as to use	Cash equivalents and Investments	Total
Investment income:			
Interest and dividend income	\$ 104	\$ 417	\$ 521
Realized gains (losses) on sales of securities	(11)	607	596
Unrealized losses on securities	(30)	(2,007)	(2,037)
	<u>63</u>	<u>(983)</u>	<u>(920)</u>
Less investment expenses	<u>(15)</u>	<u>(78)</u>	<u>(93)</u>
Total investment income (loss)	48	(1,061)	(1,013)
Less investment loss with donor restrictions	<u>20</u>	<u>-</u>	<u>20</u>
Investment income (loss) without donor restrictions	<u>\$ 68</u>	<u>\$ (1,061)</u>	<u>\$ (993)</u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

	Year Ended December 31, 2017		
	Assets limited as to use	Cash equivalents and Investments	Total
Investment income:			
Interest and dividend income	\$ 103	\$ 254	\$ 357
Realized gains (losses) on sales of securities	(51)	864	813
Unrealized gains on securities	9	298	307
	61	1,416	1,477
Less investment expenses	(6)	(124)	(130)
Total investment income	55	1,292	1,347
Less investment income with donor restrictions	(18)	-	(18)
Investment income without donor restrictions	\$ 37	\$ 1,292	\$ 1,329

NOTE 4 – FAIR VALUE OF FINANCIAL INSTRUMENTS

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. A fair value hierarchy requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. The three levels of inputs that may be used to measure fair value within the fair value hierarchy are:

Level 1 – Quoted prices in active markets for identical assets or liabilities.

Level 2 – Observable inputs other than Level 1 inputs, such as quoted prices for similar assets or liabilities; quoted prices in markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities.

Level 3 – Unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the assets.

The level in the fair value hierarchy within which a fair value measurement falls is based on the lowest level input that is significant to the fair value measurement, in its entirety.

The following methods and assumptions were used to estimate the fair value of each class of financial instruments:

Cash and cash equivalents – The carrying amounts at face value approximate fair value because of the short maturity of these instruments.

Marketable investment securities – Where quoted market prices are available in an active market, securities are classified within Level 1 of the hierarchy. If quoted market prices are not available, fair values are estimated by using pricing models, quoted prices of securities with similar characteristics, or discounted cash flows. Level 2 securities include certificates of deposit, certain corporate asset-backed securities, and certain municipal and foreign government securities. In cases where Level 1 or Level 2 inputs are not available, securities are classified within Level 3 of the hierarchy and include private investment funds and other closely held investments.

O'Connor Woods Housing Corporation

Notes to Financial Statements

The following tables present the fair value measurements of investments recognized in the accompanying balance sheets (in thousands):

Description	December 31, 2018	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments (including assets limited as to use):				
Cash and money market funds	\$ 3,288	\$ 3,288	\$ -	\$ -
Certificates of deposit	624	-	624	-
Equity securities	8,534	8,534	-	-
Mutual funds	4,160	4,160	-	-
U.S. government agency securities	2,977	2,977	-	-
U.S. government bonds/notes	1,437	1,437	-	-
Foreign government bonds/notes	42	-	42	-
Municipal bonds/notes	153	-	153	-
Corporate bonds/notes	1,677	1,677	-	-
Publicly traded real estate	114	-	114	-
Total	<u>\$ 23,006</u>	<u>\$ 22,073</u>	<u>\$ 933</u>	<u>\$ -</u>
Description	December 31, 2017	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments (including assets limited as to use):				
Cash and money market funds	\$ 3,095	\$ 3,095	\$ -	\$ -
Certificates of deposit	475	-	475	-
Equity securities	4,184	4,184	-	-
Mutual funds	4,970	4,970	-	-
U.S. government agency securities	3,751	3,751	-	-
U.S. government bonds/notes	1,397	1,397	-	-
Foreign government bonds/notes	44	-	44	-
Municipal bonds/notes	194	-	194	-
Corporate bonds/notes	1,366	1,366	-	-
Publicly traded real estate	155	-	155	-
Total	<u>\$ 19,631</u>	<u>\$ 18,763</u>	<u>\$ 868</u>	<u>\$ -</u>

O'Connor Woods Housing Corporation
Notes to Financial Statements

NOTE 5 – PROPERTY AND EQUIPMENT

Property and equipment consists of the following (in thousands):

	December 31,	
	2018	2017
Buildings and improvements	\$ 79,912	\$ 77,709
Furniture and equipment	9,373	9,087
Land improvements	3,345	3,250
	92,630	90,046
Less accumulated depreciation	(46,700)	(42,821)
	45,930	47,225
Land	4,325	4,325
Construction in progress	1,075	1,311
Property and equipment, net	<u>\$ 51,330</u>	<u>\$ 52,861</u>

NOTE 6 – LONG-TERM DEBT

Long-term debt consists of the following (in thousands):

	December 31,	
	2018	2017
Series 2013 Insured Revenue Bonds, principal due in annual installments and fixed interest due semi-annually. Interest ranges from 2.0% to 5.0%, final payment due in January 2043, secured by a first deed of trust on the property and equipment of the Corporation.	\$ 45,225	\$ 46,150
	45,225	46,150
Bond issuance premium, net of accumulated amortization of \$1,157 and \$997 at December 31, 2018 and 2017, respectively.	2,224	2,384
Debt issuance costs, net of accumulated amortization of \$1,105 and \$952 at December 31, 2018 and 2017, respectively.	(2,124)	(2,277)
	45,325	46,257
Less current maturities, net of premium and deferred financing costs	(962)	(932)
Noncurrent portion	<u>\$ 44,363</u>	<u>\$ 45,325</u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

Maturities of long-term debt are as follows for the years ending December 31 (in thousands):

2019	\$	955
2020		995
2021		1,045
2022		1,095
2023		1,155
Thereafter		39,980
	\$	<u>45,225</u>

Interest and amortization expense related to long-term debt for the years ended December 31, 2018 and 2017 are comprised of the following (in thousands):

	<u>2018</u>	<u>2017</u>
Interest on bonds and leases	\$ 2,260	\$ 2,292
Amortization of bond premium	(160)	(175)
Amortization of debt issuance costs	153	167
Total	<u>\$ 2,253</u>	<u>\$ 2,284</u>

The Series 2013 Bonds are subject to restrictive covenants contained in a regulatory agreement. Under the regulatory agreement, the Corporation is required to maintain certain deposits with a trustee that are included in assets limited as to use. The regulatory agreement also, among other things, requires the Corporation to maintain a specified debt service coverage ratio, current ratio, and days cash on hand; places limits on the Corporation on the incurrence of additional long-term debt; and, requires the Corporation to report material adverse changes. Management believes the Corporation was in compliance with the various covenants as of and for the year ended December 31, 2018.

NOTE 7 – DEFERRED ENTRANCE FEES

The change in deferred entrance fees during the year ended December 31, 2018 consists of the following activity (in thousands):

Balance, beginning of year	\$	978
New fees received		615
Amortization of fees		(210)
Other		67
Balance, end of year	\$	<u>1,450</u>

NOTE 8 – RISK MANAGEMENT

The Corporation's professional liability insurance is a claims-made policy. Under the policy, insurance premiums cover only those claims actually reported during the policy term. Should the claims-made policy not be renewed or replaced with equivalent insurance, claims related to occurrences during their terms, but reported subsequent to their termination, may be uninsured. The deductible on the claims-made policy was \$1,000 as of December 31, 2018 and 2017.

U.S. GAAP requires that a health care facility disclose the estimated costs of malpractice claims in the period of the incident of malpractice if it is reasonably possible that liabilities may be incurred and losses can be reasonably estimated. Management is not aware of any pending claims that exceed the coverage limitations provided by the Corporation's policy. Based on the Corporation's historical claims experience, management believes that any unreported professional liability will not have a material adverse effect on the Corporation's financial position or results of operations.

The Corporation purchased its workers' compensation benefits through a risk retention group plan. A capital contribution deposit of \$110,000 and \$110,000 was held by the plan at December 31, 2018 and 2017, respectively. During 2017, the Corporation was assessed a pro rata share of the plan's unfunded liabilities in the amount of \$124,000. This liability is included in accrued payroll and payroll related expenses in the amount of \$124,000 and \$83,000 as of December 31, 2018 and 2017, respectively.

NOTE 9 – MANAGEMENT AND SUPPORT SERVICES AGREEMENTS

Starting January 1, 2015, the Corporation has a contractual agreement ("the Agreement") with Eskaton Properties, Inc. ("EPI"), a not-for-profit corporation that provides management and support services for the Corporation. EPI provides such services for a fee and processes pass-through expenditures on behalf of the Corporation. Under the terms of the Agreement, \$1,322,000 and \$745,000, exclusive of pass-through activity, was recognized as expense for services provided by EPI and is included in management and support services fees in the Corporation's accompanying statements of operations and changes in net assets for the years ended December 31, 2018 and 2017, respectively.

NOTE 10 – EMPLOYEE BENEFIT PLAN

The Corporation sponsors a 403(b) retirement plan (the "Plan") covering substantially all employees. Employees are immediately eligible to participate in the Plan and defer compensation under the Plan provisions. Employee deferral amounts are subject to Internal Revenue Service annual limitations. The Plan provides for employer-matching contributions. Employees who are at least 21 years of age and have completed one year of service are generally eligible to participate in employer-matching contributions. The Corporation will match 33.33% of the employee's deferral for deferral amounts not exceeding 6% of the employee's annual compensation. Employees vest 100% in employer-matching contributions after completing three years of service. Employer contributions to the Plan for the years ended December 31, 2018 and 2017, were \$81,000 and \$83,000, respectively.

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 11 – COMMITMENTS AND CONTINGENCIES

The Corporation is involved in litigation arising in the normal course of business. While the outcome cannot be determined by the Corporation at this time, in the opinion of management, such litigation will be covered by the Corporation's insurance and the resolution of such will not have a material effect on the financial position or results of operations of the Corporation.

The Corporation is subject to many complex federal, state, and local laws and regulations. Compliance with these laws and regulations is subject to government review and interpretation and unknown or unasserted regulatory actions. Government activity, with respect to investigations and allegations regarding possible violations of these laws and regulations by health care providers, including those related to medical necessity, coding, and billing for services, has increased significantly. Violations of these laws can result in large fines and penalties, sanctions on providing future services, and repayment of past patient service revenues. Management believes any actions that may result from investigations of noncompliance with laws and regulations will not have a material effect on the Corporation's future financial position or results of operations.

NOTE 12 – HEALTH AND SAFETY CODE SECTION 1790(a)(3) DISCLOSURE

The following disclosure is made pursuant to Section 1790(a)(3) of the California Health and Safety Code: no reserves are being accumulated for identified projects or contingencies.

NOTE 13 – LIQUIDITY DISCLOSURE

As of December 31, 2018, the Corporation had a working capital surplus of \$19.7 million and average days' cash on hand of 258 days.

Financial assets available for general expenditure within one year of the balance sheet date consist of the following:

	<u>Total</u>
Cash and cash equivalents	\$ 3,842
Investments	16,318
Accounts receivable	1,761
Other receivables	<u>717</u>
	<u>\$ 22,638</u>

The Corporation has certain assets limited as to use which are available for general expenditure within one year in the normal course of operations. Those assets are associated with donated funds that are limited as to use, but are expected to be made available, if necessary. Accordingly, these assets have been included in the quantitative information above.

The Corporation manages its liquidity by developing annual operating budgets that provide sufficient funds to support operating expenditures, liabilities, and other obligations. The Corporation's cash needs are expected to be met through operating revenue sources.

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 14 – NATURAL AND FUNCTIONAL EXPENSES

The Corporation provides housing and other needs of the elderly in Stockton consisting of health services, rental services, and community service programs. Expenses related to providing these services are as follows (in thousands):

	December 31, 2018				
	Program Services		Support Services		
	Health Services	Residential Services	Fundraising	General & Administrative	Total
Salaries and wages	\$ 4,823	\$ 5,994	\$ 4	\$ 1,368	\$ 12,189
Employee benefits	1,310	1,672	2	377	3,361
Professional fees	1,485	98	1	87	1,671
Supplies	224	305	-	172	701
Purchased services	746	2,792	-	326	3,864
Ancillary costs	857	8	-	-	865
Utilities	277	1,155	-	212	1,644
Insurance and other	431	261	5	282	979
Management fees	-	-	-	1,322	1,322
Depreciation	764	3,063	-	52	3,879
Interest and amortization	450	1,803	-	-	2,253
Total Expenses	<u>\$ 11,367</u>	<u>\$ 17,151</u>	<u>\$ 12</u>	<u>\$ 4,198</u>	<u>\$ 32,728</u>

The financial statements report certain expense categories that are attributable to more than one service or support function. Therefore, these expenses require an allocation on a reasonable basis that is consistently applied. Costs not directly attributable to a function, including depreciation, interest and amortization, and insurance and other are allocated to a function based on a units-of-service basis.

NOTE 15 – SUBSEQUENT EVENTS

Subsequent events are events or transactions that occur after the balance sheet date, but before financial statements are issued. The Corporation recognizes in the financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the balance sheet, including the estimates inherent in the process of preparing the financial statements. The Corporation's financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the balance sheet, but arose after the balance sheet date and before the financial statements are issued.

The Corporation has evaluated subsequent events through April 25, 2019, which is the date the financial statements were issued.



*Report of Independent Auditors and
Financial Statements*

O'Connor Woods Housing Corporation

December 31, 2019 and 2018



MOSSADAMS

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Report of Independent Auditors

To the Board of Trustees
O'Connor Woods Housing Corporation

Report on the Financial Statements

We have audited the accompanying financial statements of O'Connor Woods Housing Corporation, which comprise the balance sheets as of December 31, 2019 and 2018, and the related statements of operations and changes in net assets, and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with auditing standards generally accepted in the United States of America. This includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of O'Connor Woods Housing Corporation as of December 31, 2019 and 2018, and the results of its operations and changes in net assets, and its cash flows for the years then ended, in conformity with accounting principles generally accepted in the United States of America.

Emphasis of a Matter

As discussed in Note 1 to the financial statements, as of and for the year ended December 31, 2019, the O'Connor Woods Housing Corporation adopted Financial Accounting Standards Board Accounting Standards Update ("ASU") 2016-18, *Statement of Cash Flows (Topic 230): Restricted Cash*. The ASU has been applied retrospectively to all periods presented. Our opinion is not modified with respect to this matter.

A handwritten signature in blue ink that reads "Moss Adams LLP". The signature is written in a cursive, flowing style.

San Francisco, California
April 24, 2020

Financial Statements

O'Connor Woods Housing Corporation
Balance Sheets
December 31, 2019 and 2018
(in thousands)

	<u>2019</u>	<u>2018</u>
ASSETS		
CURRENT ASSETS		
Cash and cash equivalents	\$ 6,072	\$ 3,842
Investments	19,301	16,318
Tenant and patient receivables, net	1,668	1,761
Other receivables	767	717
Prepaid expenses and deposits	625	690
Inventories	28	-
Assets limited as to use, required for current liabilities - debt service reserves	<u>2,116</u>	<u>2,129</u>
Total current assets	<u>30,577</u>	<u>25,457</u>
ASSETS LIMITED AS TO USE, net of current portion		
Debt service reserves, net of current portion	3,367	3,264
Donor-restricted cash and investments	<u>1,633</u>	<u>1,295</u>
Total assets limited as to use, net of current portion	<u>5,000</u>	<u>4,559</u>
PROPERTY AND EQUIPMENT, net	<u>49,712</u>	<u>51,330</u>
Total assets	<u><u>\$ 85,289</u></u>	<u><u>\$ 81,346</u></u>

O'Connor Woods Housing Corporation
Balance Sheets (Continued)
December 31, 2019 and 2018
(in thousands)

	<u>2019</u>	<u>2018</u>
LIABILITIES AND NET ASSETS		
CURRENT LIABILITIES		
Accounts payable and accrued expenses	\$ 1,604	\$ 1,518
Accrued payroll and payroll related expenses	1,042	948
Accrued interest expense	1,107	1,126
Current portion of long-term debt	1,001	962
Current portion of deferred entrance fees	366	299
Deferred rent and tenant deposits	931	942
	<u>6,051</u>	<u>5,795</u>
NONCURRENT LIABILITIES		
Deferred entrance fees, net of current portion	1,561	1,151
Refundable CCRC contracts	9,145	6,862
Other long-term liabilities	31	48
Long-term debt, net of current portion	43,362	44,363
	<u>54,099</u>	<u>52,424</u>
Total noncurrent liabilities	<u>54,099</u>	<u>52,424</u>
Total liabilities	<u>60,150</u>	<u>58,219</u>
NET ASSETS		
Without donor restrictions	23,595	21,934
With donor restrictions	1,544	1,193
	<u>25,139</u>	<u>23,127</u>
Total net assets	<u>25,139</u>	<u>23,127</u>
Total liabilities and net assets	<u>\$ 85,289</u>	<u>\$ 81,346</u>

O'Connor Woods Housing Corporation
Statements of Operations and Changes in Net Assets
Years Ended December 31, 2019 and 2018
(in thousands)

NET ASSETS WITHOUT DONOR RESTRICTIONS:	2019	2018
REVENUE AND OTHER SUPPORT		
Rental revenue, including amortization of CCRC entrance fees of \$332 in 2019 and \$210 in 2018	\$ 18,995	\$ 18,805
Net patient service revenue	12,853	13,104
Other revenue	946	1,031
Contributions	3	14
Net assets released from restrictions for operations	56	39
Total revenue and other support	32,853	32,993
EXPENSES		
Salaries and wages	12,778	12,189
Employee benefits	3,579	3,361
Professional fees	1,887	1,671
Supplies	856	701
Purchased services	4,148	3,864
Ancillary costs	756	865
Utilities	1,704	1,644
Insurance and other	819	979
Management and support services fees	1,645	1,322
Depreciation	3,947	3,879
Interest and amortization	2,220	2,253
Total expenses	34,339	32,728
Operating (loss) income	(1,486)	265
NONOPERATING REVENUE (EXPENSES)		
Investment income (loss)	3,147	(993)
Gain on asset disposal	-	4
Excess (deficiency) of revenue and other support over expenses	\$ 1,661	\$ (724)

O'Connor Woods Housing Corporation
Statements of Operations and Changes in Net Assets (Continued)
Years Ended December 31, 2019 and 2018
(in thousands)

	<u>2019</u>	<u>2018</u>
NET ASSETS WITHOUT DONOR RESTRICTIONS		
Excess (deficiency) of revenue and other support over expenses	\$ 1,661	\$ (724)
Change in net assets without donor restrictions	<u>1,661</u>	<u>(724)</u>
NET ASSETS WITH DONOR RESTRICTIONS		
Contributions	257	16
Investment income (loss)	129	(20)
Charitable annuity trust valuation adjustment	21	(31)
Net assets released from restrictions for operations	<u>(56)</u>	<u>(39)</u>
Change in net assets with donor restrictions	<u>351</u>	<u>(74)</u>
CHANGE IN NET ASSETS	2,012	(798)
NET ASSETS , beginning of year	<u>23,127</u>	<u>23,925</u>
NET ASSETS , end of year	<u>\$ 25,139</u>	<u>\$ 23,127</u>

O'Connor Woods Housing Corporation
Statements of Cash Flows
Years Ended December 31, 2019 and 2018
(in thousands)

	2019	2018
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash receipts from rental revenue	\$ 18,704	\$ 18,681
Cash receipts from sales of CCRC contracts	4,420	1,539
Cash receipts from patients	12,896	13,288
Cash receipts from other revenue	365	1,476
Cash payments for salaries and benefits	(16,263)	(16,018)
Cash payments for other operating expenses	(11,307)	(10,884)
Cash payments for interest	(2,246)	(2,278)
Net cash provided by operating activities	<u>6,569</u>	<u>5,804</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of investments	(12,752)	(15,380)
Proceeds from sale of investments	12,418	10,516
Purchase of property and equipment	(2,724)	(2,009)
Net cash used in investing activities	<u>(3,058)</u>	<u>(6,873)</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Principal payments on long-term debt	(955)	(925)
Refunded CCRC contracts	(330)	(331)
Donor-restricted contributions	257	16
Net cash used in financing activities	<u>(1,028)</u>	<u>(1,240)</u>
NET CHANGE IN CASH, CASH EQUIVALENTS, AND RESTRICTED CASH	2,483	(2,309)
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, beginning of year	<u>6,059</u>	<u>8,368</u>
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, end of year	<u><u>\$ 8,542</u></u>	<u><u>\$ 6,059</u></u>
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION		
Noncash investing activity during the year for property and equipment acquired through accounts payable	<u><u>\$ 265</u></u>	<u><u>\$ 660</u></u>

O'Connor Woods Housing Corporation
Statements of Cash Flows (continued)
Years Ended December 31, 2019 and 2018
(in thousands)

	<u>2019</u>	<u>2018</u>
RECONCILIATION OF CHANGE IN NET ASSETS TO NET CASH		
PROVIDED BY OPERATING ACTIVITIES:		
Change in net assets	\$ 2,012	\$ (798)
Adjustments to reconcile change in net assets to net cash provided by operating activities:		
Depreciation	3,947	3,879
Amortization of deferred financing costs	141	153
Amortization of bond premium	(148)	(160)
Amortization of CCRC entrance fees	(332)	(210)
Restricted contributions received	(257)	(16)
Net realized and unrealized (gains) losses on investments	(2,803)	1,441
Gain on asset disposal	-	(4)
Charitable annuity trust valuation adjustment	(21)	31
Changes in assets and liabilities:		
Tenant and patient receivables	93	236
Other receivables	(50)	(571)
Prepaid expenses and deposits	65	(266)
Inventories	(28)	-
Accounts payable and accrued expenses	481	424
Accrued payroll and payroll related expenses	94	(468)
Accrued interest expense	(19)	(18)
Deferred rent and tenant deposits	(11)	34
Other long-term liabilities	(17)	(3)
Deferred entrance fees	855	819
Refundable CCRC contracts	2,567	1,301
	<u>2,567</u>	<u>1,301</u>
Net cash provided by operating activities	<u>\$ 6,569</u>	<u>\$ 5,804</u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 1 – ORGANIZATION AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Organization – In June 2014, O'Connor Woods Housing Corporation and O'Connor Woods Holding Company merged and became O'Connor Woods Housing Corporation. O'Connor Woods Housing Corporation ("the Corporation") is a California not-for-profit corporation. The Corporation is licensed by the State of California Department of Social Services Continuing Care Contracts Branch as a Continuing Care Retirement Community, and provides housing and other needs of the elderly in Stockton, California. It owns and operates a 249-unit residential retirement facility; a 37-unit assisted living facility (Garden Oaks); a 48-unit assisted living facility (Oak Creek); a 20-unit memory care facility (Laurel Pointe); an 11-unit memory care facility (Laurel Pointe East); and, a 100-unit skilled nursing facility (Meadowood Care Center).

A summary of significant accounting policies follows:

Cash and cash equivalents – For purposes of reporting in the statements of cash flows, the Corporation includes all highly liquid debt instruments purchased with an original maturity of three months or less, including money market funds, as cash and cash equivalents. The Corporation periodically maintains cash deposits in excess of federally insured limits.

Assets limited as to use – Assets limited as to use include assets held by a trustee under a bond indenture agreement and assets restricted by donors. Assets limited as to use are reported at fair value. Amounts required to satisfy the obligations classified as current liabilities are reported as current assets in the accompanying balance sheets.

Accounts receivable – The Corporation provides services to residents including those that may lack adequate funds or may participate in programs that do not pay full charges. The Corporation receives payment for health services from residents, insurance companies, Medicare, HMOs, and other third-party payors. As a result, the Corporation is exposed to certain credit risks. The Corporation manages its risk by regularly reviewing its accounts and providing appropriate allowances for uncollectible accounts. Tenant and patient accounts receivable are stated at the amount management expects to collect. The Corporation provides for estimated losses on accounts receivable based on prior bad debt experience and generally does not charge interest on past due balances. Past due status is based on the date of services provided. Receivables are charged off when they are deemed uncollectible. Recoveries from previously charged-off accounts are recorded when received.

O'Connor Woods Housing Corporation

Notes to Financial Statements

Revenue recognition – The Corporation’s patient service revenue is generated through the Meadowood Care Center skilled nursing facility. The Corporation generally does not require collateral or other security in extending credit to patients; however, the Corporation routinely obtains assignments of (or is otherwise entitled to receive) benefits receivable under health insurance programs, plans, or policies of patients, such as Medicare and commercial insurance. Patient service revenue is recognized at the time the service is provided. A portion of the Corporation’s revenue is subject to discounts under contracts with third-party payors. The transaction price for these services is based on standard charges for goods and services provided, reduced by contractual adjustments provided to third parties. The Corporation determines its estimates for contractual adjustments based on contractual agreements and historical experience. Routine services are treated as a single performance obligation satisfied over time as services are rendered. As such, patient care represents a bundle of services that are not capable of being distinct. Additionally, there may be ancillary services which are not included in the daily rates for routine services. Ancillary services are treated as separate performance obligations satisfied at a point in time, if and when those services are rendered. Revenue is recognized in the month in which the performance obligations are satisfied. Performance obligations satisfied over time for net patient service revenue are recognized based on actual charges incurred. This method provides a faithful depiction of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation.

Rental revenue generated through the assisted living, memory care, and independent living facilities is recognized monthly in accordance with the provisions of Financial Accounting Standards Board (“FASB”) Accounting Standards Codification 606, *Revenue from Contracts with Customers*. Security deposits and advanced rent are recognized as liabilities until returned to tenants or otherwise earned. The Corporation has determined that the senior living services included under a monthly fee have the same timing and pattern of transfer and are a series of distinct services that are considered one performance obligation which is satisfied over time. In conjunction with its resident services, the Corporation sells CCRC membership contracts. Revenue associated with these membership contracts is recognized over the estimated remaining life of the resident.

The following represents net patient service revenue (in thousands), disaggregated by payor source, and rental revenue (in thousands), disaggregated by level of care, for the year ended December 31, as this best depicts how the nature, amount, timing and uncertainty of revenue and cash flows are affected by economic factors:

	Year Ended December 31, 2019				
	Private Pay	Other Insurance	Medicare	Medi-Cal	Total
Net Patient Service Revenue	\$ 2,276	\$ 1,045	\$ 5,199	\$ 4,333	\$ 12,853

	Year Ended December 31, 2019				
	Assisted Living	Memory Care	Independent Living	CCRC Entrance fees	Total
Rental Revenue	\$ 6,214	\$ 2,560	\$ 9,843	\$ 378	\$ 18,995

O'Connor Woods Housing Corporation

Notes to Financial Statements

	Year Ended December 31, 2018				
	Private Pay	Other Insurance	Medicare	Medi-Cal	Total
Net Patient Service Revenue	\$ 2,087	\$ 679	\$ 6,527	\$ 3,811	\$ 13,104

	Year Ended December 31, 2018				
	Assisted Living	Memory Care	Independent Living	CCRC Entrance fees	Total
Rental Revenue	\$ 6,295	\$ 2,457	\$ 9,843	\$ 210	\$ 18,805

The mix of receivables from patients and third-party payors is as follows as of December 31:

	2019	2018
Commercial and other	24%	36%
Medicare	29%	32%
Medi-Cal	18%	10%
Self pay	29%	22%
	100%	100%

Property and equipment – Property and equipment are stated at cost. Donated property is recorded at its estimated fair value at the date of receipt. The cost of property and equipment purchased in excess of \$2,000 is capitalized. Depreciation on the property and equipment is computed using the straight-line method over the following estimated useful lives:

	Years
Buildings and improvements	5 - 50
Land improvements	5 - 50
Furniture and equipment	3 - 20

Impairment of long-lived assets and long-lived assets to be disposed of – Long-lived assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets to be held and used is measured by a comparison of the carrying amount of an asset to future net cash flows expected to be generated by the asset. If such assets are considered to be impaired, the impairment to be recognized is measured as the amount by which the carrying amount of the assets exceeds the fair value of the assets. Assets to be disposed of are reported at the lower of the carrying amount or fair value less cost to sell.

O'Connor Woods Housing Corporation

Notes to Financial Statements

Investments – Investments in equity securities with readily determinable fair values, and all investments in debt securities, are reported at fair value. Investment income or loss (including realized and unrealized gains and losses on investments, interest, and dividends) is included in the excess of revenue and other support over expenses.

Debt issuance costs and bond premiums – Debt issuance costs are amortized over the term of the related long-term debt using the effective interest method. Amortization expense for the years ended December 31, 2019 and 2018, was \$141,000 and \$153,000, respectively. Accumulated amortization totaled \$1,246,000 and \$1,105,000 as of December 31, 2019 and 2018, respectively. Bond premiums are amortized over the life of the bonds using the effective interest method. The amortization of bond premium was \$148,000 and \$160,000 for the years ended December 31, 2019 and 2018, respectively. Debt issuance costs and bond premiums are netted against the long-term debt balance. Amortization of debt issuance costs and bond premiums is included as a component of interest and amortization in the accompanying statements of operations and changes in net assets.

Income taxes – The Corporation is recognized as not-for-profit under Internal Revenue Code Section 501(c)(3) and under Section 23701(d) of the California Revenue and Taxation Code. Accordingly, the Corporation is exempt from federal and California income taxes. The Corporation files United States federal and California state tax returns.

Donor restrictions and receivables – Contributions received for designated purposes are deposited and maintained in restricted cash and investment accounts. Donor-restricted contributions are reported as increases in net assets with donor restrictions. When a restriction expires, net assets with donor restrictions are reclassified to net assets without donor restrictions and reported in the statements of operations and changes in net assets as net assets released from restrictions. Net assets with donor restrictions that are perpetual in nature and stipulate that resources be maintained in perpetuity represent donor restricted donations to the Corporation's resident assistance program. The Uniform Prudent Management of Institutional Funds Act requires preservation of the fair value of these restricted contributions as of the gift date, absent explicit donor stipulations to the contrary. The Corporation classifies as net assets with donor restrictions the original value of the donor restricted donations and accumulations to the restricted fund made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. The restrictions require the Corporation to maintain the donations in perpetuity, with investment income earned on the donations to be used to assist residents.

The Corporation reports gifts of property and equipment (or other long-lived assets) as support without donor restrictions unless explicit donor stipulations specify how the donated assets must be used.

Continuing Care Retirement Community (CCRC) contracts – The Corporation began accepting CCRC contracts in 2014. The entrance fees for CCRC contracts are paid by residents upon entering into a continuing care residence and services agreement, and are recorded as deferred entrance fees (for the nonrefundable portion) and refundable CCRC contracts (for the refundable portion). The Corporation's continuing care residence and services agreements are either (i) amortizing contracts that have the right to a refund of the entrance fee, less 1/36 for each month of residency up to 36 months, where the entire amount is amortized to revenue on a straight-line basis over the life expectancy of the resident; or (ii) 90% refundable contracts, where 90% of the entrance fee is refundable upon termination of the contract and the sale of a similar unit, and the remaining 10% is nonrefundable and is amortized to revenue on a straight-line basis over the resident's life expectancy. As of December 31, 2019 and 2018, the balance of deferred entrance fees was \$1,927,000 and \$1,450,000, respectively, and the balance of refundable CCRC contracts was \$9,145,000 and \$6,862,000, respectively.

O'Connor Woods Housing Corporation

Notes to Financial Statements

Obligation to provide future services – Management annually calculates the present value of the net cost (difference between cost to operate and maintenance fees charged) of future services and use of the CCRC to be provided to current residents and compares the amount with the balance of deferred entrance fees and refundable CCRC contracts, discounted at 3.0%. If the present value of the net cost of future services and use of the CCRC exceeds the deferred entrance fees and refundable CCRC contracts, a liability and a corresponding charge to income are recorded. No liability was recorded as of December 31, 2019 and 2018.

Benevolence – The Corporation provides services to residents who meet certain criteria under its benevolence policy without charge or at amounts less than its established rates. Partial payments to which the Corporation is entitled from public assistance programs on behalf of residents that meet the Corporation's benevolence criteria are reported as revenue. Because the Corporation does not normally pursue collection of amounts determined to qualify as benevolence, they are not reported as revenue.

Estimates in the financial statements – In preparing financial statements in conformity with accounting principles generally accepted in the United States ("U.S. GAAP"), management makes estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements, as well as the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates. Accounting estimates include fair value measurements of investments, implicit and explicit price concessions on accounts receivable, useful lives of fixed assets, deferred entrance fees, and future service benefit obligations.

Excess (deficiency) of revenue and other support over expenses – The statements of operations and changes in net assets include excess (deficiency) of revenue and other support over expenses. Changes in net assets without donor restrictions that are excluded from excess (deficiency) of revenue and other support over expenses include contributions of long-lived assets.

Recent accounting pronouncements – In January 2016, the FASB issued Accounting Standards Update ("ASU") No. 2016-01, *Recognition and Measurement of Financial Assets and Financial Liabilities, Financial Instruments – Overall (Subtopic 825-10)* ("ASU 2016-01"), which enhances the reporting model for financial instruments to provide users of financial statements with more decision-useful information. The update addresses certain aspects of recognition, measurement, presentation, and disclosure of financial instruments, including requiring equity investments (other than those under the equity method) to be measured at each reporting at fair value through excess of revenues over expenses with an exception allowed for equity investments that do not have readily determinable fair value, thereby eliminating the other-than-trading equity security designation. ASU 2016-01 is effective for the Corporation for the fiscal year ending December 31, 2019. The Corporation adopted ASU 2016-01 as of January 1, 2019 and the adoption did not have a material impact on the financial statements.

In February 2016, the FASB issued ASU No. 2016-02, *Leases (Topic 842)* ("ASU 2016-02"), which increases transparency and comparability among organizations by recognizing lease assets and lease liabilities on the balance sheet and disclosing key information about leasing arrangements in the financial statements of lessees. The amendments in this update are effective for fiscal years beginning after December 15, 2018, with early adoption permitted. ASU 2016-02 is effective for the Corporation for the fiscal year ending December 31, 2019. The Corporation adopted ASU 2016-02 as of January 1, 2019, and the adoption did not have a material impact on the financial statements.

O'Connor Woods Housing Corporation

Notes to Financial Statements

In August 2016, the FASB issued ASU No. 2016-15, *Statement of Cash Flows (Topic 230): Classification of Certain Cash Receipts and Cash Payments* ("ASU 2016-15"), which provides guidance on eight specific cash flow issues, including: debt repayment or debt extinguishment costs, settlement of zero-coupon debt instruments or other debt instruments with coupon interest rates that are insignificant in relation to the effective interest rate of the borrowing, contingent consideration payments made after a business combination, proceeds from the settlement of insurance claims, proceeds from the settlement of corporate-owned life insurance policies, distributions received from equity method investees, beneficial interests in securitization transactions, and separately identifiable cash flows and application of the predominance principle. The amendments in this update are effective for fiscal years beginning after December 15, 2018, with early adoption permitted. The adoption is effective for the Corporation for the fiscal year ending December 31, 2019. The Corporation adopted ASU 2016-15 as of January 1, 2019, and the adoption did not have a material impact on the financial statements.

In November 2016, the FASB issued ASU No. 2016-18, *Statement of Cash Flows (Topic 230): Restricted Cash* ("ASU 2016-18"), which requires the statement of cash flows to explain the change during the period in total cash, cash equivalents, and amounts generally described as restricted cash or restricted cash equivalents. The amendments in this update are effective for fiscal years beginning after December 15, 2018, with early adoption permitted. The adoption is effective for the Corporation for the fiscal year ending December 31, 2019. The Corporation adopted ASU 2016-18 for the fiscal year ended December 31, 2019, and has adjusted the presentation of these financial statements accordingly, including changes to the presentation of the statement of cash flows for the fiscal year ended December 31, 2018.

In June 2018, the FASB issued ASU No. 2018-08, *Not-for-Profit Entities: Clarifying the Scope and the Accounting Guidance for Contributions Received and Contributions Made (Topic 958)* ("ASU 2018-08"), to clarify and improve the scope and the accounting guidance for contributions received and made. The amendments should assist entities in evaluating whether transactions should be accounted for as contributions (nonreciprocal transactions) within the scope of *Topic 958, Not-for-Profit Entities*, or as exchange (reciprocal) transactions subject to other guidance, and also in determining whether a contribution is conditional. The adoption is effective for the Corporation for the fiscal year ending December 31, 2019. The Corporation adopted ASU 2018-08 as of January 1, 2019 and the adoption did not have a material impact on the financial statements.

In August 2018, the FASB issued ASU No. 2018-13, *Fair Value Measurement – Disclosure Framework – Changes to the Disclosure Requirements for Fair Value Measurement (Topic 820)* ("ASU 2018-13"), to improve the effectiveness of disclosures in the notes to financial statements by facilitating clear communication of the information required by generally accepted accounting principles that is most important to users of financial statements through the removal, modification, and addition of disclosure requirements. The adoption is effective for the Corporation for the fiscal year ending December 31, 2020. Management is currently evaluating the impact of ASU 2018-13 on the financial statements.

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 2 – CASH, CASH EQUIVALENTS, AND RESTRICTED CASH

The following table provides a reconciliation of cash, cash equivalents, and restricted cash balances reported within the balance sheets that sum to the total of the same such amounts shown in the statements of cash flows:

	2019	2018
Cash and cash equivalents	\$ 6,072	\$ 3,842
Restricted cash included in assets limited as to use	2,470	2,217
	<u>\$ 8,542</u>	<u>\$ 6,059</u>

Amounts included in restricted cash represent funds required to be set aside by donors or lenders, including balances required to be held for restrictive covenants. All such amounts reflected as restricted cash are included in assets limited as to use.

NOTE 3 – ASSETS LIMITED AS TO USE

The composition of assets limited as to use, stated at fair value, is set forth below as of December 31 (in thousands):

	2019	2018
Required under bond indenture for principal, interest, and reserves:		
Cash and cash equivalents	\$ 2,141	\$ 2,159
Debt securities	3,342	3,232
	<u>5,483</u>	<u>5,391</u>
Required under bond indenture for project expenditures:		
Cash and cash equivalents	<u>-</u>	<u>2</u>
Donor-restricted assets:		
Cash and cash equivalents	329	56
Certificates of deposit	200	375
Equity securities	458	25
Debt securities	-	101
Mutual funds	646	738
	<u>1,633</u>	<u>1,295</u>
	7,116	6,688
Less current portion	<u>(2,116)</u>	<u>(2,129)</u>
	<u>\$ 5,000</u>	<u>\$ 4,559</u>

O'Connor Woods Housing Corporation
Notes to Financial Statements

NOTE 4 – INVESTMENTS

Investments include general-use and board-designated investments, and consist of the following as of December 31 (in thousands):

	2019	2018
Investments:		
Cash and cash equivalents	\$ 2,112	\$ 1,071
Certificates of deposit	-	249
Debt securities	2,871	2,953
Mutual funds	3,352	3,422
Equity securities	10,966	8,509
Publicly traded real estate	-	114
	<u>\$ 19,301</u>	<u>\$ 16,318</u>

Investment income (loss), expenses, and realized and unrealized gains and losses for assets limited as to use, cash equivalents, and investments as are comprised of the following (in thousands):

	Year Ended December 31, 2019		
	Assets limited as to use	Cash equivalents and Investments	Total
Investment income:			
Interest and dividend income	\$ 114	\$ 461	\$ 575
Realized gains on sales of securities	2	154	156
Unrealized gains on securities	144	2,503	2,647
	260	3,118	3,378
Less investment expenses	(5)	(97)	(102)
Total investment income	255	3,021	3,276
Less investment income with donor restrictions	(129)	-	(129)
Investment income without donor restrictions	<u>\$ 126</u>	<u>\$ 3,021</u>	<u>\$ 3,147</u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

	Year Ended December 31, 2018		
	Assets limited as to use	Cash equivalents and Investments	Total
Investment income:			
Interest and dividend income	\$ 104	\$ 417	\$ 521
Realized (losses) gains on sales of securities	(11)	607	596
Unrealized losses on securities	(30)	(2,007)	(2,037)
	63	(983)	(920)
Less investment expenses	(15)	(78)	(93)
Total investment income (loss)	48	(1,061)	(1,013)
Less investment income with donor restrictions	20	-	20
Investment income (loss) without donor restrictions	<u>\$ 68</u>	<u>\$ (1,061)</u>	<u>\$ (993)</u>

NOTE 5 – FAIR VALUE OF FINANCIAL INSTRUMENTS

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. A fair value hierarchy requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. The three levels of inputs that may be used to measure fair value within the fair value hierarchy are:

Level 1 – Quoted prices in active markets for identical assets or liabilities.

Level 2 – Observable inputs other than Level 1 inputs, such as quoted prices for similar assets or liabilities; quoted prices in markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities.

Level 3 – Unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the assets.

The level in the fair value hierarchy within which a fair value measurement falls is based on the lowest level input that is significant to the fair value measurement, in its entirety.

The following methods and assumptions were used to estimate the fair value of each class of financial instruments:

Cash and cash equivalents – The carrying amounts at face value approximate fair value because of the short maturity of these instruments.

O'Connor Woods Housing Corporation

Notes to Financial Statements

Marketable investment securities – Where quoted market prices are available in an active market, securities are classified within Level 1 of the hierarchy. If quoted market prices are not available, fair values are estimated by using pricing models, quoted prices of securities with similar characteristics, or discounted cash flows. Level 2 securities include certificates of deposit, certain corporate asset-backed securities, and certain municipal and foreign government securities. In cases where Level 1 or Level 2 inputs are not available, securities are classified within Level 3 of the hierarchy and include private investment funds and other closely held investments.

The following tables present the fair value measurements of investments recognized in the accompanying balance sheets (in thousands):

Description	December 31, 2019	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments (including assets limited as to use):				
Cash and money market funds	\$ 4,582	\$ 4,582	\$ -	\$ -
Certificates of deposit	200	-	200	-
Common stocks	11,424	11,424	-	-
Mutual funds	3,998	3,998	-	-
U.S. government agency securities	2,122	2,122	-	-
U.S. government bonds/notes	2,303	2,303	-	-
Municipal bonds/notes	103	-	103	-
Corporate bonds/notes	1,685	1,685	-	-
Total	<u>\$ 26,417</u>	<u>\$ 26,114</u>	<u>\$ 303</u>	<u>\$ -</u>
Description	December 31, 2018	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments (including assets limited as to use):				
Cash and money market funds	\$ 3,288	\$ 3,288	\$ -	\$ -
Certificates of deposit	624	-	624	-
Equity securities	8,534	8,534	-	-
Mutual funds	4,160	4,160	-	-
U.S. government agency securities	2,977	2,977	-	-
U.S. government bonds/notes	1,437	1,437	-	-
Foreign government bonds/notes	42	-	42	-
Municipal bonds/notes	153	-	153	-
Corporate bonds/notes	1,677	1,677	-	-
Publicly traded real estate	114	-	114	-
Total	<u>\$ 23,006</u>	<u>\$ 22,073</u>	<u>\$ 933</u>	<u>\$ -</u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 6 – PROPERTY AND EQUIPMENT

Property and equipment consists of the following as of December 31 (in thousands):

	<u>2019</u>	<u>2018</u>
Buildings and improvements	\$ 80,324	\$ 79,912
Furniture and equipment	9,621	9,373
Land improvements	<u>3,531</u>	<u>3,345</u>
	93,476	92,630
Less accumulated depreciation	<u>(50,647)</u>	<u>(46,700)</u>
	<u>42,829</u>	<u>45,930</u>
Land	4,325	4,325
Construction in progress	<u>2,558</u>	<u>1,075</u>
Property and equipment, net	<u><u>\$ 49,712</u></u>	<u><u>\$ 51,330</u></u>

NOTE 7 – LONG-TERM DEBT

Long-term debt consists of the following as of December 31 (in thousands):

	<u>2019</u>	<u>2018</u>
Series 2013 Insured Revenue Bonds, principal due in annual installments and fixed interest due semi-annually. Interest ranges from 2.0% to 5.0%, final payment due in January 2043, secured by a first deed of trust on the property and equipment of the Corporation.	\$ 44,270	\$ 45,225
Bond issuance premium, net of accumulated amortization of \$1,305 and \$1,157 as of December 31, 2019 and 2018, respectively.	2,076	2,224
Debt issuance costs, net of accumulated amortization of \$1,246 and \$1,105 as of December 31, 2019 and 2018, respectively.	<u>(1,983)</u>	<u>(2,124)</u>
	44,363	45,325
Less current maturities, net of premiums and deferred financing costs of \$6 and \$7 at December 31, 2019 and 2018, respectively	<u>(1,001)</u>	<u>(962)</u>
Noncurrent portion	<u><u>\$ 43,362</u></u>	<u><u>\$ 44,363</u></u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

Maturities of long-term debt are as follows (in thousands):

<u>Years ended December 31,</u>	
2020	995
2021	1,045
2022	1,095
2023	1,155
2024	1,205
Thereafter	<u>38,775</u>
	<u><u>\$ 44,270</u></u>

Interest and amortization expense related to long-term debt for the years ended December 31 are comprised of the following (in thousands):

	<u>2019</u>	<u>2018</u>
Interest on bonds and leases	\$ 2,227	\$ 2,260
Amortization of bond premium	(148)	(160)
Amortization of debt issuance costs	<u>141</u>	<u>153</u>
Total	<u><u>\$ 2,220</u></u>	<u><u>\$ 2,253</u></u>

The Series 2013 Bonds are subject to restrictive covenants contained in a regulatory agreement. Under the regulatory agreement, the Corporation is required to maintain certain deposits with a trustee that are included in assets limited as to use. The regulatory agreement also, among other things, requires the Corporation to maintain a specified debt service coverage ratio, current ratio, and days cash on hand; places limits on the Corporation on the incurrence of additional long-term debt; and, requires the Corporation to report material adverse changes. Management believes the Corporation was in compliance with the various covenants as of and for the year ended December 31, 2019.

NOTE 8 – DEFERRED ENTRANCE FEES

The change in deferred entrance fees during the years ended December 31 consists of the following activity (in thousands):

	<u>2019</u>	<u>2018</u>
Balance, beginning of year	\$ 1,450	\$ 978
New fees received	1,141	615
Amortization of fees	(332)	(210)
Other	<u>(332)</u>	<u>67</u>
Balance, end of year	<u><u>\$ 1,927</u></u>	<u><u>\$ 1,450</u></u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 9 – RISK MANAGEMENT

The Corporation's professional liability insurance is a claims-made policy. Under the policy, insurance premiums cover only those claims actually reported during the policy term. Should the claims-made policy not be renewed or replaced with equivalent insurance, claims related to occurrences during their terms, but reported subsequent to their termination, may be uninsured. The deductible on the claims-made policy was \$1,000 as of December 31, 2019 and 2018.

U.S. GAAP requires that a health care facility disclose the estimated costs of malpractice claims in the period of the incident of malpractice if it is reasonably possible that liabilities may be incurred and losses can be reasonably estimated. Management is not aware of any pending claims that exceed the coverage limitations provided by the Corporation's policy. Based on the Corporation's historical claims experience, management believes that any unreported professional liability will not have a material adverse effect on the Corporation's financial position or results of operations.

The Corporation purchased its workers' compensation benefits through a risk retention group plan. A capital contribution deposit of \$110,000 was held by the plan as of December 31, 2019 and 2018. The Corporation's pro-rata share of the plan's unfunded liabilities totaled \$41,000 and \$124,000 as of December 31, 2019 and 2018, respectively, and is included in accrued payroll and payroll related expenses.

NOTE 10 – MANAGEMENT AND SUPPORT SERVICES AGREEMENTS

Starting January 1, 2015, the Corporation has a contractual agreement ("the Agreement") with Eskaton Properties, Inc. ("EPI"), a not-for-profit corporation that provides management and support services for the Corporation. EPI provides such services for a fee and processes pass-through expenditures on behalf of the Corporation. Under the terms of the Agreement, \$1,645,000 and \$1,322,000, exclusive of pass-through activity, was recognized as expense for services provided by EPI and is included in management and support services fees in the Corporation's accompanying statements of operations and changes in net assets for the years ended December 31, 2019 and 2018, respectively.

NOTE 11 – EMPLOYEE BENEFIT PLAN

The Corporation sponsors a 403(b) retirement plan (the "Plan") covering substantially all employees. Employees are immediately eligible to participate in the Plan and defer compensation under the Plan provisions. Employee deferral amounts are subject to Internal Revenue Service annual limitations. The Plan provides for employer-matching contributions. Employees who are at least 21 years of age and have completed one year of service are generally eligible to participate in employer-matching contributions. The Corporation will match 33.33% of the employee's deferral for deferral amounts not exceeding 6% of the employee's annual compensation. Employees vest 100% in employer-matching contributions after completing three years of service. Employer contributions to the Plan for the years ended December 31, 2019 and 2018, were \$85,000 and \$81,000, respectively.

NOTE 12 – COMMITMENTS AND CONTINGENCIES

The Corporation is involved in litigation arising in the normal course of business. While the outcome cannot be determined by the Corporation at this time, in the opinion of management, such litigation will be covered by the Corporation's insurance and the resolution of such will not have a material effect on the financial position or results of operations of the Corporation.

The Corporation is subject to many complex federal, state, and local laws and regulations. Compliance with these laws and regulations is subject to government review and interpretation and unknown or unasserted regulatory actions. Government activity, with respect to investigations and allegations regarding possible violations of these laws and regulations by health care providers, including those related to medical necessity, coding, and billing for services, has increased significantly. Violations of these laws can result in large fines and penalties, sanctions on providing future services, and repayment of past patient service revenues. Management believes any actions that may result from investigations of noncompliance with laws and regulations will not have a material effect on the Corporation's future financial position or results of operations.

NOTE 13 – HEALTH AND SAFETY CODE SECTION 1790(a)(3) DISCLOSURE

The following disclosure is made pursuant to Section 1790(a)(3) of the California Health and Safety Code: no reserves are being accumulated for identified projects or contingencies.

NOTE 14 – LIQUIDITY DISCLOSURE

The Corporation had a working capital surplus of approximately \$24,500,000 and \$19,700,000, and average days' cash on hand of 306 and 258 days as of December 31, 2019 and 2018, respectively.

Financial assets available for general expenditure within one year of the balance sheet date consist of the following as of December 31 (in thousands):

	2019	2018
Cash and cash equivalents	\$ 6,072	\$ 3,842
Investments	19,301	16,318
Tenant and patient receivables, net	1,668	1,761
Other receivables	767	717
	<u>\$ 27,808</u>	<u>\$ 22,638</u>

The Corporation has certain assets limited as to use which are available for general expenditure within one year in the normal course of operations. Those assets are associated with donated funds that are limited as to use, but are expected to be made available, if necessary. Accordingly, these assets have been included in the quantitative information above.

The Corporation manages its liquidity by developing annual operating budgets that provide sufficient funds to support operating expenditures, liabilities, and other obligations. The Corporation's cash needs are expected to be met through operating revenue sources.

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 15 – NATURAL AND FUNCTIONAL EXPENSES

The Corporation provides housing and other needs of the elderly in Stockton, California consisting of health services, rental services, and community service programs. Expenses related to providing these services are as follows for the years ended December 31 (in thousands):

	Year Ended December 31, 2019				
	Program Services		Support Services		
	Health Services	Residential Services	Fundraising	General & Admin	Total
Salaries and wages	\$ 5,213	\$ 6,285	\$ -	\$ 1,280	\$ 12,778
Employee benefits	1,443	1,808	-	328	3,579
Professional fees	1,510	124	1	252	1,887
Supplies	246	329	2	279	856
Purchased services	874	2,884	-	390	4,148
Ancillary costs	747	9	-	-	756
Utilities	299	1,182	-	223	1,704
Insurance and other	99	182	52	486	819
Management and support services fees	-	-	-	1,645	1,645
Depreciation	767	3,136	-	44	3,947
Interest and amortization	436	1,784	-	-	2,220
	<u>\$ 11,634</u>	<u>\$ 17,723</u>	<u>\$ 55</u>	<u>\$ 4,927</u>	<u>\$ 34,339</u>

	Year Ended December 31, 2018				
	Program Services		Support Services		
	Health Services	Residential Services	Fundraising	General & Administrative	Total
Salaries and wages	\$ 4,823	\$ 5,994	\$ 4	\$ 1,368	12,189
Employee benefits	1,310	1,672	2	377	3,361
Professional fees	1,485	98	1	87	1,671
Supplies	224	305	-	172	701
Purchased services	746	2,792	-	326	3,864
Ancillary costs	857	8	-	-	865
Utilities	277	1,155	-	212	1,644
Insurance and other	431	261	5	282	979
Management and support services fees	-	-	-	1,322	1,322
Depreciation	764	3,063	-	52	3,879
Interest and amortization	450	1,803	-	-	2,253
Total Expenses	<u>\$ 11,367</u>	<u>\$ 17,151</u>	<u>\$ 12</u>	<u>\$ 4,198</u>	<u>\$ 32,728</u>

The financial statements report certain expense categories that are attributable to more than one service or support function. Therefore, these expenses require an allocation on a reasonable basis that is consistently applied. Costs not directly attributable to a function, including depreciation, interest and amortization, and insurance and other are allocated to a function based on a units-of-service basis.

NOTE 16 – SUBSEQUENT EVENTS

Subsequent events are events or transactions that occur after the balance sheet date, but before financial statements are issued. The Corporation recognizes in the financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the balance sheet, including the estimates inherent in the process of preparing the financial statements. The Corporation's financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the balance sheet, but arose after the balance sheet date and before the financial statements are issued.

Subsequent to December 31, 2019, the World Health Organization declared the novel coronavirus ("COVID-19") outbreak a public health emergency. The COVID-19 outbreak in the United States has not resulted in a Corporation facility closure, however the Corporation continues to monitor and could close its facility if government mandated. Facility closures or disruption in operations of our customers, suppliers, or third-party payers, could adversely impact our results of operations to the extent that COVID-19, or any other epidemic, harms the global economy. The Corporation cannot estimate the impact on its operations and financial results, and the duration and intensity of the impact of COVID-19 and resulting disruption to the Corporation's operations is uncertain.

The Corporation held investments as of December 31, 2019 that have experienced a significant decline in market value in 2020 as a result of market reaction to the COVID-19 outbreak. The Corporation will continue to monitor the situation closely, but the market volatility and the continuing situation surrounding COVID-19 is uncertain. At this time management believes the decline in fair value for these securities is temporary.

On April 15, 2020, the Corporation was approved for a loan of \$3,348,000 under the Paycheck Protection Program, which is administered by the U.S. Small Business Administration under authority from the Coronavirus Aid, Relief, and Economic Security Act ("CARES Act"). The loan accrues interest at an annual rate of 1%, with payments deferred for six months, and all outstanding principal and interest due April 15, 2022. The Paycheck Protection Program provides for the forgiveness of amounts borrowed under the program provided that the borrower meets certain criteria, with the amount of loan forgiveness reduced by a factor determined by reductions in personnel during the eight-week period beginning on the loan date. Management does not expect a significant change in employee headcount during this eight-week period and therefore, management believes it is likely that a significant portion of this loan will be forgiven.

The Corporation has evaluated subsequent events through April 24, 2020, which is the date the financial statements were issued.



*Report of Independent Auditors and
Financial Statements*

O'Connor Woods Housing Corporation

December 31, 2020 and 2019



MOSSADAMS

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Report of Independent Auditors

To the Board of Directors
O'Connor Woods Housing Corporation

Report on the Financial Statements

We have audited the accompanying financial statements of O'Connor Woods Housing Corporation, which comprise the balance sheets as of December 31, 2020 and 2019, and the related statements of operations and changes in net assets, and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with auditing standards generally accepted in the United States of America. This includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of O'Connor Woods Housing Corporation as of December 31, 2020 and 2019, and the results of its operations and changes in net assets, and its cash flows for the years then ended, in conformity with accounting principles generally accepted in the United States of America.

Moss Adams LLP

San Francisco, California
April 23, 2021

Financial Statements

O'Connor Woods Housing Corporation
Balance Sheets
December 31, 2020 and 2019
(in thousands)

	<u>2020</u>	<u>2019</u>
ASSETS		
CURRENT ASSETS		
Cash and cash equivalents	\$ 6,223	\$ 6,072
Investments	23,779	19,301
Tenant and patient receivables, net	1,138	1,668
Other receivables	384	767
Prepaid expenses and deposits	763	625
Inventories	133	28
Assets limited as to use, required for current liabilities - debt service reserves	<u>2,129</u>	<u>2,116</u>
Total current assets	<u>34,549</u>	<u>30,577</u>
ASSETS LIMITED AS TO USE, net of current portion		
Debt service reserves, net of current portion	3,431	3,367
Donor-restricted cash and investments	<u>3,262</u>	<u>1,633</u>
Total assets limited as to use, net of current portion	<u>6,693</u>	<u>5,000</u>
PROPERTY AND EQUIPMENT, net	<u>49,155</u>	<u>49,712</u>
Total assets	<u><u>\$ 90,397</u></u>	<u><u>\$ 85,289</u></u>

O'Connor Woods Housing Corporation
Balance Sheets (Continued)
December 31, 2020 and 2019
(in thousands)

	<u>2020</u>	<u>2019</u>
LIABILITIES AND NET ASSETS		
CURRENT LIABILITIES		
Accounts payable and accrued expenses	\$ 1,195	\$ 1,604
Accrued payroll and payroll related expenses	1,095	1,042
Accrued interest expense	1,082	1,107
Current portion of long-term debt	1,051	1,001
Current portion of deferred entrance fees	390	366
Current portion of refundable CCRC contracts	418	-
Deferred rent and tenant deposits	850	931
	<u>6,081</u>	<u>6,051</u>
Total current liabilities	<u>6,081</u>	<u>6,051</u>
NONCURRENT LIABILITIES		
Deferred entrance fees, net of current portion	1,777	1,561
Refundable CCRC contracts, net of current portion	9,324	9,145
Other long-term liabilities	29	31
Long-term debt, net of current portion	42,311	43,362
	<u>53,441</u>	<u>54,099</u>
Total noncurrent liabilities	<u>53,441</u>	<u>54,099</u>
Total liabilities	<u>59,522</u>	<u>60,150</u>
NET ASSETS		
Without donor restrictions	27,684	23,595
With donor restrictions	3,191	1,544
	<u>30,875</u>	<u>25,139</u>
Total net assets	<u>30,875</u>	<u>25,139</u>
Total liabilities and net assets	<u>\$ 90,397</u>	<u>\$ 85,289</u>

O'Connor Woods Housing Corporation
Statements of Operations and Changes in Net Assets
Years Ended December 31, 2020 and 2019
(in thousands)

NET ASSETS WITHOUT DONOR RESTRICTIONS:	2020	2019
REVENUE AND OTHER SUPPORT		
Rental revenue, including amortization of CCRC entrance fees of \$466 in 2020 and \$332 in 2019	\$ 19,491	\$ 18,995
Net patient service revenue	10,876	12,853
Government grant revenue	4,274	-
Other revenue	593	946
Contributions	1	3
Net assets released from restrictions for operations	51	56
Total revenue and other support	35,286	32,853
EXPENSES		
Salaries and wages	13,280	12,778
Employee benefits	3,361	3,579
Professional fees	1,473	1,887
Supplies	1,060	856
Purchased services	4,037	4,148
Ancillary costs	560	756
Utilities	1,829	1,704
Insurance and other	859	819
Management and support services fees	1,763	1,645
Depreciation	3,872	3,947
Interest and amortization	2,172	2,220
Total expenses	34,266	34,339
Operating income (loss)	1,020	(1,486)
NONOPERATING REVENUE		
Investment income	3,069	3,147
Excess of revenue and other support over expenses	\$ 4,089	\$ 1,661

O'Connor Woods Housing Corporation
Statements of Operations and Changes in Net Assets (Continued)
Years Ended December 31, 2020 and 2019
(in thousands)

	<u>2020</u>	<u>2019</u>
NET ASSETS WITHOUT DONOR RESTRICTIONS		
Excess of revenue and other support over expenses	\$ 4,089	\$ 1,661
Change in net assets without donor restrictions	<u>4,089</u>	<u>1,661</u>
NET ASSETS WITH DONOR RESTRICTIONS		
Contributions	1,561	257
Investment income	148	129
Charitable annuity trust valuation adjustment	(11)	21
Net assets released from restrictions for operations	<u>(51)</u>	<u>(56)</u>
Change in net assets with donor restrictions	<u>1,647</u>	<u>351</u>
CHANGE IN NET ASSETS	5,736	2,012
NET ASSETS , beginning of year	<u>25,139</u>	<u>23,127</u>
NET ASSETS , end of year	<u><u>\$ 30,875</u></u>	<u><u>\$ 25,139</u></u>

O'Connor Woods Housing Corporation
Statements of Cash Flows
Years Ended December 31, 2020 and 2019
(in thousands)

	2020	2019
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash receipts from rental revenue	\$ 18,944	\$ 18,704
Cash receipts from sales of CCRC contracts	1,670	4,420
Cash receipts from patients	11,406	12,896
Cash receipts from government grant revenue	4,274	-
Cash receipts from other revenue	993	365
Cash payments for salaries and benefits	(16,588)	(16,263)
Cash payments for other operating expenses	(12,627)	(11,307)
Cash payments for interest	(2,203)	(2,246)
Net cash provided by operating activities	<u>5,869</u>	<u>6,569</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of investments	(18,466)	(12,752)
Proceeds from sale of investments	14,861	12,418
Purchase of property and equipment	(2,923)	(2,724)
Net cash used in investing activities	<u>(6,528)</u>	<u>(3,058)</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Principal payments on long-term debt	(995)	(955)
Refunded CCRC contracts	(10)	(330)
Donor-restricted contributions	1,561	257
Net cash provided by (used) in financing activities	<u>556</u>	<u>(1,028)</u>
NET CHANGE IN CASH, CASH EQUIVALENTS, AND RESTRICTED CASH	<u>(103)</u>	<u>2,483</u>
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, beginning of year	<u>8,542</u>	<u>6,059</u>
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, end of year	<u><u>\$ 8,439</u></u>	<u><u>\$ 8,542</u></u>
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION		
Noncash investing activity during the year for property and equipment acquired through accounts payable	<u><u>\$ 657</u></u>	<u><u>\$ 265</u></u>

O'Connor Woods Housing Corporation
Statements of Cash Flows (continued)
Years Ended December 31, 2020 and 2019
(in thousands)

	<u>2020</u>	<u>2019</u>
RECONCILIATION OF CHANGE IN NET ASSETS TO NET CASH		
PROVIDED BY OPERATING ACTIVITIES:		
Change in net assets	\$ 5,736	\$ 2,012
Adjustments to reconcile change in net assets to net cash provided by operating activities:		
Depreciation	3,872	3,947
Amortization of deferred financing costs	132	141
Amortization of bond premium	(138)	(148)
Amortization of CCRC entrance fees	(466)	(332)
Restricted contributions received	(1,561)	(257)
Net realized and unrealized gains on investments	(2,844)	(2,803)
Charitable annuity trust valuation adjustment	11	(21)
Changes in assets and liabilities:		
Tenant and patient receivables	530	93
Other receivables	383	(50)
Prepaid expenses and deposits	(138)	65
Inventories	(105)	(28)
Accounts payable and accrued expenses	(801)	481
Accrued payroll and payroll related expenses	53	94
Accrued interest expense	(25)	(19)
Deferred rent and tenant deposits	(81)	(11)
Other long-term liabilities	(2)	(17)
Deferred entrance fees	716	855
Refundable CCRC contracts	597	2,567
	<u>597</u>	<u>2,567</u>
Net cash provided by operating activities	<u>\$ 5,869</u>	<u>\$ 6,569</u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 1 – ORGANIZATION AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Organization – In June 2014, O'Connor Woods Housing Corporation and O'Connor Woods Holding Company merged and became O'Connor Woods Housing Corporation. O'Connor Woods Housing Corporation (the "Corporation") is a California not-for-profit corporation. The Corporation is licensed by the State of California Department of Social Services Continuing Care Contracts Branch as a Continuing Care Retirement Community ("CCRC"), and provides housing and other needs of the elderly in Stockton, California. It owns and operates a 249-unit residential retirement facility; a 37-unit assisted living facility ("Garden Oaks"); a 48-unit assisted living facility ("Oak Creek"); a 20-unit memory care facility ("Laurel Pointe"); an 11-unit memory care facility (Laurel Pointe East); and, a 100-unit skilled nursing facility ("Meadowood Care Center").

A summary of significant accounting policies follows:

Cash and cash equivalents – For purposes of reporting in the statements of cash flows, the Corporation includes all highly liquid debt instruments purchased with an original maturity of three months or less, including money market funds, as cash and cash equivalents. The Corporation periodically maintains cash deposits in excess of federally insured limits.

Assets limited as to use – Assets limited as to use include assets held by a trustee under a bond indenture agreement and assets restricted by donors. Assets limited as to use are reported at fair value. Amounts required to satisfy the obligations classified as current liabilities are reported as current assets in the accompanying balance sheets.

Accounts receivable – The Corporation provides services to residents including those that may lack adequate funds or may participate in programs that do not pay full charges. The Corporation receives payment for health services from residents, insurance companies, Medicare, health maintenance organizations, and other third-party payors. As a result, the Corporation is exposed to certain credit risks. The Corporation manages its risk by regularly reviewing its accounts and providing appropriate allowances for uncollectible accounts. Tenant and patient accounts receivable are stated at the amount management expects to collect. The Corporation provides for estimated losses on accounts receivable based on prior bad debt experience and generally does not charge interest on past due balances. Past due status is based on the date of services provided. Receivables are charged off when they are deemed uncollectible. Recoveries from previously charged-off accounts are recorded when received.

O'Connor Woods Housing Corporation

Notes to Financial Statements

Revenue recognition – The Corporation's patient service revenue is generated through the Meadowood Care Center skilled nursing facility. The Corporation generally does not require collateral or other security in extending credit to patients; however, the Corporation routinely obtains assignments of (or is otherwise entitled to receive) benefits receivable under health insurance programs, plans, or policies of patients, such as Medicare and commercial insurance. Patient service revenue is recognized at the time the service is provided. A portion of the Corporation's revenue is subject to discounts under contracts with third-party payors, or explicit price concessions. The transaction price for these services is based on standard charges for goods and services provided, reduced by contractual adjustments provided to third parties. The Corporation determines its estimates for contractual adjustments based on contractual agreements and historical experience. Routine services are treated as a single performance obligation satisfied over time as services are rendered. As such, patient care represents a bundle of services that are not capable of being distinct. Additionally, there may be ancillary services which are not included in the daily rates for routine services. Ancillary services are treated as separate performance obligations satisfied at a point in time, if and when those services are rendered. Revenue is recognized in the month in which the performance obligations are satisfied. Performance obligations satisfied over time for net patient service revenue are recognized based on actual charges incurred. This method provides a faithful depiction of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation.

Rental revenue generated through the assisted living, memory care, and independent living facilities is recognized monthly in accordance with the provisions of Financial Accounting Standards Board ("FASB") Accounting Standards Codification ("ASC") 606, *Revenue from Contracts with Customers*. Security deposits and advanced rent are recognized as liabilities until returned to tenants or otherwise earned. The Corporation has determined that the senior living services included under a monthly fee have the same timing and pattern of transfer and are a series of distinct services that are considered one performance obligation which is satisfied over time. In conjunction with its resident services, the Corporation sells CCRC membership contracts. Revenue associated with these membership contracts is recognized over the estimated remaining life of the resident.

The following represents net patient service revenue (in thousands), disaggregated by payor source, and rental revenue (in thousands), disaggregated by level of care, for the year ended December 31, as this best depicts how the nature, amount, timing and uncertainty of revenue and cash flows are affected by economic factors:

	Year Ended December 31, 2020				
	Private Pay	Other Insurance	Medicare	Medi-Cal	Total
Net Patient Service Revenue	\$ 1,408	\$ 1,327	\$ 3,264	\$ 4,877	\$ 10,876

	Year Ended December 31, 2020				
	Assisted Living	Memory Care	Independent Living	CCRC Entrance fees	Total
Rental Revenue	\$ 6,496	\$ 2,811	\$ 9,718	\$ 466	\$ 19,491

O'Connor Woods Housing Corporation

Notes to Financial Statements

	Year Ended December 31, 2019				
	Private Pay	Other Insurance	Medicare	Medi-Cal	Total
Net Patient Service Revenue	\$ 2,276	\$ 1,045	\$ 5,199	\$ 4,333	\$ 12,853

	Year Ended December 31, 2019				
	Assisted Living	Memory Care	Independent Living	CCRC Entrance fees	Total
Rental Revenue	\$ 6,214	\$ 2,560	\$ 9,843	\$ 378	\$ 18,995

The mix of receivables from patients and third-party payors is as follows as of December 31:

	2020	2019
Commercial and other	25%	24%
Medicare	25%	29%
Medi-Cal	16%	18%
Self pay	34%	29%
	100%	100%

Government grant revenue – Government grant revenue consists of Provider Relief Funds disbursed by the U.S. Department of Health & Human Services as part of the Coronavirus Aid, Relief, and Economic Security Act (“CARES Act”) that was signed into law on March 27, 2020. The CARES Act established the Provider Relief Fund (“PRF”) to be used for economic support of health care entities in connection with health care-related expenses or lost revenues attributable to COVID-19 and treatment of uninsured COVID-19 patients. The PRF funds have been accounted for as conditional contributions under ASC 958-605, *Not-for-Profit Entities—Revenue Recognition*. Because PRF payments can only be used to prevent, prepare for, or respond to COVID-19, they are considered donor-restricted. Due to the linkage of the conditions with the restrictions, the restrictions were simultaneously satisfied upon meeting the conditions, and therefore PRF funds totaling \$926,000 have been recognized as government grant revenue without donor restrictions in the statements of operations and changes in net assets during the year ended December 31, 2020.

On April 15, 2020, the Corporation was approved for a loan of \$3,348,000 under the Paycheck Protection Program (“PPP”), which is administered by the U.S. Small Business Administration under authority from the CARES Act. The loan accrues interest at an annual rate of 1%, with payments deferred for 10 months, and all outstanding principal and interest due April 15, 2022. The PPP provides for the forgiveness of amounts borrowed under the program provided that the borrower meets certain criteria, with the amount of loan forgiveness reduced by a factor determined by reductions in personnel during the eight or 24-week period beginning on the loan date. The Corporation did not experience a significant change in employee headcount during the 24-week coverage period chosen for its PPP loan forgiveness application, and therefore, management believes that all relevant criteria for forgiveness have been met. The Corporation applied for full forgiveness of the \$3,348,000 loan on November 10, 2020. The PPP loan amount of \$3,348,000 has been recognized as government grant revenue without donor restrictions in the statements of operations and changes in net assets during the year ended December 31, 2020.

O'Connor Woods Housing Corporation

Notes to Financial Statements

Property and equipment – Property and equipment are stated at cost. Donated property is recorded at its estimated fair value at the date of receipt. The cost of property and equipment purchased in excess of \$2,000 is capitalized. Depreciation on the property and equipment is computed using the straight-line method over the following estimated useful lives:

Buildings and improvements	5 to 50 years
Land improvements	5 to 50 years
Furniture and equipment	3 to 20 years

Impairment of long-lived assets and long-lived assets to be disposed of – Long-lived assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets to be held and used is measured by a comparison of the carrying amount of an asset to future net cash flows expected to be generated by the asset. If such assets are considered to be impaired, the impairment to be recognized is measured as the amount by which the carrying amount of the assets exceeds the fair value of the assets. Assets to be disposed of are reported at the lower of the carrying amount or fair value less cost to sell.

Investments – Investments in equity securities with readily determinable fair values, and all investments in debt securities, are reported at fair value. Investment income or loss (including realized and unrealized gains and losses on investments, interest, and dividends) is included in the excess of revenue and other support over expenses.

Debt issuance costs and bond premiums – Debt issuance costs are amortized over the term of the related long-term debt using the effective interest method. Amortization expense for the years ended December 31, 2020 and 2019 was \$132,000 and \$141,000, respectively. Accumulated amortization totaled \$1,378,000 and \$1,246,000 as of December 31, 2020 and 2019, respectively. Bond premiums are amortized over the life of the bonds using the effective interest method. The amortization of bond premium was \$138,000 and \$148,000 for the years ended December 31, 2020 and 2019, respectively. Debt issuance costs and bond premiums are netted against the long-term debt balance. Amortization of debt issuance costs and bond premiums is included as a component of interest and amortization in the accompanying statements of operations and changes in net assets.

Income taxes – The Corporation is recognized as not-for-profit under Internal Revenue Code Section 501(c)(3) and under Section 23701(d) of the California Revenue and Taxation Code. Accordingly, the Corporation is exempt from federal and California income taxes. The Corporation files United States federal and California state tax returns.

O'Connor Woods Housing Corporation

Notes to Financial Statements

Donor restrictions and receivables – Contributions received for designated purposes are deposited and maintained in restricted cash and investment accounts. Donor-restricted contributions are reported as increases in net assets with donor restrictions. When a restriction expires, net assets with donor restrictions are reclassified to net assets without donor restrictions and reported in the statements of operations and changes in net assets as net assets released from restrictions. Contributions for which restrictions are satisfied in the same period as received are recorded as contributions revenue without donor restrictions. Net assets with donor restrictions that are perpetual in nature and stipulate that resources be maintained in perpetuity represent donor restricted donations to the Corporation's resident assistance program. The Uniform Prudent Management of Institutional Funds Act requires preservation of the fair value of these restricted contributions as of the gift date, absent explicit donor stipulations to the contrary. The Corporation classifies as net assets with donor restrictions the original value of the donor restricted donations and accumulations to the restricted fund made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. The restrictions require the Corporation to maintain the donations in perpetuity, with investment income earned on the donations to be used to assist residents.

The Corporation reports gifts of property and equipment (or other long-lived assets) as support without donor restrictions unless explicit donor stipulations specify how the donated assets must be used.

CCRC contracts – The Corporation began accepting CCRC contracts in 2014. The entrance fees for CCRC contracts are paid by residents upon entering into a continuing care residence and services agreement, and are recorded as deferred entrance fees (for the nonrefundable portion) and refundable CCRC contracts (for the refundable portion). The Corporation's continuing care residence and services agreements are either (i) amortizing contracts that have the right to a refund of the entrance fee, less 1/36 for each month of residency up to 36 months, where the entire amount is amortized to revenue on a straight-line basis over the life expectancy of the resident; or (ii) 90% refundable contracts, where 90% of the entrance fee is refundable upon termination of the contract and the sale of a similar unit, and the remaining 10% is nonrefundable and is amortized to revenue on a straight-line basis over the resident's life expectancy. As of December 31, 2020 and 2019, the balance of deferred entrance fees was \$2,167,000 and \$1,927,000, respectively, and the balance of refundable CCRC contracts was \$9,742,000 and \$9,145,000, respectively.

Obligation to provide future services – Management annually calculates the present value of the net cost (difference between cost to operate and maintenance fees charged) of future services and use of the CCRC to be provided to current residents and compares the amount with the balance of deferred entrance fees and refundable CCRC contracts, discounted at 3.0%. If the present value of the net cost of future services and use of the CCRC exceeds the deferred entrance fees and refundable CCRC contracts, a liability and a corresponding charge to income are recorded. No liability was recorded as of December 31, 2020 and 2019.

Benevolence – The Corporation provides services to residents who meet certain criteria under its benevolence policy without charge or at amounts less than its established rates. Partial payments to which the Corporation is entitled from public assistance programs on behalf of residents that meet the Corporation's benevolence criteria are reported as revenue. Because the Corporation does not normally pursue collection of amounts determined to qualify as benevolence, they are not reported as revenue.

O'Connor Woods Housing Corporation

Notes to Financial Statements

Estimates in the financial statements – In preparing financial statements in conformity with accounting principles generally accepted in the United States (“U.S. GAAP”), management makes estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements, as well as the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates. Accounting estimates include fair value measurements of investments, implicit and explicit price concessions on accounts receivable, useful lives of fixed assets, deferred entrance fees, and future service benefit obligations.

Excess of revenue and other support over expenses – The statements of operations and changes in net assets include excess of revenue and other support over expenses. Changes in net assets without donor restrictions that are excluded from excess of revenue and other support over expenses include contributions of long-lived assets.

Recent accounting pronouncements – In August 2018, the FASB issued Accounting Standards Update (“ASU”) No. 2018-13, *Fair Value Measurement – Disclosure Framework – Changes to the Disclosure Requirements for Fair Value Measurement (Topic 820)* (“ASU 2018-13”), to improve the effectiveness of disclosures in the notes to financial statements by facilitating clear communication of the information required by generally accepted accounting principles that is most important to users of financial statements through the removal, modification, and addition of disclosure requirements. The adoption is effective for the Corporation for the fiscal year ending December 31, 2020. The Corporation adopted ASU 2018-13 for the fiscal year ended December 31, 2020, and the adoption did not have a material impact on the financial statements.

NOTE 2 – CASH, CASH EQUIVALENTS, AND RESTRICTED CASH

The following table provides a reconciliation of cash, cash equivalents, and restricted cash balances reported within the balance sheets that sum to the total of the same such amounts shown in the statements of cash flows:

	2020	2019
Cash and cash equivalents	\$ 6,223	\$ 6,072
Restricted cash included in assets limited as to use	2,216	2,470
Total cash, cash equivalents, and restricted cash balances	<u>\$ 8,439</u>	<u>\$ 8,542</u>

Amounts included in restricted cash represent funds required to be set aside by donors or lenders, including balances required to be held for restrictive covenants. All such amounts reflected as restricted cash are included in assets limited as to use.

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 3 – ASSETS LIMITED AS TO USE

The composition of assets limited as to use, stated at fair value, is set forth below as of December 31 (in thousands):

	2020	2019
Required under bond indenture for principal, interest, and reserves:		
Cash and cash equivalents	\$ 2,161	\$ 2,141
Debt securities	3,399	3,342
	<u>5,560</u>	<u>5,483</u>
Donor-restricted assets:		
Cash and cash equivalents	55	329
Certificates of deposit	210	200
Equity securities	1,016	458
Debt securities	1,148	-
Mutual funds	833	646
	<u>3,262</u>	<u>1,633</u>
	8,822	7,116
Less: current portion	<u>(2,129)</u>	<u>(2,116)</u>
	<u><u>\$ 6,693</u></u>	<u><u>\$ 5,000</u></u>

NOTE 4 – INVESTMENTS

Investments consist of the following as of December 31 (in thousands):

	2020	2019
Investments:		
Cash and cash equivalents	\$ 3,958	\$ 2,112
Debt securities	2,343	2,871
Mutual funds	8,131	3,352
Equity securities	9,347	10,966
	<u>\$ 23,779</u>	<u>\$ 19,301</u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

Investment income, expenses, and realized and unrealized gains and losses for assets limited as to use, cash equivalents, and investments as are comprised of the following (in thousands):

	Year Ended December 31, 2020		
	Assets limited as to use	Cash equivalents and Investments	Total
Investment income:			
Interest and dividend income	\$ 90	\$ 419	\$ 509
Realized gains on sales of securities	46	1,720	1,766
Unrealized gains on securities	115	963	1,078
	251	3,102	3,353
Less investment expenses	(23)	(113)	(136)
Total investment income	228	2,989	3,217
Less investment income with donor restrictions	(148)	-	(148)
Investment income without donor restrictions	<u>\$ 80</u>	<u>\$ 2,989</u>	<u>\$ 3,069</u>
	Year Ended December 31, 2019		
	Assets limited as to use	Cash equivalents and Investments	Total
Investment income:			
Interest and dividend income	\$ 114	\$ 461	\$ 575
Realized gains on sales of securities	2	154	156
Unrealized gains on securities	144	2,503	2,647
	260	3,118	3,378
Less investment expenses	(5)	(97)	(102)
Total investment income	255	3,021	3,276
Less investment income with donor restrictions	(129)	-	(129)
Investment income without donor restrictions	<u>\$ 126</u>	<u>\$ 3,021</u>	<u>\$ 3,147</u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 5 – FAIR VALUE OF FINANCIAL INSTRUMENTS

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. A fair value hierarchy requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. The three levels of inputs that may be used to measure fair value within the fair value hierarchy are:

Level 1 – Quoted prices in active markets for identical assets or liabilities.

Level 2 – Observable inputs other than Level 1 inputs, such as quoted prices for similar assets or liabilities; quoted prices in markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities.

Level 3 – Unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the assets.

The level in the fair value hierarchy within which a fair value measurement falls is based on the lowest level input that is significant to the fair value measurement, in its entirety.

The following methods and assumptions were used to estimate the fair value of each class of financial instruments:

Cash and cash equivalents – The carrying amounts at face value approximate fair value because of the short maturity of these instruments.

Marketable investment securities – Where quoted market prices are available in an active market, securities are classified within Level 1 of the hierarchy. If quoted market prices are not available, fair values are estimated by using pricing models, quoted prices of securities with similar characteristics, or discounted cash flows. Level 2 securities include certificates of deposit, certain corporate asset-backed securities, and certain municipal and foreign government securities. In cases where Level 1 or Level 2 inputs are not available, securities are classified within Level 3 of the hierarchy and include private investment funds and other closely held investments.

The following tables present the fair value measurements of investments recognized in the accompanying balance sheets (in thousands):

Description	December 31, 2020	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments (including assets limited as to use):				
Cash and money market funds	\$ 6,174	\$ 6,174	\$ -	\$ -
Certificates of deposit	210	-	210	-
Common stocks	10,363	10,363	-	-
Mutual funds	8,964	8,964	-	-
U.S. government agency securities	1,947	1,947	-	-
U.S. government bonds/notes	2,426	2,426	-	-
Municipal bonds/notes	1,250	-	1,250	-
Corporate bonds/notes	1,267	1,267	-	-
Total	<u>\$ 32,601</u>	<u>\$ 31,141</u>	<u>\$ 1,460</u>	<u>\$ -</u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

Description	December 31, 2019	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments (including assets limited as to use):				
Cash and money market funds	\$ 4,582	\$ 4,582	\$ -	\$ -
Certificates of deposit	200	-	200	-
Common stocks	11,424	11,424	-	-
Mutual funds	3,998	3,998	-	-
U.S. government agency securities	2,122	2,122	-	-
U.S. government bonds/notes	2,303	2,303	-	-
Municipal bonds/notes	103	-	103	-
Corporate bonds/notes	1,685	1,685	-	-
Total	<u>\$ 26,417</u>	<u>\$ 26,114</u>	<u>\$ 303</u>	<u>\$ -</u>

NOTE 6 – PROPERTY AND EQUIPMENT

Property and equipment consists of the following as of December 31 (in thousands):

	2020	2019
Buildings and improvements	\$ 82,265	\$ 80,324
Furniture and equipment	10,105	9,621
Land improvements	3,667	3,531
	96,037	93,476
Less accumulated depreciation	(54,519)	(50,647)
	41,518	42,829
Land	4,325	4,325
Construction in progress	3,312	2,558
Property and equipment, net	<u>\$ 49,155</u>	<u>\$ 49,712</u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 7 – LONG-TERM DEBT

Long-term debt consists of the following as of December 31 (in thousands):

	<u>2020</u>	<u>2019</u>
Series 2013 Insured Revenue Bonds, principal due in annual installments and fixed interest due semi-annually. Interest ranges from 2.0% to 5.0%, final payment due in January 2043, secured by a first deed of trust on the property and equipment of the Corporation.	\$ 43,275	\$ 44,270
Bond issuance premium, net of accumulated amortization of \$1,443 and \$1,305 as of December 31, 2020 and 2019, respectively.	1,938	2,076
Debt issuance costs, net of accumulated amortization of \$1,378 and \$1,246 as of December 31, 2020 and 2019, respectively.	<u>(1,851)</u>	<u>(1,983)</u>
	43,362	44,363
Less current maturities, net of premiums and deferred financing costs of \$6 at December 31, 2020 and 2019, respectively	<u>(1,051)</u>	<u>(1,001)</u>
Noncurrent portion	<u>\$ 42,311</u>	<u>\$ 43,362</u>

Maturities of long-term debt, excluding the current portion of premiums and deferred financing costs of \$6, are as follows (in thousands):

<u>Years ended December 31,</u>	
2021	\$ 1,045
2022	1,095
2023	1,155
2024	1,205
2025	1,270
Thereafter	<u>37,505</u>
	<u>\$ 43,275</u>

O'Connor Woods Housing Corporation

Notes to Financial Statements

Interest and amortization expense related to long-term debt for the years ended December 31 are comprised of the following (in thousands):

	<u>2020</u>	<u>2019</u>
Interest on bonds and leases	\$ 2,178	\$ 2,227
Amortization of bond premium	(138)	(148)
Amortization of debt issuance costs	<u>132</u>	<u>141</u>
Total	<u>\$ 2,172</u>	<u>\$ 2,220</u>

The Series 2013 Bonds are subject to restrictive covenants contained in a regulatory agreement. Under the regulatory agreement, the Corporation is required to maintain certain deposits with a trustee that are included in assets limited as to use. The regulatory agreement also, among other things, requires the Corporation to maintain a specified debt service coverage ratio, current ratio, and days cash on hand; places limits on the Corporation on the incurrence of additional long-term debt; and requires the Corporation to report material adverse changes. Management believes the Corporation was in compliance with the various covenants as of and for the year ended December 31, 2020.

NOTE 8 – DEFERRED ENTRANCE FEES

The change in deferred entrance fees during the years ended December 31 consists of the following activity (in thousands):

	<u>2020</u>	<u>2019</u>
Balance, beginning of year	\$ 1,927	\$ 1,450
New fees received	236	1,141
Amortization of fees	(466)	(332)
Contract terminations	(10)	(46)
Other	<u>480</u>	<u>(286)</u>
Balance, end of year	<u>\$ 2,167</u>	<u>\$ 1,927</u>

NOTE 9 – RISK MANAGEMENT

The Corporation's professional liability insurance is a claims-made policy. Under the policy, insurance premiums cover only those claims actually reported during the policy term. Should the claims-made policy not be renewed or replaced with equivalent insurance, claims related to occurrences during their terms, but reported subsequent to their termination, may be uninsured. The deductible on the claims-made policy was \$50,000 as of December 31, 2020 and 2019.

O'Connor Woods Housing Corporation

Notes to Financial Statements

U.S. GAAP requires that a health care facility disclose the estimated costs of malpractice claims in the period of the incident of malpractice if it is reasonably possible that liabilities may be incurred and losses can be reasonably estimated. Management is not aware of any pending claims that exceed the coverage limitations provided by the Corporation's policy. Based on the Corporation's historical claims experience, management believes that any unreported professional liability will not have a material adverse effect on the Corporation's financial position or results of operations.

The Corporation purchased its workers' compensation benefits through a risk retention group plan. A capital contribution deposit of \$110,000 was held by the plan as of December 31, 2020 and 2019. The Corporation's pro-rata share of the plan's unfunded liabilities totaled \$0 and \$41,000 as of December 31, 2020 and 2019, respectively, and is included in accrued payroll and payroll related expenses.

NOTE 10 – MANAGEMENT AND SUPPORT SERVICES AGREEMENTS

Starting January 1, 2015, the Corporation has a contractual agreement (the "Agreement") with Eskaton Properties, Inc. ("EPI"), a not-for-profit corporation that provides management and support services for the Corporation. EPI provides such services for a fee and processes pass-through expenditures on behalf of the Corporation. Under the terms of the Agreement, \$1,763,000 and \$1,645,000, exclusive of pass-through activity, was recognized as expense for services provided by EPI and is included in management and support services fees in the Corporation's accompanying statements of operations and changes in net assets for the years ended December 31, 2020 and 2019, respectively.

NOTE 11 – EMPLOYEE BENEFIT PLAN

The Corporation sponsors a 403(b) retirement plan (the "Plan") covering substantially all employees. Employees are immediately eligible to participate in the Plan and defer compensation under the Plan provisions. Employee deferral amounts are subject to Internal Revenue Service annual limitations. The Plan provides for employer-matching contributions. Employees who are at least 21 years of age and have completed one year of service are generally eligible to participate in employer-matching contributions. The Corporation will match 33.33% of the employee's deferral for deferral amounts not exceeding 6% of the employee's annual compensation. Employees vest 100% in employer-matching contributions after completing three years of service. Employer contributions to the Plan for the years ended December 31, 2020 and 2019, were \$86,000 and \$85,000, respectively.

NOTE 12 – COMMITMENTS AND CONTINGENCIES

The Corporation is involved in litigation arising in the normal course of business. While the outcome cannot be determined by the Corporation at this time, in the opinion of management, such litigation will be covered by the Corporation's insurance and the resolution of such will not have a material effect on the financial position or results of operations of the Corporation.

O'Connor Woods Housing Corporation

Notes to Financial Statements

The Corporation is subject to many complex federal, state, and local laws and regulations. Compliance with these laws and regulations is subject to government review and interpretation and unknown or unasserted regulatory actions. Government activity, with respect to investigations and allegations regarding possible violations of these laws and regulations by health care providers, including those related to medical necessity, coding, and billing for services, has increased significantly. Violations of these laws can result in large fines and penalties, sanctions on providing future services, and repayment of past patient service revenues. Management believes any actions that may result from investigations of noncompliance with laws and regulations will not have a material effect on the Corporation's future financial position or results of operations.

In March 2020, the World Health Organization declared the novel coronavirus ("COVID-19") outbreak a public health emergency. The COVID-19 outbreak in the United States has not resulted in a Corporation facility closure; however, facility closures or disruption in operations of our customers, suppliers, or third-party payers, could adversely impact our results of operations to the extent that COVID-19, or any other epidemic, harms the global economy. The ultimate duration and intensity of the impact of COVID-19 and resulting disruption to the Corporation's operations is uncertain.

NOTE 13 – HEALTH AND SAFETY CODE SECTION 1790(a)(3) DISCLOSURE

The following disclosure is made pursuant to Section 1790(a)(3) of the California Health and Safety Code: no reserves are being accumulated for identified projects or contingencies.

NOTE 14 – LIQUIDITY DISCLOSURE

The Corporation had a working capital surplus of approximately \$28,500,000 and \$24,500,000, and average days' cash on hand of 362 and 306 days as of December 31, 2020 and 2019, respectively.

Financial assets available for general expenditure within one year of the balance sheet date consist of the following as of December 31 (in thousands):

	2020	2019
Cash and cash equivalents	\$ 6,223	\$ 6,072
Investments	23,779	19,301
Tenant and patient receivables, net	1,138	1,668
Other receivables	384	767
	<u>\$ 31,524</u>	<u>\$ 27,808</u>

The Corporation has certain assets limited as to use which are available for general expenditure within one year in the normal course of operations. Those assets are associated with donated funds that are limited as to use, but are expected to be made available, if necessary. Accordingly, these assets have been included in the quantitative information above.

The Corporation manages its liquidity by developing annual operating budgets that provide sufficient funds to support operating expenditures, liabilities, and other obligations. The Corporation's cash needs are expected to be met through operating revenue sources.

O'Connor Woods Housing Corporation

Notes to Financial Statements

NOTE 15 – NATURAL AND FUNCTIONAL EXPENSES

The Corporation provides housing and other needs of the elderly in Stockton, California consisting of health services, rental services, and community service programs. Expenses related to providing these services are as follows for the years ended December 31 (in thousands):

Year Ended December 31, 2020					
	Program Services		Support Services		Total
	Health Services	Residential Services	Fundraising	General & Admin	
Salaries and wages	\$ 5,159	\$ 6,712	\$ -	\$ 1,409	\$ 13,280
Employee benefits	1,333	1,681	-	347	3,361
Professional fees	1,153	69	-	251	1,473
Supplies	475	457	-	128	1,060
Purchased services	870	2,860	-	307	4,037
Ancillary costs	558	2	-	-	560
Utilities	314	1,240	-	275	1,829
Insurance and other	124	156	51	528	859
Management and support services fees	-	-	-	1,763	1,763
Depreciation	675	3,156	-	41	3,872
Interest and amortization	383	1,789	-	-	2,172
	<u>\$ 11,044</u>	<u>\$ 18,122</u>	<u>\$ 51</u>	<u>\$ 5,049</u>	<u>\$ 34,266</u>

Year Ended December 31, 2019					
	Program Services		Support Services		Total
	Health Services	Residential Services	Fundraising	General & Admin	
Salaries and wages	\$ 5,213	\$ 6,285	\$ -	\$ 1,280	\$ 12,778
Employee benefits	1,443	1,808	-	328	3,579
Professional fees	1,510	124	1	252	1,887
Supplies	246	329	2	279	856
Purchased services	874	2,884	-	390	4,148
Ancillary costs	747	9	-	-	756
Utilities	299	1,182	-	223	1,704
Insurance and other	99	182	52	486	819
Management and support services fees	-	-	-	1,645	1,645
Depreciation	767	3,136	-	44	3,947
Interest and amortization	436	1,784	-	-	2,220
	<u>\$ 11,634</u>	<u>\$ 17,723</u>	<u>\$ 55</u>	<u>\$ 4,927</u>	<u>\$ 34,339</u>

The financial statements report certain expense categories that are attributable to more than one service or support function. Therefore, these expenses require an allocation on a reasonable basis that is consistently applied. Costs not directly attributable to a function, including depreciation, interest and amortization, and insurance and other are allocated to a function based on a units-of-service basis.

NOTE 16 – SUBSEQUENT EVENTS

Subsequent events are events or transactions that occur after the balance sheet date, but before financial statements are issued. The Corporation recognizes in the financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the balance sheet, including the estimates inherent in the process of preparing the financial statements. The Corporation's financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the balance sheet, but arose after the balance sheet date and before the financial statements are issued.

The Corporation has evaluated subsequent events through April 23, 2021, which is the date the financial statements were issued.

APPENDIX C

SUMMARY OF PRINCIPAL DOCUMENTS

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APPENDIX C

SUMMARY OF PRINCIPAL DOCUMENTS

The following is a summary of certain provisions of the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust, which are not described elsewhere in this Official Statement. *These summaries do not purport to be complete or definitive and are qualified in their entirety by reference to the full terms of the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust.* All capitalized terms not defined in this Official Statement have the meaning set forth in the Indenture or in the Regulatory Agreement. The definitions set forth below are derived from the Indenture and the Regulatory Agreement. Certain terms defined for purposes of the Indenture are defined differently in the Regulatory Agreement. Reference should be made to the Regulatory Agreement for definitions of terms used therein.

DEFINITIONS OF CERTAIN TERMS

“Accountant” means any Independent certified public accountant or firm of such accountants with a national or regional reputation selected by the Corporation, so long as such Accountant is acceptable to the Department.

“Act” means the Joint Exercise of Powers Act, constituting Chapter 5 of Division 7 of Title 1 of the Government Code of the State of California, as now in effect and as it may from time to time hereafter be amended or supplemented.

“Additional Payments” means payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

“Adjusted Annual Operating Revenues” means operating revenue and investment income of the Corporation, less contractual allowances, allowance for bad debts and free services for any Fiscal Year, all as determined in accordance with generally accepted accounting principles.

“Administrative Fees and Expenses” means any application, commitment, financing or similar fee charged, or reimbursement for administrative or other expenses incurred by the Authority or the Trustee.

“Affiliate” means a Person which, directly or indirectly through one or more intermediaries, controls, is controlled by or is under common control with the Corporation.

“Aggregate Debt Service” means, as of any date of calculation and with respect to any period, the sum of amounts of Debt Service for all Long-Term Indebtedness for such period.

“Authority” means the California Public Finance Authority, or its successors and assigns.

“Authorized Denomination” means \$5,000 or any integral multiple thereof.

“Authorized Representative” means (1) with respect to the Corporation, its president or chair, vice president or vice chair, chief executive officer, chief financial officer or any other person designated as an Authorized Representative of the Corporation by a Certificate of the Corporation signed by its chair, vice-chair, chief executive officer or chief financial officer and filed with the Trustee, and (2) with respect to the Department, the Director of the Department or the Deputy Director of the Cal-Mortgage Loan Insurance Division or any other person designated as an Authorized Representative of the Department by a Statement of the Department signed by its Director or the Deputy Director of the Cal Mortgage Loan Insurance

Division and filed with the Trustee. Such authorization shall remain in effect until the Trustee has received written notice to the contrary accompanied by a new designation.

“Authorized Signatory” means with respect to the Authority, any member of the Board of Directors of the Authority and any other person as may be designated and authorized to sign on behalf of the Authority pursuant to a resolution adopted thereby.

“Beneficial Owner” means any person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including Persons holding Bonds through nominees, depositories or other intermediaries).

“Board” means the Board of Directors of the Corporation.

“Bond Counsel” means Independent counsel of recognized national standing in the field of obligations the interest on which is excluded from gross income for federal income tax purposes, selected by the Corporation and acceptable to the Authority and the Department.

“Bond Reserve Account” means the account by that name in the Revenue Fund established and administered pursuant to the Indenture.

“Bond Reserve Account Requirement” means, as of any date of calculation, an amount equal to the lesser of (i) 50 percent of Maximum Annual Debt Service on all Bonds, then Outstanding, (ii) 125 percent of average annual debt service on the Bonds then Outstanding and (iii) 10 percent of the outstanding principal amount of the Bonds.

“Bondholder” or **“Holder,”** whenever used with respect to a Bond, means the Person in whose name such Bond is registered.

“Bonds” mean the California Public Finance Authority Insured Refunding Bonds (O’Connor Woods), Series 2022 (Forward Delivery) issued under the Indenture.

“Business Day” means any day other than a Saturday, Sunday, or a day on which banking institutions in the city in which the Corporate Trust Office of the Trustee is located are authorized or obligated by law or executive order to be closed or a day on which the Federal Reserve System is closed.

“Certificate,” “Statement,” “Request,” “Requisition” and **“Order”** of the Authority, the Department or the Corporation mean, respectively, a written certificate, statement, request, requisition or order signed in the name of the Authority by an Authorized Signatory or such other person as may be designated and authorized to sign for the Authority, in the name of the Corporation by an Authorized Representative of the Corporation and in the name of the Department by an Authorized Representative of the Department. Any such instrument and supporting opinions or representations, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or representation, and the two or more so combined shall be read and construed as a single instrument. If and to the extent required by the Indenture, each such instrument shall include the statements provided for in the Indenture.

“Code” means the Internal Revenue Code of 1986, or any successor statute thereto, and any regulations promulgated thereunder. Reference to any particular Code section shall, in the event of such a successor Code, be deemed to be a reference to the successor to such Code section.

“Continuing Disclosure Agreement” means that certain Continuing Disclosure Agreement, dated the date of issuance and delivery of the Bonds, executed and delivered by the Corporation, as originally executed and as it may be amended from time to time in accordance with the terms thereof.

“Contract of Insurance” means that certain Contract of Insurance, dated as of September 1, 2022, among the Department, the Corporation and the Authority relating to the Bonds, as it may be amended, modified and supplemented from time to time.

“Corporate Trust Office” means the corporate trust office of the Trustee, which at the date of the execution of the Indenture is located at The Bank of New York Mellon Trust Company, N.A., 400 S. Hope Street, Suite 500, Los Angeles, CA 90071; Attention: Corporate Trust Department, provided that for purposes of exchange, transfer, cancellation, payment, redemption and surrender of Bonds such term means the office or agency of the Trustee at which, at any particular time, its corporate trust agency or operations business shall be conducted.

“Corporation” means O’Connor Woods Housing Corporation, a California nonprofit public benefit corporation duly organized and existing under the laws of the State, its successors and assigns, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets permitted under the Regulatory Agreement.

“Costs of Issuance” means all items of expense directly or indirectly payable by or reimbursable to the Corporation and related to the authorization, issuance, sale and delivery of the Bonds, including but not limited to advertising and printing costs, costs of preparation and reproduction of documents, filing and recording fees, initial fees and charges of the Trustee (including legal fees and charges of its counsel), legal fees and charges, fees and disbursements of consultants and professionals, rating agency fees, fees and charges for preparation, execution, transportation and safekeeping of Bonds, and any other cost, charge or fee in connection with the original issuance of Bonds.

“Costs of Issuance Fund” means the fund by that name established pursuant to the Indenture.

“Credit Rating” means a credit rating of the Corporation from one of the three rating agencies listed in Title 22 Section 91477 of the California Code of Regulations, or if the Department determines that it is in its best interest, a credit assessment, credit opinion or equivalent from one of the said three rating agencies. A Credit Rating shall be valid for a period of two years from its date, at which time it shall expire. If, prior to the expiration of the Credit Rating, the rating agency issuing it causes the rating to be changed, such changed rating becomes the Corporation’s new Credit Rating effective as of the date of the change in rating.

“Current Ratio” means a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation’s audited financial statements.

“Days Cash on Hand” means, for any Fiscal Year, the quotient obtained by dividing (a) the Corporation’s cash and cash equivalents (including board designated funds and funded depreciation but excluding donor restricted funds and proceeds of short term debt) as of the end of such Fiscal Year by (b) the quotient of dividing (i) the Corporation’s operating expenses including interest expense (excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (ii) the number of days in such Fiscal Year.

“Debt Service,” when used with respect to any Long-Term Indebtedness, means, as of any date of calculation and with respect to any period, the sum of (a) The interest falling due on such Long-Term Indebtedness during such period (except to the extent that such interest is payable from the proceeds of such Long-Term Indebtedness set aside for such purpose), and (b) The scheduled principal (or mandatory sinking fund or installment purchase price or lease rental or similar) payments or deposits required with respect to such Long-Term Indebtedness during such period (except to the extent such principal is payable

from the proceeds of such Long-Term Indebtedness set aside for such purpose), computed on the assumption that no portion of such Long-Term Indebtedness shall cease to be outstanding during such period except by reason of the application of such scheduled payments, provided, however, that for purposes of such computation:

(1) if Long-Term Indebtedness is

(a) secured by an irrevocable letter of credit or irrevocable line of credit issued by a financial institution having a combined capital and surplus of at least fifty million dollars (\$50,000,000) and whose unsecured securities are rated in one of the two highest short-term or long-term rating categories (without regard to numerical modifier) by each rating agency then rating the Bonds, or

(b) insured by an insurance policy or surety bond issued by an insurance company rated at least A+ by Alfred M. Best Company in Best's Insurance Reports, principal payments or deposits with respect to such Long-Term Indebtedness nominally due in the last Fiscal Year in which such Long-Term Indebtedness matures may, at the option of the Corporation, be treated as if they were due as specified in any loan agreement or installment sale/purchase agreement issued in connection with such letter of credit, line of credit, insurance policy or surety bond or pursuant to the repayment provisions of such letter of credit, line of credit, insurance policy or surety bond (or, if such loan agreement or installment sale/purchase agreement or repayment provisions provide for repayment over less than 20 years and the Trustee receives a Statement of the Corporation to the effect that the Corporation intends to refinance such Long-Term Indebtedness prior to maturity, as if they were amortized over a 20-year period with substantially level debt service) and interest on such Long-Term Indebtedness after such Fiscal Year shall be assumed to be payable at an interest rate equal to a rate per annum equal to the 25-year revenue bond index most recently published preceding the date of calculation in *The Bond Buyer* (subject to any adjustment for errors therein which may be acknowledged by the publishers thereof);

(2) if interest on Long-Term Indebtedness is payable pursuant to a variable interest rate formula, the interest rate on such Long-Term Indebtedness for periods when the actual interest rate cannot yet be determined shall be assumed to be equal to the greater of

(a) the average rate of interest borne (or which would have been borne) by such Long-Term Indebtedness during the Fiscal Year immediately preceding the date of calculation, plus 1%, or

(b) the average rate of interest borne by such Long-Term Indebtedness during the three full calendar months immediately preceding the date of calculation, plus 1%;

(3) if interest is capitalized with respect to Long-Term Indebtedness, Debt Service on such Long-Term Indebtedness shall be included in computations of Maximum Aggregate Annual Debt Service under the Regulatory Agreement only in proportion to the amount of interest payable in the then-current Fiscal Year from sources other than amounts funded to pay such capitalized interest;

(4) with respect to a Guarantee, there shall be included in the Debt Service of the Corporation:

(a) 25% of the Corporation's maximum possible monetary liability under the Guarantee in any Fiscal Year unless the Guarantee is drawn upon, and

(b) 100% of the Corporation's monetary liability under the Guarantee which has been drawn upon, until such time as all amounts drawn upon the Guarantee have been repaid to the Corporation, and for two Fiscal Years thereafter; and

(5) if moneys or Investment Securities described in subsections (a), (b), (e) or (f) of the definition thereof set forth below and contained in the Indenture (not callable by the issuer thereof prior to maturity) have been deposited with a trustee or escrow agent in an amount, together with earnings thereon, sufficient to pay the principal of or interest on Long-Term Indebtedness as it comes due, such principal or interest, as the case may be, shall not be included in computations of Debt Service.

"Debt Service Coverage Ratio" means, for any period of time, the ratio determined by dividing Net Income Available for Debt Service by Maximum Aggregate Annual Debt Service.

"Deed of Trust" means that certain Deed of Trust with Fixture Filing, Security Agreement and Assignment Agreement, dated as of September 1, 2022, but effective the date of recording, executed by the Corporation, as trustor, in favor of Fidelity National Title Company, as Deed of Trust trustee for the benefit of the Department and the Trustee (as assignee of the Authority), the holders of the Bonds, and of any Parity Debt, as beneficiaries, as it may be amended, modified and supplemented from time to time.

"Department" means the Department of Health Care Access and Information of the Health and Human Services Agency of the State, or its successors and assigns.

"Department Documents" means the Contract of Insurance, the Deed of Trust and the Regulatory Agreement.

"Deposit Account Control Agreement" means a deposit account control agreement among the Corporation, the Department, the Trustee and a Depository Bank.

"Depository" means The Depository Trust Company and its successors and assigns, or any other Securities Depository selected as set forth in the Indenture, which agrees to follow the procedures required to be followed by such depository in connection with the Bonds.

"Depository Bank" means a financial institution which has entered into a Deposit Account Control Agreement with the Corporation, the Department and the Trustee.

"Electronic Means" shall mean the following communication methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys issued by the Trustee, or another method or system specified by the Trustee as available for use in connection with its services under the Indenture.

"Entrance Fees" means fees, other than security deposits, monthly rentals or monthly service charges, paid to the Corporation by residents of residential living units for the purpose of obtaining the right to reside in those residential living units including any refundable or nonrefundable resident deposits described in any lease or similar Residency Agreements with respect to those residential living units, but shall not include any such amounts held in escrow or otherwise set aside pursuant to the requirements of any such Residency Agreement prior to the occupancy of the residential living unit covered by such Residency Agreement (which amounts shall be included if and when occupancy occurs).

"Event of Default" means any of the events specified in the Indenture.

"Facilities" means: (i) the real property described in an exhibit to the Deed of Trust and the Regulatory Agreement and all real property added, from time to time, to the definition of Facilities pursuant

to the Regulatory Agreement; (ii) all buildings and structures thereon and fixtures and improvements thereto, whether now existing or hereafter constructed, installed or acquired; and (iii) all tangible personal property owned by the Corporation, whether now existing or hereafter constructed, installed or acquired, and used in, around or about the aforesaid real property, including but not limited to the personal property described in an exhibit to the Regulatory Agreement.

“Favorable Opinion of Bond Counsel” means an opinion of Bond Counsel, addressed to the Trustee to the effect that the action proposed to be taken will not, in and of itself, cause interest on the Bonds to be included in gross income for purposes of federal income taxation.

“Financing Documents” means, collectively, the Loan Agreement, the Department Documents, the Tax Agreement and the Continuing Disclosure Agreement.

“Fiscal Year” means the period beginning on January 1 of each year and ending on the next succeeding December 31 or any other twelve-month period hereafter selected and designated as the official fiscal year period of the Corporation.

“Governmental Unit” shall have the meaning set forth in Section 150 of the Code.

“Gross Revenue Fund” means the fund by that name established pursuant to the Loan Agreement.

“Gross Revenues” means all revenues, income, receipts and money received in any period by the Corporation, including, but without limiting the generality of the foregoing, the following: (a) gross revenues derived from its operation and possession of and pertaining to its properties (including Entrance Fees); (b) proceeds with respect to, arising from, or relating to its properties and derived from (1) insurance (including business interruption insurance) or condemnation proceeds (except to the extent such proceeds are required by the terms of the Regulatory Agreement or other agreements with respect to the Indebtedness which the Corporation is permitted to incur pursuant to the terms of the Regulatory Agreement) to be used for purposes inconsistent with their use for the payment of Loan Repayments, Additional Payments or similar payments with respect to any Parity Debt, (2) accounts, including but not limited to, accounts receivable, (3) securities and other investments, (4) inventory and intangible property, (5) payment/reimbursement programs and agreements, and (6) contract rights, accounts, instruments, claims for the payment of moneys and other rights and assets now or hereafter owned, held or possessed by or on behalf of the Corporation, and (c) rentals received from the lease of the Corporation’s properties or space in the Facilities; provided, however, that there shall be excluded from Gross Revenues (i) any amounts received by the Corporation as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations, contributions and tax revenues to the Corporation heretofore or hereafter made, and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for Loan Repayments, Additional Payments or similar payments with respect to any Parity Debt, (iii) any moneys received by the Corporation from prospective residents or commercial tenants in order to pay for customized improvements to those residential living units or other areas of the Corporation’s facilities to be occupied or leased to such residents or tenants, (iv) payments or deposits under a Residency Agreement that by its terms or applicable law are required to be held in escrow or trust for the benefit of a resident until the conditions for the release of such payment or deposit have been satisfied, and (v) all deposits and/or advance payments made in connection with any residency of the residential living units or other areas of the Corporation’s facilities to be occupied by residents or tenants and received prior to receipt of such certificate and licenses for occupancy of such units (provided, however, that such deposits and/or advance payments shall be included in Gross Revenues if and when occupancy occurs).

“Guarantee” means any obligation of the Corporation guaranteeing in any manner, whether directly or indirectly, any obligation of any Persons which would, if such Persons were the Corporation, constitute Long-Term Indebtedness.

“Indebtedness” means (a) any Guarantee, and (b) any indebtedness or obligation of the Corporation (other than accounts payable and accruals), as determined in accordance with generally accepted accounting principles, including obligations under conditional sales contracts or other title retention contracts, and rental obligations under leases which are considered capital leases under generally accepted accounting principles. Indebtedness shall not include Non-recourse Indebtedness.

“Indenture” means the Indenture relating to the Bonds, between the Authority and the Trustee, dated as of September 1, 2022, as originally executed or as it may from time to time be supplemented, modified or amended by any Supplemental Indenture.

“Independent,” when referring to an Accountant, counsel, Management Consultant or a Person, means an Accountant, counsel, Management Consultant or Person who is independent of and not under the control of the Corporation, does not have any substantial interest, direct or indirect, in the Corporation, and in the case of an individual, is not connected, including through a spouse, with the Corporation as a director, officer or employee of the Corporation, and in the case of a firm, is not connected with the Corporation as a partner, director, officer or employee of the Corporation, but who may be regularly retained by the Corporation.

“Information Services” means, initially, the Electronic Municipal Market Access system (EMMA), or any successor designated by the Securities and Exchange Commission.

“Insurance and Condemnation Proceeds Fund” means the fund by that name established pursuant to the Indenture.

“Insurance Law” means Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State, cited as the “California Health Facility Construction Loan Insurance Law,” as now in effect and as it may from time to time hereafter be amended or supplemented.

“Insurance Premium” means the premium charged for insurance by the Department pursuant to Insurance Law Section 129040.

“Interest Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Interest Payment Date” means January 1 and July 1 of each year.

“Investment Securities” means any of the following:

(a) Direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America) or obligations the timely payment of the principal of and interest on which are fully and unconditionally guaranteed by the United States of America, including instruments evidencing an ownership interest in securities described in this clause (a) such as CATS, TIGRs, Treasury Receipts and Stripped Treasury Coupons;

(b) Obligations of any of the following federal agencies which obligations represent the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself):

- (i) U.S. Export-Import Bank;
- (ii) Farmers Home Administration;
- (iii) Federal Financing Bank;
- (iv) Federal Housing Administration;
- (v) General Services Administration;
- (vi) Government National Mortgage Association (“GNMA”) (including guaranteed mortgage-backed bonds and guaranteed pass-through obligations);
- (vii) Rural Economic Community Development Administration
- (viii) Small Business Administration
- (ix) U.S. Maritime Administration (guaranteed Title XI financing); and
- (x) U.S. Department of Housing and Urban Development (including project notes, local authority bonds, new communities debentures, U.S. government guaranteed debentures, U.S. Public Housing Notes and Bonds and U.S. government guaranteed public housing notes and bonds;

(c) Debentures, bonds, notes or other evidence of indebtedness issued or guaranteed by any of the following U.S. government agencies which obligations are not fully guaranteed by the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself):

- (i) Federal Home Loan Bank System (senior debt obligations);
- (ii) Resolution Funding Corporation (REFCORP) obligations;
- (iii) Federal Home Loan Mortgage Corporation (FHLMC or “Freddie Mac”) senior debt obligations or participation certificates;
- (iv) Federal National Mortgage Association (FNMA or “Fannie Mae”) mortgage-backed securities and senior debt obligations;
- (v) Senior debt obligations of other government sponsored agencies approved by the Department.

(d) Investments in money market mutual funds registered under the Federal Investment Company Act of 1940, whose shares are registered under the Federal Securities Act of 1933, and having a rating by S&P of AA-Am-G, AA-Am or better (including such funds for which the Trustee, its affiliates or subsidiaries provide investment advisory or other management services or for which the Trustee or an affiliate of the Trustee serves as investment administrator, shareholder servicing agent, and/or custodian or subcustodian, notwithstanding that (i) the Trustee or an affiliate of the Trustee receives and retains a fee for services provided to the fund, (ii) the Trustee collects fees for services rendered pursuant to the Indenture, which fees are separate from the fees received from such funds, and (iii) services performed for such funds and pursuant to the Indenture may at times duplicate those provided to such funds by the Trustee or an affiliate of the Trustee);

(e) Pre-refunded municipal obligations defined as follows: any bonds or other obligations of any state of the United States of America or of any agency, instrumentality or local governmental unit of any such state which are not callable at the option of the obligor prior to maturity or as to which irrevocable instructions have been given by the obligor to call on the date specified in the notice; and

(i) which are rated, based on an irrevocable escrow account or fund (the “Escrow”), in the highest rating category of Moody’s or S&P or any successors thereto; or

(ii) (A) which are fully secured as to principal, interest and redemption premium, if any, by an Escrow consisting only of cash or obligations described in paragraph (a) above, which Escrow may be applied only to the payment of such principal of and interest and redemption premium, if any, on such bonds or other obligations on the maturity date or dates thereof or the specified redemption date or dates pursuant to such irrevocable instructions, as appropriate, and (B) which Escrow is sufficient, as verified by a nationally recognized independent certified public accountant, to pay principal of and interest and redemption premium, if any on the bonds or other obligations described in this paragraph on the maturity date or dates specified in the irrevocable instructions referred to above, as appropriate;

(f) Repurchase agreements fully secured by collateral security described in clauses (a), (b), (c), or (h) of this definition, which collateral (i) is held by the Trustee or a third party agent during the term of such repurchase agreement, (ii) is not, pursuant to the terms of such agreement, subject to liens or claims of third parties and (iii) has a market value (determined at least once every 14 days) at least equal to the amount so invested;

(g) Demand deposits, including trust accounts, trust funds, interest bearing money market accounts, overnight bank deposits, interest bearing deposits, other deposit products, banker’s acceptances or certificates of deposit (including those placed by a third party pursuant to a separate agreement between the Trustee and the Corporation) of, or time deposits in, any bank (including the Trustee or any of its affiliates) or savings and loan association (i) which certificates of deposit or time deposits are fully insured by the Federal Deposit Insurance Corporation or (ii) which certificates of deposit (including those placed by a third party pursuant to an agreement between the Trustee and the Corporation) or time deposits are secured at all times, in the manner and to the extent provided by law, by collateral security (described in clauses (a), (b), (c), or (h) of this definition) with a market value (valued at least quarterly) of no less than the original amount of moneys so invested;

(h) Municipal obligations rated “Aaa/AAA” on the basis of insurance or credit enhancement, provided the underlying rating of the municipal obligation must be at least “Baa/BBB,” uninsured, or unenhanced municipal obligations rated at least “Aa2/AA” or general obligations of states with a rating of “A2/A” by Moody’s or S&P;

(i) U.S. dollar denominated deposit accounts, money-market deposit accounts, federal funds, trust accounts, trust funds, interest bearing money market accounts, overnight bank deposits, interest bearing deposits, other deposit products, banker’s acceptances or certificates of deposit (including those placed by a third party pursuant to a separate agreement between the Trustee and the Corporation) or bankers acceptances with domestic commercial banks which may include the Trustee and its affiliates which have a rating on their short term certificates of deposit on the date of purchase of “P-1” by Moody’s and “A-1” or “A-1+” by S&P (for purposes of rating, ratings on holding companies are not considered as the rating of the bank) and maturing not more than 360 calendar days after the date of purchase;

(j) The Local Agency Investment Fund of the State, created pursuant to Section 16429.1 of the California Government Code, to the extent the Trustee is authorized to register such investment in its name;

(k) Direct obligations of the State (including obligations issued or held in book-entry form on the books of the Department of the Treasurer of the State) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the State; and

(l) Other forms of investments approved in writing by the Department.

“Joint Powers Agreement” means the Joint Exercise of Powers Agreement, dated May 12, 2015, as amended to the date hereof, relating to the formation of the Authority, among Kings County and the Housing Authority of Kings County as Charter Members and certain other cities and counties who have joined the Authority as Additional Members, such Charter Members and Additional Members being Members.

“Loan Agreement” means that certain Loan Agreement, dated as of September 1, 2022, between the Corporation and the Authority, as it may be amended, modified and supplemented from time to time in accordance with the terms thereof and of the Indenture.

“Loan Default Event” means any of the events specified in the Loan Agreement and described below under the subheading “LOAN AGREEMENT—Loan Default Events.”

“Loan Repayments” means the payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

“Long-Term Indebtedness” means Indebtedness having an original maturity greater than one year or renewable at the option of the Corporation for a period greater than one year from the date of original incurrence or issuance thereof unless, by the terms of such Indebtedness, no Indebtedness is permitted to be outstanding thereunder for a period of at least 30 consecutive days during each calendar year.

“Management Consultant” means an Independent Person of national or regional reputation qualified to report on questions relating to the financial condition and projections of continuing care retirement communities, selected by the Corporation and acceptable to the Department and so long as such Management Consultant is acceptable to the Department.

“Mandatory Sinking Account Payment” means, with respect to Term Bonds of any maturity, the amount required by the Indenture to be paid on any single date for the redemption or payment at maturity of Term Bonds of such maturity.

“Maximum Aggregate Annual Debt Service” means, as of any date of calculation, the Aggregate Debt Service as computed for the then current or any future Fiscal Year in which such sum shall be largest.

“Maximum Annual Debt Service” means, as of any date of calculation, the sum of (1) the interest falling due on then Outstanding Bonds (assuming that all then Outstanding Serial Bonds are retired on their respective maturity dates and that all Outstanding Term Bonds are retired at the times and in the amounts provided by Mandatory Sinking Account Payments), (2) the principal amount of then Outstanding Serial Bonds falling due by their terms, and (3) the aggregate amount of all Mandatory Sinking Account Payments required, all as computed for the Fiscal Year in which such sum shall be the largest.

“Moody’s” means Moody’s Investors Service, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice to the Authority and the Trustee.

“Net Income Available for Debt Service” means, with respect to any period, the excess of revenues (including non-operating revenues) over expenses from operations of the Corporation for such period, determined in accordance with generally accepted accounting principles, to which shall be added interest expense, amortization expense, depreciation expense and other non-cash charges, and proceeds of Entrance Fees from sales or resales net of applicable refunds, each item determined in accordance with generally accepted accounting principles, and excluding (a) any profits or losses on the sale or other disposition, not in the ordinary course of business, of investments or fixed or capital assets or resulting from the early extinguishment of debt, (b) gifts, grants, bequests, donations, contributions, and tax revenues to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Debt Service or operating expenses, (c) the net proceeds of insurance (other than business interruption insurance) and condemnation awards, (d) changes in net unrealized gain (loss) on investments, (e) non-cash revenues, (f) amortization of Entrance Fees and (g) amortization and other non-cash credits.

“Non-recourse Indebtedness” means any indebtedness of the Corporation, which is not a general obligation of the Corporation and is secured by a lien on property of the Corporation, liability for which is effectively limited to the property subject to such lien (which property is not integral to the operation of the Facilities) with no recourse, directly or indirectly, to any other property of the Corporation.

“Opinion of Counsel” means a written opinion of counsel (including, without limitation, counsel for the Authority, the Trustee or the Corporation) selected by the Corporation and acceptable to the Authority.

“Outstanding,” when used as of any particular time with reference to Bonds, means (subject to the provisions of the Indenture relating to disqualified Bonds) all Bonds theretofore, or thereupon being, authenticated and delivered by the Trustee under the Indenture except: (1) Bonds theretofore cancelled by the Trustee or surrendered to the Trustee for cancellation; (2) Bonds with respect to which all liability of the Authority shall have been discharged in accordance with the Indenture including Bonds (or portions of Bonds) referred to in the Indenture; and (3) Bonds for the transfer or exchange of or in lieu of or in substitution for which other Bonds shall have been authenticated and delivered by the Trustee pursuant to the Indenture.

“Parity Debt” means any Long-Term Indebtedness which is incurred by the Corporation in accordance with the provisions of the Regulatory Agreement and secured equally and ratably with the obligations of the Corporation under the Loan Agreement by a lien on and security interest in the Gross Revenues and the Deed of Trust.

“Participating Underwriter” means the original underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Permitted Encumbrances” means and includes:

(a) undetermined liens and charges incident to construction or maintenance, and liens and charges incident to construction or maintenance now or hereafter filed of record which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Department, are adequate;

(b) notices of *lis pendens* or other notices of or liens with respect to pending actions which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Department, are adequate;

(c) the lien of taxes and assessments which are not delinquent, or, if delinquent, are being contested in good faith, provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Department, are adequate;

(d) minor defects and irregularities in title to the Facilities which in the aggregate do not materially adversely affect the value or operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(e) easements, exceptions or reservations for the purpose of ingress and egress, parking, pipelines, telephone lines, telegraph lines, power lines and substations, roads, streets, alleys, highways, railroad purposes, drainage and sewerage purposes, dikes, canals, laterals, ditches, the removal of oil, gas, coal or other minerals, and other like purposes, or for the joint or common use of real property, facilities and equipment, which in the aggregate do not materially interfere with or impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(f) rights reserved to or vested in any municipality or governmental or other public authority to control or regulate or use in any manner any portion of the Facilities which do not materially impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(g) present or future valid zoning laws and ordinances;

(h) the rights of the Authority, the Corporation, the Department, the Trustee and holders of Parity Debt under the Loan Agreement, the Indenture, the Regulatory Agreement and the Deed of Trust, and the lien and charge of the Indenture, the Regulatory Agreement and the Deed of Trust;

(i) liens securing indebtedness for the payment, redemption or satisfaction of which money (or evidences of indebtedness) in the necessary amount shall have been deposited in trust with a trustee or other holder of such indebtedness;

(j) purchase money security interests and security interests existing on any personal property prior to the time of its acquisition by the Corporation through purchase, merger, consolidation or otherwise, whether or not assumed by the Corporation, or placed upon property being acquired by the Corporation to secure a portion of the purchase price thereof, or lessor's interests in leases required to be capitalized in accordance with generally accepted accounting principles;

(k) statutory liens arising in the ordinary course of business which are not delinquent or are being contested in good faith by the Corporation;

(l) the lease or license of the use of a part of the Facilities for use in performing professional or other services necessary for the proper and economical operation of the Facilities in accordance with customary business practices in the health care industry;

(m) liens or encumbrances existing as of the date of initial execution and delivery of the Bonds as listed on an exhibit to the Regulatory Agreement;

(n) liens securing Parity Debt on a parity with the obligations of the Corporation under the Regulatory Agreement;

(o) statutory rights of the United States of America to recover against the Corporation by reason of federal funds made available under 42 U.S.C. § 291 et seq., and similar rights under other federal and state statutes;

(p) any liens arising from or in connection with assistance provided by the Federal Emergency Management Agency;

(q) liens on any of the Corporation's accounts receivable to secure Indebtedness permitted by the Regulatory Agreement, but only for so long as the Corporation shall maintain a valid Credit Rating BBB- or higher. Should the Corporation become unrated, it shall not extend or renew such Indebtedness without the consent of the Department; and

(r) other liens and encumbrances specifically approved in writing by the Department.

"Person" means a person, individual, company, firm, association, organization, partnership, trust, corporation or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

"Principal Account" means the account by that name in the Revenue Fund established pursuant to the Indenture.

"Rating Category" means (i) with respect to any long term Rating Category, all ratings designated by a particular letter or combination of letters, without regard to any numerical modifier, plus or minus sign or other modifier and (ii) with respect to any short term or commercial paper Rating Category, all ratings designated by a particular letter or combination of letters and taking into account any numerical modifier, but not any plus or minus sign or other modifier.

"Rebate Fund" means the fund by that name established pursuant to the Indenture.

"Rebate Requirement" means the Rebate Requirement as defined in the Tax Agreement.

"Record Date" means, with respect to any Interest Payment Date for the Bonds, the 15th day of the calendar month immediately preceding an Interest Payment Date, whether or not such day is a Business Day.

"Redemption Fund" means the fund by that name established pursuant to the Indenture.

"Redemption Price" means, with respect to any Bond (or portion thereof), the principal amount of such Bond (or portion thereof), payable upon redemption thereof pursuant to the provisions of such Bond and the Indenture.

"Regulations" means the federal income tax regulations, as the same may be amended from time to time.

"Regulatory Agreement" means that certain Regulatory Agreement, dated as of September 1, 2022, and effective as of the date of issuance of the Bonds, among the Corporation, the Department and the Authority, as originally executed and as it may be amended or supplemented from time to time in accordance with its terms.

"Residency Agreement" means any written agreement or contract, as it may be amended from time to time, between the Corporation and a resident or potential resident of a facility giving the resident certain rights of occupancy in the facility, including without limitation, residential living units, assisted living units, memory support units, nursing beds or specialty care beds and providing for certain services to such resident including any reservation agreement or other agreement or contract reserving rights of occupancy.

“Retained Rights” means the right of the Authority to receive payment of its fees and expenses (including Additional Payments and Administrative Fees and Expenses to the extent payable to the Authority), the Authority’s right to indemnification in certain circumstances, the Authority’s right to enforce venue provisions, the Authority’s right to execute and deliver supplements and amendments to the Loan Agreement, the Authority’s right to grant consents under the Loan Agreement and the Authority’s right to receive notices.

“Revenue Fund” means the fund by that name established pursuant to the Indenture.

“Revenues” means all amounts received by the Authority or the Trustee pursuant or with respect to the Loan Agreement, including, without limiting the generality of the foregoing, Loan Repayments (including both timely and delinquent payments and any late charges, and regardless of source), prepayments, insurance proceeds, payments received pursuant to the Insurance Law, condemnation proceeds, and all interest, profits or other income derived from the investment of amounts in any fund or account established pursuant to the Indenture (except the Rebate Fund), but not including (1) any Additional Payments or Administrative Fees and Expenses, (2) any amounts paid to the Authority or the Trustee pursuant to rights of indemnification, or (3) any moneys required to be deposited in the Rebate Fund.

“Risk Management Consultant” means an Independent Person having experience and a favorable reputation in consulting on the insurance requirements of continuing care retirement communities in the State of the general size and character of the Facilities, selected by the Corporation and acceptable to the Department, and so long as such Risk Management Consultant is acceptable to the Department.

“Rule” means Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“S&P” means S&P Global Ratings, its successors and assigns or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice to the Authority and the Trustee.

“Serial Bonds” means Bonds maturing by their terms in specified years, for which no Mandatory Sinking Account Payments are provided.

“Short-Term Indebtedness” means Indebtedness having an original maturity less than or equal to one year and not renewable at the option of the Corporation for a term greater than one year from the date of original incurrence or issuance unless, by the terms of such Indebtedness, no Short-Term Indebtedness is permitted to be outstanding thereunder for a period of at least 30 consecutive days during each calendar year.

“Special Record Date” means the date established by the Trustee pursuant to the provisions of the Indenture as a record date for the payment of defaulted interest on Bonds.

“State” means the State of California.

“Supplemental Indenture” means any indenture hereafter duly authorized and entered into between the Authority and the Trustee, supplementing, modifying or amending the Indenture; but only if and to the extent that such Supplemental Indenture is specifically authorized under the Indenture.

“Tax Agreement” means the Tax Certificate and Agreement, delivered by the Authority and the Corporation at the time of issuance of the Bonds, as the same may from time to time be amended or supplemented in accordance with the terms thereof.

“Term Bonds” means, collectively, the Bonds subject to Mandatory Sinking Account Payments as described in the Official Statement.

“Trustee” means The Bank of New York Mellon Trust Company, N.A., a national banking association duly organized and existing under and by virtue of the laws of the United States of America, or its successor, as Trustee under the Indenture as provided in the Indenture.

INDENTURE

General

The Indenture sets forth the terms of the Bonds, the application of the Bond proceeds, the nature and extent of the security, various rights of the Bondholders, rights, duties and immunities of the Trustee and the rights and obligations of the Authority. Certain provisions of the Indenture are summarized below. Other provisions are summarized in this Official Statement under the captions “THE BONDS” and “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.” These summaries do not purport to be complete or definitive and are qualified in their entireties by reference to the full terms of the Indenture.

Pledge and Assignment

Pursuant to the provisions of the Indenture, the Authority transfers in trust, grants a security interest in and assigns to the Trustee, for the benefit of the Holders from time to time of the Bonds, all of the Revenues and other assets pledged in the Indenture and all of the right, title and interest of the Authority in the Loan Agreement (except for Retained Rights), the Deed of Trust, the Contract of Insurance and the Regulatory Agreement. The Trustee shall be entitled to and shall collect and receive all of the Revenues, and any Revenues collected or received by the Authority shall be deemed to be held, and to have been collected or received, by the Authority as the agent of the Trustee and shall forthwith be paid by the Authority to the Trustee. The Trustee shall also be entitled to, and subject to the provisions of the Indenture, may take all steps, actions and proceedings reasonably necessary in its judgment to enforce, either jointly with the Authority or separately, any or all rights of the Authority (other than those specifically retained by the Authority) and all of the obligations of the Corporation under the Indenture, the Loan Agreement, the Deed of Trust, the Contract of Insurance and the Regulatory Agreement.

Establishment of Funds and Accounts

The Indenture creates the Revenue Fund (including the Interest Account, the Principal Account and the Bond Reserve Account, each established within the Revenue Fund), the Insurance and Condemnation Proceeds Fund, the Costs of Issuance Fund, the Redemption Fund and the Rebate Fund. All of such funds and accounts shall be established, maintained and held in trust by the Trustee and applied in accordance with the provisions set forth in the Indenture.

Costs of Issuance Fund. The moneys in the Costs of Issuance Fund shall be used and withdrawn by the Trustee to pay the Costs of Issuance. Amounts, if any, remaining in the Costs of Issuance Fund shall be transferred to the Revenue Fund and the Costs of Issuance Fund shall be closed.

Revenue Fund. All Revenues shall be promptly deposited by the Trustee upon receipt thereof in Revenue Fund, except that (i) all moneys received by the Trustee and required by the Regulatory Agreement

to be deposited in the Insurance and Condemnation Proceeds Fund or the Redemption Fund shall be promptly deposited in such Fund and (ii) all moneys received by the Trustee and required to be deposited in the Bond Reserve Account shall be promptly deposited in such Account. All Revenues deposited with the Trustee shall be held, disbursed, allocated and applied by the Trustee only as provided in the Indenture.

Interest Account. All amounts in the Interest Account shall be used and withdrawn by the Trustee solely for the purpose of paying interest on the Bonds as it shall become due and payable (including accrued interest on any Bonds purchased or redeemed prior to maturity pursuant to the Indenture).

Principal Account. All amounts in the Principal Account shall be used and withdrawn by the Trustee solely for the purpose of paying the principal of the Bonds when due and payable, except that all amounts in a Sinking Account shall be used and withdrawn by the Trustee solely to purchase, redeem or pay on their stated maturity date the maturity of Term Bonds to which such Sinking Account relates, as provided in the Indenture.

Insurance and Condemnation Proceeds Fund. The Trustee shall establish, maintain and hold in trust when deposits thereto are required under the Regulatory Agreement a separate fund designated as the “Insurance and Condemnation Proceeds Fund,” and shall administer said Fund in accordance with the Regulatory Agreement.

Redemption Fund. The Trustee shall establish and maintain a fund designated as the “Redemption Fund.” The Trustee shall accept all moneys deposited for redemption (other than for Sinking Account redemption) and shall deposit such moneys into the Redemption Fund. All amounts deposited in the Redemption Fund shall be accepted and used and withdrawn by the Trustee solely for the purpose of redeeming Bonds, in the manner and upon the terms and conditions specified in the Indenture, at the next succeeding date of redemption for which notice has not been given and at the Redemption Prices then applicable to redemptions from the Redemption Fund; provided that, at any time prior to selection of Bonds for redemption, the Trustee shall, upon direction of the Corporation, apply such amounts to the purchase of Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as the Corporation may direct, except that the purchase price (exclusive of accrued interest) may not exceed the Redemption Price then applicable to such Bonds (or, if such Bonds are not then subject to redemption, the par value of such Bonds); and provided further that in the case of optional redemption of Bonds pursuant to the Indenture in lieu of optional redemption at such next succeeding date of redemption, or in combination therewith, amounts on deposit in the Redemption Fund for such optional redemption may, upon written direction of the Corporation, be transferred to the Principal Account and credited against Loan Repayments in order of their due date as set forth in a Request of the Corporation. The Term Bonds purchased or redeemed from the Redemption Fund shall be allocated to the Mandatory Sinking Account Payments for such Term Bonds specified by the Corporation (in accordance with the Tax Agreement) in writing delivered to the Trustee, provided, however, if the Corporation fails to deliver such specification, in inverse order of the Mandatory Sinking Account Payments. The Corporation shall include with the written delivery of such specification to the Trustee a revised schedule of Mandatory Sinking Account Payments.

Bond Reserve Account. All amounts in the Bond Reserve Account shall be used and withdrawn by the Trustee solely for the purpose of making up any deficiency in the Interest Account or Principal Account (but, in each case, only with the consent of the Department as provided in the Regulatory Agreement) or (together with any other moneys available therefor) for the payment or redemption of all Bonds then Outstanding.

All Investment Securities in the Bond Reserve Account shall be valued by the Trustee semi-annually on June 30 and December 31 (or more frequently if requested in writing by the Corporation, but

not more frequently than quarterly), and such valuation shall be reported, in the event the amount on deposit therein is less than the Bond Reserve Account Requirement and, in all other cases, shall be reported in the regular monthly statement of the Trustee sent to the Corporation. On the fifth day of the calendar month following the month in which a valuation is made pursuant to the Indenture, any amount in the Bond Reserve Account in excess of the Bond Reserve Account Requirement shall be transferred to the Revenue Fund. To the extent that amounts in the Bond Reserve Account are less than 100% of the Bond Reserve Account Requirement, the Corporation shall within 30 days after receiving notice of such valuation pay to the Trustee an amount sufficient to increase the balance in the Bond Reserve Account to the Bond Reserve Account Requirement.

Rebate Fund. The Trustee shall establish and maintain a fund separate from any other fund established and maintained under the Indenture designated as the Rebate Fund. Within the Rebate Fund, the Trustee shall, upon the direction of the Authority or the Corporation, maintain such accounts as shall be necessary to comply with the terms and conditions of the Tax Agreement. Subject to the transfer provisions provided in the Indenture, all money at any time deposited in the Rebate Fund shall be held by the Trustee in trust, to the extent required to satisfy the Rebate Requirement (as defined, computed and provided to the Trustee in accordance with the Tax Agreement), for payment to the federal government of the United States of America. Neither the Authority, the Corporation, the Department nor the Holder of any Bonds shall have any rights in or claim to such money. All amounts deposited into or on deposit in the Rebate Fund shall be governed by the Indenture and by the Tax Agreement.

Allocation of Revenues

The Trustee shall transfer from the Revenue Fund and deposit into the following respective accounts (each of which the Trustee shall establish and maintain within the Revenue Fund) and then to the Rebate Fund, the following amounts, in the following order of priority, at the times set in the Indenture, the requirements of each such account or fund (including the making up of any deficiencies in any such account resulting from lack of Revenues sufficient to make any earlier required deposit) at the time of deposit to be satisfied before any transfer is made to any account or fund subsequent in priority:

First: to the Interest Account, one-sixth of the aggregate amount of interest becoming due and payable on all Bonds then Outstanding on the next Interest Payment Date; provided that from the date of delivery of the Bonds until the first Interest Payment Date with respect to the Bonds (if less than six months), transfers to the Interest Account shall be sufficient, on a monthly pro rata basis, to pay the interest becoming due and payable on the Bonds on said Interest Payment Date;

Second: to the Principal Account, one-twelfth of the aggregate amount of principal becoming due and payable on the Outstanding Serial Bonds, plus one-twelfth of the aggregate amount of Mandatory Sinking Account Payments, required to be paid into the Sinking Accounts established for Outstanding Term Bonds, in each case during the next ensuing twelve months, until the balance in said Principal Account is equal to said aggregate amount of such principal and Mandatory Sinking Account Payments; provided that from the date of delivery of the Bonds until the first principal payment date with respect to the Bonds (if less than twelve months), transfers to the Principal Account shall be sufficient on a monthly pro rata basis to pay the principal and Mandatory Sinking Account Payments becoming due and payable on such principal payment date;

Third: to the Bond Reserve Account, (i) one-twelfth of the aggregate amount of each prior withdrawal from the Bond Reserve Account for the purpose of making up a deficiency in the Interest Account or Principal Account (until deposits on account of such withdrawal are sufficient to fully restore the amount withdrawn), provided that no deposit need be made into the Bond

Reserve Account if the balance in said account is at least equal to the Bond Reserve Account Requirement, and (ii) in the event the balance in said account shall be less than the Bond Reserve Account Requirement due to valuation of the Investment Securities deposited therein in accordance with the Indenture, the amount necessary to increase the balance in said account to an amount at least equal to the Bond Reserve Account Requirement (until deposits on account of such valuation deficiency are sufficient to increase the balance in said account to said amount); and

Fourth: upon direction of the Authority or the Corporation, to the Rebate Fund, such amounts as are required to be deposited therein by the Indenture (including the Tax Agreement).

Any moneys remaining in the Revenue Fund after the foregoing transfers shall be transferred first to the Department to the extent necessary to repay insurance advances made by the Department (as directed by the Department to the Trustee in writing), including interest thereon as specified in the Regulatory Agreement, and thereafter to the Corporation.

Investment of Moneys in Funds and Accounts

All moneys in any of the funds and accounts established pursuant to the Indenture shall be invested by the Trustee, upon the written direction of the Corporation solely in the Investment Securities specified by the Corporation. All Investment Securities shall be acquired subject to the limitations set forth in the Indenture, the limitations as to maturities described under this caption and such additional limitations or requirements set forth in the Indenture.

All interest, profits and other income received from the investment of moneys in the Rebate Fund shall be deposited when received in the Rebate Fund. All interest, profits and other income received from the investment of moneys in the Insurance and Condemnation Proceeds Fund shall be deposited when received in such Insurance and Condemnation Proceeds Fund. All interest, profits and other income received from the investment of moneys in any other fund or account established pursuant to the Indenture, shall be transferred when received (a) first, to the Bond Reserve Account to the extent necessary to increase the balance therein to the Bond Reserve Account Requirement, (b) second to the Principal Account to the extent necessary to increase the balance therein to the aggregate amount of principal of the Bonds coming due during the next ensuing twelve months, and (c) third, to the Revenue Fund. Notwithstanding anything to the contrary contained in this paragraph, an amount of interest received with respect to any Investment Security equal to the amount of accrued interest, if any, paid as part of the purchase price of such Investment Security shall be credited to the fund or account for the credit of which such Investment Security was acquired.

Certain Covenants

Against Encumbrances. The Authority shall not create, or permit the creation of, any pledge, lien, charge or other encumbrance upon the Revenues and other assets pledged or assigned under the Indenture while any of the Bonds are Outstanding, except the pledge and assignment created by the Indenture. Subject to this limitation, the Authority expressly reserves the right to enter into one or more other indentures for any of its corporate purposes, including other programs under the Act, and reserves the right to issue other obligations for such purposes.

Enforcement of Loan Agreement and Other Covenants. The Trustee shall collect all amounts due from the Corporation pursuant to the Loan Agreement, and subject to the provisions of the Indenture, shall exercise all rights assigned to it pursuant to the Loan Agreement and shall enforce, and take all steps, actions and proceedings reasonably necessary for the enforcement of all of the rights of the Authority except as is otherwise provided in the Indenture and all of the obligations of the Corporation, including, without limitation, such steps, actions and proceedings as shall be directed by the Authority.

The Authority shall not amend, modify or terminate any of the terms of the Loan Agreement, or consent to any such amendment, modification or termination, without the written consent of (1) the Department (provided that the Contract of Insurance is then in effect and the Department is not in default thereunder), or (2) the Holders of a majority in principal amount of the Bonds then Outstanding (if the Contract of Insurance is no longer in effect or the Department is in default thereunder). The Authority shall not amend, modify or terminate the Loan Agreement or any of the Department Documents in any manner adverse to the interests of the Trustee without the written consent of the Trustee.

The Trustee, subject to the provisions of the Indenture, shall take all actions required by the terms of the Contract of Insurance, and shall enforce the Contract of Insurance by appropriate legal action, for the benefit of the Bondholders.

If (1) a Loan Default Event has occurred and is continuing under the Loan Agreement or (2) debentures have been issued by the Treasurer of the State of California in satisfaction of the Department's obligations under the Contract of Insurance, the Trustee shall, within three Business Days of receipt of a Request of the Department, transfer to the Department all of the Trustee's right, title and interest in the Loan Agreement and the Regulatory Agreement and the Deed of Trust other than the right of the Trustee to receive payments under the Loan Agreement.

Events of Default under the Indenture and Remedies

Events of Default. The following events shall be Events of Default:

(a) default in the due and punctual payment of the principal or Redemption Price of any Bond when and as the same shall become due and payable, whether at maturity as therein expressed, by proceedings for redemption, by declaration or otherwise, or default in the redemption of any Bonds from Mandatory Sinking Account Payments in the amounts and at the times provided therefor;

(b) default in the due and punctual payment of any installment of interest on any Bond when and as such interest installment shall become due and payable;

(c) default by the Authority in the observance of any of the other covenants, agreements or conditions on its part in the Indenture or in the Bonds contained, if such default shall have continued for a period of 60 days after written notice thereof, specifying such default and requiring the same to be remedied, shall have been given to the Authority and the Corporation by the Trustee, or to the Authority, the Corporation and the Trustee by the Holders of not less than 25% in aggregate principal amount of the Bonds at the time Outstanding; or

(d) a Loan Default Event.

Acceleration of Maturities. If an Event of Default shall occur, then, and in each and every such case during the continuance of such Event of Default, the Trustee may and, upon receipt of instructions from the Holders of not less than a majority in aggregate principal amount of the Bonds at the time Outstanding, or the Department shall, upon notice in writing to the Authority, the Department and the Corporation, declare the principal of all of the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, and upon any such declaration the same shall become and shall be immediately due and payable, anything in the Indenture or in the Bonds contained to the contrary notwithstanding; provided, however, that no such declaration may be made if the Contract of Insurance is in effect and the Department is not in default thereunder unless (i) the Trustee is required to make such declaration pursuant to the provisions of the Indenture described below under the caption "—Collection Upon Insurance" or (ii) the Department consents to such acceleration and agrees to pay an amount equal to

the full principal amount of Bonds then Outstanding and interest thereon at the stated interest rates on the Bonds to the date of acceleration.

Any such declaration, however, is subject to the condition that if, at any time after such declaration and before any judgment or decree for the payment of the moneys due shall have been obtained or entered, the Authority, the Department or the Corporation shall deposit with the Trustee a sum sufficient to pay all the principal or Mandatory Sinking Account Payments or Redemption Price of and installments of interest on the Bonds payment of which is overdue, with interest on such overdue principal at the rate borne by the respective Bonds, and the reasonable fees, charges and expenses of the Authority and the Trustee, including without limitation those of their respective attorneys, and any and all other defaults actually known to the Trustee (other than in the payment of principal of and interest on the Bonds due and payable solely by reason of such declaration) shall have been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate shall have been made therefor, then, and in every such case, the Trustee may, if such declaration was made by the Trustee without instruction from the Holders, and the Trustee shall, upon receipt of written notice by the Holders of not less than a majority in aggregate principal amount of the Bonds then Outstanding, which written notice shall also be delivered to the Authority, the Department and the Corporation, on behalf of the Holders of all of the Bonds, rescind and annul such declaration and its consequences and waive such default; but no such rescission and annulment shall extend to or shall affect any subsequent default, or shall impair or exhaust any right or power consequent thereon. Notwithstanding the foregoing, the Trustee shall waive any Event of Default which is caused solely by a default under the Regulatory Agreement if the Department waives such default in writing.

Collection Upon Insurance. Upon the occurrence and continuance of an Event of Default, the Trustee shall proceed to take such steps as are necessary, in the reasonable judgment of the Trustee, to collect upon the insurance provided by the Insurance Law. If the Department and the Treasurer of the State of California have notified the Trustee in writing that they elect to pay such insurance by means of debentures of the Department's Health Facility Construction Loan Insurance Fund, the Trustee shall as soon as practicable provide notice to each Bondholder of the exchange of such debentures for the Bonds then Outstanding in the same manner as for notice of redemption pursuant to the Indenture, and shall deliver to each Bondholder, as soon as practicable after surrender of such Bondholder's Bonds, debentures in a principal amount equal to the principal amount of such Bonds plus accrued interest thereon and having maturities the same as such Bonds, bearing interest at such rate or rates equal to the rates on the respective Bonds.

Application of Revenues and Other Funds After Default. If an Event of Default shall occur and be continuing, all Revenues and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture shall be applied by the Trustee as follows and in the following order:

(1) To the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Holders of the Bonds and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel, agents and advisors) incurred, subject to the provisions described below under the caption "—Trustee to Represent Bondholders," in and about the performance of its powers and duties under the Indenture;

(2) To the payment of the principal or Redemption Price of and interest then due on the Bonds (upon presentation of the Bonds to be paid, and stamping thereon of the payment if only partially paid, or surrender thereof if fully paid) subject to the provisions of the Indenture, as follows:

(i) Unless the principal of all of the Bonds shall have become or have been declared due and payable,

First: To the payment to the Persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the persons entitled thereto, without any discrimination or preference;

Second: To the payment to the Persons entitled thereto of the unpaid principal (including Mandatory Sinking Account Payments) or Redemption Price of any Bonds which shall have become due, whether at maturity or by call for redemption, in the order of their due dates, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full all the Bonds due on any date, together with such interest, then to the payment thereof ratably, according to the amounts of principal or Redemption Price due on such date to the persons entitled thereto, without any discrimination or preference.

(ii) If the principal of all of the Bonds shall have become or have been declared due and payable, to the payment of the principal or Redemption Price and interest then due and unpaid upon the Bonds, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full the whole amount so due and unpaid, then to the payment thereof ratably, without preference or priority of principal over interest or Redemption Price, or of interest over principal or Redemption Price, or of Redemption Price over principal or interest, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, according to the amounts due respectively for principal, Redemption Price, and interest, to the persons entitled thereto without any discrimination or preference;

(3) To the Department to the extent necessary to repay insurance advances (including interest thereon calculated in accordance with the Regulatory Agreement) made by the Department; and

(4) To the payment of the reasonable fees, charges and expenses of the Authority and the payment of any amounts owed under the expense and indemnification provisions of the Loan Agreement.

Notwithstanding the foregoing or any other provision of the Indenture to the contrary, in the event that the Department shall no longer be obligated under the Contract of Insurance for any reason while any of the Bonds remain Outstanding, if an Event of Default shall occur and be continuing, all Revenues and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture (other than funds held for the payment of particular Bonds pursuant to the provisions of the Indenture) shall be applied by the Trustee first to the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Holders of the Bonds and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel) incurred, subject to the provisions of the Indenture described below under the caption “—Trustee to Represent Bondholders,” in and about the performance of its powers and duties under the Indenture and then in accordance with the order described above under this caption.

Trustee to Represent Bondholders. Pursuant to the Indenture, the Trustee is irrevocably appointed (and the successive respective Holders of the Bonds by taking and holding the same, shall be conclusively deemed to have so appointed the Trustee) as trustee and true and lawful attorney in fact of the Holders of the Bonds for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Holders under the provisions of the Bonds, the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act and applicable provisions of any other law. Upon the occurrence and continuance of an Event of Default or other occasion giving

rise to a right in the Trustee to represent the Bondholders, the Trustee in its discretion may, and upon the written request of the Department or the Holders of not less than 25% in aggregate principal amount of the Bonds then Outstanding (provided, however, that if more than one such request is received by the Trustee from the Holders, the Trustee shall follow the request executed by the Holders of the greater percentage of Bonds then Outstanding in excess of 25%), and upon being indemnified to its satisfaction therefor, shall, with the written consent of the Department (so long as the Contract of Insurance is in effect and the Department is not in default thereunder,) proceed to protect or enforce its rights or the rights of such Holders by such appropriate action, suit, mandamus or other proceedings as it shall deem most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Indenture, or in aid of the execution of any power granted under the Indenture, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Trustee or in such Holders under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or any other law; and upon instituting such proceeding, the Trustee shall be entitled, as a matter of right, to the appointment of a receiver of the Revenues and other assets pledged under the Indenture, pending such proceedings. All rights of action under the Indenture or the Bonds or otherwise may be prosecuted and enforced by the Trustee without the possession of any of the Bonds or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Trustee shall be brought in the name of the Trustee for the benefit and protection of all the Holders of such Bonds, subject to the provisions of the Indenture.

Department and Bondholders' Direction of Proceedings. Anything in the Indenture to the contrary notwithstanding, the Department (so long as the Contract of Insurance is in effect and the Department is not in default thereunder) and/or the Holders of a majority in aggregate principal amount of the Bonds then Outstanding, in each case where the Holders seek to direct proceedings with the written consent of the Department (so long as the Contract of Insurance is in effect and the Department is not in default thereunder), shall have the right, by an instrument or concurrent instruments in writing executed and delivered to the Trustee, to direct the method of conducting all remedial proceedings taken by the Trustee under the Indenture, provided that such direction shall not be otherwise than in accordance with law and the provisions of the Indenture, and that, unless the Department is the Holder of all Bonds or has caused all Bonds to be paid in full, the Trustee shall have the right to decline to follow any such direction which in the opinion of the Trustee might involve the Trustee in personal liability or would be unjustly prejudicial to Bondholders not parties to such direction; provided, further, that the Trustee shall have no duty to ascertain whether or not such actions or forbearances are unduly prejudicial to such Bondholders.

Anything in the Indenture to the contrary notwithstanding, in the event that any of the following has occurred and is continuing:

(a) the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Facilities;

(b) a court of competent jurisdiction shall enter an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the United States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within 60 days from the date of the entry thereof; or

(c) under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction shall assume custody or control of the Corporation or of the whole or any substantial part of the Facilities, and such custody or control shall not be terminated within 60 days from the date of assumption of such custody or control;

then, so long as the Contract of Insurance is in effect and the Department is not in default thereunder, the Department shall have the right to vote in the place and stead of all Holders with respect to any plan of reorganization, on any agreement for composition of creditors, and on any assignment for the benefit of creditors and the Department shall represent Bondholders in all bankruptcy proceedings and may take such action or consent to any agreement on behalf of Bondholders, provided that any such action or consent shall in no way impair the rights and benefits due Bondholders under the Contract of Insurance.

Limitation on Bondholders' Right to Sue. No Holder of any Bond shall have the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or any other applicable law with respect to such Bond, unless: (1) such Holder shall have given to the Trustee written notice of the occurrence of an Event of Default; (2) the Holders of not less than 25% in aggregate principal amount of the Bonds then Outstanding (or if more than one such request is received, the written request executed by the Holders of the greatest percentage of Bonds then Outstanding in excess of 25%) shall have made written request upon the Trustee to exercise the powers granted by the Indenture or to institute such suit, action or proceeding in its own name; (3) such Holder or said Holders shall have tendered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; (4) the Trustee shall have refused or omitted to comply with such request for a period of 60 days after such written request shall have been received by, and said tender of indemnity shall have been made to, the Trustee; and (5) the Department consents in writing to the action specified in such request (provided that such consent shall be required only so long as the Contract of Insurance is in effect and the Department is not in default thereunder).

Such notification, request, tender of indemnity and refusal or omission are declared, in every case, to be conditions precedent to the exercise by any Holder of Bonds of any remedy under the Indenture or under law; it being understood and intended that no one or more Holders of Bonds shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Indenture or the rights of any other Holders of Bonds, or to enforce any right under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or other applicable law with respect to the Bonds, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any such right shall be instituted, had and maintained in the manner provided in the Indenture and for the benefit and protection of all Holders of the Outstanding Bonds, subject to the provisions of the Indenture.

Control Rights of the Department. Notwithstanding anything in the Indenture to the contrary, so long as the Insurance is in effect and the Department is not in default under the Contract of Insurance: (a) the Department shall be deemed to be the Holder of all of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the Holders of such Bonds; (b) anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Department shall be entitled to control and direct the enforcement of all rights and remedies granted to the Holders or the Trustee for the benefit of the Holders; and (c) the rights granted to the Department under the Indenture and/or the Loan Agreement to request, consent to or direct any action are rights granted to the Department in consideration of its issuance of its insurance for the Bonds. Any exercise by the Department of such rights is merely an exercise of the Department's contractual rights and shall not be construed or deemed to be taken for the benefit, or on

behalf, of the Holders and such action does not evidence any position of the Department, affirmative or negative, as to whether the consent of the Holders or any other person is required in addition to the consent of the Department.

Amendment of Indenture

The Indenture and the rights and obligations of the Authority and of the Holders of the Bonds and of the Trustee may be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Trustee may enter into when the written consent of the Corporation and (i) the Department (provided that the Contract of Insurance is then in effect and the Department is not in default thereunder) or (ii) the Holders of a majority in aggregate principal amount of the Bonds then Outstanding (if the Contract of Insurance is no longer in effect or the Department is in default thereunder) shall have been filed with the Trustee; provided that if such modification or amendment will, by its terms, not take effect so long as any Bonds of any particular maturity remain Outstanding, the consent of the Holders of such Bonds shall not be required and such Bonds shall not be deemed to be Outstanding for the purpose of any calculation of Bonds Outstanding under the Indenture. No such modification or amendment shall (1) extend the fixed maturity of any Bond, extend the time of payment for the payment of any Bond, reduce the amount of any Mandatory Sinking Account Payment or principal thereof or reduce the rate of interest thereon, or extend the time of payment of interest thereon, without the consent of the Holder of each Bond so affected, or (2) reduce the aforesaid percentage of Bonds the consent of the Holders of which is required to effect any such modification or amendment, or permit the creation of any lien on the Revenues and other assets pledged under the Indenture prior to or on a parity with the lien created by the Indenture, or deprive the Holders of the Bonds of the lien created by the Indenture on such Revenues and other assets (except as expressly provided in the Indenture and the Loan Agreement), without the consent of the Holders of all of the Bonds then Outstanding. It shall not be necessary for the consent of the Bondholders to approve the particular form of any Supplemental Indenture, but it shall be sufficient if such consent shall approve the substance thereof. Promptly after the execution by the Authority and the Trustee of any Supplemental Indenture pursuant to the Indenture, the Trustee shall mail a notice, setting forth in general terms the substance of such Supplemental Indenture, to the Bondholders at the addresses shown on the bond registration books maintained by the Trustee. Any failure to give such notice, or any defect therein, shall not, however, in any way impair or affect the validity of any such Supplemental Indenture.

The Indenture and the rights and obligations of the Authority, of the Trustee and of the Holders of the Bonds may also be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Trustee may enter into without the consent of any Bondholders, but only with the consent of the Corporation and the Department (provided that the Contract of Insurance is then in effect and the Department is not in default thereunder), if the Trustee has been furnished an Opinion of Counsel, that the provisions of such Supplemental Indenture shall not materially adversely affect the interests of the Holders, including, without limitation, for any one or more of the following purposes:

(1) to add to the covenants and agreements of the Authority in the Indenture contained other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power reserved to or conferred upon the Authority, provided that no such covenant, agreement, pledge, assignment or surrender shall materially and adversely affect the interests of the Holders of the Bonds;

(2) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Indenture, or in regard to matters or questions arising under the Indenture, as the Authority may

deem necessary or desirable and not inconsistent with the Indenture, and which shall not materially and adversely affect the interests of the Holders of the Bonds;

(3) to modify, amend or supplement the Indenture in such manner as to permit the qualification thereof under the Trust Indenture Act of 1939, as amended, or any similar federal statute in effect, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute, and which shall not materially and adversely affect the interests of the Holders of the Bonds;

(4) to make such provisions for the purpose of preserving the exclusion from gross income for federal income tax purposes of interest on the Bonds as the Authority may deem necessary or desirable and not inconsistent with the Indenture; or

(5) to modify, amend or supplement the Indenture in any other respect that does not materially adversely affect the interests of the Holders of the Bonds.

Defeasance

Discharge of Indenture. Bonds may be paid by the Authority in any of the following ways; provided that the Authority also pays or causes to be paid any other sums payable under the Indenture by the Authority and related to the Bonds: (a) by paying or causing to be paid the principal or Redemption Price of and interest on all Bonds then Outstanding, as and when the same become due and payable; (b) by depositing with the Trustee, in trust, or with an escrow agent in irrevocable escrow, at or before maturity, moneys or securities in the necessary amount (as provided in the Indenture) to pay or redeem all Bonds then Outstanding; or (c) by delivering to the Trustee, for cancellation by it, all Bonds then Outstanding.

If the Authority shall pay all Bonds then Outstanding and shall also pay or cause to be paid all other sums payable under the Indenture by the Authority, then and in that case, at the election of the Authority, and notwithstanding that any Bonds shall not have been surrendered for payment, the Indenture and the pledge of Revenues and other assets made under the Indenture and all covenants, agreements and other obligations of the Authority under the Indenture shall cease, terminate, become void and be completely discharged and satisfied, except only as provided pursuant to the provisions of the Indenture described below under the caption “—Discharge of Liability on Bonds.”

Discharge of Liability on Bonds. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), provided that, if such Bond is to be redeemed prior to maturity, notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice, then all liability of the Authority in respect of such Bond shall cease, terminate and be completely discharged, except only that thereafter the Holder thereof shall be entitled to payment of the principal of and interest on such Bond by the Authority and the Authority shall remain liable for such payment, but only out of such money or securities deposited with the Trustee as aforesaid for their payment, provided further, however, that the provisions of the Indenture shall apply in all events.

Deposit of Money or Securities with Trustee. Whenever in the Indenture it is provided or permitted that there be deposited with or held in trust by the Trustee money or securities in the necessary amount to pay or redeem any Bonds, the money or securities to be deposited or held may include money or securities held by the Trustee in the funds and accounts established pursuant to the Indenture (exclusive of the Rebate Fund) and shall be:

(a) lawful money of the United States of America in an amount equal to the principal amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice, the amount to be deposited or held shall be the principal amount or Redemption Price of such Bonds and all unpaid interest thereon to the redemption date; or

(b) Investment Securities described in clause (a) of the definition thereof in “DEFINITIONS OF CERTAIN TERMS” above (not callable by the issuer thereof prior to maturity) the principal of and interest on which when due will provide money sufficient in the opinion of an Accountant to pay the principal or Redemption Price of and all unpaid interest to maturity, or to the redemption date, as the case may be, on the Bonds to be paid or redeemed, as such principal or Redemption Price and interest become due, provided that, in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice;

provided, in each case, that the Trustee shall have been irrevocably instructed to apply such money to the payment of such principal or Redemption Price and interest with respect to such Bonds.

LOAN AGREEMENT

General

The Loan Agreement is an agreement between the Authority and the Corporation whereby the Authority agrees to lend the proceeds of the Bonds to the Corporation and the Corporation agrees to make payments to the Trustee sufficient to pay debt service on the Bonds. Certain of the provisions of the Loan Agreement are summarized below. This summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Loan Agreement.

Loan of Proceeds; Loan Repayments

The Authority loans and advances to the Corporation, and the Corporation borrows and accepts from the Authority (solely from the proceeds of the sale of the Bonds), the net proceeds received from the sale of the Bonds, such proceeds to be applied under the terms and conditions of the Loan Agreement and the Indenture. In consideration of the loan of such proceeds to the Corporation, the Corporation agrees that as long as any of the Bonds remain Outstanding, it shall pay to the Trustee for deposit in the Revenue Fund such amount as is required by the Trustee to make the transfers and deposits required pursuant to the Indenture, summarized under the caption “INDENTURE -- Allocation of Revenues.” Notwithstanding the foregoing, if five Business Days prior to any interest or principal payment date with respect to the Bonds, the aggregate amount in the Revenue Fund (other than the Bond Reserve Account) is for any reason insufficient or unavailable to make the required payments of principal, Mandatory Sinking Account Payments or Redemption Price of or interest on the Bonds then becoming due (whether by maturity, redemption or acceleration), the Corporation shall forthwith pay the amount of any such deficiency to the Trustee. In addition, the Corporation shall pay (or cause to be paid) to the Trustee for deposit in the Bond Reserve Account in accordance with the Indenture, summarized under the caption “Allocation of Revenues,” such amount as is required to be deposited in such month to replenish any prior withdrawal from the Bond Reserve Account and shall pay (or cause to be paid) to the Trustee such amount as shall be necessary to increase the Bond Reserve Account to the Reserve Account Requirement in accordance with the Indenture in the event that a valuation of the Bond Reserve Account indicates that the amount on deposit in the Bond Reserve Account on the date of valuation is less than 100% of the Bond Reserve Account Requirement.

Additional Payments

In addition to the Loan Repayments, the Corporation shall also pay to the Authority or the Trustee, as the case may be, “Additional Payments,” as provided in the Loan Agreement.

The Additional Payments to the Authority include (a) all taxes and assessments of any type or character charged to the Authority affecting the amount available to the Authority or to the Trustee from payments to be received under the Loan Agreement or in any way arising due to the transactions contemplated by the Loan Agreement (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments but excluding franchise taxes based upon the capital and/or income of the Trustee and taxes based upon or measured by the net income of the Trustee); (b) all reasonable fees, charges and expenses of the Trustee for services rendered under the Indenture and all amounts referred to in the Indenture, as and when the same become due and payable; (c) the reasonable fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Authority or the Trustee to prepare audits, financial statements, reports, opinions or provide such other services required under the Financing Documents; (d) the reasonable fees and expenses of the Authority or any agent or attorney selected by the Authority to act on its behalf in connection with the Financing Documents, the Bonds or the Indenture, including, without limitation, any and all reasonable expenses incurred in connection with the authorization, issuance, sale and delivery of any such Bonds or in connection with any litigation, investigation, inquiry or other proceeding which may at any time be instituted involving the Financing Documents, the Bonds or the Indenture or any of the other documents contemplated thereby, or in connection with the reasonable supervision or inspection of the Corporation, its properties, assets or operations or otherwise in connection with the administration of the Financing Documents; (e) any amounts due and payable by the Corporation as arbitrage rebate under Section 148 of the Code, pursuant to the Corporation’s covenants and agreements with respect thereto in the Financing Documents; and (f) all other reasonable and necessary fees and expenses attributable to the Bonds, the Loan Agreement, or related documents, including without limitation all payments required pursuant to the Tax Agreement.

Security For Corporation’s Obligations

In consideration of the issuance of the Bonds by the Authority and the loan of the proceeds thereof to the Corporation and to secure the payment of Loan Repayments and Additional Payments and the performance of the other obligations of the Corporation under the Loan Agreement, the Corporation pledges and grants a security interest (subject to Permitted Encumbrances) to the Trustee and the Department, as their interests may appear, in the Facilities. The Corporation will enter into the Deed of Trust to further secure the Corporation’s obligations under the Loan Agreement. The Corporation agrees to execute and cause to be filed and to deliver such other documents (including, but not limited to, deposit account control agreements) as the Authority, the Department or the Trustee may reasonably require in order to perfect or maintain as perfected such security interest or give public notice thereof. The Deed of Trust, pursuant to its terms, may be amended and property released therefrom upon written notice to the Trustee with the consent of the Department without the necessity of obtaining the consent of the Authority, the Trustee or the Bondholders.

Obligations of the Corporation Unconditional

The obligations of the Corporation under the Loan Agreement are absolute and unconditional, notwithstanding any other provision of the Loan Agreement or the Indenture. Until the Loan Agreement is terminated and all payments under the Loan Agreement are made, the Corporation: (i) will pay all amounts required under the Loan Agreement without abatement, deduction or setoff except as otherwise expressly provided in the Loan Agreement; (ii) will not suspend or discontinue any payments due under the Loan

Agreement for any reason whatsoever, including, without limitation, any right of setoff or counterclaim; (iii) will perform and observe all its other agreements contained in the Loan Agreement; and, (iv) except as provided in the Loan Agreement, will not terminate the Loan Agreement for any cause including, without limiting the generality of the foregoing, damage, destruction or condemnation of the Facilities or any part thereof, commercial frustration of purpose, any change in the tax or other laws of the United States of America or of the State, or any political subdivision of either thereof or any failure of the Authority or the Trustee to perform and observe any agreement, whether express or implied, or any duty, liability or obligation arising out of or connected with the Loan Agreement.

Prepayment

The Corporation shall have the right, so long as all amounts that have theretofore become due under the Loan Agreement have been paid, at any time or from time to time to prepay all or any part of the Loan Repayments, and the Authority agrees that the Trustee shall accept such prepayments when the same are tendered. All such prepayments shall be deposited upon receipt in the Redemption Fund established under the Indenture and used for the redemption or purchase of Outstanding Bonds in the manner and subject to the terms and conditions set forth in the Indenture.

Limitation on Indebtedness

The Corporation shall not incur any indebtedness or financial obligations, including without limitation, by borrowing money, by assuming or guaranteeing the obligations of others, and by entering into installment purchase contracts or leases required to be capitalized in accordance with generally accepted accounting principles, provided, however, that notwithstanding the foregoing provision, the Corporation may incur the following: (i) obligations and liabilities under the Loan Agreement, the Regulatory Agreement or the Indenture, including any supplements or amendments thereto or to the Loan Agreement; (ii) obligations and liabilities permitted under the Regulatory Agreement; and (iii) any other indebtedness or obligations of the Corporation approved in writing by the Department.

Tax Covenant

The Corporation covenants and agrees that it will at all times do and perform all acts and things permitted by law and the Loan Agreement which are necessary in order to assure that interest paid on the Bonds will be excluded from gross income for federal income tax purposes and will take no action that would result in such interest not being so excluded. Without limiting the generality of the foregoing, the Corporation agrees to comply with the provisions of the Tax Agreement. This covenant shall survive payment in full or defeasance of the Bonds.

Continuing Disclosure

In the Loan Agreement, the Corporation covenants and agrees to comply with and carry out all of the provisions of the Continuing Disclosure Agreement. Notwithstanding any other provision of the Loan Agreement, failure of the Corporation to comply with the Continuing Disclosure Agreement may not be considered a Loan Default Event; however, the Trustee, at the written request of any Participating Underwriter or the Holders of at least 25% aggregate principal amount of Bonds Outstanding, shall, but only to the extent the Trustee is indemnified by the Holders to its satisfaction from and against any cost, liability or expense related thereto, including, without limitation, reasonable fees and expenses of its attorneys and advisors and its additional fees and expenses, or any Holder or Beneficial Owner of the Bonds may, take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Corporation to comply with its obligations under the provisions of the Loan Agreement described herein.

Loan Default Events

The following events shall be “Loan Default Events:”

(a) If the Corporation shall fail to pay any Loan Repayments on or before the day such Loan Repayments are due and payable;

(b) If any representation or warranty made by the Corporation in the Loan Agreement or in any document, instrument or certificate furnished to the Trustee or the Authority in connection with the issuance of the Bonds shall at any time prove to have been incorrect in any material respect as of the time made;

(c) If the Corporation shall fail to observe or perform any covenant, condition, agreement or provision in the Loan Agreement or the Regulatory Agreement on its part to be observed or performed, other than as referred to in subsection (a) of this section, or shall breach any warranty by the Corporation contained in the Loan Agreement, for a period of 60 days after written notice, specifying such failure or breach and requesting that it be remedied, has been given to the Corporation by the Authority, the Trustee or the Department; except that, if such failure or breach can be remedied but not within such 60-day period and if the Corporation has taken all action reasonably possible to remedy such failure or breach within such 60-day period, such failure or breach shall not become a Loan Default Event for so long as the Corporation shall diligently proceed to remedy the same in accordance with and subject to any directions or limitations of time established by the Department;

(d) If the Corporation shall abandon the Facilities, or any substantial part thereof, and such abandonment shall continue for a period of 60 days after written notice thereof shall have been given to the Corporation by the Authority, the Trustee or the Department;

(e) If any default shall exist under any agreement respecting Long-Term Indebtedness (other than any Parity Debt) and if, as a result thereof, Long-Term Indebtedness in an aggregate principal amount in excess of 10% of the Corporation’s Adjusted Annual Operating Revenues shall be declared immediately due and payable or a proceeding is brought for enforcement thereof; provided, however, that a Loan Default Event shall not exist under this clause (e) if the Corporation establishes reserves or obtains a surety bond acceptable to the Department for the payment of such Long-Term Indebtedness which, in the reasonable opinion of the Department, are adequate or (ii) sets aside 100% of the payments then due on such Long-Term Indebtedness in a separate fund or with an escrow agent until any dispute as to the amount due has been resolved;

(f) If any default shall exist under any instrument pursuant to which any Parity Debt was issued and is Outstanding, and such default shall continue after the applicable grace period;

(g) If the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Facilities;

(h) If a court of competent jurisdiction shall enter an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the United

States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within 60 days from the date of the entry thereof;

(i) If, under the provisions of any other law for the relief or aid of debtors, any court of competent jurisdiction shall assume custody or control of the Corporation or of the whole or any substantial part of the Facilities, and such custody or control shall not be terminated within 60 days from the date of assumption of such custody or control; or

(j) If any Event of Default under the Indenture shall occur.

Remedies on Default

If a Loan Default Event shall occur, then, and in each and every such case during the continuance of such Loan Default Event, the Trustee on behalf of the Authority, subject to the limitations in the Indenture as to the enforcement of remedies and subject to the Trustee's rights and protections under the Indenture, may, with the consent of the Department (so long as the Contract of Insurance is in full force and effect and the Department is not in default thereunder) take any one or more of the following remedial steps subject to applicable law:

(a) The Trustee may, upon notice in writing to the Corporation, declare all installments of Loan Repayments and Additional Payments payable for the remainder of the term of the Loan Agreement to be immediately due and payable, whereupon the same shall be immediately due and payable, anything in the Loan Agreement to the contrary notwithstanding; "all installments" as used in this paragraph (a) shall mean an amount equal to the entire principal amount of the then Outstanding Bonds, together with any applicable redemption premiums and all interest accrued or to accrue on and prior to the next succeeding redemption date or dates on which the Bonds can be redeemed after giving notice to the Holders thereof as required by the Indenture (less moneys available for such purposes then held by the Trustee) plus any other payments due or to become due under the Loan Agreement, including, without limitation, any unpaid fees and expenses of the Trustee which are then due or will become due prior to the time that the Bonds are paid in full and the trust established by the Indenture is terminated.

(b) The Trustee may take whatever action, at law or in equity, as may appear necessary or desirable to collect the Loan Repayments, Additional Payments and any other payments then due and thereafter to become due under the Loan Agreement or to enforce the performance and observance of any obligation, covenant, agreement or provision contained in the Loan Agreement to be observed or performed by the Corporation.

(c) The Authority or the Trustee shall have all the rights and remedies of a secured party or creditor under the Uniform Commercial Code of the State of California, and the general laws of the State of California, with respect to the enforcement of the security interests granted or reserved under the Loan Agreement, including without limitation to the extent permitted by law the right to require that all or a portion of the Gross Revenues be assembled and delivered to the Trustee and the Trustee may, to the extent permitted by law, impound books and records evidencing the Corporation's accounts, accounts receivable and other similar claims for the payment of money and take possession of all notes and other documents which evidence such accounts, accounts receivable and claims for money and give notice to obligors thereunder of its interest in Gross Revenues and make direct collections on such accounts, accounts receivable and claims for money.

(d) The Authority or the Trustee may take whatever legal action may appear necessary or desirable to enforce their rights and the rights of the Holders of the Bonds under the Deed of Trust.

(e) With regard to the Deed of Trust, the exercise of any remedies are subject to the provisions of the Indenture described above under the caption “INDENTURE—Events of Default and Remedies of Bondholders—Control Rights of the Department.”

Loan Agreement Represents Complete Agreement; Amendments

The Loan Agreement represents the entire contract between the parties. The Loan Agreement may not be effectively amended, changed, modified, altered or terminated except by the written agreement of the Corporation and the Authority, with the concurring written consent of the Trustee and the Department, given in accordance with the provisions of the Indenture.

REGULATORY AGREEMENT

General

The Regulatory Agreement is an agreement among the Department, the Authority and the Corporation to establish the requirements of the Department with respect to certain details of the financing transaction. The Regulatory Agreement also sets out certain business covenants of the Corporation, including maintenance, operation and management of the Facilities and limitations on encumbrances, assignment and transfer of any part of the Facilities and other matters. The Regulatory Agreement also provides for the rights and obligations of the parties in the event of a default and provides for the manner in which the benefits of the insurance are to be paid. Although certain provisions of the Regulatory Agreement are summarized below, this summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Regulatory Agreement.

Security of Gross Revenues Pledged and Deed of Trust

The performance of the obligations of the Corporation to the Department under the Regulatory Agreement and the Contract of Insurance is secured by, among other things, a security interest in the Gross Revenues and the Gross Revenue Fund and the proceeds thereof (each as defined in the Indenture) and the proceeds thereof pledged by the Corporation under the Regulatory Agreement, and by the lien on the Facilities created by the Deed of Trust. The Corporation covenants and agrees that the lien of the Deed of Trust shall be subject only to liens, conditions, covenants and restrictions, easements, taxes and assessments of record approved by the Department as exceptions to the ALTA title insurance policy identified in the Regulatory Agreement, and Permitted Encumbrances.

Negative Covenants

The Corporation covenants not to, without the prior written consent of the Department, among other things: (a) alter the Facilities (except in the ordinary course of business); (b) pay officers or directors other than in their capacities as officers, directors, employees, contractors or suppliers of the Corporation or for reimbursement of ordinary out-of-pocket expenses; (c) amend the Corporation’s articles of incorporation or bylaws in any material respect, except as required by applicable law (in which case notice thereof shall be provided concurrently to the Department); (d) subject to the limited exceptions set forth in the Regulatory Agreement, establish, maintain or affiliate with a Person in conjunction with which the Corporation will carry on its activities, transfer control of any of the Facilities to any other Person, or assume the management or control of any other Person; (e) cease to operate the Facilities as a “health facility” as defined in the Insurance Law, except to the extent permitted by the Insurance Law; or (f) amend any architectural or construction contract for the Project except for customary change orders for which moneys are available in the Project Fund as established in the Indenture.

Maintenance of the Facilities

The Corporation shall maintain the Facilities in good and substantial repair and condition; provided that, in the event all or any of the Facilities shall be destroyed or damaged by fire or other casualty, the money derived from any insurance on the property shall be applied in accordance with the terms of the Regulatory Agreement and the applicable Indenture.

Bankruptcy; Insolvency; Receiver

The Corporation shall not file any petition in bankruptcy or in insolvency, or for a receiver or reorganization or composition; or make any assignment for the benefit of creditors or to a trustee for creditors; or permit an adjudication in bankruptcy, the taking possession of the Facilities or any part thereof by a receiver, or the seizure and sale of the Facilities or any part thereof under judicial process or pursuant to any power of sale (except as provided in the Deed of Trust) and fail to have such adverse actions set aside within 45 days.

The Corporation immediately shall give notice to the Department of the filing of any petition, or commencement of any proceedings, in bankruptcy, or for a receiver or insolvency or for reorganization or composition, or any assignment for the benefit of creditors to a trustee for the benefit of creditors, relating to the Corporation or the Facilities.

If the Corporation, or its creditors, file a petition alleging insolvency, requesting reorganization or a composition of creditors, or for an assignment for the benefit of creditors, in any court, the Department shall have the right to participate in, or vote on, any plan or reorganization, agreement for a composition of creditors and on any assignment for the benefit of creditors. If there is a proceeding to effect a receivership for the Corporation, the Department shall have the right to select the receiver.

So long as the Contract of Insurance is in full force and effect and the Department is not in default thereunder, the Department shall represent Bondholders in all bankruptcy proceedings and may take such action or consent to any agreement on behalf of Bondholders, provided that any such action or consent shall in no way impair the rights and benefits due Bondholders under the Contract of Insurance.

Maintenance of Existence; Affiliation, Merger, Consolidation Sale or Transfer Under Certain Conditions

The Corporation shall maintain its existence as a nonprofit public benefit corporation of the State, operating a health facility and meeting the requirements of Section 501(c)(3) of the Code, and shall not dissolve, sell or otherwise dispose of all or substantially all of its assets or affiliate with, consolidate with or merge into another Person or permit one or more other Persons to affiliate with, consolidate with or merge into it; provided, that the Corporation may, without violating the covenants contained in the Regulatory Agreement, affiliate with, consolidate with or merge into another Person, or permit one or more other Persons to affiliate with, consolidate with or merge into it, or sell or otherwise transfer to another Person such assets, if:

(1) The Corporation obtains the written consent of the Department to such transaction and a Statement of the Department to the effect that the Contract of Insurance remains in full force and effect after such transaction;

(2) The Department, the Authority and the Trustee shall have received an Opinion of Bond Counsel to the effect that such affiliation, merger, consolidation, sale or other transfer will not cause the interest on the Bonds to be included in gross income for federal income tax purposes under Section 103 of the Code;

(3) The surviving, resulting or transferee Person: (a) assumes in writing, if such Person is not the Corporation, all of the obligations of the Corporation under the Regulatory Agreement, the Loan Agreement and the Contract of Insurance, and agrees to fulfill and comply with the terms, covenants and conditions thereof; and further consents to the terms of the Indenture; (b) is not, after such transaction, otherwise in default under any provision of the Regulatory Agreement, the Loan Agreement or the Indenture; (c) is an organization meeting the requirements of section 501(c)(3) of the Code or a corresponding provision of the federal income tax laws then in effect; and (d) shall have net assets at least equal to the net assets of the Corporation prior to such transaction;

(4) The Trustee and the Department shall have received the report of a Management Consultant to the effect that Net Income Available for Debt Service of the surviving, resulting or transferee Person (after giving effect to such merger, consolidation, sale or other transfer) for each of the first two full Fiscal Years following such merger, consolidation, sale or other transfer is forecasted to be not less than the greater of Net Income Available for Debt Service of the Corporation for each of the two most recent Fiscal Years for which audited financial statements are available, as certified by an Accountant;

(5) The Trustee and the Department shall have received a report of an Accountant to the effect that the net worth of the surviving, resulting or transferee Person, after giving effect to such merger, consolidation, sale or other transfer, is at least equal to 100% of the net worth of the Corporation immediately prior to such merger, consolidation, sale or other transfer; and

(6) The Trustee, the Authority and the Department shall have received an Opinion of Counsel to the effect that the Loan Agreement, the Contract of Insurance and the Regulatory Agreement constitute the legal, valid and binding obligations of the surviving, resulting or transferee Person, as the case may be, enforceable against such Person in accordance with their respective terms.

Notwithstanding the foregoing, the Corporation may, without complying with the provisions described above in this section, transfer substantially all of its assets to an Affiliate provided that:

(1) The Corporation obtains the written consent of the Department to such transaction and the Contract of Insurance remains in full force and effect after such transaction;

(2) The Department, the Authority and the Trustee shall have received an Opinion of Bond Counsel to the effect that such proposed transfer(s) will not cause the interest on the Bonds to be included in gross income for federal income tax purposes under Section 103 of the Code;

(3) Such Affiliate agrees to become a co-obligor and jointly and severally liable with the Corporation under the Regulatory Agreement, the Contract of Insurance and the Loan Agreement; and

(4) After such transaction, the Corporation and the Affiliate are in compliance with the provisions of the Regulatory Agreement and the Loan Agreement.

In the event of such a transfer to an Affiliate, references in the Regulatory Agreement to Indebtedness of the Corporation shall apply to the combined Indebtedness of the Corporation and the Affiliate, and references to the financial condition or forecasted results of operations of the Corporation shall apply to the consolidated financial condition or results of operations of the Corporation and the Affiliate.

If an affiliation, merger, consolidation, sale or other transfer is effected, as described under this caption, the provisions described under this caption shall continue in full force and effect, and no further affiliation, merger, consolidation, sale or transfer shall be effected except in accordance with such provisions.

Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand

(A) The Corporation shall operate the Facilities as revenue producing facilities of the continuing care retirement community. The Corporation shall fix, charge and collect, or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year, commencing in the Fiscal Year ending December 31, 2022, to produce a Debt Service Coverage Ratio equal to at least 1.25 for such Fiscal Year.

(B) The Corporation shall maintain, as of the end of each Fiscal Year, commencing in the Fiscal Year ending December 31, 2022, a Current Ratio for such Fiscal Year of at least 1.50:1:00.

(C) The Corporation shall maintain, as of the end of each Fiscal Year, commencing in the Fiscal Year ending December 31, 2022, at least 30 Days Cash on Hand, as shown on the Corporation's audited financial statements for such Fiscal Year.

(D) Within one hundred twenty (120) days after the end of each Fiscal Year, commencing in the Fiscal Year ending December 31, 2022, the Corporation shall compute (1) the Debt Service Coverage Ratio, (2) the Current Ratio, and (3) the Days Cash on Hand for such Fiscal Year and promptly furnish to the Authority, the Trustee and the Department a Statement setting forth the results of such computation.

The Corporation further covenants and agrees that if, at the end of such Fiscal Year, commencing in the Fiscal Year ending December 31, 2022, (i) the Debt Service Coverage Ratio shall have been less than as required by the provisions of the Regulatory Agreement, (ii) the Current Ratio shall have been less than as required by subsection B of this section, or (iii) the Days Cash on Hand shall have been less than as required by the provisions of the Regulatory Agreement, it will promptly employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Corporation or the methods of operation of the Corporation which will result in producing (x) a Debt Service Coverage Ratio as required by the provisions of the Regulatory Agreement in the current Fiscal Year, (y) a Current Ratio as required by the provisions of the Regulatory Agreement in the current Fiscal Year and (z) Days Cash on Hand as required by the provisions of the Regulatory Agreement in the current Fiscal Year; *provided, however*, the Corporation need not so employ a Management Consultant if the Department consents, in writing, to a waiver of said covenant to employ a Management Consultant. Copies of the recommendations of the Management Consultant shall be filed with the Authority, the Trustee and the Department. The Corporation shall, to the extent feasible, promptly upon its receipt of such recommendations, subject to applicable requirements or restrictions imposed by law, revise its rates, fees and charges or its methods of operation or collections and shall take such other action as shall be in conformity with such recommendations; *provided, however*, the Corporation need not make such revisions or take such actions in conformity with such recommendations if (1) the Board makes a good faith determination that such recommendations, in whole or in part, are not in the best interests of the Corporation and (2) the Department gives its written consent to the effect that the Corporation need not comply, in whole or in part, with such recommendations. In the event that the Corporation fails to comply with the recommendations of the Management Consultant, the Department may replace existing management with new management, which shall be chosen unilaterally by the Department.

If the Corporation complies in all material respects with the reasonable recommendations of the Management Consultant in respect to said rates, fees, charges and methods of operation or collection, the Corporation will be deemed to have complied with the covenants set forth in the Regulatory Agreement and described herein for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio, the Current Ratio or the Days Cash on Hand shall be less than the amount required under subsections (A), (B)

or (C) above; provided, that (1) this sentence shall not be construed as in any way excusing the Corporation from taking any action or performing any duty required under the Regulatory Agreement or be construed as constituting a waiver of any other event of default under the Regulatory Agreement and (2) the Debt Service Coverage Ratio shall be at least equal to 1.0 for such Fiscal Year.

(E) Notwithstanding the foregoing, the Corporation may permit the rendering of service at, or the use of, the Facilities without charge or at reduced charges, at the discretion of the Board, to the extent necessary for maintaining its tax-exempt status or to establish or maintain its eligibility for grants, loans, subsidies or payments from the United States of America, any instrumentality thereof, or the State or any political subdivision or instrumentality thereof, or in compliance with any recommendation for free services that may be made by the Management Consultant.

Limitation on Encumbrances

The Corporation shall not create, assume or suffer to exist and shall immediately satisfy or release any mortgage, deed of trust, pledge, security interest, encumbrance, lien, attachment or charge of any kind (including the charge upon property purchased under conditional sales or other title retention agreements) upon the Facilities or the Gross Revenues; *provided, however*, that notwithstanding the foregoing provision, the Corporation may create, assume or suffer to exist Permitted Encumbrances.

Limitation on Indebtedness

The Corporation shall not incur any Indebtedness or financial obligations, including without limitation, by borrowing money, by assuming or guaranteeing the obligations of others, and by entering into installment purchase contracts or leases required to be capitalized in accordance with generally accepted accounting principles, except the Corporation may incur the following:

1. Obligations and liabilities under the Regulatory Agreement, the Loan Agreement or the Indenture, including any supplements or amendments thereto in connection with the issuance of any additional series of Bonds;
2. Contractual liabilities (other than liabilities for borrowed money or liabilities which would otherwise be considered Indebtedness under generally accepted accounting principles) incurred in the ordinary course of business for which moneys are available under the Indenture or otherwise;
3. Short-Term Indebtedness with the prior written consent of the Department and provided that no amount of Short-Term Indebtedness shall be outstanding for a period of 30 consecutive days during each Fiscal Year. The aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection shall not exceed at the time of incurrence 10% of the Corporation's Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;
4. Liabilities for contributions to self-insurance programs;
5. Long-Term Indebtedness (which may be Parity Debt) incurred for the purpose of refinancing outstanding Long-Term Indebtedness provided that (a) the Department has consented in writing to the incurring of such indebtedness, and (b) the issuance of such Long-Term Indebtedness does not increase Maximum Aggregate Annual Debt Service by more than 10%, as certified by a written report of an Accountant which shall be filed with the Trustee and the Department;

6. Long-Term Indebtedness (which may be Parity Debt), provided that:

(a) the Department has consented in writing to the incurring of such indebtedness; and

(b) (1) Debt Service Coverage Ratio, as certified by a written report of an Accountant which shall be filed with the Authority, the Trustee and the Department for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness, was at least equal to 1.25 on all outstanding Long-Term Indebtedness and the Long-Term Indebtedness proposed to be incurred, or (2) (a) Debt Service Coverage Ratio, as certified by a written report of an Accountant which shall be filed with the Trustee and the Department, for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness, was at least equal to 1.25 on all Long-Term Indebtedness then outstanding; and (b) Debt Service Coverage Ratio, as shown in a written feasibility report prepared by a Management Consultant and filed with the Trustee and the Department, for each of the first two Fiscal Years following the incurrence of such Long-Term Indebtedness (or, if such Long-Term Indebtedness is incurred to finance additional facilities, in each of the first three Fiscal Years following the Fiscal Year when it is proposed that such facilities will be completed and placed in service) is forecasted to be at least 1.25 on all Long-Term Indebtedness proposed to be outstanding at the end of each such Fiscal Year;

7. Long-Term Indebtedness (which may be Parity Debt), incurred to complete a project if the Board certifies that the Corporation cannot complete such project unless such Long-Term Indebtedness is incurred, provided that (a) the Department has consented in writing to the incurring of such indebtedness; and (b) the aggregate principal amount of such Indebtedness does not exceed 10% of the principal amount of Long-Term Indebtedness incurred to finance such project;

8. Long-Term Indebtedness (excluding Parity Debt), provided that (a) the Department has consented in writing to the incurring of such indebtedness; and (b) the aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection, subsection 3 and subsection 9 and then outstanding shall not exceed at the time of incurrence 10% of the Corporation's Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;

9. Liabilities under capitalized lease agreements for the lease of, or Indebtedness for money borrowed or liabilities under instruments evidencing deferred payment arrangements for the purchase of, equipment, tangible personal property or real property; provided that the aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection, subsection 3 and subsection 8 above and then outstanding shall not exceed at the time of incurrence 10% of the Corporation's Adjusted Annual Operating Revenues for the latest Fiscal Year for which audited financial statements are available;

10. Non-recourse Indebtedness, provided that the Department has approved in writing the incurrence of such indebtedness and such indebtedness does not encumber the Facilities;

11. Repayment obligations under reimbursement or similar agreements with banks or insurance companies relating to letters or lines of credit or other credit facilities used to secure Long-Term Indebtedness;

12. Indebtedness, not for borrowed money, incurred in the ordinary course of business;
and
13. Any Indebtedness or obligations of the Corporation consented to in writing by the
Department.

Limitations on Disposition of Property

Disposition of Cash. The Corporation shall not dispose of any cash or cash equivalents unless (1) the disposition is made in the ordinary course of business, and the Corporation receives an asset or service of reasonably equivalent value for such cash or cash equivalents; or (2) prior to such disposition, there is filed with the Department and the Trustee a Statement of the Corporation to the effect that, either (a) the Debt Service Coverage Ratio for the most recent Fiscal Year for which audited financial statements are available next preceding such disposition would not be reduced or, if reduced, would not be reduced below a ratio of 2.0:1.0 (such calculation to be made assuming such disposition had occurred at the beginning of such Fiscal Year), or (b) the average of the Debt Service Coverage Ratio, as forecasted in such Statement of the Corporation for the two Fiscal Years immediately following such disposition, will be not less than a ratio of 2.0:1.0; and (c) such disposition has been consented to by the Department in writing.

Disposition of Real Property. The Corporation shall not sell, lease, sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the real property described in the Regulatory Agreement, including the buildings and structures thereon and fixtures and improvements of such real property, without the prior written consent of the Department.

Disposition of Personal Property. The Corporation shall not sell, lease, sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the Facilities not included in the preceding paragraphs, other than in the “ordinary course of business,” unless the Department gives its prior written consent to such disposition. “Ordinary course of business” shall be defined during the term of the Regulatory Agreement by the Department in the exercise of its sound and reasonable discretion, by the Department giving written notice thereof to the Corporation, which determination will become effective on receipt of such notice by the Corporation.

Except as provided pursuant to the Regulatory Agreement concerning a disposition of substantially all of the Corporation’s assets, in no event shall the Corporation dispose of any part or parts of its Facilities in any Fiscal Year aggregating in excess of 2-1/2% of the Corporation’s net property, plant and equipment (as shown on the Corporation’s most recent audited financial statements), unless the Department gives its prior written consent to such disposition.

Execution of Releases. In connection with a disposal of property, including cash, as described under the caption, upon receipt of such consent by the Department or Statement of the Corporation required by the Regulatory Agreement, the Department, the Authority and the Trustee shall execute and deliver releases from security interests or other documents reasonably requested by the Corporation.

Limitation on Acquisition of Property, Plant and Equipment

The Corporation shall not acquire additional property, plant and equipment (except (1) in the ordinary course of business, (2) with the proceeds of Indebtedness permitted by the Regulatory Agreement, or (3) as part of a merger or consolidation permitted by the Regulatory Agreement or (4) by gift (other than gifts of cash or personal property or gifts of real property if either (i) its use is residential or (ii) it is subject of a Phase I report indicating no contaminants), purchase, construction, merger or consolidation, unless the Department gives its prior written consent to such acquisition.

Parity Debt

The Corporation may incur Parity Debt, subject, however to compliance with the provisions of the Regulatory Agreement described above under the caption “—Limitation on Indebtedness,” and subject to the following conditions: (1) the Trustee shall act as trustee for the Parity Debt; (2) the agreement under which Parity Debt is issued shall require that: (a) a Loan Default Event shall constitute an event of default under such agreement and the Regulatory Agreement; (b) rights and obligations of the holders of Parity Debt shall be substantially the same as the rights and obligations of the Holders of Bonds under the Indenture, except that if the Parity Debt is not covered under the Contract of Insurance, the holders of Parity Debt shall have no rights under the Contract of Insurance or to payments made with respect thereto; and (c) remedies upon an event of default shall be substantially the same as the remedies provided in the Indenture, the Regulatory Agreement and the Loan Agreement, and, prior to exercising any such remedies, the holders of such Parity Debt (or a trustee representing their interest) shall be required to cooperate with the Trustee to the end that the interests of such holders and the Bondholders shall be equally protected; (3) any collateral given or to be given to secure Parity Debt shall also secure the Bonds on a pari passu basis; provided that the Debt Service Reserve Account established under the Indenture shall only secure the Bonds in accordance with the Indenture and the Corporation may but need not establish similar reserve accounts for debt service of Parity Debt; (4) the Parity Debt shall be prepayable in accordance with such terms substantially in the form of and under the conditions prescribed in the Indenture; (5) the Parity Debt shall be insured by the Department under the Insurance Law, or if the Parity Debt can be issued as such without being insured under the Insurance Law, with the consent of the Department; and (6) in the case of any Parity Debt which will not be insured by the Department, the Corporation shall pay any associated legal document review costs incurred by the Department, including fees for outside counsel.

Insurance

The Corporation shall keep the Facilities and their operations adequately insured at all times, and, shall carry and maintain, or cause to be carried and maintained, and will pay, or cause to be paid, in timely fashion the premiums for, at least the coverages specified in the Regulatory Agreement. The coverages and limits may be varied only with the prior written consent of the Department.

The Corporation shall employ a Risk Management Consultant to review the insurance requirements of the Corporation from time to time (but not less frequently than once every 24 months). If the Risk Management Consultant makes recommendations for the increase of any of the coverage required by the Regulatory Agreement, the Corporation shall increase such coverage in accordance with such recommendations, subject to a good faith determination of the Board that such recommendations, in whole or in part, are in the best interests of the Corporation. The Corporation shall have the right, without giving rise to an event of default under the Regulatory Agreement solely on such account; (1) with the prior written consent of the Department, to maintain insurance coverage below that required by the Regulatory Agreement, provided further that the Corporation shall furnish to the Trustee and the Department a Statement of the Risk Management Consultant or other evidence, satisfactory to the Department, that the insurance so provided affords the greatest amount of coverage available for the risk being insured against at rates which in the judgment of the Risk Management Consultant are reasonable in connection with reasonable and appropriate risk management, or (2) with the prior written consent of the Department, to adopt alternative risk management programs which the Board determines to be reasonable and which shall not have a material adverse impact on the Corporation’s reimbursement from third-party payers, including, without limitation, to self-insure in whole or in part, to participate in programs of captive insurance companies, to participate with other health care institutions in mutual or other cooperative insurance or other risk management programs, to participate in state or federal insurance programs, to take advantage of state or federal laws now or hereafter in existence limiting medical and malpractice liability or to establish

or participate in other alternative risk management programs; all as may be approved in writing as reasonable and appropriate risk management by the Risk Management Consultant.

Title Insurance

The Corporation shall obtain, at its own cost and expense, an ALTA Lender's policy of title insurance, with such endorsements as may be required by the Department, at the time of and dated as of the date of delivery of the Bonds or Parity Debt, in an aggregate amount, not less than the aggregate principal amount of the Bonds and Parity Debt to be outstanding after the issuance of such Bonds or Parity Debt, payable to the Department, the Trustee and the Authority, insuring the title of the Corporation to the site of the Facilities, subject only to Permitted Encumbrances, issued by a title insurance company admitted to do business in the State by the Department of Insurance of the State, and which is acceptable to the Department.

Disposition of Insurance and Condemnation Proceeds

The proceeds of property and builders risk insurance maintained by the Corporation pursuant to the Regulatory Agreement, the proceeds of any title insurance and the proceeds of any condemnation awards with respect to the Facilities, shall be paid immediately upon receipt by the Corporation or other named insured parties to the Trustee, as assignee of the Authority, for deposit in a special fund which the Trustee shall establish and maintain and hold in trust, to be known as the "Insurance and Condemnation Proceeds Fund." In the event the Corporation elects to repair or replace the property damaged, destroyed or taken, it shall furnish to the Department plans of the contemplated repair or replacement, accompanied by a Statement of an architect or other qualified expert satisfactory to the Department estimating the reasonable cost of such repair or replacement and a Statement of the Corporation stating that amounts in the Insurance and Condemnation Proceeds Fund, together with investment income reasonably expected to be received with respect thereto and any other funds available or reasonably expected to become available therefor (and which the Corporation shall agree to deposit in said fund when so available), shall be sufficient to repair or replace the property damaged, destroyed or taken in accordance with said plans. After deducting therefrom the reasonable charges and expenses of the Trustee in connection with the collection and disbursement of such moneys, moneys in the Insurance and Condemnation Proceeds Fund shall be disbursed by the Trustee for the purpose of repairing or replacing the property damaged, destroyed or taken in the manner and subject to the conditions set forth in the Indenture with respect to disbursements from the Project Fund to the extent the provisions thereof may reasonably be made applicable. In the event that the proceeds of any loss or damage to or condemnation of the Facilities shall be less than 1-1/2% of the Corporation's Adjusted Annual Operating Revenues (as shown on the Corporation's most recent audited financial statements), and so long as an event of default under the Regulatory Agreement has not occurred and is not then continuing, the Trustee shall pay over such proceeds to the Corporation without requiring any of the documents referred to in the Regulatory Agreement described under this caption and without any formality whatsoever.

In the event the Corporation, with the consent of the Department, shall elect not to repair or replace the property damaged, destroyed or taken, as provided in the provisions of the Regulatory Agreement described in the paragraph above, the Trustee shall transfer all amounts in the Insurance and Condemnation Proceeds Fund on account of such damage, destruction or condemnation to the Redemption Fund in order to prepay the Loan Repayments and redeem the Bonds; provided that if any Parity Debt is then outstanding, any such transfer from the Insurance and Condemnation Proceeds Fund shall be deposited in part in the Redemption Fund and in part in such other fund or account as may be appropriate (and used for the retirement of such Parity Debt) in the same proportion which the aggregate principal amount of Outstanding Bonds then bears to the aggregate unpaid principal amount of such Parity Debt.

If all amounts in the Insurance and Condemnation Proceeds Fund and any special redemption account for the retirement of Parity Debt exceed 1-1/2% of the Corporation's Adjusted Annual Operating

Revenues (as shown on the Corporation's most recent audited financial statements) but are not sufficient to retire all Bonds and Parity Debt then outstanding, the Trustee upon its receipt of an Department's Certificate from the Corporation stating that such amounts are in excess of one and one-half percent of the Corporation's Adjusted Annual Operating Revenues, shall not transfer said amounts to the Redemption Fund unless the Corporation shall file with the Trustee a report of a Management Consultant showing that projected Net Income Available for Debt Service will be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt. In the event such report of a Management Consultant shows that projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt, the Corporation shall apply all amounts in the Insurance and Condemnation Proceeds Fund to the repair or replacement of the property damaged, destroyed or taken, as provided in the first paragraph under this caption, unless the Corporation shall file a further report of a Management Consultant showing that even after making such repair and replacement, projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three Fiscal Years immediately following such repair and replacement, in which event the Trustee shall transfer all moneys in the Insurance and Condemnation Proceeds Fund to the Redemption Fund and/or such other trust account for the retirement of Bonds and Parity Debt, as provided in the second paragraph under this caption.

Certain Covenants Relating to Operations

Acquisition of Services, Supplies and Materials. The Corporation shall make no payment from the Project Fund established under the Indenture for services, supplies or materials without the prior written consent of the Department and such services are rendered and such supplies and materials are delivered for the construction and acquisition of the Facilities and are reasonably necessary for its completion or operation.

Indebtedness on Loan Default Event. During the continuance of a default under the Regulatory Agreement, a Loan Default Event under the Loan Agreement or an Event of Default under the Indenture, the Corporation shall not incur any additional Indebtedness or make any additional capital acquisition without the prior written consent of the Department.

Lien on Future Acquired Real Property. If the Corporation acquires any real property to be used or usable in connection with the operation of the Corporation while the Regulatory Agreement is in effect, such acquired real property ("Acquired Property") shall be deemed to fall within the definition of Facilities and therefore shall be subject to the Regulatory Agreement. The Corporation shall convey a security interest (which need not give the Department a first lien position) in the Acquired Property for the benefit of the Department under the Deed of Trust, unless such requirement is waived in writing by the Department.

Default; Remedies Upon Default

Notice and Declaration of a Default. Upon a violation of any of the provisions of the Regulatory Agreement by the Corporation, the Department may give written notice thereof to the Corporation by registered or certified mail, addressed to the address stated in the Regulatory Agreement, or such other address as may subsequently, upon appropriate written notice thereof to the Department, be designated by the Corporation as its legal business address. If such violation is not corrected to the satisfaction of the Department within 30 days, or in the event the default is the result of the failure of the Corporation to make a payment required to be made to the Trustee or the result of the loss or threatened loss of the license of the Corporation, then five days, after the date such notice is given, or within such further time as the Department determines, in the Department's sole discretion, is necessary to correct the violation, without further notice

the Department may declare a default under the Regulatory Agreement effective on the date of such declaration of default.

Department Directives to the Corporation. Upon an event of default under the Regulatory Agreement, the Deed of Trust, the Indenture or the Loan Agreement, the Department shall have the remedies provided by California Health and Safety Code section 129173, as well as the following: The Department may conduct an evaluation of, and direct the Corporation with respect to, the management and operation of the Facilities and the expenses of the Department or any consultants associated with such evaluation and direction shall be reimbursed by the Corporation. The Corporation shall follow all such directives, which may at the option of the Department include immediately terminating and replacing any existing Management Agent with a new Management Agent selected by the Department at the expense of the Corporation. In the event of any such termination, the Management Agent shall not be entitled to compensation for more than 30 days from the date of such termination. The Department may retain attorneys and consultants to assist in such evaluation and the Corporation shall pay the reasonable and documented fees and expenses of such attorneys and consultants and any other expenses incurred by the Department in that connection. These remedies are in addition to those provided under Insurance Law Section 129173. The Department reserves its rights to exercise all its remedies under Insurance Law Section 129173, including, but not limited to, subsection (b) wherein the Department may remove and appoint members of the governing body of the Corporation sufficient such that the new members constitute a voting majority of the governing body.

Payment from the Health Facility Construction Loan Insurance Fund. (1) In any case in which an Event of Default under the Indenture shall have occurred and the Trustee shall have given notice to the Department at least 30 days prior to an interest payment date, or principal payment date with respect to a particular series of Bonds that: (a) available moneys in the Principal and Interest Accounts held by the Trustee pursuant to the Indenture will be insufficient to pay in full the next succeeding payment of interest and/or principal when due to the Bondholders of such series of Bonds under the Indenture, and (b) the amount by which the obligation to make such payment exceeds the amount available (the "Shortfall"), the Department shall cause an amount equal to the Shortfall to be deposited into the Principal Account and/or Interest Account at least three Business Days prior to the date on which said payment is due, as provided pursuant to the Indenture described in the following paragraphs (2) and (3).

(2) Said deposit shall be made by the Department directing the Trustee to transfer an amount equal to the Shortfall out of the Debt Service Reserve Account into the subaccounts of the Principal Account and/or Interest Account. (However, if there are funds in the Debt Service Reserve Account at the time the Department receives such notice of the Shortfall from the Trustee, nothing contained in the Regulatory Agreement shall prevent the Department from then determining pursuant to Insurance Law Section 129145 that the lender and borrower have exhausted all reasonable means of curing the Event of Default and that it would be in the best interest of the State, the borrower and the lender to pay a portion or all of the Shortfall from the Health Facility Construction Loan Insurance Fund instead of the Debt Service Reserve Account, and from paying such amount from the Health Facility Construction Loan Insurance Fund.)

(3) If the Department, pursuant to Insurance Law Section 129145, determines, in the event the funds in the Debt Service Reserve Account are insufficient to meet the Shortfall as provided in paragraph (2) above, that (a) the lender and the borrower will have exhausted all reasonable means of curing the Event of Default, and (b) a payment or payments from the Health Facility Construction Loan Insurance Fund to cure the Event of Default is now and will be at the time of the Event of Default in the best interest of the State, the borrower, and the lender, the Department may pay such amount required to meet the Shortfall from the Health Facility Construction Loan Insurance Fund to the Principal Account and/or Interest Account for the benefit of the lender within the time as provided in paragraph (1) above.

(4) Any payment made by the Department from the Health Facility Construction Loan Insurance Fund ("Fund") shall be secured pursuant to Insurance Law Section 129145 by a pro rata share of the security held by the Trustee through the Deed of Trust and all applicable UCC-1s, and, upon such payment, the Corporation shall become liable for repayment of the amount thereof to the Department upon demand and shall be liable for interest on the unpaid balance thereof at the rate of 10% per annum.

(5) If the principal of all Bonds at the time Outstanding, and the interest accrued thereon have been declared immediately due and payable pursuant to the terms of the Indenture, the Department shall make payment from the Fund, or, if the Fund is insufficient to make such payment, or if the Department determines it to be in the best interest of the State, the Corporation and the Authority, the Department shall request issuance of debentures as provided below under the caption "—Issuance of Debentures."

Issuance of Debentures. (1) In any case in which (a) the Trustee shall have directed the foreclosure and taking possession of the Facilities under the Deed of Trust and under applicable statutes, (b) the Trustee, with the consent of the Department, shall have otherwise acquired the Facilities from the Corporation after default, (c) the Trustee, with the consent of the Department, shall have assigned to the Department the security interest created by the Deed of Trust, (d) the Trustee shall have tendered to the Department a satisfactory conveyance of title and transfer of possession of the Facilities directly from the Corporation, or other appropriate grantor, or (e) it has been determined that debentures should be issued as described in the paragraph above under the caption entitled "—Payment from the Health Facility Construction Loan Insurance Fund," the Trustee shall be entitled to receive the benefit of the insurance as provided in Insurance Law Sections 129125 through 129160, upon (a) the prompt conveyance to the Department of title to the Facilities or, with the consent of the Department, the security interest created by the Deed of Trust, (b) the assignment to the Department of all claims of the Trustee against the Corporation or others arising out of the sale of the Bonds, the loan transaction or the foreclosure proceedings, except such claims as may have been released with the consent of the Department, and (c) surrender to the Department of each Bond which has been surrendered to the Trustee, which Bond shall be returned to the Trustee upon issuance of debentures and canceled by the Trustee.

(2) Upon such conveyance, assignment and surrender, the Department shall request the State Treasurer to issue to the Trustee for the benefit of the Bondholders so surrendered, a debenture or debentures having a total face value of and bearing interest at the rate on the respective surrendered Bonds which they replace and additional debentures equal to all additional amounts due under the Indenture as provided by Insurance Law Sections 129125 through 129160.

Additional Remedies Available to the Department. Notwithstanding any other provision in the Regulatory Agreement or provision of law relating to the acquisition, management or disposal of real property by the State, the Department shall have the power to do any or all of the following: (a) possess, operate, complete, lease, rent, renovate, modernize, insure, or sell for cash or credit, in its sole discretion, any properties conveyed to it in exchange for debentures as provided in the Insurance Law; (b) pursue to final collection by way of compromise or otherwise all claims against the Corporation assigned by the Trustee to the Department; or (c) convey and execute in the name of the Department deeds of conveyance, deeds of release, assignments and satisfactions of the Deed of Trust, and any other written instrument relating to real or personal property or any interest therein acquired by the Department.

Remedies Not Exclusive; No Waiver of Rights. No remedy conferred in the Regulatory Agreement upon or reserved to the Department is intended to be exclusive of any other available remedy or remedies, but each and every such remedy, to the extent permitted by law, shall be cumulative and shall be in addition to every other remedy given under the Regulatory Agreement, Loan Agreement and the Deed of Trust, or now or hereafter existing at law or in equity or otherwise. In order to entitle the Department to exercise any remedy, to the extent permitted by law, reserved to it contained in the Regulatory Agreement,

it shall not be necessary to give any notice, other than such notice as may be expressly required in the Regulatory Agreement.

Capital Replacement

The Corporation shall maintain the Facilities in good and substantial repair and condition. The Corporation shall prepare a long-term capital replacement budget, as required by the Regulatory Agreement, for capital improvements, major remodeling, and for new and replacement items necessary and appropriate to maintain the Facilities for the purposes for which they are or may reasonably be expected to be used. Capital replacement costs may include, but are not limited to, carpet, flooring, roofing, windows, painting exterior and interior, major appliances, cabinets, bathrooms, walkways, fencing, stairways, exterior siding, drainage, sewage, security and alarm systems, HVAC systems, elevators, and fire sprinkler systems for the Facilities. The Corporation shall allocate the required annual budget amount for long-term capital replacement to be used solely for capital replacement costs as they are incurred.

Upon written demand of the Department, the Corporation shall perform or cause to be performed a formal inspection of its Facilities resulting in a written report by a qualified professional recommending replacement and repairs necessary to maintain the Facilities in good and substantial repair and condition. The long-term capital replacement budget shall be revised to reflect the recommended replacement and repairs included in the inspection report.

Debt Service Coverage Ratio Reporting

Within 45 days after each March 31, June 30, September 30, and December 31 (each three-month period ending on each such date being referred to herein as a “Fiscal Quarter”), the Corporation shall compute the Debt Service Coverage Ratio for the twelve-month period ending on the last day of such Fiscal Quarter (“Running Twelve-Month Period”) and promptly furnish to the Department a Statement setting forth the results of such computation. If at the end of such Fiscal Quarter the Debt Service Coverage Ratio shall have been less than 1.25 for such Running Twelve-Month Period, the Corporation shall, upon the request of the Department, employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Facilities or the methods of operation of the Facilities which will result in producing a Debt Service Coverage Ratio equal to at least 1.25 by the end of the current Fiscal Year. Copies of the recommendations of the Management Consultant shall be provided to the Department. The Department also may retain attorneys and consultants to assist in an evaluation of the operation and management of the Facilities and the Corporation shall pay the reasonable fees and expenses of such attorneys and consultants and any expenses incurred by the Department in that connection.

DEED OF TRUST

The obligations of the Corporation pursuant to the Loan Agreement, the Regulatory Agreement and the Contract of Insurance are secured by the lien of a Deed of Trust upon the Facilities. With the written consent of the Department and the Corporation, the Deed of Trust may be amended or terminated at any time, without the necessity of obtaining the consent of the Trustee, the Authority or the holders of the Bonds or of Parity Debt. To the extent permitted under the Regulatory Agreement, certain Property may be removed from the lien and security interest of the Deed of Trust upon written request by the Department.

Upon the failure of the Corporation to perform its obligations as required under the Deed of Trust, the trustee under the Deed of Trust, the Trustee (as assignee of the Authority) and the Department, as beneficiaries under the Deed of Trust (each, a “Beneficiary”), may elect to do any or all of the following: (1) make any such payment or do any such act in such manner and to the extent necessary to protect the security of the Deed of Trust; (2) pay, purchase, contest or compromise any claim, debt, lien, charge or encumbrance which may affect or appear to affect the security of the Deed of Trust or the interest of the Beneficiary or the rights, powers or duties of the Deed Trustee or the Beneficiary; (3) take possession of, and manage, operate or lease, the Property; and (4) declare all sums secured by the Deed of Trust to be immediately due and payable and sell the Facilities to satisfy the lien of the Deed of Trust. If the beneficiary elects to foreclose and sell the Facilities, there are certain applicable statutory time periods which must expire before such proceedings will be effective.

The Regulatory Agreement and the Deed of Trust confer certain powers and rights upon the Department which may limit the discretion of the trustee under the Deed of Trust. So long as the Department is obligated under the Contract of Insurance, all rights of beneficiaries under the Deed of Trust shall be exercised solely by the Department for the equal and ratable benefit of the Department and the Trustee. All rights and proceeds inuring to the benefit of the Trustee under the Deed of Trust are for the benefit of the holders of the Bonds and Parity Debt. Before the benefits of the insurance are to be paid, the Department may require such trustee to (1) foreclose on the Deed of Trust and convey title to the Facilities to the Department; or (2) assign all security interests of the Bondholders under the Deed of Trust to the Department.

APPENDIX D

FORM OF CONTRACT OF INSURANCE

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APPENDIX D
FORM OF CONTRACT OF INSURANCE

CONTRACT OF INSURANCE

LOAN NO. 1078

STATE OF CALIFORNIA
DEPARTMENT OF HEALTHCARE ACCESS AND INFORMATION

This CONTRACT OF INSURANCE, dated as of September 1, 2022, and effective as of October 4, 2022, is by and among O'Connor Woods Housing Corporation, a nonprofit public benefit corporation duly organized and existing under the laws of the State of California (the "Corporation"), the Department of Health Care Access and Information of the State of California (the "Department") (formerly, and as it may be referred to from time to time as, the Office of Statewide Health Planning and Development (the "Office" or "OSHPD")), and the California Public Finance Authority, a joint powers agency organized and existing pursuant to the laws of the State of California (the "Authority").

WHEREAS, the Department is authorized to enter into this Contract of Insurance pursuant to California Health and Safety Code Sections 127045 and 129105;

WHEREAS, the Director of the Department is authorized to enter into this Contract of Insurance on behalf of the Department pursuant to California Health and Safety Code Section 127010 and California Government Code Section 11150, *et seq.*;

WHEREAS, the undersigned Deputy Director of the Department was appointed by the Director of the Department to act on the Director's behalf pursuant to Delegation Order 20-18, effective December 22, 2020, and is so authorized by California Health and Safety Code Section 7 and California Government Code Sections 7, 1194 and 18572;

WHEREAS, the Authority is authorized to enter into this Contract of Insurance pursuant to a resolution adopted by the Authority on July 27, 2021;

WHEREAS, the Corporation is authorized to enter into this Contract of Insurance pursuant to a resolution adopted by the Corporation's Board of Directors on July 8, 2021;

WHEREAS, the Authority desires to issue its Insured Revenue Refunding Bonds (O'Connor Woods), Series 2022 (Forward Delivery) in the principal amount of \$35,595,000 (the "Bonds") pursuant to an indenture, dated as of September 1, 2022 (the "Indenture"), by and between the Authority and The Bank of New York Mellon Trust Company, N.A., as trustee (the "Trustee"), and to lend the proceeds of the Bonds to the Corporation pursuant to a loan agreement, dated as of September 1, 2022 (the "Loan Agreement"), between the Authority and the Corporation, which shall be secured by a Deed of Trust with Fixture Filing, Security Agreement

and Assignment Agreement (the “Deed of Trust”) on certain of the Corporation’s property and a pledge of the Corporation’s Gross Revenues;

WHEREAS, the Corporation desires to obtain the Health Facility Construction Loan Insurance (the “Insurance”) insuring the payment of the Bonds, and the Department is willing to extend the Insurance;

WHEREAS, the Department has reviewed the final form of the Bonds, the Indenture, the Loan Agreement, the Deed of Trust, and the American Land Title Association title insurance policy issued by Fidelity National Title Company, a California corporation insuring the Corporation’s title to that property which is subject to the Deed of Trust and naming the Trustee and the Department as beneficiaries, as their respective interests may appear;

WHEREAS, the Department has approved the Corporation’s application for insurance of the Bonds; and

WHEREAS, in consideration of the Insurance and in order to comply with the requirements of Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State of California, cited as the “California Health Facility Construction Loan Insurance Law,” as now in effect and as it may from time to time hereafter be amended or supplemented (the “Insurance Law”), the Corporation, the Department and the Authority have entered into a regulatory agreement, dated as of September 1, 2022, and effective as of October 4, 2022 (the “Regulatory Agreement”), regulating the terms and conditions of the Insurance of the Bonds;

NOW, THEREFORE, in consideration of these presents and for other good and valuable consideration, the receipt of which is hereby acknowledged, the parties hereto mutually agree, and agree for the benefit of the Holders of the Bonds from time to time and the Trustee, as follows:

1. Definitions. Unless the context clearly otherwise requires, all capitalized terms used herein shall have the meanings assigned to such terms in the Regulatory Agreement or, if not defined therein, in the Indenture.

2. Insurance. The Department hereby declares and agrees that the Bonds are eligible for the Insurance under the Insurance Law and that payments to the Trustee of the principal of and the accrued and unpaid interest on the insured principal of the Bonds and such other costs and expenses required by the Insurance Law, are insured. However, payments from the Trustee to the Bondholders are not insured.

3. Incontestability. Pursuant to Insurance Law Section 129110, such Insurance shall be incontestable from the date of the execution of this Contract of Insurance, except in case of fraud or misrepresentation on the part of the lender (as defined in Insurance Law Section 129010(j)).

4. Approval of Documents. The Department approves the execution and delivery of the Loan Agreement, the Indenture and the Deed of Trust.

5. Completion of the Project. The Corporation shall accomplish the Project with all practical dispatch and in an economical manner.

6. Disbursement of Proceeds. Prior to each disbursement of funds to the Corporation pursuant to the provisions of the Indenture, the Corporation shall apply to the Department by submission of the Department's Form OSH-CM-134 and supporting documentation, for an authorization of the disbursement of funds to the Corporation pursuant to the Indenture, pursuant to Insurance Law Section 129030. Certification by the Department of the Form OSH-CM-134 submitted to the Department by the Corporation shall constitute the Department's authorization and consent to the disbursement of funds to the Corporation.

7. Compliance with Law and Documents. The Authority and the Corporation shall, to the extent they are respectively obligated thereunder, comply with the Insurance Law and the terms, conditions and covenants of the Bonds, the Loan Agreement, the Indenture, the Deed of Trust, the Regulatory Agreement and this Contract of Insurance.

8. Premium Payment. The Corporation has paid all premiums required for the Insurance on the effective date hereof. Insurance of the Bonds shall not be cancelled or terminated for any reason, including any failure by the Corporation to comply with the provisions of the Regulatory Agreement or any other agreement or failure by the Trustee to enforce such compliance, except as provided in Section 9 hereof.

9. Termination of Insurance. The Insurance provided herein may be terminated by the Department only upon the occurrence of any of the following:

(a) Payment of Insurance by the Department. Upon the payment in full by the Department of the Insurance of the Bonds pursuant to the Insurance Law.

(b) Payment of Bonds; Defeasance. Upon the payment in full of the principal of and the accrued and unpaid interest on the Bonds (including defeasance of the Bonds) so that all principal and interest components of the Bonds that have or may come due to the Bondholders and the Trustee under the Indenture are paid.

(c) Joint Request. Upon the joint written request of the Authority, the Corporation and all the Bondholders as provided in Insurance Law Section 129185.

(d) Foreclosure or Conveyance; Surrender of Bonds. If the Deed of Trust is judicially foreclosed as to such property, or the Authority, the Trustee or the Bondholders non-judicially foreclose or otherwise acquire such property after a Loan Default Event and the Authority and the Trustee do not execute and deliver to the Department a grant deed, trustee deed or quitclaim deed covering such property within sixty (60) days of such foreclosure or other acquisition; or if any Bonds are surrendered to the Trustee to be exchanged for debentures and such Bonds are not surrendered to the Department within sixty (60) days of receipt by the Trustee; provided that, if the required conveyance or surrender is restrained, enjoined, or otherwise prevented by any court or governmental body or agency, then the Authority and the Trustee shall have sixty (60) days to make the conveyance or surrender from the date such restraint or injunction is vacated, dismissed or discharged.

10. Successors Bound. This Contract of Insurance shall bind, and the benefits shall inure to, the respective parties hereto, their legal representatives, successors in office or interest, and assigns, and shall be directly enforceable by the Trustee. The Department hereby consents to the Authority's assignment of its rights under this Contract of Insurance to the Trustee.

11. Severability of Invalid Provisions. The invalidity of any clause, part, or provision of this Contract of Insurance shall not affect the validity of the remaining portions hereof so long as the Insurance remains in effect.

12. Agreement Represents Complete Agreement; Amendments. Except as otherwise provided herein, this Contract of Insurance represents the entire contract among the parties. This Contract of Insurance may be amended, changed or modified by the written agreement of the Department, the Authority, and the Corporation, provided that such amendment, change or modification shall not materially adversely affect the Holders.

13. Headings and References. The headings or titles of the several sections, subsections and subdivisions hereof shall be solely for convenience of reference and shall not affect the meaning, construction or effect of this Contract of Insurance. All references herein to "sections," "subsections" and other subdivisions are to the corresponding sections, subsections or subdivisions of this Contract of Insurance. The words "herein," "hereof," "hereby," "hereunder" and other words of similar import refer to this Contract of Insurance as a whole and not to any particular section, subsection or subdivision hereof. Words of the masculine gender shall mean and include words of the feminine and neuter genders.

14. Governing Law; Venue. The laws of the State of California shall govern this Contract of Insurance, the interpretation thereof and any right or liability arising hereunder. Any action or proceeding to enforce or interpret any provision of this Contract of Insurance shall be brought, commenced or prosecuted in Sacramento County Superior Court, Sacramento, California.

15. Attorneys' Fees. In the event of any action at law or in equity between the parties hereto to interpret or enforce any of the provisions of this Contract of Insurance, the non-prevailing party or parties to such litigation shall pay to the prevailing party or parties all costs and expenses, including reasonable fees of the Trustee for Bondholders, and actual and documented attorneys' fees, incurred therein by such prevailing party or parties; and if such prevailing party or parties shall recover judgment in any such action or proceeding, such costs, expenses and attorneys' fees may be included in and as part of such judgment. The prevailing party shall be the party who is entitled to recover its costs of suit, whether or not the suit proceeds to final judgment. A party not entitled to recover its costs of suit shall not recover attorneys' fees.

16. Electronic Signature. Each of the parties hereto agrees that the transaction consisting of this Contract of Insurance may be conducted by electronic means. Each party agrees, and acknowledges that it is such party's intent, that if such party signs this Contract of Insurance using an electronic signature, it is signing, adopting, and accepting this Contract of Insurance and that signing this Contract of Insurance using an electronic signature is the legal equivalent of having placed its handwritten signature on this Contract of Insurance on paper. Each party acknowledges that it is being provided with an electronic or paper copy of this Contract of Insurance in a usable format.

17. Execution in Counterparts. This Contract of Insurance may be executed in any number of counterparts, each of which shall be deemed for all purposes to be an original and all of which shall together constitute but one and the same instrument.

IN WITNESS WHEREOF, the parties hereto have duly executed this Contract of Insurance as of the day and year first above written.

**O’CONNOR WOODS HOUSING
CORPORATION**

By: _____
Authorized Representative

**DEPARTMENT OF HEALTH CARE ACCESS
AND INFORMATION OF THE STATE OF
CALIFORNIA**

By: Elizabeth A. Landsberg, Director

By: _____
Jeremy P. Marion
Deputy Director

**CALIFORNIA PUBLIC FINANCE
AUTHORITY**

By: _____
Authorized Signatory

Signature Page to Contract of Insurance –
California Public Finance Authority Insured Revenue Refunding Bonds
(O’Connor Woods), Series 2022 (Forward Delivery)

APPENDIX E

FORM OF CONTINUING DISCLOSURE AGREEMENT

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APPENDIX E

FORM OF CONTINUING DISCLOSURE AGREEMENT

This Continuing Disclosure Agreement (this “Disclosure Agreement”) is executed and delivered by O’Connor Woods Housing Corporation, a California nonprofit public benefit corporation (the “Corporation”), and Digital Assurance Certification, LLC, in its capacity as dissemination agent hereunder (the “Dissemination Agent”), in connection with the issuance of \$35,595,000 California Public Finance Authority Insured Refunding Revenue Bonds (O’Connor Woods), Series 2022 (Forward Delivery) (the “Bonds”).

The Bonds are being issued under an Indenture dated as of September 1, 2022 (the “Indenture”), between the California Public Finance Authority (the “Authority”) and The Bank of New York Mellon Trust Company, N.A., as bond trustee (the “Trustee”). The proceeds of the Bonds are being loaned by the Authority to the Corporation pursuant to a Loan Agreement dated as of September 1, 2022 (the “Loan Agreement”), between the Authority and the Corporation.

The Corporation and the Dissemination Agent covenant and agree as follows:

Section 1. *Purpose of the Disclosure Agreement.* This Disclosure Agreement is being executed and delivered by the Corporation for the benefit of the holders and beneficial owners of the Bonds and in order to assist the Participating Underwriter or Underwriters of the Bonds in complying with the Rule (as hereinafter defined).

Section 2. *Definitions.* In addition to the definitions set forth in the Indenture, which apply to any capitalized term used in this Disclosure Agreement unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“*Annual Investor Call*” shall mean the annual informational conference call which shall be open to Bondholders and interested parties.

“*Annual Report*” shall mean any Annual Report provided by the Corporation pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

“*Dissemination Agent*” shall mean, initially, Digital Assurance Certification, LLC, and thereafter any successor Dissemination Agent designated in writing by the Corporation and which has accepted such designation.

“*Financial Obligation*” has the meaning given such term in the Rule, as it may be amended. The current definition is (i) a debt obligation; (ii) a derivative instrument entered into in connection with, or pledged as a security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term “Financial Obligation” shall not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

“*MSRB*” shall mean the Municipal Securities Rulemaking Board established pursuant to Section 15B(b)(1) of the Securities Exchange Act of 1934.

“*National Repository*” shall mean the MSRB through its Electronic Municipal Market Access (EMMA) system for municipal securities disclosure or through any other electronic format or system prescribed by the MSRB for purposes of the Rule.

“*Notice Events*” shall mean any of the events listed in Section 7 of this Disclosure Agreement.

“*Participating Underwriter*” shall mean any of the original underwriters of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“*Quarterly Report*” shall mean any Quarterly Report provided by the Corporation pursuant to, and as described in, Sections 5 and 6 of this Disclosure Agreement.

“*Repository*” shall mean the National Repository and the State Repository, if any.

“*Rule*” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“*State Repository*” shall mean any public or private repository or entity designated by the State of California as a state repository for the purpose of the Rule and recognized as such by the Securities and Exchange Commission. As of the date of this Disclosure Agreement, there is no State Repository.

Section 3. *Provision of Annual Reports; Annual Investor Call.* (a) The Corporation shall, or shall cause the Dissemination Agent to, not later than four months after the end of the Corporation’s fiscal year, commencing with the fiscal year ending December 31, 2022, provide to each Repository an Annual Report that is consistent with the requirements of Section 4 of this Disclosure Agreement. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may include by reference other information as provided in Section 4 of this Disclosure Agreement. The audited financial statements required by Section 4 may be submitted separately from the balance of the Annual Report. If the Corporation’s fiscal year changes, it shall give notice of such change in the same manner as for a Notice Event under Section 7. The Corporation shall provide a written certification with each Annual Report furnished to the Dissemination Agent to the effect that such Annual Report constitutes the Annual Report required to be furnished by the Corporation under this Disclosure Agreement. The Dissemination Agent may conclusively rely upon such certification of the Corporation and shall have no duty or obligation to review such Annual Report.

(b) No later than two (2) business days prior to the date specified in subsection (a) for providing the Annual Report to the Repositories, the Corporation shall provide the Annual Report to the Dissemination Agent and the Trustee (if the Dissemination Agent is not the Trustee). If the Dissemination Agent is unable to verify that an Annual Report has been provided to the Repositories by the date required by subsection (a), the Dissemination Agent shall provide to each Repository a notice, in substantially the form attached as Exhibit A.

(c) Provided that the Dissemination Agent has received the Annual Report pursuant to Section 3(b), it shall file a report with the Corporation certifying that the Annual Report has been

provided pursuant to this Disclosure Agreement, stating the date it was provided and listing each Repository to which it was provided.

(d) Within thirty (30) days of posting each Annual Report, commencing with the Annual Report for the fiscal year ending December 31, 2022, the Corporation shall host an Annual Investor Call, which call shall be open to Bondholders and other interested parties.

Section 4. *Content of Annual Reports.* The Annual Report shall contain the following:

(a) Audited financial statements of the Corporation prepared in accordance with generally accepted accounting principles. If the Corporation's audited financial statements are not available by the date the Annual Report is required to be filed pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the Corporation's audited financial statements, and the Corporation's audited financial statements shall be filed in the same manner as the Annual Report when they become available.

(b) Unless otherwise provided in the audited financial statements described in Section 4(a), an update of the information contained in Appendix A to the Official Statement relating to the Bonds under the captions "OCCUPANCY AND HISTORICAL UTILIZATION" (Tables 8, 10, 12, 14 and 17), and "MANAGEMENT DISCUSSION AND ANALYSIS OF FINANCIAL PERFORMANCE – Summary of Financial Information," and " – Financial Ratios", together with a statement of: (i) number of units/beds available by level of care and number of units/beds occupied by level of care; and (ii) number of persons on waiting list by level of care, both as of the close of the most recently completed fiscal year.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the Corporation or related entities which have been submitted to each of the Repositories or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the MSRB. The Corporation shall clearly identify each such other document so included by reference.

(c) Such further information, if any, as may be necessary to make the specifically required statements, in the light of the circumstances under which they are made, not misleading.

Section 5. *Provision of Quarterly Reports.* (a) The Corporation shall, or shall cause the Dissemination Agent to, not later than two months after the end of each of the Corporation's four fiscal quarters, commencing with the fiscal quarter ending September 30, 2022, provide to each Repository a Quarterly Report that is consistent with the requirements of Section 6 of this Disclosure Agreement. The Quarterly Report may be submitted as a single document or as separate documents comprising a package, and may include by reference other information as provided in Section 6 of this Disclosure Agreement. The Corporation shall provide a written certification with each Quarterly Report furnished to the Dissemination Agent to the effect that such Quarterly Report constitutes the Quarterly Report required to be furnished by the Corporation under this Disclosure Agreement. The Dissemination Agent may conclusively rely upon such certification of the Corporation and shall have no duty or obligation to review such Quarterly Report.

(b) No later than five (5) business days prior to the date specified in subsection (a) for providing the Quarterly Report to the Repositories, the Corporation shall provide the Quarterly Report to the Dissemination Agent and the Trustee (if the Dissemination Agent is not the Trustee). If the Dissemination Agent is unable to verify that a Quarterly Report has been provided to the Repositories by the date required by subsection (a), the Dissemination Agent shall provide to each Repository a notice, in substantially the form attached as Exhibit A, but substituting the words “Quarterly Report” for “Annual Report,” each place it appears.

(c) Provided that the Dissemination Agent has received the Quarterly Report pursuant to Section 5(b), it shall file a report with the Corporation certifying that the Quarterly Report has been provided pursuant to this Disclosure Agreement, stating the date it was provided and listing each Repository to which it was provided.

Section 6. *Content of Quarterly Reports.* The Quarterly Report shall contain the following:

(a) Financial statements of the Corporation for the quarter that is being reported and for the year to date ending with such quarter (which need not be audited), prepared in accordance with generally accepted accounting principles. Such statements shall consist of balance sheets and statements of operations.

(b) Unless otherwise provided in the financial statements described in Section 6(a), an update of the information contained in Appendix A to the Official Statement relating to the Bonds under the captions “OCCUPANCY AND HISTORICAL UTILIZATION” (Tables 8, 10, 12, 14 and 17), and “MANAGEMENT DISCUSSION AND ANALYSIS OF FINANCIAL PERFORMANCE – Summary of Financial Information,” and “– Financial Ratios”, together with a statement of: (i) number of units/beds available by level of care and number of units/beds occupied by level of care; and (ii) number of persons on waiting list by level of care, both as of the close of the most recently completed fiscal quarter.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the Corporation or related entities which have been submitted to each of the Repositories or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the MSRB. The Corporation shall clearly identify each such other document so included by reference.

(c) Such further information, if any, as may be necessary to make the specifically required statements, in the light of the circumstances under which they are made, not misleading.

Section 7. *Reporting of Notice Events.* The occurrence of any of the following events with respect to the Bonds constitutes a Notice Event:

1. Principal and interest payment delinquencies;
2. Non-payment related defaults, if material;
3. Unscheduled draws on debt service reserves reflecting financial difficulties;

4. Unscheduled draws on credit enhancements reflecting financial difficulties;
5. Substitution of credit or liquidity providers, or their failure to perform;
6. Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;
7. Modifications to rights of Bond holders, if material;
8. Bond calls, if material, and tender offers;
9. Defeasances;
10. Release, substitution, or sale of property securing repayment of the Bonds, if material;
11. Rating changes;
12. Bankruptcy, insolvency, receivership or similar event of any Obligated Group Member;

Note to subsection (a)(12) of this Section 7: For the purposes of the event described in subsection (a)(12) of this Section 7, the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the Corporation in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the Corporation, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the Corporation.

13. The consummation of a merger, consolidation, or acquisition involving the Corporation or the sale of all or substantially all of the assets of the Corporation, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;
14. Appointment of a successor or additional trustee or the change of name of a trustee, if material;

15. Incurrence of a Financial Obligation of the Obligated Person, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the Obligated Person, any of which affect Holders of the Bonds, if material; and
16. Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of the Financial Obligation of the Obligated Person, any of which reflect financial difficulties.

The Corporation shall, in a timely manner not later than nine business days after its occurrence, notify the Dissemination Agent in writing of the occurrence of a Notice Event. Such notice shall instruct the Dissemination Agent to report the occurrence pursuant to subsection (c) and shall be accompanied by a notice. Such notice shall identify the Notice Event that has occurred (which shall be any of the categories set forth in Section 7 of this Disclosure Agreement), include the text of the disclosure that the Borrower desires to make, contain the written authorization of the Borrower for the Dissemination Agent to disseminate such information, and identify the date the Borrower desires for the Dissemination Agent to disseminate the information (provided that such date is not later than the tenth business day after the occurrence of the Notice Event).

Section 8. *Termination of Reporting Obligation.* The Corporation's obligations under this Disclosure Agreement shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the Corporation shall give notice of such termination in the same manner as for a Notice Event under Section 7.

Section 9. *Dissemination Agent.* The Corporation may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Agreement, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent may resign by providing thirty days' written notice to the Corporation and the Trustee.

Section 10. *Amendment; Waiver.* Notwithstanding any other provision of this Disclosure Agreement, the Corporation may amend this Disclosure Agreement, and any provision of this Disclosure Agreement may be waived, provided that the following conditions are satisfied:

(a) if the amendment or waiver relates to the provisions of Section 3, 4, 5, 6 or 7 hereof, it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature, or status of an obligated person with respect to the Bonds, or type of business conducted;

(b) the undertakings herein, as proposed to be or waived, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the primary offering of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances;

(c) the proposed amendment or waiver either (i) is approved by holders of the Bonds in the manner provided in the Bond Indenture for amendments to the Bond Indenture with the

consent of holders, or (ii) does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the holders or beneficial owners of the Bonds; and

(d) neither the Trustee nor the Dissemination Agent shall be obligated to enter into any amendment increasing or affecting its duties or obligations.

If the financial information or operating data to be provided in any Annual Report or Quarterly Report is pursuant to the provisions hereof, the report containing such operating data or financial information shall explain, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided.

If an amendment is made to the undertaking specifying the accounting principles to be followed in preparing financial statements, the annual financial information for the year in which the change is made shall present a comparison between the financial statements or information prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles. The comparison shall include a qualitative discussion of the differences in the accounting principles and the impact of the change in the accounting principles on the presentation of the financial information, in order to provide information to investors to enable them to evaluate the ability of the Corporation to meet its obligations. To the extent reasonably feasible, the comparison shall be quantitative. A notice of the change in the accounting principles shall be sent to the Repositories in the same manner as for a Notice Event under Section 7.

Section 11. *Additional Information.* Nothing in this Disclosure Agreement shall be deemed to prevent the Corporation from disseminating any other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or including any other information in any Annual Report or Quarterly Report or notice of occurrence of a Notice Event, in addition to that which is required by this Disclosure Agreement. If the Corporation chooses to include any information in any Annual Report, Quarterly Report or notice of occurrence of a Notice Event in addition to that which is specifically required by this Disclosure Agreement, the Corporation shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report, Quarterly Report or notice of occurrence of a Notice Event.

Section 12. *Default.* In the event of a failure of the Corporation to comply in all material respects with any provision of this Disclosure Agreement, any holder or beneficial owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Corporation to comply with their obligations under this Disclosure Agreement. A default under this Disclosure Agreement shall not be deemed an Event of Default under the Indenture or a Loan Default Event under the Loan Agreement, and the sole remedy under this Disclosure Agreement in the event of any failure of the Corporation to comply with this Disclosure Agreement shall be an action to compel performance.

Section 13. *Duties, Immunities and Liabilities of Dissemination Agent.* Article VIII of the Indenture is hereby made applicable to this Disclosure Agreement as if this Disclosure Agreement were (solely for this purpose) contained in the Indenture. The Dissemination Agent shall be entitled to the protections and limitations from liability afforded to the Trustee thereunder.

The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement, and the Corporation hereby agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including reasonable attorney's fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The Dissemination Agent shall be paid compensation by the Corporation for its services provided hereunder in accordance with its schedule of fees as agreed to between the Dissemination Agent and the Corporation from time to time and all expenses, legal fees and advances made or incurred by the Dissemination Agent in the performance of its duties hereunder. Any company succeeding to all or substantially all of the Dissemination Agent's corporate trust business shall be the successor to the Dissemination Agent hereunder without the execution or filing of any paper or any further act. The obligations of the Corporation under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds. The Disclosure Dissemination Agent shall have no duty with respect to the content of any disclosures or notice made pursuant to the terms hereof. The Disclosure Dissemination Agent shall have no duty or obligation to review or verify any Information, or any other information, disclosures or notices provided to it by the Obligated Person and shall not be deemed to be acting in any fiduciary capacity for the Issuer, the Obligated Person, the Holders of the Bonds or any other party.

Section 14. *Beneficiaries.* This Disclosure Agreement shall inure solely to the benefit of the Corporation, the Trustee, the Dissemination Agent, the Participating Underwriter and holders and beneficial owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Dated: October ____, 2022.

O'CONNOR WOODS HOUSING
CORPORATION

By: _____
Its: _____

DIGITAL ASSURANCE CERTIFICATION, LLC,
as Dissemination Agent

By: _____
Authorized Signatory

EXHIBIT A

NOTICE OF FAILURE TO FILE ANNUAL REPORT

Name of Obligated Persons:

O'Connor Woods Housing Corporation
(the "Corporation")

Name of Issue:

California Public Finance Authority Federally Taxable Insured
Revenue Bonds (O'Connor Woods) Series 2022 (Forward Delivery)

Date of Issuance:

October ____, 2022

NOTICE IS HEREBY GIVEN that the Corporation has not provided an Annual
Report with respect to the above-named Bonds as required by the Continuing
Disclosure Agreement dated October __, 2022. The Corporation anticipates that
the Annual Report will be filed by _____.

Dated: _____

[DISSEMINATION AGENT]

By: _____
Its: _____

cc: The Bank of New York Mellon Trust Company, N.A., as Trustee
O'Connor Woods Housing Corporation

APPENDIX F

FORM OF OPINION OF BOND COUNSEL

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APPENDIX F
FORM OF OPINION OF BOND COUNSEL

October 4, 2022

California Public Finance Authority
Hanford, California

\$35,595,000
California Public Finance Authority
Insured Refunding Revenue Bonds
(O'Connor Woods), Series 2022 (Forward Delivery)
(Final Opinion)

Ladies and Gentlemen:

We have acted as bond counsel to the California Public Finance Authority (the "Authority") in connection with the issuance of \$35,595,000 aggregate principal amount of California Public Finance Authority Insured Refunding Revenue Bonds (O'Connor Woods), Series 2022 (Forward Delivery) (the "Bonds"), issued pursuant to an Indenture, dated as of September 1, 2022 (the "Indenture"), between the Authority and The Bank of New York Mellon Trust Company, N.A, as trustee (the "Trustee"). The Indenture provides that the Bonds are issued for the stated purpose of making a loan of the proceeds thereof to O'Connor Woods Housing Corporation (the "Corporation") pursuant to a Loan Agreement, dated as of September 1, 2022 (the "Loan Agreement"), between the Authority and the Corporation. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Indenture.

In such connection, we have reviewed the Indenture, the Loan Agreement, the Tax Agreement, opinions of counsel to the Trustee and the Corporation, certificates of the Authority, the Trustee, the Corporation and others, and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

We have relied on the opinion of Hefner, Stark & Marois LLP, counsel to the Corporation, regarding, among other matters, the current qualification of each of the Corporation and Eskaton Properties, Incorporated (the "Manager") as an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986 (the "Code"). We note that the opinion is subject to a number of qualifications and limitations. We have also relied upon representations of the Corporation regarding the use of the facilities refinanced with the proceeds of the Bonds in activities that are not considered unrelated trade or business activities of the Corporation within the meaning of Section 513 of the Code. We note that the opinion of counsel to the Corporation does not address Section 513 of the Code. Failure of either the Corporation or the Manager to be organized and operated in accordance with the Internal Revenue Service's requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or use of the bond-refinanced facilities in activities that are considered unrelated trade or business activities of the Corporation within the meaning of Section 513 of the Code, may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of issuance of the Bonds.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after original delivery of the Bonds on the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after original delivery of the Bonds on the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures provided to us and the due and legal execution and delivery thereof by, and validity against, any parties other than the Authority. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents, and of the legal conclusions contained in the opinions, referred to in the second and third paragraphs hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Indenture, the Loan Agreement and the Tax Agreement, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the Indenture, the Loan Agreement and the Tax Agreement and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against joint powers agencies in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute or having the effect of a penalty), right of set-off, arbitration, judicial reference, choice of law, choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the foregoing documents, nor do we express any opinion with respect to the state or quality of title to or interest in any of the real or personal property described in or as subject to the lien of the Indenture or the Loan Agreement or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such property. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement, dated August 26, 2021 (as supplemented by the Supplement to the Official Statement, dated _____, 2022) relating to the Bonds or other offering material relating to the Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute the valid and binding limited obligations of the Authority.
2. The Indenture has been duly executed and delivered by, and constitutes the valid and binding obligation of, the Authority. The Indenture creates a valid pledge, to secure the payment of the principal of and interest on the Bonds, of the Revenues and any other amounts held by the Trustee in any fund or account established pursuant to the Indenture, except the Rebate Fund, subject to the provisions of the Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Indenture.
3. The Loan Agreement has been duly executed and delivered by, and constitutes a valid and binding agreement of, the Authority.

4. Interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. Interest on the Bonds is not a specific preference item for purposes of the federal alternative minimum tax. We express no opinion regarding other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

Faithfully yours,

ORRICK, HERRINGTON & SUTCLIFFE LLP

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APPENDIX G

BOOK-ENTRY SYSTEM

The information in this Appendix G concerning The Depository Trust Company, New York, New York (“DTC”), and DTC’s book-entry system has been obtained from DTC and the Authority, the Corporation and the Trustee take no responsibility for the completeness or accuracy thereof. The Authority, the Corporation and the Trustee cannot and do not give any assurances that DTC, Direct Participants (as defined below) or Indirect Participants (as defined below) will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, with respect to the Bonds, (b) certificates representing ownership interest in or other confirmation of ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will do so on a timely basis, or that DTC, Direct Participants or Indirect Participants will act in the manner described in this Appendix G. The Authority, the Corporation, the Trustee and the Underwriter are not responsible or liable for the failure of DTC or any DTC Participant to make any payment or give any notice to a Beneficial Owner with respect to the Bonds or an error or delay relating thereto. The current “Rules” applicable to DTC are on file with the Securities and Exchange Commission and the current “Procedures” of DTC to be followed in dealing with DTC’s Direct Participants and Indirect Participants are on file with DTC.

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered certificate will be issued for each maturity of the Bonds, in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has S&P Global Ratings’ rating of AA+. The DTC Rules applicable to Direct and Indirect Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. The information on such website is not incorporated herein by reference.

Purchases of the Bonds under the DTC book-entry system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC’s records. The ownership interest of each actual purchaser of each Bond (“Beneficial Owner”) is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase.

Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of the Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of the Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of the Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Authority as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Payments of principal of, premium, if any, and interest on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Authority or the Trustee, on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Direct or Indirect Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Direct or Indirect Participant and not of DTC, the Trustee, or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal of, premium, if any, and interest on the Bonds to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Authority or the Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as securities depository with respect to the Bonds at any time by giving notice to the Trustee and the Authority. Under certain circumstances, in the event that a successor depository is not obtained, Bond certificates are required to be printed and delivered.

The Authority may decide to discontinue use of the system of book-entry transfers for the Bonds through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered as provided in the Indenture. In addition, the following provisions would apply: the principal or redemption price of the Bonds will be payable upon presentation thereof, at the designated corporate trust office of the Trustee, or such other or additional offices as may be designated by the Trustee; interest on the Bonds will be payable by check mailed on each interest payment date to the registered owners thereof as shown on the registration books of the Trustee as of the close of business on the fifteenth day of the calendar month immediately preceding the applicable interest payment date (the “record date”), except that upon the written request of an Owner of \$1,000,000 or more in aggregate principal amount of Bonds received by the Trustee prior to the applicable record date (which request shall remain in effect until rescinded in writing by such Owner), such interest shall be paid by wire transfer in immediately available funds; Bonds may be transferred upon the register required to be kept by the Trustee by the person in whose name it is registered, in person or by his or her duly authorized attorney, upon surrender of such Bond for cancellation, accompanied by delivery of a written instrument of transfer, duly executed in a form approved by the Trustee; and Bonds may be exchanged at the designated corporate trust office of the Trustee, or such other or additional offices as may be designated by the Trustee, for a like aggregate principal amount of Bonds of other authorized denominations of the same tenor, maturity and interest rate; provided, that no transfer or exchange may occur during the period established by the Trustee for selection of Bonds for redemption, or of any Bond or portion thereof so selected for redemption; and, provided further, that the Trustee shall require the Bondholder requesting any such transfer or exchange to pay any tax or other governmental charge required to be paid with respect thereto.

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APPENDIX H

FORM OF DELAYED DELIVERY INVESTOR AGREEMENT

August __, 2021

Cain Brothers, a division of KeyBanc Capital Markets Inc.
San Francisco, California

Re: \$_____ California Public Finance Authority Insured Refunding Revenue Bonds
(O'Connor Woods), Series 2022 (Forward Delivery) (the "Bonds")

Ladies and Gentleman:

The undersigned (the "Purchaser") hereby agrees to purchase from Cain Brothers (the "Underwriter"), when, as and if issued and delivered to the Underwriter by the California Public Finance Authority (the "Issuer"):

<u>Par Amount</u>	<u>Maturity Date</u>	<u>Interest Rate</u>	<u>CUSIP No.</u>	<u>Yield</u>	<u>Price</u>
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of the above-referenced Bonds (the "Purchased Bonds") offered by the Issuer under the Preliminary Official Statement dated July __, 2021 (the "Preliminary Official Statement"), and the Official Statement dated August __, 2021 (the "Final Official Statement") (receipt and review of copies of which is hereby acknowledged), at a purchase price (plus accrued interest, if any, from the date of initial delivery of the Purchased Bonds), with the interest rates and maturity dates, and in the principal amounts, shown above, and on the further terms and conditions set forth in this Delayed Delivery Investor Agreement. The Purchased Bonds are being purchased by the Underwriter pursuant to a Forward Delivery Bond Purchase Contract (the "Forward Delivery Purchase Contract") between the Issuer and the Underwriter, and approved by O'Connor Woods Housing Corporation.

The Purchaser hereby confirms that it has reviewed the Preliminary Official Statement and the Final Official Statement (including, without limitation, the section entitled "FORWARD DELIVERY OF THE BONDS"), has considered the risks associated with purchasing the Purchased Bonds and is duly authorized to purchase the Purchased Bonds. The Purchaser acknowledges and agrees that the Purchased Bonds are being sold on a "forward" basis, and the Purchaser hereby purchases and agrees to accept delivery of the Purchased Bonds from the Underwriter on or about October __, 2022 (the "Final Settlement Date") as they may be issued and delivered in accordance with the Forward Delivery Purchase Contract.

Payment for the Purchased Bonds which the Purchaser has agreed to purchase on the Final Settlement Date shall be made to the Underwriter or upon its order by wire transfer to a bank account specified by the Underwriter, on the Final Settlement Date upon delivery to the Purchaser of the Purchased Bonds then to be purchased by the Purchaser through the book-entry system of The Depository Trust Company.

Upon issuance by the Issuer of the Purchased Bonds and purchase thereof by the Underwriter, the obligation of the Purchaser to take delivery of the Purchased Bonds hereunder shall be unconditional, except

in the event that, between the Initial Closing Date (as defined in the Forward Delivery Purchase Contract) and the Final Settlement Date, there shall occur any of the following:

- (i) legislation is enacted, or a decision by a court of the United States is rendered, or any action is taken by or on behalf of the Securities and Exchange Commission, which has the effect of requiring the Purchased Bonds to be registered under, or the sale thereof to be in violation of, the Securities Act of 1933, as amended, or has the effect of requiring the Indenture relating to the Purchased Bonds (the “Indenture”) to be qualified under the Trust Indenture Act of 1939, as amended, or, in each case, any law analogous thereto relating to governmental bodies or an event shall occur which would cause the sale of the Purchased Bonds to be in violation of any provision of federal or State securities laws;
- (ii) as a result of any legislation, regulation, ruling, order, release, court decision or judgment or action by the U.S. Department of Treasury, the Internal Revenue Service, or any agency of the State, or for any other reason Bond Counsel cannot issue an opinion to the effect that (i) the interest of the Purchased Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended, (ii) the interest on the Purchased Bonds is not a specific preference item for purposes of the federal alternative minimum tax, and (iii) the interest on the Purchased Bonds is exempt from State personal income taxes, in each case as set forth in the opinion of Bond Counsel attached as APPENDIX F to the Final Official Statement;
- (iii) the declaration of a general banking moratorium by federal or State authorities, or the general suspension of trading on any national securities exchange;
- (iv) any event comprising a “Change in Law” as defined below;
- (v) the Final Official Statement, as amended or supplemented, as of the respective date thereof or as of the Final Settlement Date, contained or contains any untrue statement of a material fact or omitted or omits to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they were made, not misleading;
- (vi) there shall have occurred or any notice shall have been given of a suspension or withdrawal by S&P Global Ratings of its rating on the Bonds; or
- (vii) any fact, condition or circumstance exists that, but for the passage of time or giving notice or both, would constitute an event of default under the Indenture, Loan Agreement, Regulatory Agreement or Contract of Insurance upon the execution and effectiveness thereof.

A “Change in Law” means (i) any change in or addition to applicable federal or State law, whether statutory or as interpreted by the courts or by federal or State agencies, including any changes in or new rules, regulations or other pronouncements or interpretations by federal or State agencies; (ii) any legislation enacted by the Congress of the United States (if such enacted legislation has an effective date which is on or before the Final Settlement Date); (iii) any law, rule or regulation enacted by any governmental body, department or agency (if such enacted law, rule or regulation has an effective date which is on or before the Final Settlement Date); or (iv) any judgment, ruling or order issued by any court or administrative body, which in any such case (A) as to the Underwriter, would prohibit the Underwriter from completing the underwriting of the Purchased Bonds or selling the Purchased Bonds or beneficial ownership interests therein to the public, or (B) as to the Issuer, would make the completion of the issuance, sale or delivery of the Purchased Bonds illegal.

The Purchaser acknowledges and agrees that the Purchased Bonds are being sold on a “forward” or “delayed delivery” basis for delivery on the Final Settlement Date and that, except as described above, the Purchaser is obligated to take up and pay for the Purchased Bonds on the Final Settlement Date unless the Underwriter terminates the Forward Delivery Purchase Contract as described herein. The Purchaser is not a third party beneficiary under the Forward Delivery Purchase Contract and has no rights to enforce, or cause the Underwriter to enforce, any of the terms thereof. The Purchaser acknowledges that it will not be able to withdraw its order as described herein, and will not otherwise be excused from performance of its obligations to take up and pay for the Purchased Bonds on the Final Settlement Date because of market or credit changes, including specifically, but not limited to (a) changes in the ratings assigned to the Purchased Bonds between the Closing Date and the Final Settlement Date or changes in the credit associated with the Purchased Bonds generally, and (b) changes in the financial condition, operations, performance, properties or prospects of the Issuer, the Department or the Corporation from the date hereof to the Final Settlement Date. The Purchaser acknowledges and agrees that it will remain obligated to purchase the Purchased Bonds in accordance with the terms hereof, even if the Purchaser decides to sell Purchased Bonds following the date hereof, unless the Purchaser sells Purchased Bonds to another institution with the prior written consent of the Underwriter and such institution provides a written acknowledgment of confirmation of purchase order and a Delayed Delivery Investor Agreement in the same respective forms as that executed by the Purchaser.

The Purchaser represents and warrants that, as of the date of this Delayed Delivery Investor Agreement, the Purchaser is not prohibited from purchasing the Purchased Bonds hereby agreed to be purchased by it under the laws of the jurisdiction to which the Purchaser is subject. Each of the undersigned parties represents and warrants that it has the power and authority to enter into this Delayed Delivery Investor Agreement and to perform its obligations hereunder.

This Delayed Delivery Investor Agreement will inure to the benefit of and be binding upon the parties hereto and their respective successors, but will not be assignable by either party without the written consent of the other.

The Purchaser acknowledges that the Underwriter is entering into the Forward Delivery Purchase Contract with the Issuer and the Corporation to purchase the Purchased Bonds in reliance in part on the performance by the Purchaser of its obligations hereunder.

This Delayed Delivery Investor Agreement may be executed by either of the parties hereto in any number of counterparts, each of which shall be deemed to be an original, but all such counterparts shall together constitute one and the same instrument.

It is understood that the acceptance by the Underwriter of any Delayed Delivery Investor Agreement (including this one) is in the Underwriter’s sole discretion and that, without limiting the foregoing, acceptances of such contracts need not be on a first-come, first-served basis. If this Delayed Delivery Investor Agreement is acceptable to the Underwriter, it is requested that the Underwriter sign the form of acceptance below and mail, e-mail or otherwise deliver one of the counterparts hereto to the Purchaser at its address set forth below. This will become a binding contract between the Underwriter and the Purchaser when such counterpart is so mailed, e-mailed or otherwise delivered by the Underwriter. This Delayed Delivery Investor Agreement does not constitute a customer confirmation pursuant to Rule G-15 of the Municipal Securities Rulemaking Board.

[Remainder of page intentionally left blank]

This Delayed Delivery Investor Agreement shall be construed and administered under the laws of the State of New York.

[PURCHASER]

By: _____

Name: _____

Title: _____

Notice Address:

Attention: _____

Telephone: _____

Facsimile: _____

E-mail: _____

Accepted: August __, 2021

CAIN BROTHERS

By: _____

Name: _____

Title: _____

